

Lumax Auto Tech (LUMAXTECH)

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Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call- Q4 & FY 2022-23.

Dear Sir/Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Thursday, June 01, 2023 to discuss the Operational and Financial performance of the Company for the Quarter and year ended March 31, 2023.

The Transcript will also be made available on the website of the Company at www.lumaxworld.in/lumaxautotech

You are requested to take the same on records and oblige.
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No.- A28161

Encl: As stated above
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"Lumax Auto Technologies Limited Q4 FY'23 Earnings
Conference Call"
June 01, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1st June 2023 will prevail.

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TECHNOLOGIES LIMITED
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MS. PRIYANKA SHARMA – HEAD CORPORATE COMMUNICATIONS
– LUMAX AUTO TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, welcome to the Q4 FY 2023 Earnings Conference Call of Lumax Auto Technologies Limited. A disclaimer. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very warm welcome, ladies and gentlemen, to our Q4 and FY '23 Earnings Conference Call. Along with me on this call, I have Mr. Deepak Jain, Director, Mr. Sanjay Mehta, Director and Group CFO, Mr. Vikas Marwah, CEO, Mr. Naval Khanna, Corporate Head- Taxation, Mr. Ashish Dubey, CFO, Ms. Priyanka Sharma, Head, Corporate Communications, Mr. Ankit Thakral from Corporate Finance, and SGA, our Investor Relations Advisor.

The results and presentations have been uploaded on the stock exchange and the company's website. Hope you were able to view the same. I would like to begin this call with some insights of the economy and auto industry, followed by the operational and financial performance for the fourth quarter of FY '23 before opening the floor for questions.

India's growth post-COVID '19 has been phenomenal. The estimate coming from various agencies are projecting a GDP growth rate of approximately 6.5%, which is the fastest in the world and will contribute close to 15% in the global growth. The economy is thriving, thanks to a combination of structural and cyclical factors resulting in India continuing to outperform its global peers and defy recession.

Talking about the auto industry, we have seen a good recovery on back of tremendous resilience, innovation and robust market demand. The government's continued efforts to make India a global manufacturing hub for automobile brings up a lot of growth opportunities for the leading auto ancillary companies like us to tap advantage. Be it the PLI schemes or scrappage policies, the growth opportunities are immense.

Improving per capita income, especially in the urban and semi-urban markets and the launch of more feature loaded models are nudging consumer preference towards executive and premium vehicles. On the passenger vehicle front, the trend is now shifting from sedan and small cars towards SUVs with the share of latter set to increase at a rapid rate going forward.

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Indian passenger vehicle sales grew by 27% for FY '23 with easing chip shortages and improving supply chain globally, leading to new launches and better availability over the year. Commercial vehicles saw a high growth of 33%, registering sales of 9.4 lakh units in FY '23, compared to 7 lakh units in FY '22.

With government spending on infrastructure at record high, this segment is expected to see a good growth going forward. Two-wheeler sales also saw a growth of 19% for FY '23 with rural economy showing some kind of revival. Consumer preference is more skewed towards higher CC models compared to entry-level model.

Coming to our recent inorganic partnership of IAC India, which is a Tier 1 interior systems and component supplier to key automotive OEMs in the country, including Mahindra, Maruti Suzuki, Volkswagen India and Volvo Eicher commercial vehicles amongst others.

We have successfully c

ompleted the acquisition of 75% stake in the company in March this year. With this, we are now able to jump on the opportunity to combine our competitive strength across products and offer comprehensive solutions to our customers. With multiple synergies coming into play that brings opportunity for new customer additions, with cross-selling of products would be the key driver of growth through this venture.

Our key growth strategies with IAC will be to diversify and expand business with new customers, to penetrate deeper into existing customers, to unlock product synergies between lighting and plastic interior systems by leveraging the technical expertise of Lumax and IAC, leverage IAC India's strong engineering centre to design, develop new and innovative technologies and products, operational synergies across manufacturing excellence, capacity

utilization and procurement and target to achieve higher revenues from EV platforms over the next three to five years. The IAC management team along with Lumax will certainly continue to drive the business going forward.

Let me now move on to the operational highlights for this quarter. During the quarter, we have made the following new launches in the passenger vehicle segment, the gear shifter system for Maruti Suzuki, Fronx and Jimny models, seat frames for Jeep Meridian, for two-wheelers, chassis and frames for Bajaj Pulsar 150 Twin Disc model. And in the commercial vehicle segment, we have been able to add telematic parts for the truck and buses for DICV, the Daimler India Commercial Vehicles.

Lumax has been outshining itself through various awards Pan India across categories. This year, our Pantnagar plant received a Super Platinum Quality Award from Bajaj Auto at the Bajaj Auto Vendor Association Convention in January 2023. The Bengaluru plant won the Bronze Award for Excellence in Manufacturing, Very Large Category at the ACMA, Atmanirbhar Excellence Awards held in March 2023. And Lumax Mannoh Allied Technologies, the subsidiary company, has proudly received two awards in the categories of Inner parts Localisation and Value Analysis at the Maruti Vendor Conference in May 2023.

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With continuous new launches by the OEMs, we have also been able to grab new business. Our content per vehicle has increased due to our presence across multiple product categories and long-standing relationships with all major OEMs in India.

On the financial front, our consolidated revenues for the full year grew by 26% on year-on-year basis and stood at INR1,847 crores, the highest ever in the history of your company. Our EBITDA stood at INR224 crores, up by 37% year-on-year with an EBITDA margin of 12.1%, which has also been the highest ever. This includes financials of IAC India from 10, March 2023 onwards. Our growth entity wise has also been tremendous. Stating out a few, the stand-alone entity caters to Integrated Plastic Modules, the aftermarket business, the chassis and swing arm or two-wheelers, trailing arm for the three-wheelers and the two-wheeler lighting. The stand-alone entity has contributed 68% of the total consolidated revenues for FY '23.

During the quarter, the company received requisite approval of amalgamation from Honourable NCLT for merger of Lumax Mettals Private Limited with effect from April 1, 2022.

Thus, the financials of Lumax Mettals have been merged with the stand-alone entity.

Lumax Mannoh Allied Technologies is a 55% subsidiary, which manufactures manual, AMT and AT gear shifter system and has the market leadership position, contributed 16% to the total consolidated revenues. The company has also recorded its highest ever revenue crossing INR300 crores for the first time on the basis of both the value and volume increase coupled with commencement of manufacturing operations at Bangalore and exports for a global platform.

Lumax Cornaglia Auto Technologies, th

e 50% subsidiary, manufacturing air intake systems and

urea tank commanding 100% share of business with Volkswagen and Tata Motors, contributed 7% of the consolidated revenues. The joint venture has also recorded a handsome growth at 36% for the year and holds a strong order book and is very bullish for its performance in the next year.

Lumax Alps Alpine India Private Limited, a 50% subsidiary for the manufacturing and sale of electric devices and components, including software related to the automotive industry, contributed 2% to the total consolidated revenues. We have aggressive growth plans for this JV in the coming years.

I'm happy to share with you that your company is sitting on a healthy order book of around INR900 crores. 90% of it is in new business and out of which approximately 90% is in the joint ventures and subsidiaries.

Now I would like to hand over this call to Mr. Sanjay Mehta, Director and Group CFO, to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. I will brief on the operational and financial performance for Q4 and 12-month FY '23. For FY '23, Integrated Plastic Modules contributed 26% of overall revenue,

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followed by Aftermarket at 20%, Fabrication at 13%, Gear Shifter at 16%, Lighting products at 8%, Emission at 7% and Others at 10%.

Two and three wheelers contributed 37% overall revenue, passenger car at 29%, aftermarket

at 20%, CV's at 9% and others at 4% for FY '23. For more detailed operational highlights, please refer our investor presentation uploaded on the exchanges and company website.

With respect to financial highlights, the consolidated revenue was at INR493 crores for Q4 '23 as against INR417 crores last year Q4, up by 18%. Q4 FY '23 includes revenues from IAC India to the tune of INR51 crores from 10th of March 2023. For FY '23, consolidated revenues were at INR1,847 crores, up by 23% over financial year '22.

EBITDA margin stand at 12.6% for Q4 FY '23 as against 11.8% for Q4 FY '22, up by 80 basis points. Absolute EBITDA for Q4 '23 stood at INR62 crores, a growth of 26% on year-on-year basis. Absolute EBITDA for FY '23 stood at INR224 crores with EBITDA margin at 12.1%, up by 130 basis points from EBITDA margin of FY '22. Q4 and 12-month FY '23 includes EBITDA from IAC India to the tune of INR7.4 crores from 10th of March 2023.

PAT after minority interest for FY '23 stood at INR93 crores, which includes profit after tax of INR2 crores on account of consolidation of IAC from 10th of March '23. PAT margins stood at 5% for FY '23 as against 4.6% for FY '22. The capex incurred during FY '23 is around INR132 crores, which includes INR47 crores on account of leasehold assets, thus the actual capex outlay is INR85 crores.

With this, we open the floor for questions.

Moderator: Thank you very much. Our first question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Good afternoon, and congrats for acquisition of IAC India at a reasonable price. Sir, there are a couple of questions on IAC India. So what is the operating margin of this company excluding other income in FY '23?

Anmol Jain: So the EBITDA margin is roughly about 16.5%. This is for FY '23 full year, that is fully operating margin for the company.

Abhishek: So it also includes the other income. Excluding other income, how much is it?

Sanjay Mehta: It includes other income, but that is not the...

Anmol Jain: We will let you know the exact details later, but this one is including other income.

Abhishek: Okay. What was the PAT number? Profit after tax number for IAC India for FY'23?

Anmol Jain: We'll get back to you. We don't have this number ready, but we'll get back to you on the IAC PAT number.

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Abhishek: And sir, regarding the urea tanks, you have started to supply this Vo

lkswagen and Tata Motors.

So how much is the current order book? And what kind of the growth you are looking from this business? What the norms have changed which will be positive for this company?

Vikas Marwah: So, Abhishek, this is Vikas Marwah. Thank you for your question. Our FY '22 sales for urea tanks was about INR23 crores. And FY '23, we have gone up to about INR35 crores. We are expecting a growth of 15% year-on-year minimum on a conservative side for the next three years in this particular commodity.

Abhishek: And what would be the margin of this business?

Anmol Jain: The margin would be high double-digit.

Vikas Marwah: It's a high double digit.

Anmol Jain: High double-digit EBITDA margins.

Vikas Marwah: And there are only two players in the country, only one besides us who is supplying this in the country.

Abhishek: But this business is at very nascent stage and we're expecting a very high growth in this business, but you are saying that is only 15%. As the base is low don't you think that growth should be at a higher than 50%, 60% business, because the growth was quite...

Vikas Marwah: We are currently participating in the commercial vehicle segment only. We are planning to expand into the passenger vehicles also for urea tank, and this is a very quality critical product. Being an emission-regulated product, we wanted to have the quality parameters right in the first three years. So we will now move on to the passenger cars maybe after one year or two years.

Abhishek: And in the plastic moulded part, how much contribution from the four-wheeler business?

Anmol Jain: Well, there's a significant contribution. I mean, obviously, if you -- it depends what you classify. I mean, IAC is all plastic interior systems as well. But if you talk about the legacy products, there is a decline in the plastic business on a Q4-to-Q4 basis. That's primarily because -- or Q3 to Q4 basis. That's primarily because of the HMSI volumes going down. But the four-wheeler plastic business with the legacy business is definitely growing, and we've added significant products from Maruti Suzuki in that business.

Abhishek: And how would be the mix going ahead if I talk about on a stand-alone basis, four-wheeler business?

Anmol Jain: Your question is unclear, Abhishek. Going forward what do you told? I didn't understand the question?

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Abhishek: So you won the business from the Maruti. So I just wanted to understand what is the size of the business and how the -- this will change in the plastic moulded part in the coming days?

Because right now that -- most of the business comes from the two-wheelers only. Going ahead, the numbers will increase from the Maruti, how will be the mix?

Anmol Jain: So as I mentioned in my opening remarks, the company is sitting on a INR900 crores order book, out of which INR500 crores is from IAC, INR400 crores is from the other businesses. And out of the total pie of INR900 crores, almost 65% of the business is coming from passenger car segment.

So that by itself should give you a clear indicator that going forward, the pie of passenger car is likely to move up further compared to what it has already come to. If you look at from the last two to three years, today in FY '23, the passenger vehicle segment is about 30% of our revenue and two-wheeler, three-wheeler is only about 37%. So it's almost net-to-net. Clearly, FY '24 onwards, with consolidation of IAC, this would hugely change.

Abhishek: And my last question on the aftermarket business. So in last two years, the aftermarket business showed a very impressive growth. In this situation, how can we see the growth in coming years? It will be moderate to -- 8% to 10% or you will see double-digit growth in aftermarket business?

Anmol Jain: I have always mentioned that aftermarket, our midterm plan is to double the revenue in a period of about three to five years.

rs. I mentioned this almost two years ago or 1.5 years ago. We are on track to achieve that. So you will continue to see a pretty robust growth in aftermarket, even in FY '24 and onwards.

And Abhishek, just to come back to your -- PAT on IAC, that's INR61.5 crores PAT on IAC last year, FY '23.

Moderator: Thank you. Our next question is from the line of Apurva Mehta from AM Investments. Please go ahead.

Apurva Mehta: Congrats on the great set of numbers. Just wanted to know your long-term view of your company, where do you see your company in the next three years' time? We have lot of subsidiaries. And can you just let us know each of the subsidiaries where we look -- because a lot of subsidiaries are not started performing. So when can we see that going on stream and what is the road map of the subsidiary?

Anmol Jain: I think very clearly, the stand-alone entity continues to grow even in the FY '23. If you see 72% is on the stand-alone entity. Stand-alone entity comprises, as I said, aftermarket. As already mentioned, that will continue to grow at a pretty robust handsome rate.

Apart from that, the lighting business and the plastics business will also continue to grow, largely because of, A, new order acquisitions from four-wheelers and also certain technological changes in the lighting space, which we cater to only one customer being Bajaj Auto. Now also

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the metallic being merged into the stand-alone entity, that itself also will grow. So stand-alone entity will grow at a pretty double-digit rate, at least better than what it has grown in the last three to five years.

Coming to the subsidiaries. I think Mannoh and Cornaglia, both the joint ventures are pretty solid in terms of their order book. Mannoh continues to be the market leader for its product line, and we see a good traction. We have a good order book. So all the way to next three years, we see good growth in these two joint ventures. IAC clearly is one which we've just got into. It has a huge upside. It has, as I mentioned, a strong order book of already INR500 crores, which we are sitting on, which will get executed over the next two to three years.

And apart from that, we continue to remain in dialogues with other key OEMs to expand our current share and also tap into other OEMs with providing them a value-added solution. So IAC clearly will have its own growth trajectory. And then, if you look at the recent joint ventures, be it the Lumax, Alps Alpine, which is also sitting at a very robust order book, the Lumax Yokowo and the Lumax Ituran. These three are the recent joint ventures and all three will substantially see scaling up in FY '24 itself because some of the order book will get executed. So I think we will be pretty much delivering on all and that is going to be visible very clearly in our FY '24 growth story.

Apurva Mehta: On FY '24 numbers, we should be around INR3,000 crores to INR3,100 crores numbers including IAC?

Anmol Jain: I'm not sure what the number would be. But definitely, we will be having a significant growth. If you look at our growth in the last year, the growth was approximately 23%. So we would definitely be looking at upwards of probably 30% or plus growth in FY '24.

Apurva Mehta: That is excluding IAC what you are talking about? Even IAC itself will be giving you a turnover of INR750 crores to INR800 crores.

Anmol Jain: Excluding IAC the growth would be maybe, almost close to 50-odd percent or maybe higher.

Apurva Mehta: And the margin structure going ahead, do we see margins because we were at -- Q2 increased 11.5%. And for the full year, should we expect to be at 13%, 13.5% kind of thing.

Anmol Jain: So I think if you look at FY '23, we've already closed at 12.1%, where a significant part of it was self-driven without IAC really contributing much. As I mentioned earlier, IAC continues to operate at a similar or higher opera

ting margin.

So yes, I have always maintained that team EBITDA is our first endeavour. And surely, we will be able to expand margins both with the help of IAC and also with the traditional businesses, the operating leverage on higher revenue, scaling up of the existing joint ventures. So I think, yes, we will be definitely in the teenage -- teen EBITDA margins going forward in FY '24 onwards.

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Moderator: Thank you. Our next question is from the line of Kanika Kothari from Kothari Securities. Please go ahead.

Kanika Kothari: So my first question was that, we've seen fabrication revenues dropping from 18% to 13%. So is there any reason behind that?

Anmol Jain: Well, it's directly linked with Bajaj Auto. The fabrication is clearly driven by Bajaj Auto's own volume. So if you look at Bajaj Auto, it on a full year basis has degrown by 8%, but we are mostly on the export models, which have degrown at a much larger rate because of the external dynamics in these overseas countries. So it's a short term, let's say, downfall. We definitely expect recovery in FY '24 onwards, but there is no business loss.

Moderator: Thank you. Our next question is from the line of Jehan Bhadha from Nirmal Bang. Please go ahead.

Jehan Bhadha: Sir, my question is on the quarter 4 revenue growth number. If we exclude the IAC contribution, then revenue growth would be around 6-odd-percent year-on-year, which is comparatively lower than what our OEM clients have done. So any specific reason for the lower Q4 growth?

Anmol Jain: You're right. Actual Q4 of '22-'23 would be about 6% on a year-on-year basis without IAC. The fundamental reason is based on our demand of the OEM. Bajaj Auto, which is the largest piece of the pie, also de-grew. Specifically in quarter 4 they de-grew by 4%. But again, certain models, which we were on, degrew much more. And also HMSI, if you look at their quarter 4, they have degrown by almost 25% to 27%.

And again, a substantial part of our plastics business is dependent on HMSI. So it's just because of the two-wheeler volume drop, you do not see the, let's say, growth coming in quarter 4.

Most of this growth has come in from the passenger vehicle segment, which has performed well and delivered on Q4. But again, it's a temporary phenomenon. We do expect this recovery to happen in FY '24, both on the two-wheeler and of course, the passenger car vehicle itself.

Jehan Bhadha: Right. Yes. In fact, sir, for April and May, Bajaj Auto numbers have been very good also. But one more observation is that for the full year, most of the passenger vehicle and two-wheeler OEMs have guided for a high single-digit kind of growth number. Whereas our guidance is much higher. I mean, so from where will this growth come from? How much -- if you can divide the growth between stand-alone and the JVs, what will contribute to the overall growth of 30% that you are guiding?

Anmol Jain: So number one, the growth for us is not necessarily just dependent on the volume. As I mentioned, there have been recent joint ventures, which will be scaling up in FY '24. So for us, that is completely new revenue that is, let's say, introduction of certain new models. So that is for the first time business, which is not dependent on the incremental volume from last year to this year.

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Also, just to give you a number, without IAC, the growth is almost 15%, which we are envisaging between 12% to 15% for FY '24. So again, it is in line with what you see from an OEM's outlook.

So if you dissect the growth in two buckets, one is with IAC and one is without IAC, you'll probably see a similar trend in without IAC piece. But again, as I mentioned, a lot of the joint ventures are scaling up, and that would add and also the aftermarket, which is not really dependent on any volume indicators from OEM, will continue to grow at a handsome rate.

Jehan Bhadha Sir, so, if what I've understood is correct, stand-alone company will grow at around 12% to 15%, and there will be a higher contribution from JVs, which will lead to much higher rate?

That's correct?

Anmol Jain: That's correct.

Moderator: Thank you. Our next question is from the line of Shubh Jain from Emerge Capital.

Shubh Jain: My question is, sir, what is the net-debt, I think, from post the acquisition? And are we done already borrowing to fund the acquisition?

Anmol Jain: Shubh, we'll answer this question, but I'm not hearing clear on speaker phone, but it's a bit of an echo in your voice. So after this, maybe there is another question, you could just come on the handset.

Sanjay Mehta: Net debt is around INR147 crores. If I go with that -- my debt equity ratio, it is 0.2%, post IAC because we have taken INR375 crores loan of IAC. So that is why my gross debt right now is INR407 crores and net debt is INR147 crores. I think I'm able to clarify.

Moderator: Thank you. Our next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir, what sort of the synergy benefit do you see for a stand-alone business due to the acquisition of IAC, sir?

Anmol Jain: So there's a lot of opportunity. I think, number one, from a product supplier, we are obviously getting into a whole system supplier to the OEMs. There is, obviously, as I mentioned, there will be a lot of synergies between the lighting and the plastic interior systems. Interior lighting is going to be an integral part of the whole interior solutions. So that is something, which we are expecting to garner with the OEM share going forward.

Also, I think there will be a lot of synergies in terms of cross-selling of products. We do a lot of -- for example, the power windows switches or the steering angle sensors and the entire cockpit and the entire door panel is also done by IAC. So integration of these parts, also the gear shifter system, which goes under the central console. So the idea is to move up the ladder instead of giving multiple parts, maybe speak with the OEMs and get a complete modular system to be supplied, and that's why we're going to go up the value chain with higher contribution per vehicle and also the higher margins in the due course.

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Abhishek: And are you paying any royalty fee to the IAC parent company because of the technology?

Anmol Jain: There is no royalty arrangement and most of the technology innovation engineering reps in India, within IAC India. They have pretty much full competency and self-engineering capabilities where we actually do a lot of design services for the IAC global facility. So the dependability on IAC global is miniscule. Most of the innovation and engineering is done in-house within the IAC India design engineering centre.

Abhishek: And how much is the imported content in the IAC India?

Anmol Jain: It's negligible. More than 95% of the value chain is localized in IAC.

Abhishek: And how is the mix export versus domestic, sir, in revenue, sir?

Anmol Jain: Domestic play, we do some exports which are about -- close to 5-odd-percent or less than 5% of the revenues, but it's largely domestic play with a strong presence in the passenger vehicle segment.

Abhishek: And is there any opportunity to enter into the non-automotive segment after the acquisition of the IAC India?

Anmol Jain: We will continue to focus on automotive, Abhishek. We don't have any strategic plans to diversify into non-automotive.

Abhishek: Okay, sir. And what is your consolidated margin guidance, including IAC India for FY '24-'25, sir -- '24, sir?

Anmol Jain: So as I mentioned, think if you look at the current numbers, which we closed in FY '23, it stands at about 12.1% EBITDA level. My guidance is very clear that in -- with the operating leverage, we will get into the teen EBITDA

margins and hopefully sustain that. So probably between 13% to 14% is what I envisage.

Abhishek: So that's something around INR150 to 200 BPS margin expansion?

Anmol Jain: Yes, probably looking at long term expansion in FY '24.

Abhishek: And in oxygen sensor business, how is the outlook, sir? Any revenue from that business in FY '23?

Anmol Jain: Which business?

Abhishek: Oxygen sensor.

Vikas Marwah: So on oxygen sensors, if we – please, refer to the earlier investor calls, your company continues to maintain an order book of INR125 crores, impacted by the regulation effect, but hoping to make up a bit of that revenue. Even in FY '24, we are hoping to be doing about INR20 crores
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revenue this year on oxygen sensors, and then we'll have to wait till April 2025 for the second oxygen sensor to come into the vehicles and then gain traction.

Moderator: Thank you. Our next question is from the line of Aryan Saluja who is an individual investor. Please go ahead.

Aryan Saluja: Sir, actually, I have a question related to cash flow. So as we have taken loan of around INR200 crores to INR300 crores on long-term basis and almost INR150 crores – INR140 crores is other financial liability and current liabilities. There must be some interest cost also expected in the current year, and how you are planning to repay the current liability as there is not much growth expected in PAT levels as EBITDA is only 15% for IAC? And is there any chance of default on repayment of current liabilities?

Sanjay Mehta: So I think I'll just explain right now, I'm having cash and equivalent almost around INR260 crores. The interest in this year was almost around INR52 crores, which will go to INR75 crores in the next financial year. And as explained, we have a robust debt EBITDA. So I think probably the -- because the long-term loan is for one year moratorium, rather we are going to repay the loan back.

Aryan Saluja: Okay. And is there any synergy benefit out of IAC acquisition?

Anmol Jain: I think I just mentioned that five minutes ago. I'm not sure, if you were on the call, but I'll -- for your benefit, I'll just repeat that. I think there is a lot of synergy. Number one, there is a lot of cross-selling of products where we make a lot of products, for example, the switches, the gear shifters, certain steering angle sensors and other internal parts. Now we can supply them as a system -- as a consolidated system supplies to the OEMs on the door panels, on the IP. Also, the synergies are very clear that interior lighting space is something which we know best, and we can now sell the interiors along with the internal lighting, where Lumax can play a vital role, and IAC continues to front-end the customer with the whole internal dynamics. So these are two of the product synergies, which I foresee in the very near future.

Apart from that, obviously, leveraging the relationships and the presence of Lumax across various OEMs, we will obviously open a lot more doors and try to grow the footprint of IAC with new customers as well as deepen the wallet share with current customers.

Moderator: Thank you. Our next question is from the line of Harshil Shah who is an investor. Please go ahead.

Harshil Shah: Sir, can you explain the potential of Ituran and Alps Alpine, how big their revenue can be over like three, four years and in the near term?

Vikas Marwah: All right. So these are two technology-intensive joint ventures, and our company has very high hopes riding on the order book generation capabilities of these joint ventures. Ituran is telematics specific joint venture, whereas Alps Alpine is supplying mechatronic products. The
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range is huge. Ituran gets into volume and value kind of a projection this year with a large global customer. We would not like to be very, very speculative, but we can a

ssure you that triple-

digit revenue for both the joint ventures is foreseeable as early as next 18 months to 24 months.

Anmol Jain: And just to add to what Vikas mentioned, out of the INR900 crores order book, almost INR100 crores is between these two joint ventures of Lumax Ituran and Lumax Alps.

Harshil Shah: Great, sir. And sir, you just mentioned INR70 crores interest cost. Right, sir, for FY '24?

Sanjay Mehta: Yes. INR52 crores, next year, it would be INR75 crores.

Harshil Shah: INR75 crores. Okay, sir. And sir, what is the size of tooling business of IAC? Because this turnover that you mentioned is excluding tooling business, right?

Sanjay Mehta: Yes.

Anmol Jain: So the INR675 crores number which I mentioned is excluding tooling, but the tooling revenue would be, give or take, similar in terms of the margins. So it will not really dilute the margins, which I mentioned earlier. It would just pretty much stay in the same vicinity.

Harshil Shah: But like sir, can I take INR50 crores to INR60 crores of base, base figure for FY'23 for tooling?

Anmol Jain: Yes, I think it's about INR40 crores, INR45 crores of tooling revenue for FY '23.

Harshil Shah: And sir, the order book you mentioned is INR500 crores for IAC, right?

Anmol Jain: That's correct.

Moderator: Thank you. Our next question is from the line of Shubh Jain from Emerge Capital. Please go ahead.

Shubh Jain: Sir, you mentioned that the interest cost will rise from INR52 crores to INR70 crores. That INR52 is currently the depreciation amount for this current year?

Sanjay Mehta: I'm sorry, it is INR16 crores.

Shubh Jain: Yes. So it will rise from INR16 crores to INR70 crores?

Sanjay Mehta: Yes. Long term -- INR41 crores has been there. I'm sorry.

Shubh Jain: No problem.

Moderator: Thank you. That was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

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Anmol Jain: Well, I take this opportunity to thank everyone for joining the call. We will keep updating the investor community on a regular basis for updates on your company. I hope we were able to address on your queries. For any further information, please get in touch with us or Strategic Growth Advisors, our Investor Relations Advisors. Thank you once again. Stay safe.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

LATL:CS:REG30:202 3-24 Date: August 18, 2023

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National Stock Exchange of India Limited
Listing & Compliance Department
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Security Code : 532796 Symbol: LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call - Q1 FY 2023 -24.

Dear Sir/Ma'am,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Friday, August 11, 2023 at 02:30 P.M. (IST) to discuss the operational and financial performance of the Company for the 1st Quarter ended June 30, 2023.

The transcript will also be made available on the website of the Company at www.lumaxworld.in/lumaxautotech

This is for your Information and Records.

Thanking you,
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No. A28161

Encl: As stated above
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"Lumax Auto Technologies Limited
Q1 FY 2024 Earnings Conference Call "
August 11, 2023

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR – LUMAX AUTO
TECHNOLOGIES LIMITED
MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF
FINANCIAL OFFICER – LUMAX AUTO TECHNOLOGIES
LIMITED
MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER –
LUMAX AUTO TECHNOLOGIES LIMITED
MR. NAVAL KHANNA – CORPORATE HEAD, TAXATION –
LUMAX AUTO TECHNOLOGIES LIMITED
MR. ASHISH DUBEY – CHIEF FINANCIAL OFFICER – LUMAX
AUTO TECHNOLOGIES LIMITED
MS. PRIYANKA SHARMA – HEAD CORPORATE
COMMUNICATIONS – LUMAX AUTO TECHNOLOGIES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Lumax Auto Technologies Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I'll now hand the conference over to Mr. Anmol Jain, Managing Director for Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. Good afternoon, ladies and gentlemen, and a very warm welcome to our Q1 FY '24 Earnings Conference Call. Along with me on this call, I have Mr. Sanjay Mehta, Director and Group CFO; Mr. Vik as Marwah, CEO; Mr. Naval Khanna, Corporate Head, Taxation; Mr. Ashish Dubey, CFO; M s. Priyanka Sharma, Head of Corporate Communications; along with Mr. Ankit Thakral from Corporate Finance and SGA, our Investor Relations advisor.

The results and presentations have been uploaded on the stock exchange and the company's website. I do hope everybody has had a chance to go through the same. I'll begin with some insights on the economy and industry followed by the operational and financial performance for the first quarter of FY '24 before opening the floor for questions.

Owing to the global economic challenges on account of high inflation, interest rate tightening and geopolitical tension, the world's GDP rate has been revised down to approximately 3% for both 2023 and 2024. Although the IMF has projected a slowdown in global inflation, anticipating a decrease from 7% in the calendar year '23 to 4.9% in the calendar year '24, driven by reduced commodity and energy prices.

On the contrary, India has displayed remarkable resilience in the face of the global economic slowdown. Projections for the year '23, '24 indicate a robust growth rate of 6% to 6.5% of GDP, positioning India at the forefront among the world's major economies. This impressive growth trajectory can be attributed to a combination of factors prominently including a surge in private consumption, investment and the dynamic expansion of both the service and manufacturing sectors.

Moving on to the automotive sector. Auto industry holds the pivotal position in Indian economy interlinked with numerous industries, thus playing a significant role in driving economic progress. It is noteworthy that India's automotive market has risen to global prominence as the third largest, surpassing Japan in 2022.

Furthermore, India has gained substantial recognition in the international heavy vehicles domain emerging as the leading manufacturer of tractor, the second largest producer of copper and the third largest producer of heading trucks. The expansion of this industry is underpinned by a

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variety of factors, including the rise in disposable income, the availability of credit and financing options and the massive surge on infrastructure spending.

Commodity prices have reached a state of equilibrium. Ship supplies are no longer a major challenge within the industry. And despite recent concerns regarding floods, we anticipate a consistent distribution of monsoons that would bolster the agricultural sector, consequently benefiting the automotive industry.

The passenger and commercial vehicle segments continue to bolster the promising out

look for

future growth. Notably, India's passenger vehicle sales exhibited a significant 9% increase during Q1 FY '24 as reported by SIAM, when compared to the corresponding period of the previous year. This surge in passenger vehicle sales is largely attributed to the strong demand for SUV.

The prospects for the passenger vehicle sector remained highly favorable as seen by the trend of new car orders taking a waiting period of exceeding 6 months and increasing inquiries across models. Two -year sales witnessed an 11% expansion during Q1 FY '24, driven by the resurgence of the rural economy. Within the 2 -wheeler segment, the consumer inclination is progressively shifting towards higher CC model as opposed to the entry -level variance.

After a prolonged period of demand stagnation, this segment is now showing plans of revival. The EV revolution is in full swing, and India is swiftly positioning itself as a formidable global manufacturing car for electric mobility. On the EV front, the recent adjustment in paid subsidy structure promptly influenced consumer actions, resulting in an upswing in purchasing in May 2023.

We anticipate a continued rise in demand, the evolving consumer mindset towards renewable alternatives and contribution towards this momentum. During the quarter, we have made the following new launches in the passenger vehicle segment. Gear shifter systems for Maruti Suzuki, Jimny and Fronx model.

With continued new launches by the OEMs, we have also been able to garner new businesses. Our content per vehicle has been increasing owing to our presence across multiple product categories and long-standing relationships with all major OEMs in India. On the financial front, our consolidated revenues grew by 50% on a year-on-year basis and stood at INR632 crores. Our EBITDA stood at INR88 crores, up by 82% on a year-on-year with an EBITDA margin of 14%

The stand-alone entity caters to Integrated Plastic modules, Aftermarket business, Seat Structure, chassis and swing arm for 2-wheelers, trailing arm for 3-wheelers under the metallic business and 2-wheeler lighting. The stand-alone entity has contributed 47% of the total consolidated revenues for Q1 FY '24.

IAC India, the recently acquired 75% subsidiary, which is a Tier 1 interior system supplier to key automotive OEMs in the country, including Mahindra, Maruti Suzuki, Volkswagen and Volvo Eicher commercial vehicles, among others, has contributed 32% of the total consolidated revenues for Q1 FY '24.

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The IAC management team, along with Lumax will certainly continue to drive the business growth forward. The Board of Directors of IAC India has approved the scheme of merger with its holding company Live on August 4, 2023.

Lumax Mannoh Allied Technologies, the 55% subsidiary, which manufactures manual, AMD and automatic gear shifter systems and has the market leadership position, contributed 12% of the total consolidated revenues. The company received awards in 2 categories, namely Inner Parts Localization and Value Analysis at Maruti Suzuki Vendor Conference held in May 2023. Lumax Cornaglia Auto Technologies, the 50% subsidiary, manufacturing Air Intake Systems and urea tank commanding 100% share of business with Volkswagen and Tata Motors contributed 6% to the total consolidated revenues. This joint venture holds a strong order book, and we are optimistic for its performance for the remaining period of the financial year '24.

The company's new facility is expected to commence from Q3 with the addition of plastic fuel tanks as a product. Lumax Ituran Telematics has successfully commenced supply of telematic parts to Daimler India in the current quarter. The volumes are expected to grow significantly in the remaining part of the financial year with addition of certain new range products.

I'm happy to share with you

that your company is sitting on a healthy order book of around

INR1,000 crores. 95% of it is new business and out of which, approximately 90% is in the JV and subsidiaries. Now I would like to hand it over to Mr. Sanjay Mehta, Director and Group CFO, to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. I will brief on the operation and financial performance for Q1 '24.

For Q1 '24 integrated plastic module, post-IAC business, contributed 47% of our overall revenue followed by aftermarket at 13%, gear shifter 13%, fabrication at 8%, emission at 6%, lighting product at 5% and other at 7%. For the first time, share of passenger vehicle has overtaken 2- and 3-wheeler and CV at 45%, 2- and 3-wheelers at 24% to overall revenue. Aftermarket is 13%, CVs 9% and others at 8% for Q1 FY '24.

For more detailed operational highlights, one can refer our investor presentation uploaded on the exchanges and company's website. With respect to financial highlights, the consolidated revenue stood at INR 632 crores for Q1 FY '24 and against INR 422 crores last year, up by 15%. Revenues per IAC stood at INR 201 crores and EBITDA stood at INR 37 crores.

EBITDA margin extended 14% for Q1 as against 11.5% for Q1 '24, up by 250 basis points.

Absolute EBITDA for Q1 '24 stood at INR88 crores, a growth of 82% on a year-on-year basis.

PAT after Minority interest for the quarter stood at INR22.1 crores as compared to INR21.8 crores in Q1 '24. PAT margin stood at 3.5% for Q1. The lower PAT with respect to last quarter is because of higher interest costs on account of long-term tax of INR400 crores and higher depreciation of intangible assets on account of acquisition of IAC India. The net debt as of Q1 FY '24 is INR100 crores. The capex incurred in Q1 is INR8 crores. With this, we open the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We have

the first question from the line of Abhishek from Dolat Capital.
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Abhishek: Congratulations for a strong set of numbers in time. Sir, in this quarter, there is a sharp jump in depreciation and expenses due to consolidation of the IAC. But jump in depreciation is higher than the expected. So just wanted to know that is there any one-off? And what would be the run rate in the coming quarter for the depreciation?

Sanjay Mehta : There is no one-off in that because the consolidation of IAC, and we have to recast consolidated figures on the -- as per accounting standard on the purchase price allocation. For intangible asset has been created almost around INR334 crores. Out of that INR230 where the depreciation is there from 5 to 15 years on account of non-company customer relationships, et cetera. That is the reason the depreciation is higher on consolidation.

Abhishek Jain: So how much gross block addition has done because of the IAC India?

Sanjay Mehta: So the total gross block is INR 508 crores, including intangible of INR 334 crores.

Abhishek Jain: Okay. So because of the intangible assets, there's a higher depreciation there. That's why the depreciation number is looking high?

Sanjay Mehta: Yes. Because what happens in particular merger is seen as a tax-efficient mechanism. We have provided the intangible assets so that way forward, we have the cash benefit to tax lesser PAT almost INR6 crores post-merger of IAC India line.

Abhishek Jain: But in this quarter also, the tax was higher. So, it did not -- we get some benefit because of this?

Sanjay Mehta: No, the tax will be benefited when the merger will happen. So, it is simply right now the consolidation and going forward, I think in a year's time, we are hopeful that merger will take place. So this benefit be available is effectively from this financial year.

Abhishek

Abhishek Jain: Okay. And in plastic integrated parts, how much is revenue from the -- this IAC India? And how much is from this Lumax Auto Technologies?

Anmol Jain: So the integrated plastic is about INR300 crores for the quarter, out of which roughly about INR200 crores would come from IAC.

Abhishek Jain: And sir, in this quarter, in lighting business segment, we have seen degrowth and this is despite the quarter-on-quarter recovery in the volume of Bajaj Auto. So what is the reason of this fall in the lighting business revenue?

Anmol Jain: The lighting business revenue is, again, largely driven by certain Bajaj Auto models. If you look at Bajaj Auto's export portfolio on a quarter-on-quarter basis, it has actually degrown by approximately 35%. So when you look at Bajaj overall, you don't see that impact. But within Bajaj Auto, the export models have taken a beating. And since we are also largely catering on the export model. So that's one of the reasons why you see a 20% decline or 28% decline in lighting on a quarter-on-quarter basis.

Abhishek Jain: But we have not seen this sort of the impact in the previous quarter because that Bajaj's export is down from last many quarters. But this quarter, we have seen a very significant decline. Is there any model mix because of that it happened?

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Anmol Jain: Look, there's basically a mix of the domestic and the export. The domestic business is also just under pressure for Bajaj. So it's just an overall product mix, export is down, but then certain models, which we cater to on the domestic has also not seen a top line growth rather that also declined on a quarter-on-quarter basis, year-on-year. So there is nothing untoward but we do expect that in the subsequent quarters, there will be recovery on the Bajaj volumes per se.

Abhishek Jain: Okay, sir. And my last question is the aftermarket business, we have seen a significant decline in this quarter. So just wanted to understand what is the reason and what would be the run rate going ahead in aftermarket business?

Anmol Jain: I think you're seeing a decline if you're comparing with Q4, but if you look at from a Q1-to-Q1 perspective, there is almost flat or a negligible 3% growth. But traditionally, aftermarket in the Q1 because the full year contracts, etcetera, are still signed and commitments are taken from the channel partners. So Q1 is probably the lowest. If you see that trend historically, it remains intact. For the full year, I think we are still bullish. We are still looking at good maybe upwards of 18% to 25% growth for the aftermarket for the current year for the full year.

Moderator: We have the next question from the line of Harshil Shah from AM Investments.

Harshil Shah: I have a couple of questions, sir. And firstly, congratulations on great set of numbers. Sir, my first question is on each of the subsidiaries. Can you elaborate the time line as and when each of the subsidiaries that contributing?

Anmol Jain: Is there a specific subsidiary or joint venture because, for example, Mannoh and Cornaglia are already contributing. And...

Harshil Shah: So I would like to say, like last FY '23 around 4 subsidiaries were loss-making. One second. So Lumax FAE, Lumax JOPP, Lumax Yokowo, Lumax Alps and Lumax Ituran. So these 5 subsidiaries, which are not contributing as of now, and can contribute. Can you just give us when can they give meaningful contribution? Like INR20 crores, INR30 crores kind of thing.

Anmol Jain: So I'll let Vikas take this first, and then maybe I'll supplement whatever it.

Vikas Marwah: All right. So Harshil, I will elaborate on the subsidiaries and the joint venture. So Lumax Mannoh you are aware, already well established and very profitable subsidiary for us. Lumax Cornaglia also is a profitable subsidiary for us and is showing significant revenue growth.

Lumax Alps has been a joint venture, which has been formed in December 2021 only. And this is still an incubation period in terms of the order book generation where we have seen a very healthy order book generation and in terms of the product life cycle of the OEMs, the first major revenue contribution will start coming from FY '25. However, they are technically not losing any money right now. They are just about breaking even.

Then we come to Lumax JOPP. Lumax JOPP has gained significant orders for the first time from major OEMs this time in Q1. And again, we are expecting the Q1 of FY '25 to be a higher profit turner for this joint venture when those products start getting established. Lumax Yokowo, this year, will turn profitable by Q4 because it has already gone into SOP. Also, Lumax Ituran

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will turn profitable as early as probably Q3 only because it is going into the SOP in next one month to two months from now.

So, this pretty much says everything, except Lumax FAE because Lumax FAE continues to be impacted highly by the government regulations. We have seen 2 departments of OBD 2 deadline. We are still not very, very sure if the OBD 2 norms will be implemented even in April '25 as per the last gazette seeing the surge in EVs. So about FAE, we would like to reserve our comments right now, and we'll be able to give a better picture maybe in another one month or two months from now.

Harshil Shah: Okay, sir. And sir, can you -- this question is for Sir Anmol. Sir, can you give us like now the growth -- where will the incremental growth come from? Like if we want to go from INR2,800, INR2,900 crores this year to INR4,000 crores in a couple of years or two years to three years. So where does this incremental growth come from? Like IAC is done. And this INR1,200 crores - INR1,400 crores of top line, where did it come from, sir?

Anmol Jain: So I would like to say that I think -- let's look at the bucket industry. One is IAC, one is aftermarket, unless they're one of the rest of the business, which was the legacy business were multiple joint ventures. I think all 3 will contribute. Aftermarket, we are still very bullish.

Aftermarket continues to grow at, let's say, give or take, as I mentioned, 18% to 25% on a year-on-year basis. So that will continue to grow at maybe at least a 15% even going forward in the next two years to three years.

IAC by itself will also have a significant growth. We are trying to also grow the account of Maruti Suzuki and we've got some very deep engagements already. So we are hoping that maybe in the next two years, Maruti Suzuki should -- the footprint in Maruti Suzuki should expand for IAC. But until then, I think we have a very strong order book at IAC for all the EV platforms of Mahindra as well. So that by itself should give us significant incremental revenue to the entire consolidated revenues.

Coming to the third bucket, which is the legacy joint venture. I think I'm very optimistic on specifically 2 joint ventures. One is the Lumax Alps Alpine. There is a good order book and not just dependent on the domestic OEM volumes. We are also very deeply in talks with the partner to try and make India a global manufacturing hub for some of their products. These are some old technology products from Japan standpoint, and we may actually relook at India becoming a massive hub. So that would not be dependent on the domestic OEM production numbers, but it will be like a global export business out of India.

So that's something which we are currently working upon. And the other joint venture, again, Mannoh and Cornaglia will continue to have a decent growth based on penetration of new customers on Cornaglia and technological changes in Mannoh. But the second is the Lumax JOPP. I think Lumax JOPP has already got some good order book from one of the

key customers,

Maruti Suzuki. And I think going forward, now we are strategically aligned with Maruti's overall expansion plan. And that would be 1 joint venture where we see a good incremental revenue coming over the next two years to three years.

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Harshil Shah: Okay, sir. And one last question from my end. Sir, are you seeing Mahindra are trying to ramp up the production. So are you seeing their any inquiry, sir?

Anmol Jain: Absolutely. I think Mahindra is every day trying to ramp it up and specifically on two models on their Scorpio and XUV700, where there is a very high waiting period and a high demand.

But again, we are ready, but as I said, the vehicle is not be made until the entire supply chain is ready. So there is a constant pressure and I think it will still take some time for Mahindra to attain the levels we're talking about, but I'm sure that they will get there.

Moderator: Thank you. We have the next question from the line of A M Lodha from Sanmati Consultants.

Abhay Lodha: Actually, if I look at your standalone result, there is degrowth in sales and profit has been half to 50%. Can you specify the reason of the degrowth year-on-year June -- to June '23?

Anmol Jain: So if you take out IAC the year-on-year revenue is just flat. It's a 2% negligible growth from about INR422 odd crores to...

Abhay Lodha: I am talking about standalone, sir. Then I will come to the consolidated.

Anmol Jain: You're talking about what, sir?

Abhay Lodha: The standalone, it's standalone.

Anmol Jain: So on a standalone basis.

Abhay Lodha: There is a small fall in the profit. The profit was before, it was INR25 crores now it is INR15 crores only.

Anmol Jain: So this is largely because of 1 customer, which is Bajaj Auto. There are 2 specific businesses which operate in the standalone entity, which contribute majority of it from an OEM perspective, apart from After market. One is the lighting and the second one is the chassis business. Bajaj Auto, as I mentioned, has taken a huge beating in their quarter-on-quarter volumes, specifically with respect to the export segment.

And that is one of the key reasons why we have seen a decline in Bajaj Auto. Secondly, the HMSI also as we have dipped on the revenue of the plastics business primarily because there have been certain parts deletion from some of the models. And that got a loss of revenue, specifically on the plastic business.

And the third is Aftermarket. If you see on a year-on-year basis for quarter 1, the aftermarket business is pretty flat. So there is a degrowth in the Bajaj and HMSI business and aftermarket is pretty flat. These 3 put together contribute almost close to 80% or 75% of the standalone revenues. So this is primarily the reason why you don't see or rather you see a gap in a standalone on a year-over-year basis.

Abhay Lodha: Can you expect growth in coming quarters in the standalone basis, sir?

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Anmol Jain: Yes. I think largely, it would be driven by Aftermarket, because Aftermarket, as I mentioned earlier, is likely to grow between 18% to 25%. And really, it depends on the Bajaj Auto volume.

I am hopeful that from quarter 3 onwards, Bajaj Auto should be back on track in terms of volume.

They've still been struggling in terms of the domestic and export. But I think for the full year, I would be safely saying that there should be a double-digit growth for the standalone business overall. So I do look at maybe a 10% plus growth for the full year on the standalone.

Abhay Lodha: No, I am concerned coming to the consolidation. I attended the last con call. And management has projected 25% to 30% growth based on the standalone as well as subsidiary. That means INR 1,800 crores turnover. And management was projecti

ng 25% growth in the standalone and

as well as subsidiary. In addition to the numbers for IAC, which is approximately INR 750 crores to INR800 crores. Now you tell us what in this current year, what is -- what turnover which company can expect to end of the year FY '24 and FY '25?

Anmol Jain: FY '24, there are -- again, for example, there has been a delay in the oxygen sensors based on regulation. So that is one of the reasons, which we had forecasted revenues in FY '24, but that again gets moved forward. So that's one of the reasons why there will be a dip in the projected revenues from earlier.

But my guidance for FY '24 would still be close to around 12% to 15% top line growth of the consolidated entity without the IAC revenue. In FY '25, if I look at my order book without IAC, almost close to 65% to 70% of my order book will come into the revenue in FY '25. So for FY '25, this growth, I would anticipate would be much higher. It would be probably around the 20% to 25% band.

Abhay Lodha: After the -- in FY '25?

Anmol Jain: In FY '25.

Abhay Lodha: In FY '24, I remember very well that I attended the con call. I remember well where the management had projected for at least 25% to 30% growth in standalone as well as the consolidated basis, along with the subsidiary apart from the IAC. Now you are saying that, it is now 12%. It is substantially down from the 25% to 30% to 12% -- 12% to 13%?

Anmol Jain: Well, I think maybe there is some misunderstanding. I will have to check the transcript of the earlier call, but I think we probably gave a guidance of around 15 % odd to 20% for the -- without IAC growth. However, this again is slightly downward, as I said, to 12% to 15% based on market dynamics.

A. M. Lodha: 12% to 15% , it comes to INR1,800 crores, last year, we have achieved that turnout without IAC. It comes to INR250 crores approximately. Approximately INR250 crores. You need INR2,000 crores around , plus IAC INR800 crores. Can we achieve that number of INR2,800 crores currently, sir?

Anmol Jain: That is the outlook for the year, then yes, we should be looking at a similar number between maybe INR2,700 crores to INR2,900 crores is what the estimated number is with IAC this year.

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A. M. Lodha: And then next year, we can expect 30% growth in the turnover in FY '25?

Anmol Jain: Well, let me clarify. You are seeing 30% growth. I would not say 30% growth on INR2,700 crores, INR2,800, INR2,900 crores. Please understand, IAC is the single -- large ly a single customer -driven business. You cannot anticipate a 30% growth. If you tell me Mahindra is going to 30%...

A. M. Lodha: No, I am not talking of 30% growth in IAC. I am not talking of 30% growth in IAC, sir. I am taking the IAC INR800 crores only. I am not taking 30% growth. I just wanted when -- once you reach INR2,800 crores, INR2,700 crores in the FY '24, how much turnover we can expect in FY '25?

Anmol Jain: So in FY '25, based on the guidance that we knew , out of INR2,800 crores, let's say, if you take out INR800 crores of IAC, the other entity -- the other business is INR2,000 crores. On that value, take out 20% to 25% growth. That, by itself, comes to around INR500 crores. And then you add back around INR800 crores with some organic growth of 10% to 12%, INR900 crores. So there, if you do the math, that number works out to be close to around INR3,500 crores, give or take.

A. M. Lodha: Okay. Thank you very much for clearing that. And what about margins, sir?

Anmol Jain: Well, our endeavour is always to get into teen margins. Again, we've reported 14% for the quarter, which is largely driven by IAC. But even without IAC, there is a slight margin expansion of 0.3% quarter -on-quarter, year -on-year basis on the non -IAC business. And I think we do expect the margins to remain intact or slightly further growth

for the full year basis with IAC.

Moderator: Thank you. We have the next question from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir, in case of the depreciation, what will be the mandate from FY '25 , when the impact of this intangible asset would be gone away? So what would be the run rate?

Sanjay Mehta: No. Intangible asset is the group that, in fact, will be -- and because it is from 5 years to 15 years, so that would be there -- INR30 crores per quarter for this year.

Abhishek: And what kind of the benefit will you get in terms of the tax?

Sanjay Mehta: So the tax can't impact it because we will place a depreciation in the Income Tax Act. So the tax benefit, that would be in the operation of six years to seven years, so should be around INR53 crores to INR60.

Abhishek: Okay. And on annual basis, what would be the benefit?

Sanjay Mehta: Annual basis will be around INR6 crores to INR8 crores per annum. In the cash outlook, less tax payment , needs to be paid.

Abhishek: Okay. And sir, in this quarter, if I talk about the margin of IAC India, that is very much strong of around 18%. So it includes other income as well?

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Anmol Jain: Yes, it includes other income.

Abhishek: And excluding other income, what is the margin and what -- will this margin will be sustainable in the coming year -- coming quarter?

Ankit Thakral : Excluding other income, it will be closer to 16%, and that will continue in the range of around 15% to 16% throughout the year, excluding other income. And including other income, it will be closer to around 17% to 17.5%.

Abhishek: Okay. And sir, you were talking about the new business from the Maruti and IAC India. So what is the potential of that business? And second, what is the current customer base in IAC India?

Anmol Jain: So there is definitely a lot of potential. I would like to clarify that Maruti Suzuki is already a customer of IAC India. And if you look at the customer mix, I think almost close to INR130 crores of business is of IAC to Maruti for the quarter -- sorry, for Mahindra. But Maruti is about INR15 crores or so for the quarter. So my take is Maruti will definitely will expand in the coming

years.

But it will take some time because there is going to be obviously a lot of policy changes probably to be done at Suzuki Japan level as well based on cockpit manufacturing. Right now, Maruti is not in a complete cockpit manufacturing to a Tier 1. But the engagement is already on. We also did a Tech Show at Maruti Suzuki, which was very, very highly appreciated and accepted. So that engagement has already started. Apart from that, your second question was, who are the key customers of IAC India? Is that correct?

Abhishek: Yes, sir.

Anmol Jain: So about 70% of the customer base is Mahindra & Mahindra. About close to 10% would be Maruti Suzuki. Close to around 5% each would be Volkswagen and Volvo Eicher. And then we have about 3% to 5% of some export business to IAC Group companies as well.

Abhishek: So how much growth you are looking from your existing customer? I mean to say that Mahindra & Mahindra is a major customer. And there is a strong growth there because they're adding the capacity. So what kind of the growth you are looking for from the Mahindra & Mahindra perspective?

Anmol Jain: So if you look at Mahindra & Mahindra, I think Mahindra & Mahindra has, anyways, for the consolidated entity, become the number one customer. We've done almost INR160 crores of revenue from Mahindra in the first quarter, out of which INR130-odd crores is IAC. And Mahindra, even without IAC, has gone from INR19 crores in quarter 1 of last year to almost close to INR30 crores or INR28 crores in the current quarter.

So I think we are very bullish on Mahindra. Multiple other joint ventures of ours be it L

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Mannoh, be it Lumax JOPP, are all pretty deeply engaged and entrenched into Mahindra already, where we have a current supplier relationship. And we will further grow and expand onto that in the coming quarters and the coming years, for sure. And Lumax Cornaglia also has recently Lumax Auto Technologies Limited

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started engagement with Mahindra & Mahindra, and we are hopeful to get into SOP for some orders, probably in the subsequent quarters.

Abhishek: So what is the current capacity in the IAC India? And do you need any capacity expansion because of the new business from the Maruti?

Anmol Jain: So yes, there will be some capacity enhancements as a brownfield expansion in IAC India, but again, not for Maruti, it would be mainly for Mahindra. As I mentioned, we are sitting on a very strong order book of Mahindra & Mahindra for their EV models also. So the capacity expansion would be for both enhancement of the volume of the current model, including the forthcoming model, and also the new platforms of their electric vehicles, which will start rolling out from FY '25 onwards.

Abhishek: So, what kind of the capex you are looking for the FY '24 -FY '25, both in the stand-alone and in IAC India?

Anmol Jain: For FY '24, I can give you a guidance, FY '25 is too far-fetched to give you a guidance. But I think for FY '24, we are looking at around INR140 crores to INR150 crores capex in totality, which IAC India, by itself, out of which would be around INR55 crores, and the rest of the business would be roughly around INR80 crores to INR90 crores.

Abhishek: Okay. And my last question is on this order book. You mentioned around 10 million order book. So how much order is from the IAC India out of 10 million?

Anmol Jain: So out of roughly INR1,000 crores order book were more precise. It's around INR950 crores or INR960 crores order book. Roughly around INR650 crores in IAC and then roughly around INR350 crores to INR375 crores is the non-IAC part.

Abhishek: So as the most of the other books are coming from the IAC India. And margin of IAC India is very much strong. So, can we expect a margin of 13%, 14% in the coming year because of the change in the mix?

Sanjay Mehta: So well, as I mentioned, I've already said that in Q1, we reported a 14% EBITDA margin consolidated for the full year. My guidance remains the same, and I think my first endeavour when before getting into IAC. If you recall, I've always said, our endeavour is to get into the teen EBITDA. So I'm happy that at least for the quarter and for the full year estimation, we are looking at a teen EBITDA of maybe around 14% or upwards. So yes, it should continue to sustain, and we will always -- our endeavour would be to further expand the margins in the coming years.

Moderator: Thank you. We have the next question from the line of Prachi Sharma from ACE Capital. Please go ahead.

Prachi Sharma : I just have a couple of questions. Sir, on the performance front, our performance this quarter, excluding the IAC India, has been relatively flat. So I just wanted to know -- like against the industry and the peers, I just wanted to know where did we fall short this quarter?

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Anmol Jain: Ma'am, I'm not sure if you just joined the call because I already explained this a few minutes ago. But just for your benefit, I think there are three fundamental reasons why you look at quarter 1 revenues being flat without IAC.

One, as I mentioned, there has been a degrowth in Bajaj Auto by almost close to INR15-odd crores. And that primarily is because a hit on certain models of the domestic market for the lighting and export and a lot of significant hit on the export models for the chassis business. If you look in the overall production of Bajaj Auto, their export model production is down by

almost 35% on a year-on-year basis. So that's the reason number one.

Reason number two is that aftermarket, obviously, if you look, has had a flat growth on a quarter-on-quarter basis. And that is largely because quarter 1, historically, is usually a lull quarter. And the pace picks up in quarter 2 and quarter 3 onwards. So we do expect, for the full year, the growth estimate of aftermarket still between 18% to 25%.

And the third reason is, on HMS side, we have had almost a 10% to 15% degrowth. And that largely has nothing to do with the wallet share or a reduction of share of business, but certain parts have been deleted in some models. And that's the reason why I would say that these three factors largely, put together, have had a flattish growth but -- I mean flattish revenue on a year-on-year basis. But as I mentioned earlier, for the full year, without IAC, we are still expecting anywhere between a 10% to 15% growth on the business of -- other businesses, let's say, without IAC.

Moderator: Thank you. We have the next question from the line of A.M. Lodha from Sanmati Consultants. Please go ahead.

A. M. Lodha: Just I wanted to know the loan/ debt of the company as on the 30, June and the net debt of the company.

Anmol Jain: The ROCE is at least 22% as on 30, June.

A. M. Lodha: Debt, loan taken by the company?

Sanjay Mehta: Long-term debt is INR409 crores long-term debt, and the net debt is INR100 crores. It means we are having the cash and bank balance of INR300 crores.

A. M. Lodha: This is after the money utilized for the payment of the acquisition of IAC?

Sanjay Mehta: Yes, it is.

A. M. Lodha: So it means can we -- after expending the INR150 crores on capex, can we presume that the company will be net debt-free by March '24, sir?

Sanjay Mehta: We will try, but we are not sure at the time because after capex, there's a lot of programs are there. But yes the debt will be decreased way forward.

Moderator: Thank you. We have next question from the line of Nagraj Chandrasekar from Emerge Capital. Please go ahead.

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Nagraj Chandrasekar: What is the long-term plan on the remaining 25% at IAC? And any agreement we have to make that a 100% subsidiary and then merge it with the stand-alone entity? And what would be the outgo for that?

Anmol Jain: So as of now, there is no such talks. I think for five years, there is a clear understanding that the partner, IAC, will continue to remain intact and invested in the Indian market. And please understand, I think the reason for them to sell out to an Indian local partner was not that they are not bullish or confident about the prospects of the Indian industry or the Indian market. The reason was fairly simple. IAC came in for their key global customers like the Ford and General Motors. And unfortunately, both of them have packed up and left.

They did manage to crack Mahindra & Mahindra over the years. And obviously, now they are a significant player within Mahindra & Mahindra, which continues to grow. So I think their interest remains in the Indian market. But to expand the footprint of IAC India to other customers and grow it further, they needed a local partner, which has deep-entrenched relationships. So they were happy to continue supporting India as a market through technology and innovation, but they definitely didn't want to be in the driver's seat because they don't have that prominence and presence across the other OEMs. So that's the reason for their shift. But answering your question, as of now, there is no plans to make it 100%. I think we see significant value-add coming from IAC Global. And for now, we will continue to manage it as two partners.

Nagraj Chandrasekar: Understood. And the margins there this quarter has really expanded to close to 20%. Would there be -- now that you own

75% of this and are focused on winning as many customers as possible driving that yourself, one is, can those margins sustain? And two, would there be some

sort of royalty that would be charged by IAC for their technological know-how, transfer of these from their global entities to you?

Anmol Jain: So, number one, the margins, we anticipate them to actually be sustainable, maybe a percent here or there. I mean, instead of 18% -18.5%, which is reported, maybe around 17% is what I reckon would be a more sustainable one.

Coming to the second part of the question, there is no royalty payments to be done. And please do understand that there is almost 200 engineers, which work out of the engineering centre in Pune and have the end-to-end capabilities of designing, engineering, doing a product development, along with validation for the customers. So we are not really dependent on IAC Global with respect to development and designing. But yes, there are cutting-edge technologies, which usually flow in from the high-end luxury segment into the more mass-market segment, especially in the interiors.

When you look at the luxury vehicles, you will see a very different class of interiors than the mass-market. So I think that is the innovation and, let's say, the future of interiors, where the value-add comes from IAC Global. But with respect to designing and developing for the local market needs, the engineering centre in Pune, with 200-plus engineers, is self-reliant and self-structured.

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Nagraj Chandrasekar: Understood, sir. One final question on the pushing back of the oxygen sensor business to -- not in the foreseeable future, what sort of delta to, I mean, your expectation of that 25%-plus growth ex-IAC in FY '24, it's just only due to that and that being pushed to '25, maybe beyond?

Anmol Jain: I'll let Vikas speak specific to our oxygen sensor, and maybe I will come back in for the overall growth numbers.

Vikas Marwah: So Mr. Nagaraj, the oxygen sensor, the joint venture continues to be a question that we are internally deliberating largely because being a regulation-driven product. While this year, FY '24 was supposed to be the ramp-up year going to probably April '25 when the OBD 2 regime was to be announced. But unfortunately, again, the OEMs have taken a review call on oxygen sensors. And what was expected to be a two-heated sensor, two-heated oxygen sensors per vehicle, a lot of OEMs are internally, right now, deliberating if it should be one heated sensor and one unheated sensor.

Lumax FAE manufactures the high-end technology intensive heated oxygen sensor and does not manufacture unheated sensor. To this effect, we have moderated our order book right now. If you see the current order book that we are indicating without IAC to be about INR334 crores, actually, if we took the last quarter's example, we should have been saying INR450 crores. But INR120 crores, currently, in terms of the order book for oxygen sensors, we have put into hibernation because this is something that the OEMs have to answer and they have to clarify. This would take at least another one quarter or two quarters before the entire situation clearly emerges being a regulation-driven product, and this is not something, which can get into a replacement market.

Anmol Jain: So given that, I think, as I mentioned earlier, we're still envisaging for the current year FY '24 anywhere between a 10% to 15% growth on the non-IAC part of the business, which you see flat in the quarter 1. And for FY '25, depending on certain organic volume growth as well as the new order books, we're looking at maybe 20% to 25% growth without the IAC piece for FY '25.

Moderator: Thank you. We have the next question from the line of Neeraj, an investor. Please go ahead.

Neeraj: I have just two sets of questions for the

management. One, on the margin front. So before our

IAC acquisition, even before that we used to target like a teen kind of a margin. So if I remove IAC and from our base business, do you still expect like 13% -14% business margins, excluding IAC, please?

Anmol Jain: Yes, absolutely. The guidance remains intact. We had been hovering around a 12% EBITDA margin without IAC, which continues to be reported at 11.8% for the quarter, for reasons, which I explained earlier. And we're very clearly in that vicinity of attaining a 13%-or-so EBITDA margin without IAC for the entire -- that the guidance remains intact.

Neeraj: That's great. And second question, I read a couple of articles just after our IAC acquisition. The management over there mentioned, because of the new regulation around the AC regulation in that upgrade, and it can provide incremental growth opportunities on the IAC side. So can you

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please elaborate a bit more on this, like what opportunities can shape up in the coming years because of this regulation?

Anmol Jain: So the regulation we're talking to is about what -- I didn't get you?

Neeraj : So around the mandatory AC in the truck cockpit, right? And we mentioned in some of the articles, like IAC has some offerings in this segment. This is what I understood from some of your interviews after the acquisition.

Anmol Jain: Correct. So as the cabins of commercial vehicles get regulated, there would be more -and-more changes in the, let's say, ambient temperature as well as the materials used for the interiors. So currently, for example, Volvo Eicher vehicle is already a customer, but the kind of materials we are using would be, let's say, very different than that what are going into a passenger car space. And hence, the content per vehicle is very, very different, driven largely by price and may be compromising on the look and feel, in totality, or the comfort for the driver.

I think as the cabin becomes more plush and maybe driven -- and air conditioning and all, we expect more premium materials or premium look and feel to also take centre stage, and hence, the content per vehicle should also go up. That's what I have meant in terms of the opportunity for IAC with this regulation on commercial vehicle.

Moderator: Thank you. We have the next question from the line of Harshil Shah from A M Investments. Please go ahead.

Harshil Shah: My question -- so our net debt stands at INR100 crores. And we will do around INR350 crores, INR400 crores of EBITDA annually. So my question is, are we looking at any other acquisition, inorganic growth and which segment of the market?

Anmol Jain: So currently, we do not have any plans to look at any other acquisition. However, as I mentioned, the company continues to remain engaged with certain opportunities, both organic and inorganic space, and we're always open to exploring opportunities where the organization can go forward on its core competency. So I think, right now, there are no such plans. But as and when there are -- there is something concrete, we'll be happy to share with you.

Moderator: Thank you. We have the next question from the line of Puneet, an individual investor. Please go ahead.

Puneet : I'm a chartered accountant and an investor in your stock for almost more than 15 years now. And I have just one small observation. And my specific question is on the volatility of the stock, right? And although I'm not worried or I'm not disturbed but my observation is that sometimes the -- during the intraday, it gives you a lot of spikes, 10% up or 10% down. And that's happened just about four - five days ago. So anything that we, as management, can do to stabilize ahead of our number releasing?

Anmol Jain: I can only say that thank you for your faith and confidence to being a -- for being a long -invested shareholder of

the company. In terms of your second question, I really don't have an answer. I mean, I don't follow the stock market. The management is the same. The strategy and the long - Lumax Auto Technologies Limited

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term plans remain the same. So we actually spend a lot of time in running the business. You are the guys who run the stock market. So I actually have no idea why the volatility why it goes up or going down. But happy to hear your views on a separate platform, if you have any, but I have absolutely zero input there.

Puneet : I respect your comments, thank you. And I have full faith in the management and also the performance of the company, and the refore, I have the confidence in the management Thanks.

Anmol Jain: Thank you.

Moderator: Thank you. We have the next question from the line of Apurva Mehta from A M Investments. Please go ahead.

Apurva Mehta: Yes. Congratulations on the great set of numbers. Just wanted to -- our long -term plans on the EV -- participating on the EV side, on the EV part, especially on -- any long -term plan on looking at EV parts?

Anmol Jain: Well, absolutely, I would say that out of the roughly INR960 crores order book, almost close to one-third of it will be on EV. So there's a large EV play, which IAC has, whether in complete entire interior systems for the forthcoming BEV platforms of Mahindra & Mahindra. So almost, as I said, one-third of the order book is going towards the EV models in the future.

Apurva Mehta: No, not exactly the new models. I want to go about that any EV part, specifically parts -- related parts, which are the electric part or electric components or on the battery side around different components which are there.

Anmol Jain: So Apurvaji, we've debated internally a lot. And frankly, the way EV is going, I think, number one, from a passenger car space point of view, I think, at best, the estimate sale, that's anywhere between 10% to 12% would be the EV penetration, even up to 20%, 30%. Two -wheelers also will obviously have a higher penetration, but that is a very low value -add proposition, where there are very few parts and very many players.

It's already kind of gotten too crowded and commoditized. Plus the legacy players would continue to drive this according to me rather than the new entrants. There are already a lot of issues with respect to the FAME and you know that better, on the EV part.

So for us, what we are rather exploring is how do we get into certain alternative energies, alternative fuel, let's say, product line instead of getting into specific EV -critical components. So we are still in the evaluation stage, but I think the more we are evaluating, we are getting that sense of confidence that rather than going into EV -specific, we would probably go into certain other adjacent alternative fuel or alternative energy product lines.

Apurva Mehta: Okay. And on the export potential, where we were talking a lot of things about your JVs turning into export, for example, in Mannoh, if there are, maybe Ituran, is there are. Maybe any other units which you think can be a big potential for it. Can you throw some light on that side of business?

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Anmol Jain: The only joint venture, which we are very bullish about export is the Lumax Alps Alpine. The rest of the joint ventures do have some export opportunity. Well, Lumax Mannoh already does some export directly into Indonesia and other markets through the OEMs domestically. But I think the big one there is the Lumax Alps Alpine, as I mentioned.

What we're trying to make Lumax Alps Alpine is, because of cost competencies, make India as a global manufacturing hub for Lumax Alps Alpine products, especially those products, which either are old technology for the Western markets, but they are very relevant still in India. So

we'll probably shift the manufacturing base globally for Alps Alpine into India, starting exporting back to Alps globally.

And then also penetrate to the OEMs because when we have the manufacturing capabilities and capacities of those products, it's very easy for us to open doors into OEMs for the same product and the same technologies. So that's probably the only joint venture where we are talking about big numbers for exports.

Apurva Mehta: Okay. I wish you all the best here.

Anmol Jain: Thank you. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question, and we will now close the question queue. I would like to hand the conference back to the management for closing comments. Please go ahead.

Anmol Jain: Well, I'd take this opportunity to thank everyone for joining into the call. We will keep updating the investor community on a regular basis for updates on your company. I hope we have been able to address all your queries. For any further information, please get in touch with us or Strategic Growth Advisors, our Investor Relations advisers. Thank you once again, and have a good day.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

LATL:CS:REG30:2023-24 Date: November 16 , 2023

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Exchange Plaza, C-1 Block G,
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Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call- Q2 FY 2023-24.

Dear Sir/Ma'am,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Thursday, November 09, 2023 at 02:30 P.M. (IST) to discuss the operational and financial performance of the Company for the 2nd Quarter and Half Year ended September 30, 2023. The transcript will also be made available on the website of the Company at www.lumaxworld.in/lumaxautotech

This is for your Information and Records.

Thanking you, Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer ICSI Membership No. A28161 Encl: As stated above

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"Lumax Auto Technologies Limited Q2 FY-24
Earnings Conference Call"

November 09, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th November 2023 will prevail.

MANAGEMENT : M R. ANMOL JAIN – MANAGING DIRECTOR
MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF
FINANCIAL OFFICER
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MR. ASHISH DUBEY – CHIEF FINANCIAL OFFICER
MS. PRIYANKA SHARMA – HEAD CORPORATE
COMMUNICATIONS
MR. ANKIT THAKRAL – CORPORATE FINANCE

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Moderator: Ladies and gentlemen, good day and welcome to the Lumax Auto Technologies Limited Q2 and H1, FY24 Earnings Conference Call.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance, and involve risks and uncertainties that are difficult to predict. As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain – MD for Lumax Auto Technologies. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very good afternoon, ladies and gentlemen. A very warm welcome to our Q2 and H1 FY24 Earnings Conference Call.

Along with me on this call, I have Mr. Sanjay Mehta; Mr. Vikas Marwah; Mr. Naval Khanna; Mr. Ashish Dubey; Ms. Priyanka Sharma; and Mr. Ankit Thakral from Corporate Finance along with SGA – our Investor Relations advisor. The results and presentations have been uploaded on the stock exchange and the company's website. I hope everybody has had a chance to go through the same.

The Indian economy has been expanding rapidly. Robust manufacturing and rapid credit expansion are likely to fuel GDP growth of more than 6.5% this quarter. This will result in heightened customer spending, and thus the demand outlook in general will remain positive. On the industry landscape, government initiatives including substantial spending and supportive schemes like FAME and PLI have significantly contributed to the recovery of demand in the sector. The emphasis on green mobility has led to major OEMs planning multiple EV launches in the upcoming quarter. Additionally, the introduction of these schemes has fostered the emergence of startups in the green mobility sector, further encouraged by the favorable environment. With four crores jobs and a significant economic contribution of approximately 7% of the nation's GDP, the automobile sector is vital to the nation's progress. The honorable Prime Minister has recently emphasized the industry's pivotal role, and visioning its contribution to propel India from being the fifth largest to the third largest industry globally.

Speaking of the performance of the automotive industry for the quarter, the quarter gone by has witnessed robust growth with multiple OEMs reporting highest ever monthly volumes in the past few months. On a segment wise basis, passenger vehicles continue to be robust and is at its highest level on the back of increasing demand, high disposable income and aspirational value. The premiumization trend is playing out well, giving us an opportunity to increase our wallet share across product categories. The overall passenger vehicle dispatches from automakers to Lumax Auto Technologies Limited

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dealers were up by 4.7% in Q2 of FY24 compared to the same period last year. The demand for two wheelers has not fully recovered as anticipated, primarily due to inflation and rising prices of the lower CC modules. Nevertheless, a new trend is emerging mirroring the premiumization seen in passenger vehicles, with major brands introducing high end bikes featuring top notch specifications. Overall, the premiumization trend seen in passenger vehicles than two wheelers with high end specifications required constant innovation and high-end engineering and technological capabilities. This gives us a huge opportunity, and our endeavor is to increase our content per vehicle with our wide range of products under one roof. The electric vehicle

segment has been seeing an unprecedented rise post COVID, especially on the two-wheeler side led by emergence of new age players and focus of traditional players on EV two wheelers. Currently, the industry is highly fragmented, but eventually only a few players with robust infrastructure and technological capabilities will be able to thrive. We are in touch with all the major OEMs in this industry.

The growth in four-wheeler EVs also has been robust, with a handful of major OEMs dominating the industry. However, the industry is still in its early phase and would only be an alternative to ICE vehicles once the costs related to manufacturing come down. Going forward we anticipate the second half of the year to outperform the first half on account of the festive season, and multiple new model launches in the pipeline by the OEMs. The transition to electric mobility, energy efficiency, light weighting of vehicles as well as alternate fuel usage are some of the outcomes of the emerging trend. Leveraging our decades of experience and strategic partnerships with global players, we strive to maintain a leading position within the industry.

On the financial front for Q2 FY24. Our consolidated revenues grew by 44% on year-on-year basis and stood at Rs.700 crores. Our EBITDA stood at Rs.99 crores up by 67% year-on-year with an EBITDA margin of 14.2%. Speaking of entity wise, the standalone entity caters to the integrated plastic module business, aftermarket business chassis and swing arm business for two wheelers, trailing arm for three wheelers under the metallic business and the two-wheeler

lighting. The standalone entity has contributed 48% of the total consolidated revenues for H1 FY24.

IAC India recently acquired 75% subsidiary which is a tier one interior systems and components supplier to key automotive OEMs in the country, including Mahindra, Maruti Suzuki, Volkswagen India and Volvo Eicher commercial vehicles. The entity has contributed 31% of the total consolidated revenues for H1 FY24. The IAC management team along with Lumax will certainly continue to drive the business growth going forward. The Board of Directors of IAC India has approved the scheme of merger with its holding company Live on August 4th, 2023 with effect from the appointed date of March 10th, 2023. Whether the scheme has been filed with the honorable NCLT Mumbai bench on August 28th, 2023.

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Lumax Mannoh Allied Technologies, the 55% subsidiary which manufactures manual, AMT and automatic gearshift systems, and has the market leadership position contributed 13% to their total consolidated revenues. Exports business of automatic gear shifters for a global platform is on track and is performing well. We're also working in tandem with the joint venture partner to increase our reach to new markets. The company is sitting on a healthy order book of around 60 crores.

Lumax Cornaglia Auto Technologies, the 50% subsidiary manufacturing air intake systems and urea tanks Commanding 100% share of business with Volkswagen and Tata Motors contributed 6% to the total consolidated revenues. The joint venture holds a strong order book of 80 crores and keeping in mind the same the company's new facility is expected to commence from quarter four with the addition of plastic fuel tank as a product. Lumax Ituran Telematics Private Limited has successfully commenced supplies of the telematics parts to Daimler India in the current quarter. The volumes are expected to grow significantly in the remaining part of the financial year with the addition of new range products. Lumax Alps Alpine India Private Limited the 50% subsidiary for the manufacturing and sale of electric devices and components, including software related to the automotive industry has contributed 1% to the total consolidated revenues. However, we have aggressive targets for this joint venture and are

in discussions to make India a global production base for few components.

Lastly, on the order book front, the company has a healthy order book of Rs.1050 crores out of which 93% is new business and EV contribution is 40% of the total order book. Now, I would like to hand it over to Mr. Sanjay Mehta, Director and Group CFO to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. I will brief on the operational and financial performance for Q2 and H1 FY24. For H1 FY24 integrated plastic models post IAC business contributed 47% of overall revenue followed by aftermarket at 14% gear shifter at 13%, fabrication at 8%, emission at 6%, lighting products at 5% and others at 7%. For the first time share of passenger vehicle has overtaken two and three wheelers with EVs at 47% to two and three wheelers at 24% overall revenue, aftermarket at 14%, CVs at 9% and others at 6% for H1 FY24.

For more detailed operational highlights, one can refer our in the investor presentation uploaded on the exchanges and company's website. With respect to financial highlights the consolidated revenue for Q2 and H1 FY24 stood at Rs.700 and Rs.1332 crore respectively, up by 44% and 47% respectively. Revenues for IAC India stood at Rs.419 crore and EBITDA stood at 77 crores. EBITDA margins stand at 14.1% for H1 FY24 as against 11.9% for H1 FY23. Absolute EBITDA for H1 FY24 stood at Rs.187 crores a growth of 74% on year-on-year basis. PAT after minority interest for the half year stood at Rs.49.5 crores as compared to Rs.50.9 crores in the FY23. PAT margins stood at 3.7% for H1 FY24. The lower PAT with respect to last year is because of higher interest cost on account of long-term debt of Rs.400 crores and high

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depreciation of intangible assets on account of acquisition of IAC India. The net debt as on H1 FY24 is Rs.88 crores, the CAPEX incurred during H1 is 41 crores and full year estimated is Rs.100 to Rs.110 crore. Now, invite for question-and-answer.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. We take the first question from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So, I have three questions. First one is on the base business itself. If I just remove IAC acquisition, it seems that the base business has seen almost like a flat or marginal de-growth. And within that the run rate of aftermarket is the kind of growth which we saw in the last two years 22-23. We have seen a significant kind of momentum loss in terms of growth. So if you can just share your thoughts around it, then I'll ask other two questions.

Anmol Jain: So thank you, you're absolutely right. If I look at H1 without the IAC business, the revenue compared to last year is almost flat. The key reasons is, either further bifurcate the joint ventures have actually grown by almost about 20%, 25%. However, the standalone entity which is largely the plastic business and the chassis business, that has de-grown by about 8%. And the reason for that is, largely Bajaj Auto's business of the frame has de-grown along with some of the business of the plastics for HMSI. These are the two fundamental reasons why there has been a de-growth and again the certain models which we are catering to for the frames business of Bajaj has actually de-grown by almost 35% to 37% on a year-on-year basis. And that's the single largest reason why that impact is coming in the standalone entity. Referring to aftermarket, the growth in H1 has been about close to 5%. However, that has primarily because there was a little bit of a cash flow crunch in the aftermarket business from recoveries, from the channel partners. And we were very clear that the cash flow realization is equally important. But for the last couple of months, we have seen a pretty good recovery on that aspect. And going forward in Q3 and Q4 we are actually looking at a much robust growth and aftermarket for the whole year is still likely to grow somewhere around 15% or North of that.

Resham Jain: Okay. So basically, second half looks like +20% kind of growth in aftermarket?

Anmol Jain: Yes, for sure. For H2 aftermarket would definitely grow upwards of 20%.

Resham Jain: And just a follow up on your answer to standalone business. So, are you seeing any improvement over there or any alternative plans to utilize capacity, because some of this volume lost if it has not come in the last six months, and if you're not seeing momentum, you can utilize that plant for some alternative customers or so?

Anmol Jain: So, these are dedicated plants, for example the lines are dedicated for the particular models. So, the frame business is anyways consolidated between two plants, which is in Aurangabad and Pune and just to give you an example, we are single source on one of the export models of Bajaj Lumax Auto Technologies Limited
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which is called BM and that is de-grown by 36%. We are single source so, it's not like we have lost this share to a competition, but the overall volumes have declined by 36%. Also, the Platina model of Bajaj Auto has declined in Aurangabad by almost 33% on a year-on-year basis, we are again single source for this module. So, there is not much we can do in terms of utilizing this asset for production of other things. However, we are in talks with Bajaj Auto to try and get certain new businesses for their premium bikes of Triumph and also for some of their forthcoming electric vehicle models in terms of getting the overall frames as well as certain painting parts. So, that is still in discussions, but that will still take some time to fructify, I still expect probably a de-growth in the Bajaj frame business even continuing in H2.

Resham Jain: Understood, very clear. Second is with respect to the acquisition, there has been a good uptake in terms of the overall revenue since you have acquired. Should one expect similar momentum in the coming quarters also?

Anmol Jain: So, in H1 if you look at IAC we did about a 419 crores revenue, I expect slightly maybe a single digit incremental growth in H2 compared to 419 crores which we've clocked in H1, largely because again, Mahindra is the single largest customer there and Mahindra by itself is pretty much strapped on their capacities. So, because we are pretty much very strong 80%, 85% presence in Mahindra across models. So as long as Mahindra's output continues to increase, the revenue for IAC will also continue to increase. But having said that, in the forthcoming year, FY25 we're sitting on a pretty strong order book of around almost 650 crores for IAC India and again, a lot of the models of Mahindra-and-Mahindra as well as Maruti Suzuki, we have acquired businesses which will fructify in FY25 and FY26.

Resham Jain: I understood. And the last one is with respect to your comment on electric devices and software business which is just 1% as of now, and you said you are looking to manufacture certain product for global requirements, so if you can explain what exactly is this business and what kind of business you are expecting from this one?

Anmol Jain: So, fundamentally the joint venture of Lumax Alps Alpine is obviously to make foray and go deeper into the Indian market, which continues to remain, the joint venture has also acquired certain recent new order books to the tune of approximately 60 to 70 crores, again by Indian OEMs and we are getting into not just expanding switches, but also the sense business and also talking to certain OEMs for certain in vehicle infotainment devices. So, these are very high in electronics, they are very high in embedded software and technologies, but this is the first strategy for the domestic presence and expanding the domestic

presence. The second strategy under this joint venture is also to relocate the production base for some of their components which they make globally, relocate those facilities or the assembly lines and the entire production to India. Of course, this would be sold to OEMs globally through our partner internationally. So, while we will utilize the cost efficiencies of India and relocate the production here, the joint venture will clearly get a huge headway in terms of the revenues and obviously operating margins as well.
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Moderator: Thank you, sir. The next question is from the line of Mr. Aman from Carnelian Capital. Please go ahead, sir.

Aman: My first question was on we have been doing 18% kind of EBITDA margins for the last two quarters. So, would this be the regular run rate for this business or like, how should one think about a consistent margin for this business?

Anmol Jain: Well, if you look at our EBITDA, the total EBITDA reported in H1 is 14.1%. So, I'm not sure what is the 18% you are referring to?

Aman: I'm talking about IAC India, the acquired business.

Anmol Jain: So, IAC India EBITDA, yes, has been consistently at about give or take 18.5% in quarter one and quarter two. Going forward, we do expect some marginal correction, because there are certain product mix which will change in quarter three and quarter four, but we do not expect more than 100 bps change going forward as well. So, I definitely feel that anywhere 17 to 18, 18.5% should be a sustainable EBITDA for IAC India at least in the subsequent quarters.

Aman: Understood, sir. And secondly on IAC India business again, after acquisition like how has been our talks with other OEMs and also increasing with OEMs like Maruti, how is that talks been progressing if you can touch a bit on that sir?

Anmol Jain: So, the talks have been very, we have had very strong engagement with specifically two OEMs Maruti Suzuki and Tata Motors. We did a technology show in both OEMs which was attended by not just the top management and the senior leadership team of both Maruti Suzuki and Tata Motors, but almost more than 400 footfalls were there right from engineering and sourcing teams. We already have a business relationship with Maruti Suzuki, though it is on certain models and it is for more of consoles and certain other products. The intent here is to try and become a full-service supplier to get into certain other parts like door panels and perhaps even the cockpit. So Maruti has also visited our facilities in Chakan to evaluate further how IAC India can expand its wallet share with Maruti Suzuki's forthcoming models and specifically in the new plant in Kharkhoda. Tata Motors also similarly, we have had some very strong engagement and the engineering and marketing teams hold continued discussions for their forthcoming models on the Avinya platform.

Moderator: We take the next question from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir, what is your revenue guidance for Lumax Auto Technologies excluding IAC India in FY24?

Anmol Jain: So, the guidance will be about a single digit growth for Lumax Auto Technologies without the IAC. Again, if I were to give you two buckets, the joint ventures in totality will still have a strong growth of 18%, 20% or even more beyond that. But the standalone entity for reasons which I've already explained largely being Bajaj Auto and HMSI, where we are expecting a very flat or a Lumax Auto Technologies Limited

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de-growth, because of that there is likely to be not much of a growth in the standalone entity, despite aftermarket which is expected to grow maybe 15% or North of 15%. So overall, I would say a single digit growth is what I'm looking at for this year for Lumax Auto Technologies without IAC.

Abhishek: As two-wheeler export volume is expected to improve

from the fourth quarter onwards. So, can it be positive for you as well?

Anmol Jain: Well, we are hoping that the export volumes recover, but this is something which we will have to wait and watch as I mentioned, these are again business dynamics, when the domestic volumes were down about a year, year and a half ago, the exports were thriving and that was a time when we continued to have some handsome rewards. So, again, this is just the dynamics of business, but one will have to wait and watch, but as I said for the long term, we are trying to de-risk our portfolio with Bajaj by entering even the premium spaces, KTM is something which we have already entered and as I mentioned Triumph is something which we are under discussions with.

Abhishek: So, your depreciation rate is very high around 11.3% on gross block and EBITDA growth is very much impressive around 76%, but most of the growth was offset by the higher depreciation and interest costs. So, from this quarter we can see some normal depreciation rate around 7% to 8%?

Sanjay Mehta: So, actually at the time of acquisition of IAC we have created the intangible assets of almost around 213 crores and that will be depreciated over a period of seven years, so depreciation will be there for a reasonable period more, but definitely that advantage which we are getting in the tax, et cetera will accrue after the merger of IAC with the Live. So far interest is concerned because we have taken a debt of around 400 crore and there's a lock in period of 18 months. So, after post-merger the debt will going to be decreased on the basis of the accrual. But if you see the net debt is only 88 crores at a group level, that's at consolidated level.

Abhishek: Okay. So, what is your repayment plan?

Sanjay Mehta: 0.5x is the debt-to-equity ratio at present which will reduce after one year. In the next financial year, it will be going in the downtrend.

Abhishek: Okay. And sir tax rate is a very higher side in the first half around 30%, so what would be the attractive tax rate for the full year 25 and FY25?

Sanjay Mehta: Tax rate is at 25% because of interest portion which the LIVE is bearing. And some of the JVs are having losses where the auditor will not allow to create a deferred asset, which will be created in the next year. So, the tax rate for the next year would be down by almost 4.5%. So right now, it is at 30% the next year will be in the range of 25% to 26% post-merger.

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Abhishek: Okay, sir. And my last question on the revenue from the Lumax industry that is consistently going down. So, what is the reason, because of the more captive work they are doing or what?

Anmol Jain: I don't think that is our core business. And that over the next few quarters or perhaps in FY25, will possibly strategically continue to decline. And again, the idea is to be a more tier one oriented system supplier and not say Tier-2.

Abhishek: So, will there be any impact on the aftermarket because of this strategic moment?

Anmol Jain: No, the Lumax Industries business has nothing to do with the aftermarket. This is a pure business which we do for the lightning segment. And as I mentioned, strategically, this is a non-core business area for us.

Moderator: Thank you, sir. We take the next question from the line of Harshil Shah from AM Investment. Please go ahead sir.

Harshil Shah: Sir my questions is about the potential of the exports from the Alps Alpine that you mentioned. How big can it be sir, just rough figure like whatever indication you have?

Anmol Jain: Well, the first product which we are talking about out, if we are able to get the global production base we're looking at somewhere upwards of 3 million units per year with an annual business of approximately close to between 150 to 200 crores annual revenue, and this is just for one product. And again, if it is successful then it w

ould open doors to discussions on multiple other products. So, as I mentioned, Lumax Alps Alpine joint venture the partner has a global presence

with very strong technological products. And we are able to establish this strong base of manufacturing footprint in India it will definitely open doors for further growth within the partners, other subsidiaries and presence across the globe.

Harshil Shah: Okay, sir and can you expect it by next year like if we break through?

Anmol Jain: So, the SOP of this would be somewhere around quarter three of FY25 or perhaps quarter four of FY25. So, FY26 ideally should be the first year you should be trying to get some significant revenues.

Harshil Shah: Have you started relocation of the plant, is it done like?

Anmol Jain: No. So, the current relocation discussions are ongoing between our partner and the OEMs. As I said, this is a relocation for Alps globally. So, once the OEMs, in principally the OEMs have been informed, but now the teams are working on doing more feasibility and again one of the key factor is the geopolitical aspect, a lot of the production will be moved out of China into India. So, again just to de-risk from China's supply chain, the OEMs are pushing the partner to relocate it to elsewhere and India is the front contender as I mentioned for this global production.

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Harshil Shah: Okay. And Anmol in the presentation we have mentioned that, not in the presentation in the results that company has given guarantees to JOPP to raise money. So, is the subsidy ready to contribute from Q3 and what is the size if yes?

Anmol Jain: So, let Vikas take that.

Vikas Marwah: So, referring to your question, JOPP has passed a significant order book with its first customer being Maruti Suzuki, typical product development time for this is 12 to 18 months to get into SOP and the models awarded are for the new Kharkhoda facility that are coming. So, the revenue will not fructify in let's say, to that extent in the next two to three quarters, but this is in the FY26 preparedness as Maruti has rolled out plans for its 4 million readiness. So, that is where your JOPP joint venture has made a very strong entry now as a shift our supplier.

Harshil Shah: Okay. And sir on Ituran also can you just elaborate like, what is the kind of revenue we did and can be do in this year FY24?

Vikas Marwah: Yes, so, we went into the, so there are two products that are cleared for SOP with a major commercial vehicle customer this year for Lumax Ituran joint venture one product went into SOP, in the month of May, the second product is currently under initiation and we hope to start recording the monthly run rate revenue for it with effect from December and we will have three months of the SOP volume coming in this financial year. And then thereby going ahead further, this is a very highly advanced

telematics product and currently the guidance for the Lumax Ituran joint venture continues to be upwards of 30 crores based on the current indication for the current year.

Harshil Shah: Okay. And Vikas sir anything, any other subsidiary can start contributing from the current financial year, like in the second half we can expect 100 crores from other subsidiaries which are not contributing anything right now?

Vikas Marwah: So, there are two subsidiaries or the two joint venture which are already at a significant run rate, of course one being Lumax Mannoh and Lumax Cornaglia, as Alps Alpine and Ituran would be ramping up towards for sure in the coming year. That is growth path at which they are.

Harshil Shah: Okay, any like Yokowo or anything that can contribute in the second half?

Anmol Jain: These joint ventures have a good order book, but in terms of a significant contribution to the revenue and profitability, I would say that FY25 should be the base year, FY24 we have done very nominal revenues f

rom these joint ventures and as Vikas mentioned the gestation or the lead time for development right from discussions to engineering, at least is about 12 months. So, we are sitting on an order book on all these joint ventures, a healthy order book, but they would only fructify in FY25 onwards.

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Harshil Shah: Okay, and Anmol what do you think will FY25 look like. And suppose we end this year at 2800, 2900 crore types or 2700 crores, so where do you think FY25 can be, given the current situation and the standalone business will grow at a slower pace, Mannoh and Cornaglia are becoming slightly like towards mature subsidiaries. So, what does FY25 look like?

Anmol Jain: So, FY25 if you would compare to FY24 whichever, anywhere around 2700-2800, 2850 is at the best what we're probably expecting for the full year. But again, next year two, three major change points, number one we will have the joint ventures growth significantly again, largely because of some strong order books, which were there in across joint ventures in Lumax

Cornaglia, Lumax Mannoh, as well as the Ituran. As I mentioned, the supplies would start and we will get some full year revenues as well as Alps. So, the joint ventures will definitely continue

to grow at a much faster double digit growth rate. In terms of standalone, aftermarket as I mentioned, I'm still very bullish, we will continue to grow at around 15% to 20% on an annual

basis. The standalone which has the other business that is particularly on Bajaj and HMSI side.

I do expect growth to come back in next year, it may not be a double-digit significant growth but definitely close to perhaps 7%-8% growth is likely. And on IAC we continue to have a very

strong focus. As I mentioned, there is a very strong lineup of new models, both from Mahindra as well as from Maruti Suzuki, for which IAC enjoys the healthy order book of almost 650 crores. So, with that, and certain organic volume increase, IAC India will continue to grow in double digits for next year as well.

Harshil Shah: Okay. And sir margin, like if IAC margins decline by 100 bps, 150 bps, on the company level, can we maintain like 14% types margin?

Anmol Jain: Yes, definitely, at an overall consolidated level, we will be able to sustain the current margins of 14% give or take at an EBITDA level.

Harshil Shah: And one more thing sorry, is there any one off in the employee cost, it's too high, it's too steep 94 crores like?

Anmol Jain: You are talking about the overall employee cost?

Harshil Shah: Staff cost in current quarter is 94 crores. So, which was 84 crores in the last quarter.

Anmol Jain: No, so there would not be any significant one-time impact barring just maybe a few people who had been given certain annual performance bonuses, but that's not a significant amount. But IAC as I said, continues to have a manpower cost of around 15% and that's probably why you're seeing a significant increase in the manpower in Q1 and Q2.

Harshil Shah: But, IAC the total cost of employees last year was 72 crores and ours was like 50 crores employee cost. So, if we add up, our was like 200 crores sorry. So, if we add up it comes around

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270 crores and even if that goes up by 10%, it should be around 325 crores. Now, this is like at half year level we are at 175 crores, so that translates to some 350 crores?

Sanjay Mehta: One more factor, if you recall the Lumax Metalics has been merged with this company and earlier the Lumax Metalics this particular head comes in the legal charges. So, after merger that cost is now being clubbed in the employees cost and same in the other expenses it is located that way.

Harshil Shah: There is another factor where you are seeing this?

Anmol Jain: There is just an accounting change. It does not impact the bottom line but yes, you're ri

ght if

you look at particularly a line item of manpower it would go up. And if you look at the corresponding amount in other expenses, it would have gone down.

Moderator: Thank you. We will take the next question from the line of Nitin Gandhi from Inoquest Advisors Private Limited. Please go ahead.

Nitin Gandhi: Two questions. Can you share with us what's the sourcing done from China, by AlpsAlpine parent partner, that's question one number and secondly, what's the maximum revenue potential of all JVs put together, if you can share individually or collectively, whichever way you are comfortable.

Anmol Jain: Your number one question is, we are not doing any sourcing from China in Lumax Alps Alpine, there are other regions, Japan, and let's say Thailand and Vietnam and Indonesia, we are doing some imports across the different joint ventures from these regions, but we do not have any specific import directly into the JVs from China, what I was referring to is that, Alps our partner has a presence in China, where they manufacture this product for the requirement of global OEMs. And as a strategic call, they are wanting to relocate the production out of China into another region and that is the global production which we're talking about getting in India under the Lumax Alps Alpine joint venture. So that's answering to question number one. The second part of the question which is, what is the joint ventures potential put together. It's a very difficult question to answer, because again across the nine joint ventures the wallet share, which we enjoy is very, very different, case in point like the Lumax Mannoh, where we already have the market leadership position, the growth would come out of organic volume growth or geographical expansion into export territories or technological changes, we already are seeing that, but the growth would definitely be not the same as some of the other joint ventures like Lumax Alps

Alpine or Lumax Yokowo. So, very difficult to give you a specific figure, but without IAC all the joint ventures are right now doing close to about 150 odd crores on a quarterly basis. Easily, I would say that the potential would be to probably go at least 20% to 25% growth in FY25. And probably that growth momentum should continue on an annualized basis.

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Nitin Gandhi: Just let me reframe the Alpine issue, what is the Alpine sales at China at this point of time over last year?

Anmol Jain: Well Alpine is a very large \$8 billion company globally, and they have multiple production facilities across the globe. So, I would not have the exact number as to what is the contribution of China within the Alps global portfolio, but that probably to me is irrelevant for Lumax Alps Alpine, because for Lumax Alps Alpine as I said, the strategy for Indian joint venture is to penetrate the Indian markets joint venture is primarily to service the Indian market. This just happens to be an additional business because of relocation of a global production hub.

Moderator: Thank you, sir. We take the next question from the line of Giya Shah from Wealth Securities. Please go ahead.

Giya Shah: My question is, post the IAC acquisition, what are the potential synergies we have observed and how has that been reflected in the financial numbers in terms of revenue growth, margin, customer acquisition and product addition?

Anmol Jain: There are various synergies, number one would be clearly the customer expansion and again, as I mentioned earlier, customer expansion does not happen overnight but there is a very strong engagement now both at the top level as well as the working level. Specifically, with Maruti Suzuki and Tata Motors who are the let's say focus customers for IAC India to grow our wallet share with them. So, I do expect that in the probably next two years give or take, we should have a significant order book

from both Maruti Suzuki as well as Tata Motors. This again would be clearly one of the key reasons why we got into this business of expanding the portfolio of customers. The second synergy is also of course with respect to the sourcing. So, we are a large plastic consumer, and again to optimize the cost synergies with these global raw materials suppliers, because of scale. And again, the synergies work both ways, from IAC India into Lumax, or vice-a-versa. And we've already started to see some of those sourcing synergies play out not just in raw materials, but even the Tier-2 sub suppliers, which remain common in certain regions. The number three strategy is, again, at a group level more for the lighting piece, the interior lighting. So, while it is not related to this company, at a group level that synergy still holds true. And number four, again, the idea is we do a lot of components in to multiple joint ventures today. So, for example we do power window switches in one joint venture, we do gear shifters in one joint venture. We also do, let us say certain other interior parts like the air conditioning vent in the standalone entity, how can we package this as a full-service supplier through the OEMs along with IAC and give them as a complete module. So, this is a third synergy, which is being worked out and talked about with OEMs. I don't think it's possible at this point to give you a revenue and a margin outlook because of synergies. But, as I mentioned before, the order book for both the IAC as well as the non-IAC business continues to look very positive for the future.

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Moderator: Thank you. The next question is from the line of Ravish Shah from Opal Securities. Please go ahead.

Ravish Shah: So, my first question would be on, what is the CAPEX done during H1, FY24 and what is the total CAPEX guidance for FY24 and FY25, and where these funds be deployed like this CAPEX be deployed?

Anmol Jain: So, H1 we did a CAPEX of 41 crores, which largely about 10 to 12 crores was in IAC India and about a similar amount went into the Lumax Cornaglia and about six to eight crores went into the frames business of Bajaj Auto, these three would be the largest contributors of 41 crores as indicated earlier, the outlook for the full year is estimated to be anywhere around 110 to 128 crores. And again, this would go into across multiple entities from IAC India as well as to the others, IAC would be the biggest pie of it but again Lumax Cornaglia and even the gear shifter business and the mechatronics business would have almost close to let's say 12 to 15 crores of outlay for the current year. FY25 still too premature to give you a CAPEX guidance, but to give you a very different scenario, is sitting on +1000 crore order book as I mentioned earlier, and to deliver that, over the next two to three years because FY25 is almost 45% of this order book would get realized and in FY26 it would be another 30% and then FY27 would be about another 25%. So, we do expect in the next two to three years, perhaps our asset turns would be much better compared to what we have traditionally been doing.

Ravish Shah: Understood sir, thank you for such a detailed answer, I have one more question. So, how much does M&M contribute to IAC India's business and what other major customers do it cater to that is there and also the major customer additions in IAC or Lumax business for the current period?

Anmol Jain: So, Mahindra accounts for almost 70% to 75% of IAC India business. The other three customers which are there are Maruti Suzuki, Volkswagen and Volvo Eicher, so these are the four customers we do also very nominal business with Force Motors and we do a lot of design and engineering revenue, even with Tata Motors, but not at a product component level SOP yet. As I mentioned, that is the next step on how do we get into a full-service supplier under

standing

with the like of Maruti Suzuki and Tata Motors and what was your second question?

Ravish Shah: My second question was, any major customer additions in IAC or Lumax business for the current period?

Anmol Jain: We do not have any major customer addition, we have got into a different product line, but the customers remain the same, so we don't have any this thing but the only other customer addition for Lumax Technologies would be Hero MotoCorp, where we started the plastics business in our Pantnagar facility.

Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over to Mr. Anmol Jain for closing comments.

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Anmol Jain: I would like to take this opportunity to thank everyone for joining into the call today. We will keep updating the investor community on a regular basis for updates on your company. I hope we have been able to address all your inquiries. For any further information, please get in touch with us or strategic growth advisors, our Investor Relations advisors. Thank you once again, have a good day and I also take this opportunity to wish all of you on the call and your families are very Happy and Prosperous Diwali. Thank you.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

LATL:CS:REG30:2023-24 Date: 21.02.2024

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Exchange Plaza, C-1 Block G,
Bandra Kurla Complex, Bandra (E), Mumbai – 400051
Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call- Q3 & 9M FY 2023-24

Dear Sir/Ma'am,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Wednesday, February 14, 2024 at 02:30 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 3rd Quarter and Nine Months ended December 31, 2023. The transcript shall also be made available on the website of the Company at www.lumaxworld.in/lumaxautotech.

This is for your information and records.

Thanking you, Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer ICSI Membership No. A28161 Encl: As stated above
Page 1 of 17

"Lumax Auto Technologies Limited
Q3 & 9M FY2024 Earnings Conference Call"

February 14, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th February 2024 will prevail.

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AUTO TECHNOLOGIES LIMITED
MR. DEEPAK JAIN – DIRECTOR – LUMAX AUTO
TECHNOLOGIES LIMITED
MR. SANJAY MEHTA – DIRECTOR & GROUP CHIEF
FINANCIAL OFFICER - LUMAX AUTO TECHNOLOGIES
LIMITED
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MR. NAVAL KHANNA – CORPORATE HEAD TAXATION
MR. ASHISH DUBEY – CHIEF FINANCIAL OFFICER –
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MS. PRIYANKA SHARMA – CORPORATE
COMMUNICATIONS
MR. ANKIT THAKRAL – CORPORATE FINANCE - LUMAX
AUTO TECHNOLOGIES LIMITED
Lumax Auto Technologies Limited
February 14, 2024

Conference Call of Lumax Auto Technologies Limited. This conference call may contain certain forward-looking statements about the company, which are based on beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you and over to you, Sir!

Anmol Jain : Thank you. A very good afternoon ladies and gentlemen, a very warm welcome to our Q3 and nine months FY2024 Earnings Conference Call. Along with me on this call I have Mr. Deepak Jain –Director, Mr. Sanjay Mehta – Director & Lumax Group CFO, Mr. Vikas Marwah –CEO of the company, Mr. Naval Khanna – Corporate Head Taxation, Mr. Ashish Dubey – CFO of the company, Ms. Priyanka Sharma from Corporate Communications, Mr. Ankit Thakral from Corporate Finance, and SGA our Investor Relations Advisor. The results and presentations have been uploaded on the stock exchange and the company's website. I hope everybody has had a chance to go through the same. I would

like to begin

by giving some insights into the Indian economy followed by the performance of the automotive industry in the quarter gone by and lastly a few important updates on your company.

India has seen a host of reforms post COVID that has accelerated the pace of growth of our economy. While the rest of the world economy is still recovering from the pandemic India is racing ahead thanks to peak manufacturing, strong demand, and increased capex in the public and private sectors which have raised GDP growth to approximately 7%. However, challenges such as inflation and global uncertainty persist and any adverse geopolitical action can impact the country's growth momentum. Speaking of the performance of the automotive industry for the quarter the quarter gone by has witnessed robust growth on the back of festive and marriage season as well as demand recovery in rural India. The robust expansion of passenger vehicles is driven by increasing disposable incomes and the availability of convenient financing options. Notably the premium SUV sector has witnessed noteworthy demand in 2023 contributing significantly to the overall growth in the passenger vehicle sales. Looking into the future the positive momentum is expected to continue into 2024 and beyond propelled by ongoing model launches, expanding market reach in rural India and an overall rise in per capita income.

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Page 3 of 17 Now let us talk about the two wheelers which also saw a remarkable upturn in sales this quarter thanks to the festive period from Navratri to Diwali. Moreover, the escalating demands for mid and high-end two wheelers suggest significant growth opportunities for component solution providers like us. There have been significant advancements in the electric vehicle two-wheeler markets with both new and established players venturing into this space. It is envisaged that this segment will gain traction in the next year and offer significant advantages to component manufacturers. Commercial vehicles experience a subdued quarter with respect to Q2 primarily due to price hikes from emission regulations and seasonal factors coming into play. Moreover, construction activities were halted in several regions across the country due to increased pollution levels further impacting growth in the sector. Similarly, the tractor segment also witnessed a relatively stagnant quarter. EVs are seeing good acceptance across the country on account of multiple EV launches by OEMs, increasing consumer awareness for green mobility solutions and a push from government for the sector with subsidies. However, despite this positive momentum we acknowledge that the EV sector is still in its early stages of development for passenger vehicles facing challenges such as inadequate charging infrastructure and limited domestic battery manufacturing capabilities. The widespread adoption of EVs on a larger scale hinges upon the improvement of charging infrastructure and the reduction of costs associated with EV ownership. As its critical aspects continue to evolve and improve we anticipate a further acceleration in the adoption of EVs across the country paving the way for a more sustainable future in mobility.

Coming to the auto ancillary sector the increasing premiumization across passenger vehicles as well as two wheelers require high technology components boasting a significant opportunity for leading auto ancillary players like us to increase the content per vehicle, along with this the sector is experiencing tailwinds led by increased focus on safety with the introduction of Bharat NCAP and changing emission norms. Looking ahead with multiple launches planned by OEMs particularly in the EV space we are confident in our ability not

only to secure orders from leading OEMs but also to expand our product and customer portfolio. Leveraging our decades old partnerships with

global leaders we are well

positioned to indigenously design, develop and manufacture high technology components further strengthening our competitive advantage in the market.

Coming to Lumax Auto Technologies I would like to give you an update that we have expanded our operations by opening a new facility in Chakan, Pune for Lumax Cornaglia Auto Technologies. The facility is equipped with state-of-the-art precision European machinery to ensure top-notch production quality and productivity. It boasts of a diverse product range including air filter systems, snorkel, and various blow molded products such as urea tanks and expansion or coolant tanks. Notably this plant represents a significant milestone as it will be the first to manufacture plastic fuel tanks for commercial vehicles.

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With this new facility Lumax Cornaglia will enhance its current production capacity by almost 40% in a phase wise expansion. Additionally with an aim to boost our aftermarket presence we have forged a strategic partnership with Germany's Bluechem group a leader in innovative automotive car care solutions to offer Indian consumers world class automotive care products spanning from preventive and maintenance solutions, additives, car and bike care, diagnostic software and tools. A large network and the extensive experience of Bluechem group put us in an advantageous position to cater to the high-quality automotive care solution that will enhance customer satisfaction and reliability in the Indian market. Coming on the entity wise performance the standalone entity caters to integrated plastic modules, the aftermarket business, chassis and swing arm for two wheelers, trailing arm for three wheelers under the metallic business and two-wheeler lighting. The standalone entity has contributed 47% of the total consolidated revenues for nine months FY2024. The Pantnagar plant of the company won the prestigious JIPM-TPM special award in the month of February 2024 being now the first supplier of Bajaj Auto supplier cluster to achieve this milestone. IAC India the recently acquired 75 % subsidiary which is a Tier-1 interior systems and components supplier to key automotive OEMs in the country including Mahindra & Mahindra, Maruti Suzuki, Volkswagen India, and Volvo Eicher Commercial Vehicles. The entity has contributed 32% of the total consolidated revenues for nine months FY2024. IAC management team along with Lumax will certainly continue to drive the business growth forward. The Board of Directors of IAC India has approved the scheme of merger with its holding company Live on August 4, 2023, with effect from the appointed date of March 10, 2023. Further the scheme has been filed with the Honourable NCLT Mumbai bench on August 28, 2023, which is pending for approval. Lumax Mannoh Allied Technologies the 55% subsidiary which manufactures manual, AMT and automatic gear shifter systems and has the market leadership position contributed 13% to the total consolidated revenue. Export business of automatic gear shifters for a global platform is on track and is performing well. We are also working in tandem with the joint venture partner to increase our reach to newer market. The company is sitting on an order book of approximately Rs.50 Crores. Lumax Cornaglia Auto Technologies the 50% subsidiary manufacturing air intake systems and urea tank commanding 100% share of business with Volkswagen and Tata Motors contributed 6% to the consolidated revenue, this joint venture holds a strong order book of over 70 Crores and keeping in mind the same the company's new facility has commenced its operations in Q4. Lumax Ituran Telematics Private Limited has successfully commenced supply of telematics parts to Daimler India in the current quarter. The volumes are expected to grow significantly in the remaining part of the financial year with addition

of a new range of products. Lumax Alps Alpine India Private

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Page 5 of 17 Limited a 50% subsidiary for the manufacturing and sale of electric devices and components including software related to the automotive industry contributed 1% to the total consolidated revenues. This joint venture holds a strong order book of more than 100 Crores. During the quarter the Board of Directors of the company has considered and approved the acquisition of Lumax Ancillary Limited by acquiring the entire equity share capital accordingly Lumax Ancillaries has become wholly owned subsidiary of the company with effect from January 25, 2024. Lastly on the order book front the company has a healthy order book of approximately 1100 Crores out of which almost more than 90% is new business and EV contribution is approximately 40% of the total order book. Now I would like to hand it over to Mr. Sanjay Mehta, the Director and Group CFO to update you on the operational and financial performance of the company.

Sanjay Mehta : Good afternoon everyone. I will brief on the operational and financial performance for Q3 and 9 months FY2024. For nine months FY20 24 integrated plastic modules contributed 48% to overall revenue followed by Aftermarket at 14%, gear shifter at 13%, Fabrication at 8%, Emission at 6%, Lighting products at 5% and others at 6%. Passenger vehicles contributed 47% of the overall revenue, two and three wheelers at 24%, after market at 14% CVs at 9% and others at 6% for nine months FY2024. For more detailed operational highlights one can refer our investor presentation uploaded on the exchanges and company's website. With respect to financial highlights the consolidated revenue for Q3 and nine months stood at Rs.732 and 2064 Crores respectively up by 65% and 52% respectively year-on-year. The main reason for the same is consolidation of revenue from IAC India which stood at Rs.246 Crores and 665 Crores for Q3 and nine months respectively. EBITDA margins stand at 15.8% for Q3 as against 12.2% for Q3 FY2023 up by 360 BPS. The EBITDA margin for nine months is at 14.7% which is up by 270 BPS for nine months FY2023. IAC EBITDA for nine months FY2024 is 131 Crores at 19.7%. PAT after minority interest for nine months stood at 86 Crores as compared to 74 Crores in nine months last year. PAT margins stood at 4.2% for nine months as against 5.5% in FY2023. The lower PAT margin with respect to last year is because of higher interest cost on account of long-term debt of Rs.375 Crores and high depreciation of intangible assets on account of acquisition of IAC India. The net debt as on December 31, 2023, is 91 Crores. The capex incurred during nine months is 78 Crores which includes 31 Crores on account of leasehold assets. The actual capex outlay is 47 Crores. The full year estimate is around 90 to 100 Crores excluding any leasehold assets, which are slightly down from the earlier capex guidance of 110 to 120 Crores. With this we open the floor for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nisarg Vakharia from NV Alpha Fund Management LLP. Please go ahead.

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Page 6 of 17 Nisarg Vakharia : Yes good afternoon everyone. I had two specific questions. The first was that what sort of visibility do you have for the various subsidiaries that we have and what should be their contribution for next year so Lumax Ituran, Lumax JOPP, Lumax YOKOWO number one, number two what are the plans for Lumax Alpine for FY2025, we are at I think some 30-35 Crores of revenue for this year, what sort of revenue visibility you have for next year?

Thank you so much.

Anmol Jain : Thank you so number one for your first question I think all the joint ventures put together in the current year are about close to 20% of the consolidated

revenues, of course the larger pie comes from the Lumax Mannoh and Lumax Cornaglia and there is some minuscule contribution from the rest of the joint ventures. As far as the order book goes as I mentioned about more than 100 Crores of the order book is sitting on Alps even the Lumax JOPP and Lumax Ituran are sitting at some order book of about 30 Crores, 35 Crores each so we are definitely bullish on the prospects of certain joint ventures like Lumax YOKOWO, Lumax Ituran and of course Lumax Alps apart from Lumax Cornaglia and Lumax Mannoh which are the more established joint ventures. Giving FY2025 specifically I think while we will see the total contribution from joint ventures to remain approximately around the same vicinity of 20 to 25% of the consolidated revenues but in absolute amount we do expect it to grow by about 20 to 25% in revenue terms on a year-on-year basis because there are some strong orders which will get into production in FY2025.

Nisarg Vakharia : Last question we have a reasonably strong balance sheet but there are some inefficiencies in the amount of interest expense that we have versus the other income that we make on the cash, now I understand that you had extremely strategic and fantastic acquisition IAC; however, can this sort of inefficiency be rectified next year?

Sanjay Mehta : The debt which we have taken for IAC it is in the lock-in period for 18 months so after expiry of that period certainly we will look into that.

Nisarg Vakharia : Thank you so much for answering my questions and all the very best.

Moderator : Thank you. Next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek Jain : Thanks for opportunity and congrats for a strong set of numbers. Sir this year IAC India their revenue growth is very impressive and margin is very much strong around 19% so will this acceleration will continue especially on the margin side?

Anmol Jain : So I think IAC India of course since it is the first year of consolidation you are seeing a very strong set of let us say growth for the overall company. On a consolidated basis approximately one third of the revenues come from IAC India. We have a strong order book

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Page 7 of 17 out of the 1100 Crores almost more than 55% of the revenue is of IAC India from an order book standpoint, so going forward I expect the contribution on revenue side of IAC to continue in the same vicinity of about 30 to 35% and in terms of the margins I think a sustained margins of IAC would be probably close to around the 18% EBITDA. There were a few let us say extraordinary incomes, one time for the Q3 so the number you look at for Q3 specifically of about close to 20% plus is a little bit of abnormality but I think on a regularized basis yes the margins of 18-19% should continue.

Abhishek Jain : In this quarter EBITDA margin stood at 14.5% this is excluding the other income so this margin will continue to be higher because of the higher revenue contribution from IAC?

Anmol Jain : I think for both reasons number one as I mentioned I would not say higher contribution the contribution as I mentioned before from IAC will continue to be steady; however, there will also be a growth on the joint ventures and also the standalone from the aftermarket perspective so all those also the growth which is in the joint ventures is coming at a much better margin than the current performance of the joint ventures so the margins will definitely get better not just because of IAC operating at a higher margin but also significant portion of the order book of the joint ventures coming at a better margin than what they are operating at presently.

Abhishek Jain : You are putting a new plant for the air intake system so what kind of the incremental revenue will come from this plant and when it will start to kick in revenue?

Vikas Marwah : So we have commis

ioned new plant as you are aware at Pune this is for the Lumax

Cornaglia joint venture that went live last week this is intended to add 40% additional capacity from our current capability and our machine capacities over the next 12 to 18 months but you can safely assume at least Rs.400 Crores upside in terms of revenue that will accrue to us in FY2025 alone.

Abhishek Jain : In this quarter tax rate was high, tax rate is around right now it is 30% so what would be the effective tax rate for FY2025?

Sanjay Mehta : So actually we are just waiting for the merger of IAC also so whatever the intangible assets is there we will get that better tax deduction and also the auditor has taken the view of some kind of that joint venture loss they have taken as it is without keeping mind in the future recoverability so way forward the tax would be almost around 25 to 26%.

Abhishek Jain : Depreciation rate is very high because of the intangible asset in the IAC India so when will it start to come down?

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Page 8 of 17 Sanjay Mehta : In fact the intangible assets we have created on the acquisition that will depreciate in the period of 5 to 10 years so we are getting that after the merger the tax efficiency will be there, so tax we are getting almost benefit of 53 Crores approximately in the period of 10 years. The depreciation will remain slightly higher for next five to seven years.

Abhishek Jain : What is this intangible asset?

Sanjay Mehta : Almost 213 Crores.

Abhishek Jain : For what Sir is it goodwill or is it software?

Sanjay Mehta : Goodwill there is no depreciation, of course the goodwill is there but there are three type of one is that customer connect assets and the technology then one more asset created, three types of intangible assets that we create, it is customer relation for instance.

Abhishek Jain : Thank you Sir. That is all from my side.

Moderator : Thank you. Next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain : Good afternoon team and many congratulations on solid performance. Sir my question is on growth this year has been very strong led by acquisition but if I look at the base business ex-IAC the growth is maybe slightly slower so overall let us say going forward how should one think about let us say the growth between the two businesses, the IAC growth and the growth in the base business which we used to have that is my first question?

Anmol Jain : Thank you so you are absolutely right. I think if we remove IAC the growth is kind of similar to the industry growth for the nine months period so we have not outperformed the industry but it is pretty much in line with the industry without IAC. Of course the solid 52% revenue growth for nine months is majorly contributed because of the IAC. I think going forward number one the revenue forecast for let us say FY2025 we do anticipate that we will fare much better than the industry A because of the diversity of the products and also we are on various models, the new model introductions, so in terms of guidance I would say that we should be growing probably anywhere around 20% plus on a topline for the next full financial year. Growth in all the three buckets, the standalone, the joint ventures as well as IAC is expected to be in similar vicinity. I would assume that IAC would still continue to grow at about 15% year-on-year basis on a revenue and on the joint ventures and standalone I think the growth would be definitely a lot better because of the orders in hand and also

probably because this year was not a significant growth year so a lot of this growth will
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Page 9 of 17 kick in the next year from a revenue perspective, so overall yes we should be looking at a 20% consolidated revenue growth in FY2025.

Resham Jain : Understood and IAC merger you have acquired 7

5 %, 25% is what will get merged right so

there will be some dilution because of the same is that understanding correct?

Anmol Jain : No I do not think that understanding is correct.

Sanjay Mehta: So IAC is getting merged with the parent company of Live so then it will become a wholly owned subsidiary of LATL.

Resham Jain : Understood so 75% still remains. Okay got it.

Anmol Jain : The 25% will continue to be held by the foreign partner.

Resham Jain : Understood and Sir just one more thing given that IAC and some of these JVs have a better margin than the standalone business so what should be the company level margin one should expect let us say going forward next two three years?

Anmol Jain : I think at a company level if you see that obviously I already mentioned the sustainable EBITDA margin on IAC would be let us say closer to around 18% odd which would be on a sustainable basis. If you see the other consolidated standalone and joint ventures we are already operating at close to around 12.5%. I do expect that next year this should definitely jump and get into the teen margins as I have always envisaged and I think the IAC will also continue to be in the similar vicinity so from a 14.5% EBITDA which currently the consolidated entity is looking at I would definitely feel that this should inch more towards 15% plus.

Resham Jain : Understood Sir one last one on IAC so when we took over the business we had Mahindra & Mahindra is the only customer and we said that we will mine more customers over a period of time so how is the progress happening on that front because Mahindra is number third - fourth player and you already have relationship with some of the larger ones, also from let us say three five years perspective how should you look at this business given you are not present with some of the larger customer there?

Anmol Jain : I think number one there is a correction. Mahindra & Mahindra is not the only customer Mahindra is the largest customer. IAC continues to enjoy an existing relationship with other OEMs namely Maruti Suzuki, Volkswagen as well as Volvo Eicher. Just for your consumption I think IAC did revenue of over 50 Crores with Maruti Suzuki for the nine months of this current fiscal. The objective here was that we will take IAC and expand our
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Page 10 of 17 relationships for IAC with the other OEMs. We will probably definitely grow our wallet share in Maruti Suzuki and also try and get business from other OEMs with which IAC does not have a current ongoing relationship and that is where the Lumax management or the Lumax advantage has come into play so we are working with Tata Motors very closely. I do hope that in the subsequent quarters we should be able to share some positive news on other OEMs development and traction.

Resham Jain : Understood. Great Sir. Thank you very much and all the best.

Moderator : Thank you. Next question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.

Amit Hiranandani : Sir my first question is basically on the IAC you said there is some one-off income in this quarter can you please quantify that and what is that one-off?

Anmol Jain : When I say one-off income it is a regular operational income but it is more pertaining to the previous quarters as a price increase because there are one or two quarter lag but that amount is not significant it is I think only about 3 Crores or so.

Amit Hiranandani : Sir on the standalone margins were pretty much impressive this time so can you please guide what is the sustainable run rate we can assume?

Anmol Jain : So I think as I mentioned if you look at standalone as well as the joint ventures let us say without the IAC piece we are currently sitting at almost close between 12.5 to 13% margin and definitely the endeavor would be because we are gaining a lot of the new order books it is coming at a bet

ter margin than what we have traditionally performed in some of the joint ventures and also if you see we had a pretty flatish revenue in the standalone entity for the current fiscal and we are expecting a double digit growth in the standalone entity even going forward in the next fiscal so there will be definitely cost optimization of fixed cost and better realization so for those reasons I would envisage that we should be operating at anything around teen EBITDA margins for the entity without IAC. So 13 to 14% would be

my best guidance from a sustainable EB ITDA margin for the entity without IAC.

Amit Hiranandani : Sir can you just help me with the revenue and EBITDA numbers for all your subsidiaries for 9M?

Anmol Jain : So can we share these numbers offline with you because this would be a long thing but if I were to just give you a breakdown 50% of the consolidated revenues approximately comes from the standalone entity I think 47% to be more precise and about 32-33% is from IAC and about 20% is from joint ventures. This is the nine-month actual data in terms of the Lumax Auto Technologies Limited
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Page 11 of 17 contribution of the total pie. The standalone has had almost flat growth or a negative 2 to 3% growth in nine months. The joint ventures have actually grown by 25% and of course IAC was a new piece so that added to the revenue. In terms of EBITDA margins I think we have already spoken about the sustainable EB ITDA margins for IAC as well as the joint ventures and standalone business so on a consolidated basis if you look at the current year on a full year we are expecting maybe a growth compared to last year of almost 50% which is seen in nine months so you are looking at anywhere around 2750 to 2800 Crores of topline and probably 400 Crores plus EBITDA at the full year consolidated level.

Amit Hiranandani : I will take the exact number offline no issues. Sir one question on the order book if you can share it on the subsidiary wise if you can share IAC, Mannoh, Cornaglia, and other six subsidiaries?

Anmol Jain : Sure so out of the 1100 Crores about 60% or about 600 to 650 Crores is IAC, about 300 odd Crores is all the joint ventures out of which the major ones are about 110 Crores in Lumax Alps Alpine, Lumax Cornaglia it is sitting at almost about 70 Crores, Lumax Mannoh is sitting at about 50-55 Crores and then you have Lumax Ituran and Lumax JOPP both sitting at around 30-35 Crores each. That is the bulk of the orders for the joint ventures and then apart from that we have about 150 Crores of order book for the standalone entity largely coming from Bajaj Auto for their new EV model.

Amit Hiranandani : Sir if you can also give guidance on the order execution especially for Alps Alpine, JOPP, Ituran and subsidiaries?

Anmol Jain : So out of the 1100 I would say around 50% of the total order book will come into FY2025 revenue and approximately 30% of it would come into FY2026.

Amit Hiranandani : Sir we were planning to enter into EV products as well so any update on this thing, new JV or something?

Anmol Jain : Yes definitely. Out of the total order book almost 40% is coming from EV. EV both in passenger vehicles as well as EV in two wheelers, as I already mentioned we are already secured some orders for the Born Electric Vehicles of Mahindra & Mahindra as well as the new variants of electric platforms of Bajaj Auto.

Amit Hiranandani : Specifically the EV specific product like BMS controllers and etc., so we were planning to enter to do those products as well right?

Anmol Jain : So we are still on the drawing board on that. We have still not firmed up a clear strategy onto the EV but I do believe that there are many more opportunities which are on
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Page 12 of 17 alternative fuels and alternative technologies than EV which could be of more interest and gain more traction so we

are still evaluating on that.

Amit Hiranandani : Just one last question if you can throw some light on the capex side for the next three years please a broad number would be fine?

Anmol Jain : So we are looking at approximately 400 odd Crores in the next let us say give or take three years to get this order book of around 1100 Crores and this to give you a feel. Asset turnover ratio today is at about 1:2.5 and I think that is only going to improve going forward.

Amit Hiranandani : All the best. Thank you so much.

Moderator : Thank you. Next question is from the line of Apurva Mehta from AM Investments. Please go ahead.

Apurva Mehta : Yes sir congratulations on great set of numbers. My question was on the aftermarket side we have seen some tough kind of growth we were expecting and doubling the turnover in next three to four years we are going slow on that side any specific reason on that front?

Anmol Jain : If you look at nine months of the current fiscal aftermarket has grown by about 7% the reason is primarily that we do see realizations becoming a slight challenge in aftermarket so just to have a more prudent cash flow management we are not pushing the sales forward and we are making sure that the realization remains intact; however, having said that I think we are still very bullish that in Q4 we should be able to do a better growth and for the full year we should still be able to report a double digit growth for the aftermarket division but the guidance of the two to three years horizon remains intact with new partnerships which

we recently entered into with Germany's Bluechem as well as a new product development portfolio. We are very confident that we will continue that momentum of doubling our aftermarket revenues in three to four years and I think we are entering the second year in FY2025.

Apurva Mehta : On the Bajaj side can you throw some light what kind of visibility we have for next year because Bajaj the export is still not picking up so we have any visibility where we can have other models where we can have some kind of revenue growth coming from there?

Anmol Jain : Let us understand the two reasons why we have not done extremely well or we have not grown with Bajaj Auto so significantly rather we have had a degrowth in Bajaj Auto from a nine month perspective is largely because of the frames business and let us understand in the frames our dependence on two or three models like the Platina and the CT which are Lumax Auto Technologies Limited

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Page 13 of 17 mostly on the export and let us say certain domestic is very high and both these models have had a negative volume of almost 15% and 40 % respectively so that is the reason there is a bit of an anomaly as far as our revenues with Bajaj goes versus Bajaj's own performance goes. We have recently gone in to the KTM, we have got the KTM Duke model chassis, we are also now as I mentioned confirmed for one of the EV variants going forward, we are also adding more value than rather than just being a fabrication and a frame maker we are also doing a lot of painting and coating so it will also increase our content for vehicle and of course we are still in dialogue but we are hopeful that going forward we may come on the Pulsar platform as well.

Apurva Mehta : Great and Sir this margins of 15.8% which was unbelievable margin and congratulations to you on the team of Lumax but on the steady state going forward can we assume as a 15% kind of margin for next year?

Anmol Jain : Yes I think definitely that margin should be sustainable both from IAC perspective as well as from the standalone and the joint ventures perspective so yes a consolidated margin of 15% EBITDA should definitely be something which should be sustainable in FY2025.

Apurva Mehta : Can you throw some light on Lumax Ancillary who are the clients and what kind of revenue we can visualize for next year and kind of margins in that?

Anmol Jain : So Lumax Ancillary currently is more of a wiring supplier as a backward integration to the lighting business of Lumax industry that is largely the current business model. However we are looking at possibly growing this business not just internally as a captive backward integration but also to OEMs. I think the revenue pie is approximately close to 150 Crores on an annual basis and we do expect this to continue to grow in FY2025 as well based on two things one is the organic volume growth, number two is based on certain customer expansions and number three is also because of the technological change, as more and more LED applications come into lighting, the value per wiring harness assembly also goes up so for those reasons we do expect this to continue the upside in terms of the revenue growth going forward.

Apurva Mehta : What kind of EBITDA margin could they have because wiring harness is a low margin business?

Anmol Jain : Right now it is still too early for us to give you a guidance because this business is something which we have just gotten into but I think for now it is still operating in single digit EBITDA margins and once we look at it closely we will definitely try and bring this back up to a similar maybe a double-digit margin or so going forward.

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Page 14 of 17 Apurva Mehta : When are you telling us that you will have a 20% growth next year so we have taken into account Lumax Ancillary also or we have not just taken?

Anmol Jain : We have taken that into consideration as well.

Apurva Mehta : Because that will contribute around 175 to 200 Crores?

Anmol Jain : No about 150. We have taken 150 as a conservative figure for next year so 150 even if you take out you will still be looking at maybe around 17% growth without the Lumax Ancillary so it is not adding significantly on 3 000 Crores if you look at even 150 Crores so that is literally about 5%.

Apurva Mehta : Thanks a lot and wish you all the best.

Moderator : Thank you. Next question is from the line of Karan Mehra from Mehta Investments. Please go ahead.

Karan Mehra : Thank you for the opportunity. A couple of questions. Sir we recently started a new facility for LCAT so basically we are shifting to a bigger facility now if you can help us understand like when can we see the complete shift happening from the older facility to the newer one and will any business be affected during this transition?

Vikas Marwah : So Karanji we have already migrated 100% from the earlier facility which was a 30,000

square feet to 225000 square feet facility. The old plant has been vacated which is at a vicinity of Just 2 kilometers and therefore there is no further migration that is happening. We will be now going up on the capacity utilization over the next three months so Pune is now operating out of one facility for LCAT and one facility out of Pantnagar.

Karan Mehra : Sure that answers my question. Thank you.

Moderator : Thank you. Next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Sir I missed the taxation part so after this amortization which you are taking goodwill what is the taxation that you would incur?

Sanjay Mehta : It will come in 22 plus surcharge, etc.

Pritesh Chheda: The minority interest that we see so IAC is 75% owned by us that is where the minority is rising?

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Page 15 of 17 Sanjay Mehta : Yes 25% is the minority.

Pritesh Chheda: Can you share what are the net margins for IAC, for the nine months if you could share the PAT and the topline number?

Anmol Jain : So the top line number was very clear I think I mentioned that. The top line of IAC for the nine months is about 665 Crores. In terms of the PAT margin is about double digits again it is higher than about 10%. I think it's around close to 10.5 to 11%

for nine months.

Pritesh Chheda: Thank you.

Moderator : Thank you. Next question is from the line of Dinesh Kulkarni from RDST. Please go ahead.

Dinesh Kulkarni : Thanks for taking my question. My question is I see we do not have a significant debt on our balance sheet and it is very manageable and even the capex seems to be in normal range do we plan to increase our stake in any of the joint ventures or subsidiaries with the cash which we expect to generate over the next three four years that is my question?

Anmol Jain : No we are very comfortable with the current arrangement with all our joint venture partners so we do not anticipate any increase in the shareholding between us and the joint venture partners. I think the reason why there is no debt is because there is surplus cash and the free cash which the company's operations generate and that cash is redeployed in terms of the capex so there is no need for any external borrowings for now.

Dinesh Kulkarni : That is my question. Thank you.

Moderator : Thank you. Next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Yes Sir just a followup there. Will we see repayment of the borrowings in the next cycle?

Sanjay Mehta : It will start from the next year and it is a period of four to five years we are anticipating though it is a five-year term but looking to the cash flow available we will take decision that time.

Pritesh Chheda: What would be your cash generation in nine months the operating cash flow?

Anmol Jain : You are talking about IAC specifically or you talking about as a consolidated entity?

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Page 16 of 17 Pritesh Chheda: As a consolidated entity so on 300 Crores EBITDA what is the cash flow you have generated.

Anmol Jain : It would differ entity-to-entity because 300 is a consolidated level so we will have to address you offline.

Pritesh Chheda: No problem Sir. Thank you very much.

Moderator : Thank you. Next question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.

Amit Hiranandani : Sir just on the gross debt side if you can just let me know the gross debt including the working capital and the cash position?

Sanjay Mehta : It is gross debt including working capital is around 600 Crores and we are having the bank balance of almost around 318 Crores out of that gross debt long-term is around 410 Crores and the working capital is around 193.

Amit Hiranandani : The next question on the Lumax Ancillary Limited so you said the EBITDA margin is about single digit and the revenue is about 150 Crores annually so Q4 would be effectively on a consolidated level the EBITDA margin would little bit come down because of this merger or acquisition of Lumax Ancillary?

Anmol Jain : Well again there would be certain improvement on the other businesses as well so I would not say because again on a quarter basis it is just about 35 to 40 Crores of revenue which is not so significant for the consolidated entity so the other businesses are expected to also show a positive momentum in Q4 so a lot of that would get offset and perform better and that is why I said at a consolidated level the margins would be able to sustain going forward

as well from the current levels so I do not anticipate LAL lower EBITDA margin to have any major impact on the consolidated revenues or profits.

Amit Hiranandani : Correct and Sir I was just checking annual report so we are paying a royalty to Lumax Industries limited so can you please help me in understanding this part please?

Sanjay Mehta : We are not paying any royalty to Lumax Industries. We are paying service charges to Lumax Management Services and also to the Mannoh.

Anmol Jain : Lumax Industries the one royalty angle we are paying is the royalty we pay for the supplies of Mahindra & Mahindra items to the aftermarket so we have a very clear arrangement

with

Mahindra & Mahindra as an OEM. Usually a lot of the OEMs prohibit us from selling in Lumax Auto Technologies Limited

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Page 17 of 17 the open aftermarket by ourselves but for Mahindra & Mahindra we were able to make some arrangement that whatever revenues we garner from the aftermarket there would be a percentage royalty paid to Mahindra & Mahindra and since Mahindra & Mahindra lighting is handled by Lumax Industries it is more of Lumax Technologies based Lumax Industries and then Lumax Industries pays it to Mahindra & Mahindra directly so that is the only nature of royalty which is there between Lumax Technologies and Lumax Industries.

Amit Hiranandani : Correct very clear. Just last one question so Sir on the emerging JVs what we have Alpine, and etc., so with JVs can turn profitability faster and by when you can see this happening?

Vikash Marwah: So the positive trend has started in fact from Q4 only of the current financial year. Lumax Ituran will be reporting positive EBITDA in Q4. For next year Lumax Alps Alpine and Lumax Ituran both will be profitable and our endeavor will be to get Lumax YOKOWO and Lumax JOPP also coming in with a double digit PBT figure by FY2026 this is on the basis of the order book that we have currently in hand and the next 6 to 12 months for the other two joint ventures there will still be the development time.

Amit Hiranandani : Very helpful. Thank you so much. All the best.

Moderator: Thank you. Ladies and gentlemen that was the last question of the day. I now hand the conference over to management for closing comments.

Anmol Jain : Well I take this opportunity to thank everyone for joining into the call today. We will keep informing the investor community on a regular basis for updates on your company. I hope we have been able to address all your queries. For any further information please get in touch with us or strategic growth advisors our investor relations advisors. Thank you once again and have a good evening.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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"Lumax Auto Technologies Limited
Q3 & 9M FY2024 Earnings Conference Call"

February 14, 2024

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Page 2 of 17 Moderator: Ladies and gentlemen, good day and welcome to Q3 and nine months FY2024 Earnings Conference Call of Lumax Auto Technologies Limited. This conference call may contain certain forward-looking statements about the company, which are based on beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you and over to you, Sir!

Anmol Jain : Thank you. A very good afternoon ladies and gentlemen, a very warm welcome to our Q3 and nine months FY2024 Earnings Conference Call. Along with me on this call I have Mr. Deepak Jain –Director, Mr. Sanjay Mehta – Director & Lumax Group CFO, Mr. Vikas Marwah –CEO of the company, Mr. Naval Khanna – Corporate Head Taxation, Mr. Ashish Dubey – CFO of the company, Ms. Priyanka Sharma from Corporate Communications, Mr. Ankit Thakral from Corporate Finance, and SGA our Investor Relations Advisor. The results and presentations have been uploaded on the stock exchange and the company's website. I hope everybody has had a chance to go through the same. I would like to begin by giving some insights into the Indian economy followed by the performance of the automotive industry in the quarter gone by and lastly a few important updates on your company.

India has seen a host of reforms post COVID that has accelerated the pace of growth of our economy. While the rest of the world economy is still recovering from the pandemic India is racing ahead thanks to peak manufacturing, strong demand, and increased capex in the public and private sectors which have raised GDP growth to approximately 7%. However, challenges such as inflation and global uncertainty persist and any adverse geopolitical action can impact the country's growth momentum. Speaking of the performance of the automotive industry for the quarter the quarter gone by has witnessed robust growth on the back of festive and marriage season as well as demand recovery in rural India. The robust expansion of passenger vehicles is driven by increasing disposable incomes and the

availability of convenient financing options. Notably the premium SUV sector has witnessed noteworthy demand in 2023 contributing significantly to the overall growth in the passenger vehicle sales. Looking into the future the positive momentum is expected to continue into 2024 and beyond propelled by ongoing model launches, expanding market reach in rural India and an overall rise in per capita

income.

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Page 3 of 17 Now let us talk about the two wheelers which also saw a remarkable upturn in sales this quarter thanks to the festive period from Navratri to Diwali. Moreover, the escalating demands for mid and high-end two wheelers suggest significant growth opportunities for component solution providers like us. There have been significant advancements in the electric vehicle two-wheeler markets with both new and established players venturing into this space. It is envisaged that this segment will gain traction in the next year and offer significant advantages to component manufacturers. Commercial vehicles experience a subdued quarter with respect to Q2 primarily due to price hikes from emission regulations and seasonal factors coming into play. Moreover, construction activities were halted in several regions across the country due to increased pollution levels further impacting growth in the sector. Similarly, the tractor segment also witnessed a relatively stagnant quarter. EVs are seeing good acceptance across the country on account of multiple EV launches by OEMs, increasing consumer awareness for green mobility solutions and a push from government for the sector with subsidies. However, despite this positive momentum we acknowledge that the EV sector is still in its early stages of development for passenger vehicles facing challenges such as inadequate charging infrastructure and limited domestic battery manufacturing capabilities. The widespread adoption of EVs on a larger scale hinges upon the improvement of charging infrastructure and the reduction of costs associated with EV ownership. As its critical aspects continue to evolve and improve we anticipate a further acceleration in the adoption of EVs across the country paving the way for a more sustainable future in mobility.

Coming to the auto ancillary sector the increasing premiumization across passenger vehicles as well as two wheelers require high technology components boasting a significant opportunity for leading auto ancillary players like us to increase the content per vehicle, along with this the sector is experiencing tailwinds led by increased focus on safety with the introduction of Bharat NCAP and changing emission norms. Looking ahead with multiple launches planned by OEMs particularly in the EV space we are confident in our ability not only to secure orders from leading OEMs but also to expand our product and customer portfolio. Leveraging our decades old partnerships with global leaders we are well positioned to indigenously design, develop and manufacture high technology components further strengthening our competitive advantage in the market.

Coming to Lumax Auto Technologies I would like to give you an update that we have expanded our operations by opening a new facility in Chakan, Pune for Lumax Cornaglia Auto Technologies. The facility is equipped with state-of-the-art precision European machinery to ensure top-notch production quality and productivity. It boasts of a diverse product range including air filter systems, snorkel, and various blow molded products such as urea tanks and expansion or coolant tanks. Notably this plant represents a significant

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Page 4 of 17 milestone as it will be the first to manufacture plastic fuel tanks for commercial vehicles.

With this new facility Lumax Cornaglia will enhance its current production capacity by almost 40% in a phase wise expansion. Additionally with an aim to boost our aftermarket presence we have forged a strategic partnership with Germany's Bluechem group a leader in innovative automotive car care solutions to offer Indian consumers world class automotive care products spanning from preventive and maintenance solutions, additives, car and bike care, diagnostic software and tools. A large network and the extensive

experience of Bluechem group put us in an advantageous position to cater to the high-

quality automotive care solution that will enhance customer satisfaction and reliability in the Indian market.

Coming on the entity wise performance the standalone entity caters to integrated plastic modules, the aftermarket business, chassis and swing arm for two wheelers, trailing arm for three wheelers under the metallic business and two-wheeler lighting. The standalone entity has contributed 47% of the total consolidated revenues for nine months FY2024. The Pantnagar plant of the company won the prestigious JIPM-TPM special award in the month of February 2024 being now the first supplier of Bajaj Auto supplier cluster to achieve this

milestone. IAC India the recently acquired 75 % subsidiary which is a Tier-1 interior systems and components supplier to key automotive OEMs in the country including Mahindra & Mahindra, Maruti Suzuki, Volkswagen India, and Volvo Eicher Commercial Vehicles. The entity has contributed 32% of the total consolidated revenues for nine months FY2024. IAC management team along with Lumax will certainly continue to drive the business growth forward. The Board of Directors of IAC India has approved the scheme of merger with its holding company Live on August 4, 2023, with effect from the appointed date of March 10, 2023. Further the scheme has been filed with the Honourable NCLT Mumbai bench on August 28, 2023, which is pending for approval. Lumax Mannoh Allied Technologies the 55% subsidiary which manufactures manual, AMT and automatic gear shifter systems and has the market leadership position contributed 13% to the total consolidated revenue. Export business of automatic gear shifters for a global platform is on track and is performing well. We are also working in tandem with the joint venture partner to increase our reach to newer market. The company is sitting on an order book of approximately Rs.50 Crores. Lumax Cornaglia Auto Technologies the 50% subsidiary manufacturing air intake systems and urea tank commanding 100% share of business with Volkswagen and Tata Motors contributed 6% to the consolidated revenue, this joint venture holds a strong order book of over 70 Crores and keeping in mind the same the company's new facility has commenced its operations in Q4. Lumax Ituran Telematics Private Limited has successfully commenced supply of telematics parts to Daimler India in the current quarter. The volumes are expected to grow significantly in the remaining part of the financial year with addition of a new range of products. Lumax Alps Alpine India Private Lumax Auto Technologies Limited
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Page 5 of 17 Limited a 50% subsidiary for the manufacturing and sale of electric devices and components including software related to the automotive industry contributed 1% to the total consolidated revenues. This joint venture holds a strong order book of more than 100 Crores. During the quarter the Board of Directors of the company has considered and approved the acquisition of Lumax Ancillary Limited by acquiring the entire equity share capital accordingly Lumax Ancillaries has become wholly owned subsidiary of the company with effect from January 25, 2024. Lastly on the order book front the company has a healthy order book of approximately 1100 Crores out of which almost more than 90% is new business and EV contribution is approximately 40% of the total order book. Now I would like to hand it over to Mr. Sanjay Mehta, the Director and Group CFO to update you on the operational and financial performance of the company.
Sanjay Mehta : Good afternoon everyone. I will brief on the operational and financial performance for Q3 and 9 months FY2024. For nine months FY20 24 integrated plastic modules contributed 48% to overall revenue followed by Aftermarket at 14%, gear shifter at 13%, Fabrication at 8%, Emission at 6%, Lighting products at 5% and

others at 6%. Passenger vehicles contributed 47% of the overall revenue, two and three wheelers at 24%, after market at 14% CVs at 9% and others at 6% for nine months FY2024. For more detailed operational highlights one can refer our investor presentation uploaded on the exchanges and company's website. With respect to financial highlights the consolidated revenue for Q3 and nine months stood at Rs.732 and 2064 Crores respectively up by 65% and 52% respectively year-on-year. The main reason for the same is consolidation of revenue from IAC India which stood at Rs.246 Crores and 665 Crores for Q3 and nine months respectively. EBITDA margins stand at 15.8% for Q3 as against 12.2% for Q3 FY2023 up by 360 BPS. The EBITDA margin for nine months is at 14.7% which is up by 270 BPS for nine months FY2023. IAC EBITDA for nine months FY2024 is 131 Crores at 19.7%. PAT after minority interest for nine months stood at 86 Crores as compared to 74 Crores in nine months last year. PAT margins stood at 4.2% for nine months as against 5.5% in FY2023. The lower PAT margin with respect to last year is because of higher interest cost on account of long-term debt of Rs.375 Crores and high depreciation of intangible assets on account of acquisition of IAC India. The net debt as on December 31, 2023, is 91 Crores. The capex incurred during nine months is 78 Crores which includes 31 Crores on account of leasehold assets. The actual capex outlay is 47 Crores. The full year estimate is around 90 to 100 Crores excluding any leasehold assets, which are slightly down from the earlier capex guidance of 110 to 120 Crores. With this we open the floor for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nisarg Vakharia from NV Alpha Fund Management LLP. Please go ahead.
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Page 6 of 17 Nisarg Vakharia : Yes good afternoon everyone. I had two specific questions. The first was that what sort of visibility do you have for the various subsidiaries that we have and what should be their contribution for next year so Lumax Ituran, Lumax JOPP, Lumax YOKOWO number one, number two what are the plans for Lumax Alpine for FY2025, we are at I think some 30-35 Crores of revenue for this year, what sort of revenue visibility you have for next year?

Thank you so much.

Anmol Jain : Thank you so number one for your first question I think all the joint ventures put together in the current year are about close to 20% of the consolidated revenues, of course the larger pie comes from the Lumax Mannoh and Lumax Cornaglia and there is some minuscule contribution from the rest of the joint ventures. As far as the order book goes as I mentioned about more than 100 Crores of the order book is sitting on Alps even the Lumax JOPP and Lumax Ituran are sitting at some order book of about 30 Crores, 35 Crores each so we are definitely bullish on the prospects of certain joint ventures like Lumax YOKOWO, Lumax Ituran and of course Lumax Alps apart from Lumax Cornaglia and Lumax Mannoh which are the more established joint ventures. Giving FY2025 specifically I think while we will see the total contribution from joint ventures to remain approximately around the same vicinity of 20 to 25% of the consolidated revenues but in absolute amount we do expect it to grow by about 20 to 25% in revenue terms on a year-on-year basis because there are some strong orders which will get into production in FY2025.

Nisarg Vakharia : Last question we have a reasonably strong balance sheet but there are some inefficiencies in the amount of interest expense that we have versus the other income that we make on the cash, now I understand that you had extremely strategic and fantastic acquisition IAC; however, can this sort of inefficiency be rectified next year?

Sanjay Mehta : The debt which we have taken for IAC it is

in the lock-in period for 18 months so after expiry of that period certainly we will look into that.

Nisarg Vakharia : Thank you so much for answering my questions and all the very best.

Moderator : Thank you. Next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek Jain : Thanks for opportunity and congrats for a strong set of numbers. Sir this year IAC India their revenue growth is very impressive and margin is very much strong around 19% so will this acceleration will continue especially on the margin side?

Anmol Jain : So I think IAC India of course since it is the first year of consolidation you are seeing a very strong set of let us say growth for the overall company. On a consolidated basis approximately one third of the revenues come from IAC India. We have a strong order book
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Page 7 of 17 out of the 1100 Crores almost more than 55% of the revenue is of IAC India from an order book standpoint, so going forward I expect the contribution on revenue side of IAC to continue in the same vicinity of about 30 to 35% and in terms of the margins I think a sustained margins of IAC would be probably close to around the 18% EBITDA. There were a few let us say extraordinary incomes, one timers for the Q3 so the number you look at for Q3 specifically of about close to 20% plus is a little bit of abnormality but I think on a regularized basis yes the margins of 18-19% should continue.

Abhishek Jain : In this quarter EBITDA margin stood at 14.5% this is excluding the other income so this margin will continue to be higher because of the higher revenue contribution from IAC?

Anmol Jain : I think for both reasons number one as I mentioned I would not say higher contribution the contribution as I mentioned before from IAC will continue to be steady; however, there will also be a growth on the joint ventures and also the standalone from the aftermarket perspective so all those also the growth which is in the joint ventures is coming at a much better margin than the current performance of the joint ventures so the margins will definitely get better not just because of IAC operating at a higher margin but also significant portion of the order book of the joint ventures coming at a better margin than what they are operating at presently.

Abhishek Jain : You are putting a new plant for the air intake system so what kind of the incremental revenue will come from this plant and when it will start to kick in revenue?

Vikas Marwah : So we have commissioned new plant as you are aware at Pune this is for the Lumax Cornaglia joint venture that went live last week this is intended to add 40% additional capacity from our current capability and our machine capacities over the next 12 to 18 months but you can safely assume at least Rs.400 Crores upside in terms of revenue that will accrue to us in FY2025 alone.

Abhishek Jain : In this quarter tax rate was high, tax rate is around right now it is 30% so what would be the effective tax rate for FY2025?

Sanjay Mehta : So actually we are just waiting for the merger of IAC also so whatever the intangible assets is there we will get that better tax deduction and also the auditor has taken the view of some kind of that joint venture loss they have taken as it is without keeping mind in the future

recoverability so way forward the tax would be almost around 25 to 26%.

Abhishek Jain : Depreciation rate is very high because of the intangible asset in the IAC India so when will it start to come down?

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Page 8 of 17 Sanjay Mehta : In fact the intangible assets we have created on the acquisition that will depreciate in the period of 5 to 10 years so we are getting that after the merger the tax efficiency will be there, so tax we are getting almost benefit of 53 Crores approximately in the period of 10 years. The depreciati

on will remain slightly higher for next five to seven years.

Abhishek Jain : What is this intangible asset?

Sanjay Mehta : Almost 213 Crores.

Abhishek Jain : For what Sir is it goodwill or is it software?

Sanjay Mehta : Goodwill there is no depreciation, of course the goodwill is there but there are three type of one is that customer connect assets and the technology then one more asset created, three types of intangible assets that we create, it is customer relation for instance.

Abhishek Jain : Thank you Sir. That is all from my side.

Moderator : Thank you. Next question is from the line of Resham Jain from DSP Asset Managers.

Please go ahead.

Resham Jain : Good afternoon team and many congratulations on solid performance. Sir my question is on growth this year has been very strong led by acquisition but if I look at the base business ex-IAC the growth is maybe slightly slower so overall let us say going forward how should one think about let us say the growth between the two businesses, the IAC growth and the growth in the base business which we used to have that is my first question?

Anmol Jain : Thank you so you are absolutely right. I think if we remove IAC the growth is kind of similar to the industry growth for the nine months period so we have not outperformed the industry but it is pretty much in line with the industry without IAC. Of course the solid 52% revenue growth for nine months is majorly contributed because of the IAC. I think going forward number one the revenue forecast for let us say FY2025 we do anticipate that we will fare much better than the industry A because of the diversity of the products and also we are on various models, the new model introductions, so in terms of guidance I would say that we should be growing probably anywhere around 20% plus on a topline for the next full financial year. Growth in all the three buckets, the standalone, the joint ventures as well as IAC is expected to be in similar vicinity. I would assume that IAC would still continue to grow at about 15% year-on-year basis on a revenue and on the joint ventures and standalone I think the growth would be definitely a lot better because of the orders in hand and also probably because this year was not a significant growth year so a lot of this growth will Lumax Auto Technologies Limited

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Page 9 of 17 kick in the next year from a revenue perspective, so overall yes we should be looking at a 20% consolidated revenue growth in FY2025.

Resham Jain : Understood and IAC merger you have acquired 75 %, 25% is what will get merged right so there will be some dilution because of the same is that understanding correct?

Anmol Jain : No I do not think that understanding is correct.

Sanjay Mehta: So IAC is getting merged with the parent company of Live so then it will become a wholly owned subsidiary of LATL.

Resham Jain : Understood so 75% still remains. Okay got it.

Anmol Jain : The 25% will continue to be held by the foreign partner.

Resham Jain : Understood and Sir just one more thing given that IAC and some of these JVs have a better margin than the standalone business so what should be the company level margin one should expect let us say going forward next two three years?

Anmol Jain : I think at a company level if you see that obviously I already mentioned the sustainable EBITDA margin on IAC would be let us say closer to around 18% odd which would be on a sustainable basis. If you see the other consolidated standalone and joint ventures we are already operating at close to around 12.5%. I do expect that next year this should definitely jump and get into the teen margins as I have always envisaged and I think the IAC will also continue to be in the similar vicinity so from a 14.5% EBITDA which currently the consolidated entity is looking at I would definitely feel that this should inch more towards 15% plus.

Resham Jain : Understood Sir one last

one on IAC so when we took over the business we had Mahindra &

Mahindra is the only customer and we said that we will mine more customers over a period of time so how is the progress happening on that front because Mahindra is number third -

fourth player and you already have relationship with some of the larger ones, also from let us say three five years perspective how should you look at this business given you are not present with some of the larger customer there?

Anmol Jain : I think number one there is a correction. Mahindra & Mahindra is not the only customer Mahindra is the largest customer. IAC continues to enjoy an existing relationship with other OEMs namely Maruti Suzuki, Volkswagen as well as Volvo Eicher. Just for your consumption I think IAC did revenue of over 50 Crores with Maruti Suzuki for the nine months of this current fiscal. The objective here was that we will take IAC and expand our Lumax Auto Technologies Limited

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Page 10 of 17 relationships for IAC with the other OEMs. We will probably definitely grow our wallet share in Maruti Suzuki and also try and get business from other OEMs with which IAC does not have a current ongoing relationship and that is where the Lumax management or the Lumax advantage has come into play so we are working with Tata Motors very closely. I do hope that in the subsequent quarters we should be able to share some positive news on other OEMs development and traction.

Resham Jain : Understood. Great Sir. Thank you very much and all the best.

Moderator : Thank you. Next question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.

Amit Hiranandani : Sir my first question is basically on the IAC you said there is some one-off income in this quarter can you please quantify that and what is that one-off?

Anmol Jain : When I say one-off income it is a regular operational income but it is more pertaining to the previous quarters as a price increase because there are one or two quarter lag but that amount is not significant it is I think only about 3 Crores or so.

Amit Hiranandani : Sir on the standalone margins were pretty much impressive this time so can you please guide what is the sustainable run rate we can assume?

Anmol Jain : So I think as I mentioned if you look at standalone as well as the joint ventures let us say without the IAC piece we are currently sitting at almost close between 12.5 to 13% margin and definitely the endeavor would be because we are gaining a lot of the new order books it is coming at a better margin than what we have traditionally performed in some of the joint ventures and also if you see we had a pretty flatish revenue in the standalone entity for the current fiscal and we are expecting a double digit growth in the standalone entity even going forward in the next fiscal so there will be definitely cost optimization of fixed cost and better realization so for those reasons I would envisage that we should be operating at anything around teen EBITDA margins for the entity without IAC. So 13 to 14% would be my best guidance from a sustainable EBITDA margin for the entity without IAC.

Amit Hiranandani : Sir can you just help me with the revenue and EBITDA numbers for all your subsidiaries for 9M?

Anmol Jain : So can we share these numbers offline with you because this would be a long thing but if I were to just give you a breakdown 50% of the consolidated revenues approximately comes from the standalone entity I think 47% to be more precise and about 32-33% is from IAC and about 20% is from joint ventures. This is the nine-month actual data in terms of the Lumax Auto Technologies Limited

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Page 11 of 17 contribution of the total pie. The standalone has had almost flat growth or a negative 2 to 3% growth in nine months. The joint ventures have actually grown by 25% and of course IAC was a new piece so that added to

the revenue. In terms of EBITDA margins I think we have already spoken about the sustainable EBITDA margins for IAC as well as the joint

ventures and standalone business so on a consolidated basis if you look at the current year on a full year we are expecting maybe a growth compared to last year of almost 50% which is seen in nine months so you are looking at anywhere around 2750 to 2800 Crores of topline and probably 400 Crores plus EBITDA at the full year consolidated level.

Amit Hiranandani : I will take the exact number offline no issues. Sir one question on the order book if you can share it on the subsidiary wise if you can share IAC, Mannoh, Cornaglia, and other six subsidiaries?

Anmol Jain : Sure so out of the 1100 Crores about 60% or about 600 to 650 Crores is IAC, about 300 odd Crores is all the joint ventures out of which the major ones are about 110 Crores in Lumax Alps Alpine, Lumax Cornaglia it is sitting at almost about 70 Crores, Lumax Mannoh is sitting at about 50-55 Crores and then you have Lumax Ituran and Lumax JOPP both sitting at around 30-35 Crores each. That is the bulk of the orders for the joint ventures and then apart from that we have about 150 Crores of order book for the standalone entity largely coming from Bajaj Auto for their new EV model.

Amit Hiranandani : Sir if you can also give guidance on the order execution especially for Alps Alpine, JOPP, Ituran and subsidiaries?

Anmol Jain : So out of the 1100 I would say around 50% of the total order book will come into FY2025 revenue and approximately 30% of it would come into FY2026.

Amit Hiranandani : Sir we were planning to enter into EV products as well so any update on this thing, new JV or something?

Anmol Jain : Yes definitely. Out of the total order book almost 40% is coming from EV. EV both in passenger vehicles as well as EV in two wheelers, as I already mentioned we are already secured some orders for the Born Electric Vehicles of Mahindra & Mahindra as well as the new variants of electric platforms of Bajaj Auto.

Amit Hiranandani : Specifically the EV specific product like BMS controllers and etc., so we were planning to enter to do those products as well right?

Anmol Jain : So we are still on the drawing board on that. We have still not firmed up a clear strategy onto the EV but I do believe that there are many more opportunities which are on

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Page 12 of 17 alternative fuels and alternative technologies than EV which could be of more interest and gain more traction so we are still evaluating on that.

Amit Hiranandani : Just one last question if you can throw some light on the capex side for the next three years please a broad number would be fine?

Anmol Jain : So we are looking at approximately 400 odd Crores in the next let us say give or take three years to get this order book of around 1100 Crores and this to give you a feel. Asset turnover ratio today is at about 1:2.5 and I think that is only going to improve going forward.

Amit Hiranandani : All the best. Thank you so much.

Moderator : Thank you. Next question is from the line of Apurva Mehta from AM Investments. Please go ahead.

Apurva Mehta : Yes sir congratulations on great set of numbers. My question was on the aftermarket side we have seen some tough kind of growth we were expecting and doubling the turnover in next three to four years we are going slow on that side any specific reason on that front?

Anmol Jain : If you look at nine months of the current fiscal aftermarket has grown by about 7% the reason is primarily that we do see realizations becoming a slight challenge in aftermarket so just to have a more prudent cash flow management we are not pushing the sales forward and we are making sure that the realization remains intact; however, having said that I think we are still very bullish that in Q4 we should be able to do a better growth and for the full

year we should still be able to report a double digit growth for the aftermarket division but the guidance of the two to three years horizon remains intact with new partnerships which we recently entered into with Germany's Bluechem as well as a new product development portfolio. We are very confident that we will continue that momentum of doubling our aftermarket revenues in three to four years and I think we are entering the second year in FY2025.

Apurva Mehta : On the Bajaj side can you throw some light what kind of visibility we have for next year because Bajaj the export is still not picking up so we have any visibility where we can have other models where we can have some kind of revenue growth coming from there?

Anmol Jain : Let us understand the two reasons why we have not done extremely well or we have not grown with Bajaj Auto so significantly rather we have had a degrowth in Bajaj Auto from a nine month perspective is largely because of the frames business and let us understand in the frames our dependence on two or three models like the Platina and the CT which are

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Page 13 of 17 mostly on the export and let us say certain domestic is very high and both these models have had a negative volume of almost 15% and 40 % respectively so that is the reason there is a bit of an anomaly as far as our revenues with Bajaj goes versus Bajaj's own performance goes. We have recently gone in to the KTM, we have got the KTM Duke model chassis, we are also now as I mentioned confirmed for one of the EV variants going forward, we are also adding more value than rather than just being a fabrication and a frame maker we are also doing a lot of painting and coating so it will also increase our content for vehicle and of course we are still in dialogue but we are hopeful that going forward we may come on the Pulsar platform as well.

Apurva Mehta : Great and Sir this margins of 15.8% which was unbelievable margin and congratulations to you on the team of Lumax but on the steady state going forward can we assume as a 15% kind of margin for next year?

Anmol Jain : Yes I think definitely that margin should be sustainable both from IAC perspective as well as from the standalone and the joint ventures perspective so yes a consolidated margin of 15% EBITDA should definitely be something which should be sustainable in FY2025.

Apurva Mehta : Can you throw some light on Lumax Ancillary who are the clients and what kind of revenue

we can visualize for next year and kind of margins in that?

Anmol Jain : So Lumax Ancillary currently is more of a wiring supplier as a backward integration to the lighting business of Lumax industry that is largely the current business model. However we are looking at possibly growing this business not just internally as a captive backward integration but also to OEMs. I think the revenue pie is approximately close to 150 Crores on an annual basis and we do expect this to continue to grow in FY2025 as well based on two things one is the organic volume growth, number two is based on certain customer expansions and number three is also because of the technological change, as more and more LED applications come into lighting, the value per wiring harness assembly also goes up so for those reasons we do expect this to continue the upside in terms of the revenue growth going forward.

Apurva Mehta : What kind of EBITDA margin could they have because wiring harness is a low margin business?

Anmol Jain : Right now it is still too early for us to give you a guidance because this business is something which we have just gotten into but I think for now it is still operating in single digit EBITDA margins and once we look at it closely we will definitely try and bring this back up to a similar maybe a double-digit margin or so going forward.

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Apurva Mehta : When are you telling us that you will have a 20% growth next year so we have taken into account Lumax Ancillary also or we have not just taken?

Anmol Jain : We have taken that into consideration as well.

Apurva Mehta : Because that will contribute around 175 to 200 Crores?

Anmol Jain : No about 150. We have taken 150 as a conservative figure for next year so 150 even if you take out you will still be looking at maybe around 17% growth without the Lumax Ancillary so it is not adding significantly on 3 000 Crores if you look at even 150 Crores so that is literally about 5%.

Apurva Mehta : Thanks a lot and wish you all the best.

Moderator : Thank you. Next question is from the line of Karan Mehra from Mehta Investments. Please go ahead.

Karan Mehra : Thank you for the opportunity. A couple of questions. Sir we recently started a new facility for LCAT so basically we are shifting to a bigger facility now if you can help us understand like when can we see the complete shift happening from the older facility to the newer one and will any business be affected during this transition?

Vikas Marwah : So Karanji we have already migrated 100% from the earlier facility which was a 30,000 square feet to 225000 square feet facility. The old plant has been vacated which is at a vicinity of just 2 kilometers and therefore there is no further migration that is happening. We will be now going up on the capacity utilization over the next three months so Pune is now operating out of one facility for LCAT and one facility out of Pantnagar.

Karan Mehra : Sure that answers my question. Thank you.

Moderator : Thank you. Next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Sir I missed the taxation part so after this amortization which you are taking goodwill what is the taxation that you would incur?

Sanjay Mehta : It will come in 22 plus surcharge, etc.

Pritesh Chheda: The minority interest that we see so IAC is 75% owned by us that is where the minority is rising?

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Page 15 of 17 Sanjay Mehta : Yes 25% is the minority.

Pritesh Chheda: Can you share what are the net margins for IAC, for the nine months if you could share the PAT and the topline number?

Anmol Jain : So the top line number was very clear I think I mentioned that. The top line of IAC for the nine months is about 665 Crores. In terms of the PAT margin is about double digits again it is higher than about 10%. I think it's around close to 10.5 to 11% for nine months.

Pritesh Chheda: Thank you.

Moderator : Thank you. Next question is from the line of Dinesh Kulkarni from RDST. Please go ahead.

Dinesh Kulkarni : Thanks for taking my question. My question is I see we do not have a significant debt on our balance sheet and it is very manageable and even the capex seems to be in normal range do we plan to increase our stake in any of the joint ventures or subsidiaries with the cash which we expect to generate over the next three four years that is my question?

Anmol Jain : No we are very comfortable with the current arrangement with all our joint venture partners so we do not anticipate any increase in the shareholding between us and the joint venture partners. I think the reason why

there is no debt is because there is surplus cash and the free cash which the company's operations generate and that cash is redeployed in terms of the capex so there is no need for any external borrowings for now.

Dinesh Kulkarni : That is my question. Thank you.

Moderator : Thank you. Next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Yes Sir just a followup there. Will we see repayment of the borrowings in the next cycle?

Sanjay Mehta : It will start from the next year and it is a period of four to five years we are anticipating though it is a five-year term but looking

to the cash flow available we will take decision that time.

Pritesh Chheda: What would be your cash generation in nine months the operating cash flow?

Anmol Jain : You are talking about IAC specifically or you talking about as a consolidated entity?

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Page 16 of 17 Pritesh Chheda: As a consolidated entity so on 300 Crores EBITDA what is the cash flow you have generated.

Anmol Jain : It would differ entity-to-entity because 300 is a consolidated level so we will have to address you offline.

Pritesh Chheda: No problem Sir. Thank you very much.

Moderator : Thank you. Next question is from the line of Amit Hiranandani from SMIFS Limited.

Please go ahead.

Amit Hiranandani : Sir just on the gross debt side if you can just let me know the gross debt including the working capital and the cash position?

Sanjay Mehta : It is gross debt including working capital is around 600 Crores and we are having the bank balance of almost around 318 Crores out of that gross debt long-term is around 410 Crores and the working capital is around 193.

Amit Hiranandani : The next question on the Lumax Ancillary Limited so you said the EBITDA margin is about single digit and the revenue is about 150 Crores annually so Q4 would be effectively on a consolidated level the EBITDA margin would little bit come down because of this merger or acquisition of Lumax Ancillary?

Anmol Jain : Well again there would be certain improvement on the other businesses as well so I would not say because again on a quarter basis it is just about 35 to 40 Crores of revenue which is not so significant for the consolidated entity so the other businesses are expected to also show a positive momentum in Q4 so a lot of that would get offset and perform better and that is why I said at a consolidated level the margins would be able to sustain going forward as well from the current levels so I do not anticipate LAL lower EBITDA margin to have any major impact on the consolidated revenues or profits.

Amit Hiranandani : Correct and Sir I was just checking annual report so we are paying a royalty to Lumax Industries limited so can you please help me in understanding this part please?

Sanjay Mehta : We are not paying any royalty to Lumax Industries. We are paying service charges to Lumax Management Services and also to the Mannoh.

Anmol Jain : Lumax Industries the one royalty angle we are paying is the royalty we pay for the supplies of Mahindra & Mahindra items to the aftermarket so we have a very clear arrangement with Mahindra & Mahindra as an OEM. Usually a lot of the OEMs prohibit us from selling in Lumax Auto Technologies Limited

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Page 17 of 17 the open aftermarket by ourselves but for Mahindra & Mahindra we were able to make some arrangement that whatever revenues we garner from the aftermarket there would be a percentage royalty paid to Mahindra & Mahindra and since Mahindra & Mahindra lighting is handled by Lumax Industries it is more of Lumax Technologies based Lumax Industries and then Lumax Industries pays it to Mahindra & Mahindra directly so that is the only nature of royalty which is there between Lumax Technologies and Lumax Industries.

Amit Hiranandani : Correct very clear. Just last one question so Sir on the emerging JVs what we have Alpine, and etc., so with JVs can turn profitability faster and by when you can see this happening?

Vikash Marwah: So the positive trend has started in fact from Q4 only of the current financial year. Lumax Ituran will be reporting positive EBITDA in Q4. For next year Lumax Alps Alpine and Lumax Ituran both will be profitable and our endeavor will be to get Lumax YOKOWO and Lumax JOPP also coming in with a double digit PBT figure by FY2026 this is on the basis of the order book that we have currently in hand and the next 6 to 12 months for the other two joint ventures there

will still be the development time.

Amit Hiranandani : Very helpful. Thank you so much. All the best.

Moderator: Thank you. Ladies and gentlemen that was the last question of the day. I now hand the

conference over to management for closing comments.

Anmol Jain : Well I take this opportunity to thank everyone for joining into the call today. We will keep informing the investor community on a regular basis for updates on your company. I hope we have been able to address all your queries. For any further information please get in touch with us or strategic growth advisors or investor relations advisors. Thank you once again and have a good evening.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2024

LA T L:CS:REG30:2024-25 Date: 06.0 6.2024

BSE Limited

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Listing & Compliance Department

Exchange Plaza, C -1 Block G,

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Bandra (E), Mumbai – 400051

Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call- Q4 & Financial Year ended 2023-24

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Thursday, May 30, 2024 at 02:30 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 4th Quarter and Financial Year ended March 31, 2024.

The transcript shall also be made available on the website of the Company at

www.lumaxworld.in/lumaxautotech.

This is for your information and records.

Thanking you,

Yours faithfully,

For Lumax Auto Technologies Limited

Pankaj Mahendru

Company Secretary & Compliance Officer

ICSI Membership No. A 28161

Encl: As stated above

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"Lumax Auto Technologies Limited

Q4 FY '24 Earnings Conference Call"

May 30, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 30, 2024 will prevail.

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR – LUMAX AUTO TECHNOLOGIES LIMITED

MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER – LUMAX AUTO TECHNOLOGIES LIMITED

MR. SUNIL KOPARKAR – MANAGING DIRECTOR , IAC INDIA

MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF FINANCIAL OFFICER

MR. RAJU KETKALE – GROUP HEAD MANUFACTURING AND CORPORATE PLANNING

MR. NAVAL KHANNA – CORPORATE HEAD – TAXATION

MS. PRIYANKA SHARMA – HEAD CORPORATE COMMUNICATIONS

MR. ANKIT THAKRAL – CORPORATE FINANCE

SGA -- INVESTOR RELATIONS ADVISORS

Moderator: Ladies and gentlemen, welcome to the Q4 and FY '24 Earnings Conference Call of Lumax Auto Technologies Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

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As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch- tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. Very good afternoon, ladies and gentlemen. A very warm welcome to our Q4 and FY '24 earnings conference call. Along with me on this call, I have Mr. Vikas Marwah, CEO; Mr.

Sunil Koparkar, Managing Director, IAC India; Mr. Sanjay Mehta, Director and Group CFO; Mr. Raju Ketkale Group Head Manufacturing and Corporate Planning; Mr. Naval Khanna, Corporate Head, Taxation; Ms. Priyanka Sharma, Head of Corporate Communications; Mr. Ankit Thakral from Corporate Finance and SGA, our Investor Relations Advisor.

The results and presentations have been uploaded on the stock exchange and the company's website. I do hope everybody has had a chance to go through the same. To begin with, I would like to reflect on FY '24, which has been the most successful year in the company's history in terms of financial performance. We witnessed a remarkable revenue growth of 53% on a year-on-year basis, at INR 2,822 crores and also the highest ever historic profit of INR 413 crores EBITDA.

This achievement is a testament to our commitment to delivering high-quality, diverse automotive technologies and solutions to our customers. The growth was driven by strong sectoral tailwinds with vehicle sales across nearly all segments returning to pre-pandemic levels. This resurgence was fuelled by robust demand for passenger vehicles driven by customers' aspirational desire towards premium personal mobility.

A major highlight of the year was the rebound in sales of 2-wheelers, which had been experiencing a slowdown since the pandemic. We anticipate that this segment will continue to grow and outperform on the back of launch of multiple high-end models by major OEMs.

However, it is worth noting that the tractor in Commercial Vehicle segment experienced subdued performance due to weak monsoon conditions and muted private capital expenditure during the year. Despite these challenges, FY '24 emerged as one of the best years for the industry overall.

Mirroring the performance of the auto sector, the auto ancillary sector has also achieved an unprecedented turnover of INR 5.6 trillion in FY '24 based on the data released by ACMA. This

was driven by several factors, including strong vehicle sales within the country, a thriving aftermarket and consistent exports. Additionally, the trend of premiumization seen across various sectors is increasing the value per vehicle.

There is a growing demand for high-end vehicles, particularly in the passenger vehicle and 2-wheeler segments. This trend presents a valuable opportunity for ancillary players like us to Lumax Auto Technologies Limited

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increase our content per vehicle and enhance our market presence. The growing inclination of consumers towards high-end features and cutting-edge technologies in automobile is facilitating the development and provision of increasingly complex and sophisticated components by Tier 1.

Speaking on Lumax Technologies, this year marks the successful completion and integration of the IAC India business, which is poised to be a significant growth driver for the company. And we are confident that its momentum will continue fuelled by the addition of new customers and the expansion of our wallet share among the existing customers, which will enhance overall capabilities and position us to leverage synergies, opti

mize operations and deliver superior value to our stakeholders.

Coming to our joint ventures, Lumax Mannoh and Lumax Cornaglia have continued to demonstrate strong growth contributing significantly to company's overall growth. Other smaller joint ventures are also making notable progress towards the turnaround in line with our business strategy. These joint ventures are poised to become key drivers of growth as we move forward.

We are confident in their potential to enhance our market position and contribute to the sustained expansion of the company. Additionally, during the year, with an aim to boost our aftermarket presence, we also announced the partnership with Germany's Bluechem Group, a leader in innovative automotive car care solutions, to offer Indian consumers world-class automotive care products. Our company continues to be the preferred partner for major OEMs in the country due to our ability to locally design, develop and manufacture high-end products as a full system supplier.

We consistently demonstrate our capability to forge strategic partnerships and expand our product range, reinforcing our position as a key player in the industry. Speaking on the performance entity-wise, the stand-alone entity caters to Integrated Plastic Modules, aftermarket business, chassis and swing arm for 2-wheelers, trailing arm for 3-wheelers under the metallic business and 2-wheeler lighting. The stand-alone entity has contributed 47% of the total consolidated revenues for FY '24.

During the quarter, the Bangalore plant of the company received the best QCD performance award at Honda Motorcycle India Annual Supplier Convention held in Mumbai in March '24 and the VAVE aboard at the Maruti Suzuki vendor conference in April '24. IAC India, the recently acquired 75% subsidiary, which is a Tier 1 interior system supplier to key automotive OEMs in the country, including Mahindra, Maruti Suzuki, Volkswagen India and Volvo Eicher commercial vehicles contributed 31% of the total consolidated revenues for FY '24.

The company received the new parts Development Award at the Maruti Suzuki vendor conference in April '24, and the best cost management performance award at the Mahindra Supplier Excellence Awards in February '24. In the current quarter, the company has started supplies to the newly launched Mahindra 3XO model, which is offering premium interiors and

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is in very high demand. The company also for the first time, has added Tata Motors as a new customer for supply of console based on the long-term relationship between Lumax and Tata Motors. The SOP of which is expected in quarter 4 of FY '25.

During the quarter, IAC India, which was acquired through Lumax Integrated Ventures Private Limited has been merged with LIVE with appointed date of March 10, 2023. Lumax Mannoh Allied Technologies, the 55% subsidiary, which manufactures manual, AMT and automatic gear shifter system and has the market leadership position contributed 12% to the consolidated revenues. During the quarter, the company received the financial prudence award at the same Maruti Suzuki vendor conference in April '24.

Lumax Cornaglia Technologies, a 50% subsidiary, manufacturing air intake systems and urea tanks commanding 100% share of business with Volkswagen and Tata Motors contributed 6% to the consolidated revenues. Lumax Ituran Telematics Private Limited, the 50% subsidiary, has successfully commenced supply of telematics parts to Daimler India in the current quarter. As a result, the revenue is expected to grow significantly in the next financial year.

Lumax Alps Alpine India Private Limited, the 50% subsidiary for the manufacturing and sale of electric devices and components, including software related to the automotive industry has contributed 1% of the total consolidated revenues. We have an order book of INR 110 crores

and continue with aggressive targets for this joint venture. The company did receive recognition for quick resolution of market feedback from Maruti Suzuki India.

During the current quarter, the company has acquired remaining stake in Lumax Ancillary Limited, and LAL has become the wholly owned subsidiary of the company with effect from January 25, 2024. Further, subsequent to year-end on May 27, 2024, the Board of Directors of the company has accorded its consent for proposed merger of LAL into the company with April 1, 2024, as the appointed date.

Lastly, on the order book front, the company has a healthy order book of more than INR 900 crores, out of which INR 200 crores is for stand-alone entity, mainly of plastics and metallic divisions, INR 300 crores for the joint ventures out of which INR 200 crores is for the new joint ventures and INR 100 crores is for the matured joint ventures and INR 400 crores for IAC India. Out of the total INR 900 crores, 90% is new business. 30% of the order book value will mature in FY '25, 55% in FY '26 and the remaining 15% in FY '27. The EV contribution is approximately 40% of the total order book. We continue to deeply engage with our customers to constantly win more businesses across models, thereby increasing our order book.

Now I would like to hand it over to Mr. Sanjay Mehta, Director and Group CFO, to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. Let me brief on the operational and financial performance for Q4 and FY '24. For FY '24, Integrated Plastic modules contributed 47% of overall revenue followed

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by aftermarket at 14%, gear shifter at 12%, fabrication at 8%, emission at 6%, lighting products at 5% and others at 8%. Passenger vehicles contributed 48% to overall revenue, 2 and 3 wheelers at 24%, aftermarket at 14%, CV at 9% and others at 5%. For more detailed operational highlights one can refer our investor presentation uploaded on the exchanges and company's website.

On financial highlights, the consolidated revenue for Q4 and FY '24 stood at INR 757 crores and INR 2,822 crores, respectively, up by 54% and 53% over the corresponding period. This is the highest ever single quarter and yearly revenue. It includes revenue for IAC India of INR 886 crores and INR 30 crores for Lumax Ancillary, our 2 months revenue of Lumax Ancillary post 100% subsidiary with the company.

EBITDA margin stands at 14.5% for Q4 as against 12.6% for the Q4 corresponding last year, up by 190 basis points. Absolute EBITDA for Q4 FY '24 stood at INR 110 crores, growth of 77% on a

year-on-year basis. For FY'24, EBITDA stood at INR 413 crores, which is the highest ever registered EBITDA for the company with margins of 14.6% compared to EBITDA of INR 224 crores at margins of 12.1% corresponding period of the last year, up by 250 basis points. PAT before minority interest for the quarter stood at INR 51 crores as compared to INR 24 crores in Q4 FY'23, a growth of 116%. The margins stood at 6.8% for the quarter due to the tax benefit of finance and depreciation, costs amounting to approximately INR 7 crores on IAC acquisition post-merger with LIVE as was explained in earlier investor call.

For FY '24, PAT before minority interest stood at INR 167 crores, grown by 50% year-on-year with a margin of 6%. The tax rate for the full year is 26.4% and slightly to continue in the same range in the future. The capex during FY '24 is INR 111 crores, which includes INR 33 crores on account of lease hold assets. The actual capex, therefore, is INR 78 crores. The company is sitting on a healthy free cash of INR 396 crores. The net long-term debt as on 31st March '24 is INR 15 crores. With this, we open the floor for questions.

Moderator: The first question is from the line of Neeraj from DAMAC Properties. Please go ahead.

Neeraj: If I look at our annual numbers, if I exclude the acquisition part, I believe we grew top line by around 8% and EBITDA by around 9%. And I understand things changed during the year, but when we started out and the guidance was around between 15% to 20% kind of growth, so can you please elaborate what happened throughout the year and what are our expectations for the next year?

Anmol Jain: So thank you, so your numbers are correct. Without the acquisition of IAC India, the growth numbers are 8%. There were 2 to 3 fundamental reasons why the earlier guidance of, let's say, double-digit 15% plus growth were not fructified in the last financial year. Number one was the aftermarket. I think in aftermarket, not just for Lumax but across pretty much all Tier 1s and other peers, we see that there has been either negative growth or a very muted single-digit growth. And this is largely because of poor cash realizations or income realizations from the Lumax Auto Technologies Limited

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aftermarket. So we, as a matter of principle and good financial prudence, we make sure that we do not push the aftermarket revenues just to get the revenue going.

So in line with that, we altered our aftermarket sales, and that's why we grew at about 8% for the year versus the earlier guidance. So that's one of the reasons. The second was that Bajaj Auto has had a massive change in the product mix based on the earlier guidance. The Pulsar platform is the perhaps only platform, which has grown significantly to the overall Bajaj volumes, and that is a platform where Lumax Technologies does not necessarily have a strong presence in.

We are talking with Bajaj Auto to how to get into that platform in the forthcoming, let's say, quarters. However, these were the 2 fundamental reasons why without IAC India, the growth percentages are muted.

Neeraj: Understood. And sir, what's our guidance for FY '25?

Anmol Jain: So I would say that FY '25 at a consolidated level, I would still say that the growth would be anywhere around 20% to 25%. This includes IAC. Of course, the IAC growth is expected to be somewhere between 15% to 20% on the back of new model launches and certain other incremental organic growth of certain recently launched models. And again, the stand-alone entity would probably also grow in a similar vicinity of about 15% to 20%. The subsidiaries will probably grow at a much faster rate. I think overall we are expecting that growth to be maybe around 40% to 50%.

Again, it's a smaller base, but from a growth rate, we are looking at a much faster growth rate of the subsidiary than the joint ventures.

Neeraj: Understood. And sir, on Slide number 31, you mentioned that our net debt is INR 16 crores, so this only takes into consideration long-term debt, but if you include short-term debt as well.

So what's our net debt currently?

Sanjay Mehta: So the net debt, if I will state it is INR 285 crores net debt, including the working capital limit, so the bifurcation is that long-term debt is around INR 411 crores, exact figure, and the short-term loan is around INR 270 crores on the working capital loan. I can say we are carrying the free cash of almost around INR 400 crores.

Neeraj: Understood. And sir, I understand from our previous discussions that when we bought IAC, we entered into some kind of a loan agreement, which we had to keep on the books for 18 months.

And we have a lot of cash on the books, so like can we repay those debt when 18 months period is over?

Sanjay Mehta: So this is a big debt and that still is there that period 18 months will -- somewhere it will go to September, so we are negotiating. And I think the way forward, whatever the interest cost that we have taken from NBF C that will be further restructured.

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Neeraj: So in summary, in FY '25, can we

see substantial reduction in our finance costs. Will that be a correct assumption?

Sanjay Mehta : No. I think because the substantial reduction in finance costs will not be there. But yes, the net debt definitely there's a reduction in the net debt, total debt.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited.

Amit Hiranandani: Congrats for the strong set of numbers for the financial year. Sir, my first question is basically, can you please help us with the revenue, EBITDA and PAT number for all these subsidiaries for FY '24, please?

Ankit Thakral : So, the revenue numbers have already been in the -- what they are in the opening speech of Mr. Anmol Jain and the subsequent EBITDA and PAT numbers, we will be uploading the financials of all the subsidiaries in, say, next month or maybe in the July month. So , but that number we can anyway share now offline.

Amit Hiranandani: Sure. I'll ask offline as well. And sir, if possible, can you at least give a broad number for at least for the three entities, IAC, Mannoh and Cornaglia, the revenue, EBITDA , PAT?

Ankit Thakral : So the IAC India revenue is INR 886 crores for 12 months with EBITDA of INR 175 crores.

Amit Hiranandani: And Mannoh?

Ankit Thakral : Mannoh revenue is INR 353 crores with 17% EBITDA.

Amit Hiranandani: And lastly, Cornaglia, please?

Ankit Thakral : INR157 crore revenue at 18% EBITDA.

Amit Hiranandani: Great, sir. Sir, my next question is on the IAC India. And first of all, congratulations for adding Tata Motors as a new customer here. And just please give a broad outlook for two years for this important entity. And also, sir, we were supposed to add a capacity in India. So what is the status here? Current utilization level for the same and margin outlook for this important entity please?

Anmol Jain: So, I'll just quickly give my comments. And then maybe I'll request Sunil to give you a little bit more detail. I think we've always said that once we got into the strategic inorganic growth, the idea was to take the competency of IAC of India, and expand into certain other customers that improve our wallet share across customers. Clearly, Tata Motors entry is the first step towards that strategic direction. Second was also to see how we can cross- synergize and sell a basket of products to our customers.

For that, I think, again, IAC India is already working in the advanced stages of probably developing and integrating the interior lighting along with the Lumax engineering team. I think going forward, I would still say that the CAGR of IAC India would probably continue to be in the Lumax Auto Technologies Limited

double-digit space. And again, from an operating margin, I think I would still say that anyway, upwards of 15 %-odd EBITDA would be a sustainable number going forward over the next two to three years .

Obviously, on a top line growth of, as I said, more than 15% CAGR. But Sunil, maybe I'll just hand it over to you to have a little bit more understanding on the expansion part and what you entail in terms of the coming quarters. Sunil, are you on mute?

Sunil Koparkar : Yes, no. I would take this opportunity to update the audience about the -- currently, our capacity is in full, and we are actually doing 2 major expansion in Pune region for upcoming launches. There are three launches planned in Pune region, starting from Q3, Q4, they will be phased out. We are also doing the expansion in our Nashik facility, one launch, as Mr. Anmol Jain said already successfully launched and has a tremendous pull in the market.

The second launch is just around the corner and the launch will be revealed by August 15. I think that is going to be another blockbuster launch coming through. So if you really look at it, the expansion is actually to cater to this growth coming between Q2, Q3, Q4, for the five new vehicles, which will

be launched, and that will be the growth you will see in future.

Amit Hiranandani: Great. This is very helpful. Sir, my second question is on the Lumax Mannoh. So if you can just help me how much is the current automatic gear shifters penetration? What is the market share of Lumax Mannoh in manual and automatic gear shifters? And have you witnessed any further traction in the exports from this entity?

Anmol Jain: I'll let Vikas go ahead and answer that, please.

Vikas Marwah: So the penetration of automatic gear shifters has been increasing over the last 5 years. In volume terms, however, it still constitutes around 40% to 45%, but in value terms, it is contributing more than 70% right now. That is due to the higher price between the manual gear shifter and an automatic gear shifter. We continue to be the largest player in this segment

in the country by far, with more than 80% market share across all the passenger vehicle customers.

The automatic gear shifter also is slated to give way to the mono stable shifters, resting on the e-shifter technology -- that is now transitioning, but that is still two to four years away, and we are well placed on the R&D road map there. Sorry, what was your second question?

Amit Hiranandani: Sir, on the exports, how is the traction there?

Vikas Marwah: Yes. So as far as exports are concerned, in -- so each of our joint ventures are India -specific joint ventures, and we are fenced to that extent. Also, because of that, we are not very aggressive on exports in our joint ventures. But basically, in case of Mannoh, they have opened up the ASEAN market for us to begin with. We have started exporting for one major OEM into Indonesia and Malaysia right now. And the road map is now clear for expansion into 5 countries

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over the next 5 years as the capacities are getting choked in their parent entities in Japan and other places.

Amit Hiranandani: This is very, very good news for this entity. Sir, lastly, on the Lumax Cornaglia.

Moderator: I'm sorry to interrupt, sir. Mr. Amit, could you please follow back on the question queue? The next question is from the line of Nilesh Shah from Julius Capital.

Nilesh Shah: Sir, just one small thing from my side. Can you please just talk about your plans with respect to the two companies that the group has, which is Lumax Auto and Lumax Industries ? What we see is that the management team, right? And is it in the client base right is common across them? So what are your plans? So what are your plans, do you have any plans to merge them down the road and if you don't, , how do you operate both like, both from a KMP and from a client relations point of view . I'd say that both firms are able to grow over time? Thank you.

Anmol Jain: Understood. Nilesh thank you for your question. I think this call is more pertaining to Lumax

Auto Technologies. But anyway, I'll give you a quick oversight. I think Lumax Industries and Lumax Auto Technologies are completely different with respect to their presence in the market. Lumax Industries is a one product, one partner entity, which continues to maintain its market leadership in the automotive lighting arena with Stanley as its joint venture partner of over 40 years.

The only lighting, which is an exception, which we do in Lumax Auto Technologies is for the Bajaj account, and that is for strategic reasons, and that has been well deliberated and understood by our lighting partners Stanley. Coming to Lumax Auto Technologies, I think this is a basket of multiple diverse subsidiaries, joint ventures and the endeavour is to continuously grow and garner a bigger slice of the opportunities that exist with the advanced technologies and the changing landscape of the automotive industry.

Auto Technologies is, again, as I said, it has got 9 different joint ventures and subsidiaries , which

operate under it. Of course, the clients will be common because let's say, Maruti Suzuki or any other 2 -wheeler big player like Hero or Honda Motorcycle/Scooter will continue to be serviced from both the entities. But clearly, both of them do have a lot of synergies in terms of the management team, in terms of the operational synergies.

However, they continue to coexist without any, so to speak, competition or overshadowing on each other spaces. Lumax Technologies remains extremely different company than Lumax Industries. And that's the understanding that we will still continue to grow at -- grow both of them separately and individually.

Nilesh Shah: I see. Okay. So your main point is that, see as you grow, right, you will have the chance, right, to enter new products, new clients, right? So what you are saying is that apart from lighting, most of these growth pursuits will happen in Lumax Auto, right? Is that the broad idea that I

should sort of take away from this? Because what you're saying is Lumax Industries is focused

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on one product, which they will then do across clients versus Lumax Technologies, so Lumax Auto is a multi -product company, and you will do various products with various partners and clients.

Anmol Jain: That's correct.

Moderator: The next question is from the line of Harshil Shah from AM Investment .

Harshil Shah: My question is for IAC. Sir what is the content per vehicle on the 3XO model?

Anmol Jain: Sunil, could you give that this what is the value per vehicle on the 3XO, all parts put together approximately just, I don't know, a range maybe.

Sunil Koparkar : 25%. (Mispronounced) INR25,000 value.

Anmol Jain: INR25,000 per vehicle.

Harshil Shah: And what will be that against like XUVs, something like XUV -700, is it the content per vehicle

higher in case of parts?

Management: No, actually, the content, actually, we have our content on 3XO is a little bit less than 700. So actually, the content for 700 could be in upwards of INR 33,000.

Harshil Shah: Okay. So this is around INR 25,000. Okay. And my next question is on the -- like can you tell me -- you said other subsidiaries will grow at 40% to 50%. So which are the key subsidiaries here that you are considering?

Vikas Marwah: So Harshil, this is Vikas Marwah. The other subsidiaries that are slated to now grow at more than 40% to 60%, one, you would see a full year revenue of Lumax Ituran coming in for which we saw a big traction in Q4. That would be a full year revenue, and it should record more than 50% to 55% growth. Alps India will also register more than 50% growth in the coming years. This is the ramp -up year now beginning for Lumax -Alps and besides this, the base being small, Lumax YOKOWO would be also growing by more than 50%. So these are the 3 subsidiaries besides IAC and besides the other two joint ventures, Lumax Mannoh, Lumax Cornaglia, which are rated for more than 50% growth.

Ankit Thakral : Just to cap it up, there will be a full year revenue of basically of Lumax Ancillary Limited, so which, so far we have considered as a part of our subsidiary. So out of 45% to 50% growth, 20% to 25% will be because of this full year impact of Lumax Ancillary.

Harshil Shah: Okay, sir. And what was the Lumax Ancillary contribution in this quarter, sir?

Ankit Thakral : So it was only a 2 months revenue, equivalent to INR 30 crores. So there will be an additional, for example, INR 150 crores for the next financial year.

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Harshil Shah: Okay, sir. And sir, Cornaglia, with the plastic fuel tank business, can it grow like 30%, 40%?

Vikas Marwah: So as far as Lumax Cornaglia is concerned, their future 2 key growth drivers are going to be the plastic fuel tanks and the urea tanks. We are targeting 130,000 volume for urea tanks this

year.

In our budgeted business plan, we have also taken a volume of 20,000 plastic fuel tanks this year working with one major customer, which is Tata Motors. We are also hoping that plastic fuel tanks in the commercial vehicle segment moved on to being a regulatory kind of a product because regulation -driven product then has a higher traction like you are seeing in urea tanks , which is regulations driven right now.

So over the next 3 to 6 months, we'll be completely clear on the penetration of the plastic fuel tanks, but yes, it is a big focus area for us and 24 to 36 months down for Lumax Cornaglia, we see 40% of the total revenue of the joint venture coming from the tanks business. Okay.

Harshil Shah: And sir, any update on the stand- alone business, like the aftermarket Bajaj part, can the stand - alone business grow by more than 10% to 15%.

Anmol Jain: Yes, absolutely. I think in my earlier guidance, I did mention that the stand- alone business will continue to grow at about 15% plus, not just for the current year, but even going forward, I think as I mentioned, Bajaj Auto, we have made inroads into their electric vehicle platform, which will -- the volumes will start kicking in. Also, we have entered the premium piping space where the volumes may not be significant, but the value per vehicle is much higher than that of a traditional model as well as we are in the discussions, how do we get into the Pulsar platform, which is one of the highest selling platform. So that's on the judge.

On the aftermarket, as I mentioned, the current year itself, we are looking at anywhere around 20% plus growth and that's largely because we do see a good uptick in the aftermarket, yes, cash flow realization still continues to be a bit of a challenge, but I think this growth is coming largely on new products, which we are going to launch in the aftermarket in the subsequent quarters.

Harshil Shah: Okay. So how much -- how was the Bajaj Chetak can add to the stand- alone entity, Chetak business?

Vikas Marwah: So this year, we are targeting around about INR 15 crore increase coming in from this particular entry. Also, we are happy to share with you that for Bajaj Auto now being a strategic supplier at their Pune location especially on the EV Chetak platform, we have been invited to come inside Bajaj for their ED coating processes.

So the Lumax team is now moving into the Bajaj premises doing the coating inside the ED quoting inside the Bajaj premises, which would add also more revenue. It's a first -time shop - in-shop concept with Bajaj as initiated with any strategic suppliers that Lumax Auto Technologies has been selected for this.

So going ahead, this could be a higher traction. It's an absolutely new business model for us.

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Harshil Shah: Okay, sir. And sir, last 2 questions. One is on the amount of debt that we are raising, like we are not paying off the debt. So are we looking at any acquisitions. Like we are always on a

lookout for acquisitions. But is it like -- have you shortlisted anything? And the other question is on the IAC breakup of IAC revenues if we can have.

Anmol Jain: So on the acquisition part, I think, as I've always mentioned, Lumax Technologies always continues to scout for future opportunities, which synergize with its core competencies and strength. As we speak, again, I cannot divulge any details. But yes, the company is always evaluating anywhere between 2 to 3 opportunities, which is the current state as well. But again, if something fructifies, we will make sure we, at the right time, make it public.

Number two, on IAC India, you said the breakup. So Mahindra & Mahindra continues to be our largest customer at about 70 -odd percent contribution to the total pie of IAC India, followed by Maruti Suzuki and then Volvo -- Volkswagen and Volvo Eicher.

Harshil Shah:

Okay, sir. Maruti will be around 10% -- 10% - 15%.

Anmol Jain: Yes, it's about 10% to 12% would be the share of Maruti Suzuki.

Harshil Shah: And sir, any scope of Maruti share improving going ahead, like have we cracked any model or any of that sort?

Anmol Jain: Absolutely. I think we continue to have an order book for the future model at a part and component level supplies for IAC, but I think the endeavour is if we can get into a modular supply to Maruti Suzuki similar of that what we do for Mahindra & Mahindra. So there are active discussions ongoing, but it may take some time to again, be fructified, but I'm hopeful that they are being steered in the right direction.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Sir, how much will IAC grow in FY'25 based on the schedule that you have and new product line of M &M? Your margins moved from the first quarter at about 11% to 14% and there is this IAC merger as well. So if you could tell us the margin range for the Lumax base business of IAC and what will be the margin range for IAC?

Anmol Jain: So on the IAC growth, as I mentioned earlier, we are expecting about a 15% to 20% growth for IAC in FY'25 based on the current visibility of the models as well as the volumes. In terms of the EBITDA margins of the stand, let's say, without IAC business, we've been consistently hovering at around, a give or take, 12% EBITDA margin, and we do expect this to grow in the current fiscal FY'25, grow in terms of expansion of margins. I would not be able to give you the exact number, but I would perceive that it should be anywhere closer to 13%.

In terms of the margins on IAC, I think, again, on a sustainable basis, I still feel that anywhere between 15% to 16% should be a sustainable EBITDA margin for IAC India.

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Pritesh Chheda: And what was this margin in '25 sorry '24 for IAC?

Anmol Jain: For the year gone by FY'24.

Pritesh Chheda: Yes.

Ankit Thakral : Margin of IAC was. The margin for FY '24 was closer to 20% but there were certain onetime corrections and certain price corrections from the customer during the year. It was the first year that the IAC India came under the umbrella of a listed entity. So there were certain changes in accounting policies and which were basically suggested by the auditors. So there were certain only the -- you can see that certain amendments and corrections. But way forward, the sustainable EBITDA will be closer to 15% to 16%.

Pritesh Chheda: So your FY'25 combined margin will be most likely lower than FY'24 considering this correction?

Ankit Thakral : So as of now, there is an exact number, we cannot comment, but it could be somewhere closer to the current year margin, which the company has achieved as a whole, including IAC , between 14 to 15%

Pritesh Chheda: Okay. And on the capacity side, how are you placed on capacities for this growth in IAC and your ex IAC, the original business?

Anmol Jain: I think IAC, as was mentioned earlier, that we are stretched on capacity, and there are already 2 expansions, which are underway, and there is a probably capex outlay of around INR 50-odd crores for IAC India in FY '25. Outside of IAC, I think, again, it would be too generic of a question because we have multiple product lines and multiple capacity utilizations. But in certain products, we would be as high as 80%. And in certain products, we would probably be operating at even 60%, but again, to deliver the order book of almost INR 920 crores, as I mentioned, the capex outlay for FY '25 for the Lumax Auto Technologies as a whole would be anywhere between INR 150 crores to INR 175 crores.

Pritesh Chheda: Okay. So at least in FY '25, you were not constrained by capacity for this 15% , 20% growth that you're mentioning. You will have the capacity coming up d

uring the year and would be able to

suffice the 15%, 20% growth.

Anmol Jain: No. Well, we do have capacity constraints. And hence, we are investing even to realize the FY '25 growth

because of almost 20% to 25% of this order book will actually come into the revenue stream in FY '25 itself. So there are pockets where we are expanding capacity. And hence, I gave a guidance of around 20% to 25% revenue growth for the overall entity at a consolidated level.

Pritesh Chheda: Your Lumax growth is 15% and your IAC growth is 15% to 20%, and our overall company growth rate is 2025. So which of the piece is growing faster there?

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Anmol Jain: I think was mentioned, the stand-alone is growing 15% to 20%. IAC is growing 15% to 20%, but then there is an aftermarket, which is growing at a much faster rate. And there are also the other subsidiaries and joint ventures which are growing at almost 40% to 50%. And hence, the consolidated number is more like a 20% to 25% of growth.

Moderator: The next question is from the line of Neeraj from DAMAC Properties

Neeraj: My question, as you pointed to the last participant that our subsidiaries will be growing at a faster pace. So -- and as that will happen, I understand the minority interest part in the P&L, it will grow at a faster clip and over the past few years, we have noticed that the profit attributable to the company as a percentage split has come down from 85% to 78%. So how should we think about the growth at attributable profit level?

Ankit Thakral: So, if you see the profit after tax before minority so now it has settled at, say, for example, closer to 6%, 6.5%, which is effectively the 75% of my profit before tax, now profit after tax after minority, say, for example, reduced as compared to previous year. It is mainly because of the higher margin of IAC business as compared to the stand-alone say, profitability margin with respect to this financial year.

So going forward, in the next financial year, there is a growth in stand-alone business also and the profitability margins of the IAC and other, you can say, that the other subsidiaries will more or less stay at a sustainable EBITDA as compared to the current financial year. So the profit after minority will be, say, for example, between the line with respect to the one year back or two years back.

Sanjay Mehta: And also, there is an addition of the wiring also INR150 crores. So that will also add into profit of the stand-alone entity.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited.

Amit Hiranandani: On the IAC India margin guidance, so generally 20% what we are doing. So suddenly, you're guiding for 15% to 16% due to accounting changes. Can you just briefly explain what is the accounting change, which is actually dropping this margins so much?

Ankit Thakral: So there was a change in policy on account of the tooling accounting. Earlier, the accounting was based on the POC M basis, basically the -- what is called as a percentage of completion. Now it has been shifted to CCM basis, which is the completion basis. So accordingly, the impact of that has been taken in financial year'24, so it is because of this reason, the margins in the financial year'24 were considerably higher.

Amit Hiranandani: Understood. And sir, for Q4 EBITDA margin, which is basically, I mean, one of the lowest margins in the last 4 quarters. Is this due to drop in the IAC India's margin on a Q-on-Q basis and inclusion of Lumax Ancillary?

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Ankit Thakral: So just to clarify, the consolidated EBITDA margin for the company as a whole was 14% in Q1, 14.2% in Q2, 15.8% in Q3, that was, as earlier explained, only due to the certain price corrections of -- in IAC and this accounting policy change and it is 14.5%

in Q4. So across the quarters, the profitability margin has been consistent and which has resulted into the 12-month profitability margin of 14.6%.

Amit Hiranandani: Sir, if you exclude the other income, so the EBITDA margin for Q4 is 12.1%.

Ankit Thakral: Other income is, again, due to this certain -- you can say that the reversal on account of tooling that has happened in IAC India in this particular quarter.

Amit Hiranandani: And sir, what would be the outlook if you can give for FY '25 and the target for the next 3 years?

Ankit Thakral: So for FY '25, as just earlier explained, even if we basically consider the one time corrections in financial year'24 due to the expansion in margins of stand-alone entity as just explained by Anmol sir, so we will be looking at a similar margin in FY'25 with respect to FY'24. It will be closer to 14% to 15%.

Amit Hiranandani: Any aim for the next 3 years?

Vikas Marwah: So the 3-year mix would significantly be impacted as the product mix changes. If you see the total Lumax Auto Technologies product kitty today. And when we say the fastest growth is probably coming from the base that has been small of various joint ventures like Lumax Ituran, Lumax Cornaglia, Lumax YOKOWO, Lumax Alps. There's a higher penetration of mechatronics and sensors and switches and EV-related products that's coming. So hard to put a number right

now. But for sure, we will be on a positive traction going upwards year -on-year.

Anmol Jain: I'll just add to that. I think the first endeavor for us was to bring the overall margin at teen EBITDA level. Of course, IAC India has helped that cause, but also the business without IAC slowly but consistently move closer to the 13 -odd percent mark. And that is our endeavor to try and achieve that and cross that in the coming years.

I think apart from that, we are very carefully watching that the order book of almost INR 900 crores, INR920 odd crores, which is sitting on, we are taking those orders fairly at a considerably better EBITDA margin than that of the current entity as a whole. So as and when those order books come into the revenue stream over the next 2 to 3 years, the margins are likely to improve and expand automatically.

Amit Hiranandani: Great. Just one last question. Is the group looking to add another product, especially component for electric vehicle? Or the first focus is to consolidate and grow the existing subsidiaries?

Anmol Jain: We are always looking out for future opportunities, not just specific to electric vehicle, but also for alternate power train products.

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It could be in hybrid technologies. It could be in CNG technologies. It could be in other powertrain lines as well. But again, as Vikas mentioned, the focus remains clear in electronics and mechatronics, we see a huge upside with new advanced technologies coming into the future models and we are well positioned with our current partnerships and if required, we will definitely create more partnership going forward as well.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Anmol Jain: Well, I take this opportunity to thank everyone for joining into the call. We will keep the investor community posted on a regular basis for updates on your company. I hope we were able to address all your queries. For any further information, please do get in touch with us or Strategic Growth Advisors, our Investor Relations Advisors. Thank you once again, and have a good afternoon.

Moderator: On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

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National Stock Exchange of India Limited
Listing & Compliance Department
Exchange Plaza, C -1 Block G,
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Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call - Q1 FY 2024 -25

Dear Sir/Ma'am,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Tuesday, August 13, 2024 at 02:30 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 1st Quarter ended June 30, 2024.
The transcript shall also be made available on the website of the Company at <https://www.lumaxworld.in/lumaxautotech/transcript.html>.
This is for your information and records .

Thanking you,
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No. A 28161

Encl: As stated above
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"Lumax Auto Technologies Limited
Q1 FY '25 Earnings Conference Call "
August 13, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 13 th August , 2024 will prevail.

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR – LUMAX AUTO TECHNOLOGIES LIMITED
MR. DEEPAK JAIN – DIRECTOR - LUMAX AUTO TECHNOLOGIES LIMITED
MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER – LUMAX AUTO TECHNOLOGIES LIMITED
MR. SUNIL KOPARKAR -- MANAGING DIRECTOR - IAC INDIA
MR. SANJAY MEHTA – DIRECTOR – LUMAX AUTO TECHNOLOGIES LIMITED AND GROUP CHIEF FINANCIAL OFFICER
MR. ASHISH DUBEY – CHIEF FINANCIAL OFFICER – LUMAX AUTO TECHNOLOGIES LIMITED
MR. NAVAL KHANNA – CORPORATE HEAD, TAXATION
MS. PRIYANKA SHARMA – HEAD CORPORATE COMMUNICATIONS
MR. ANKIT THAKRAL – CORPORATE FINANCE

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '25 Earnings Conference Call of Lumax Auto Technologies Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the

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company as on date of this call. These statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very good afternoon, ladies and gentlemen. A very warm welcome to our Q1 FY '25 earnings conference call. Along with me on this call, I have Mr. Deepak Jain, Director; Mr. Vikas Marwah, CEO; Mr. Sunil Koparkar, Managing Director, IAC India; Mr. Sanjay Mehta, Director and Group CFO; Mr. Ashish Dubey, CFO; Mr. Naval Khanna, Corporate Head of Taxation; Ms. Priyanka Sharma, Head Corporate Communications; and Mr. Ankit Thakral from the Corporate Finance team, along with SGA, our Investor Relations adviser.

The results and presentations have been uploaded on the stock exchange and the company's website. I hope everybody has had a chance to go through the same. In the recently uploaded investor presentation, based on our internal assessment and product profiling, we have now reclassified our diversified products under four major domains.

The first one being advanced plastics, erstwhile was bifurcated into integrated plastic modules, lighting and emission products along with the IAC product portfolio. Number two is the structure and control systems domain, which was previously bifurcated between the fabrication and shifter systems business. Number three, the mechatronics, which includes the electronics, sensors and the telematics components. And the last one being the aftermarket domain.

We commenced FY '25 with a solid start. Despite witnessing headwinds in the passenger vehicle segment, your company has achieved a robust 20% year-on-year growth in revenues, reaching INR756 crores for the quarter. This growth reflects our unwavering commitment to excellence, through our diverse product offering across OEMs.

Speaking about the industry, a recent report highlights that the automotive and ancillary sector is expected to contribute 7.1% to the national GDP. Key government initiatives, including Make in India, ongoing investments in infrastructure and the emphasis on sustainable energy management have been instrumental in strengthening the sector's resilience. These efforts have not only supported the industry's growth, but also positioned it as a critical driver of the economic growth.

The growing domestic demand from both urban and rural populations, new model launches by OEMs and the trend towards premiumization has collectively boosted the content per vehicle, driving the overall expansion of the components industry. Discussing on the quarter's performance, the industry showed mixed results across most segments. Although passenger vehicles had a 6% growth, SUVs continued their growth trajectory. The two-wheeler segment has seen a strong recovery since the second half of last year and is maintaining this upward trend.

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We anticipate an improvement in the CV performance, now that the elections uncertainties are behind us and an expected uptake in the capital expenditure cycle is going to happen, moving forward.

The production-linked incentive schemes for the automotive sector are viewed as a driving force for the localization of advanced auto components, creating a supportive environment for companies to invest in and manufacture within India. The el

ectric vehicle segment, however,

did experience a slowdown in growth, following the conclusion of the FAME subsidy.

We believe that two-wheeler EVs will continue to outperform the EVs in the passenger vehicle segment over time. In the long run, legacy industry players with robust networks across the country are likely to thrive. Overall, we are optimistic about the industry's performance in the second half of this fiscal year, driven by the festive season and multiple new launches planned by the OEMs.

Speaking on Lumax Auto Technologies. Lumax Auto Tech is a leading automotive component

manufacturer in the country, having partnerships with globally leading joint venture partners, and having relationships with almost all major OEMs in the country.

Coming to the product category by performance in the quarter. The Advanced Plastics domain has grown by 13% from INR371 crores in Q1 FY '24 to INR420 crores in Q1 FY '25. Passenger Vehicle segment is a major revenue contributor for this domain, constituting almost 70% of the total revenues. Our outlook for this domain remains strong with huge cross-selling opportunities and addition of new product lines. The order book for this domain stands at INR610 crores.

Next, the Mechatronics domain grew by more than double from Q1 of last year at INR28 crores in Q1 FY '25 versus INR11 crores in Q1 FY '24. This domain has a huge opportunity in terms of the wallet share in the new model launches, mostly again, in passenger vehicle segment as many products are lined up for SOP in the second half of the current fiscal year, which would further increase its revenue. The order book stands at INR150 crores for this domain.

Coming to Structures & Control Systems. Revenue has grown by 12% from INR147 crores in Q1 FY '24 to INR165 crores in Q1 FY '25. The passenger vehicle segment contributes almost 60% of the total revenue. Our outlook for this domain remains strong with the opportunity to benefit into the premium and EV segments and addition of new technology-driven products with the order book standing at INR240 crores.

Lastly, our revenues from the Aftermarket domain has seen a flattish growth in Q1 FY '25 with respect to the corresponding quarter of last year. This phenomenon is not just for Lumax but across pretty much all Tier one and other peer group companies, which have a significant presence in the Aftermarket. There has been either a negative growth or a very muted single-digit growth across other Tier one space. And this is largely because of a poor income realization within the Aftermarket. However, the situation has already started to show signs of recovery in quarter 2, and we expect to post double-digit growth for the full fiscal year.

The total order book, considering the value of all four domains is INR1,000 crores, out of which 90% is new business. 25% of the total order book will mature in second half of FY '25, 55% in Lumax Auto Technologies Limited

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the next fiscal year FY '26 and the remaining 20% in FY '27. The EV contribution is approximately 40% of the total order book.

During the quarter, there have been some business updates. On July 20 2024, the company has filed the draft scheme of merger with the NCLT of its 100% subsidiary, Lumax Ancillary Limited, with the company for efficient utilization synergy of resources. The appointed date of merger will be April one 2024, subject to necessary regulatory approvals. The Bengaluru plant of the company cleared the first stage of assessment on excellence and consistent T PM by JIPM in the month of July '24. The final assessment of the sale is scheduled in January '25.

The Board of Directors has approved the setting up of a liaison office in Japan to explore new business prospects, and further deepen the relationships of the company with its partners and customers. As we move forward, we remain focused on techn

ological innovation and operational

efficiency to sustain this growth momentum. We are confident that our initiatives will continue to drive value for our stakeholders.

Now I would like to hand over to Mr. Sanjay Mehta, Director and Group CFO, to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. Let me brief on the operational and financial performance for Q1 '25.

With increased focus on passenger vehicle segment and integration of IAC, our sale of passenger vehicle stood at 50% in Q1 '25 as compared to 45% in Q1 '24. In Q1 '25, two-wheeler contribution to overall revenue is at 24%, Aftermarket at 11%, CV at 8% and balance 6% was contributed by other categories. For more detailed operational highlights on customer-wise revenue breakup, one can refer to our investor presentation uploaded on the exchanges and companies' website.

On financial highlights, the consolidated revenue for Q1 '25 stood at INR756 crores as compared to INR632 crores, up by 20% Y-o-Y. EBITDA margin stands at 14% for Q1 '25. Absolute EBITDA for Q1 '25 is INR105 crores, a growth of 20% on a year-on-year basis. PAT before minority interest for the quarter is at INR42 crores as compared to INR30 crores in Q1 FY '24, a growth of 38%. The tax rate for the full year is 26.3% and is likely to continue in the same rate in the future.

There has been no capex during Q1 FY '25, as we have been very prudent looking at the utilization of our overall capacity. However, with many SOP planned for the second half of the year, the capex outlay for the whole year is estimated to be around INR120 crores to INR140 crores, down by earlier guidance of INR150 crores to INR175 crores. The company is taking on healthy free cash of INR416 crores as on June 30, 2024, which is more than the long-term debt of INR391 crores.

With this, we open the floor for questions.

Moderator: The first question is from the line of Mr. Amit Hiranandani from SMIFS Limited. Please go ahead.

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Amit Hiranandani: Congratulations team for the decent set of numbers. Sir, my first question is on the IAC.

Basically, we are seeing that our IAC revenue has grown by 7.5% year-on-year in quarter 1, despite M&M's growth of 24% for the same period and despite IAC has been winning new businesses from other clients as well. Sir, what is the reason for this low growth?

Anmol Jain: So Mr. Hiranandani, just two clarifications. Number one, when you're talking about a 7.5% growth on IAC in Q1, this includes a huge amount of tooling revenue, which was there in quarter one of last year. There has been no tooling income in quarter one of current fiscal year. So if you were to compare just the product revenue, the manufacturing revenue, that has actually grown by 19%, up from INR182 crores last year first quarter to INR216 crores in first quarter of this year, which is pretty much in line with Mahindra's own growth of 15% on a Q1-to-Q1 basis in terms of the production numbers.

Amit Hiranandani: Continuing with the IAC, so the IAC's EBITDA margin, including other income is about 19% level. So although, it dropped Q-on-Q by roughly 140 basis points, but this -- is this 19% level sustainable?

Ankit Thakral: So as we explained in our last Investor Call, the normalized and the sustainable EBITDA for the IAC business is closer to 17%. And the last quarter EBITDA which was 21%, it also included certain policy corrections. And this quarter also, there is a onetime or an exceptional income of around INR4 crores to INR5 crores, relating to this correction of the tooling provision reversal. So excluding that, the normalized EBITDA for this quarter also is closer to 17%. So the normalized EBITDA of 17% is something which clearly the guidance is, that we should be able to sustain that. And as we continue to grow

the business, we will make efforts to further increase the margins.

Amit Hiranandani: And sir, all the capex we were doing in IAC to increase the capacity, so that is all done, right?

Anmol Jain: Well, it is an ongoing activity. In terms of capex on IAC some part of it is already done. And out of the INR120 crores to INR140 crores total capex guidance for Lumax Technologies in the current fiscal, I would say almost close to 50% of that would be in IAC towards the new model launches, which are expected in the H2 of the current fiscal year.

Amit Hiranandani: So sir, broadly, utilization level is still above 90% for IAC?

Anmol Jain: That is correct.

Amit Hiranandani: Okay. And sir, what is happening basically in the Aftermarket side, because we have just grown 1%. From my check that the grey market has emerged out again. So is this right, sir?

Anmol Jain: No. So I think aftermarket, as I mentioned in my opening comments, number one the aftermarket, there are two challenge points. One, the OEMs by their own service networks have definitely become a lot more aggressive on the pricing, because they definitely feel that they can garner a bigger piece of the pie of the aftermarket. So the OES, the OEM spares, is becoming a lot more competitive when it comes to pricing, which is definitely resulting in a bit of headwind in Tier one growing and expanding their Aftermarket channels. However, having said that, we

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still continue to believe, that a double-digit growth for the full fiscal year is something which we should definitely be looking at.

And for quarter one specifically, this was something which is across the industry. There has been a lot of pressure on realization of income from the Aftermarket channel. And hence, we will hold the further pushing of stocks until the realization happens. And if you look at other Tier 1, pretty much everyone is a similar bandwidth of a flattish, or a negative, or a very muted single-digit growth.

Amit Hiranandani: Sir, my second question is on basically our consolidated entity is about 50% revenue comes from the passenger vehicle segment. And as per our on-ground checks, the PV dealers have high inventory of 60 to 90 days plus the significant discounting is ongoing. And most of the dealers are also guiding to flattish to lower sales for the upcoming festivals. So sir, based on this, are you reducing your consolidated guidance of 20% to 25%? Or do you still maintain that revenue growth guidance?

Anmol Jain: So I would say that the full year guidance for the consolidated entities could be anywhere between 15% to 20%. You're absolutely right that there are headwinds in the passenger vehicle industry currently in Q1, and we do anticipate this to continue in quarter two as well. However, most of our growth is coming from new models and new product introductions into the current models. So it would be a new revenue for us, rather than being dependent on the volume growth of the

current model in the market. So for the full year, my guidance would still be 15% to 20%. However, I believe in quarter 2, we probably will be looking at a slower growth rate even compared to quarter one growth rate on a year-on-year basis. So majority of this growth will come into H2.

Amit Hiranandani: Sir, the final, last question. This is a bookkeeping question for the consolidated entity. On a Y-o-Y basis, the employee cost increased substantially. And similar is the case for other expenses.

So any one-off here?

Ankit Thakral: So if you compare with the Q4, there has been an increase in manpower cost for about 1.5%. So one of -- therefore, there was a one-off in Q4 of the last year, one being certain gratuity impact, and other thing again, a relevant policy correction, in which there were certain costs that were transferred to inventory, and there was a certain reversal o

f revenue, more specifically in IAC,

which led to reduction in manpower cost in Q4 of last year.

Amit Hiranandani: Sir, year-on-year also, we are seeing substantial increase in employee neglect.

Ankit Thakral: So yes, there has been increase of about 1%, you can say that -- if you see as a percentage of sales. So that has been only this inflationary impact, which has been a part, in this quarter. Going forward, the manpower cost on a consolidated level should be sustainable at a similar 13% mark.

That should be the yardstick, which we should go by. And again one quarter, it may be impact about 14-odd percent, but 13% is what we expect to be sustainable.

Moderator: The next question is from the line of Payal Shah from Billion Securities. Please go ahead.

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Payal Shah: I have a few questions. First, like we have seen a good growth in our content per vehicle, roughly 4x in last few years for PV. So, I just wanted to understand what is the scope for growth here.

Anmol Jain: I think the scope for growth continues to remain quite strong. The mechatronics domain, you've seen on a quarter-on-quarter basis, has had a substantial growth, primarily on a low base. And

also the order book will continue to come in probably towards the end of this year. So I would say that the content per vehicle has, as you said, grown by almost 4x in the last 5 years. And we do expect to penetrate this content per vehicle in a wider population of models across OEMs, rather than taking it further notch up from 4x to 6x. So I think there is still a lot of opportunity for us to cross-sell our products across models, and hence, get the benefit of this 4x content per vehicle growth in other OEMs as well.

Payal Shah: Okay, okay. Sir, my next question is Aftermarket growth has remained flat, as you mentioned.

We are seeing cash collection issues. So can you highlight why the industry is seeing this issue?

Like what are the reasons behind this issue?

Anmol Jain: I think there are many reasons. I think number 1, the liquidity in the aftermarket is a bit of a challenge. Again, aftermarket works on a very different cycle. Quarter 1, usually is also a sluggish quarter, where quarter 4, there is a lot of inventory which gets piled up, and people probably do not have fresh orders in quarter one to that extent. However, as I said, we've already started to see some signs of improvement on the realizations in quarter 2. And hence, we are still hopeful that for the subsequent quarters and for the full fiscal year, we still should be anticipating a double-digit growth in the Aftermarket.

Payal Shah: That's helpful, sir. And my last question is, there was an intimation regarding giving some intercorporate deposit to some entity. Sir, I just wanted to understand the rationale behind this, if you can please explain.

Anmol Jain: Yes. So there was an enabling resolution which we have proposed. And in due course, we've had certain internal re-discussions and deliberations, and we will not be going forward with this.

Moderator: The next question is from the line of Sacchi Sharma from ACE Investments. Please go ahead.

Sacchi Sharma: I'll go ahead with my question. So my first question is, now that a very well-integrated IAC and we are benefiting from the synergies as well, so are we looking at any other inorganic opportunities in this fiscal year?

Anmol Jain: So we are always evaluating inorganic opportunity for addressing our customer needs. So as we speak, yes, we are evaluating other opportunities as well. But unfortunately, I cannot disclose or diverge more detail. But yes, we continue to remain engaged for inorganic growth.

Sacchi Sharma: Sure. My next question is, I just wanted a view on the performance of the EV business. So industry-wide, I believe we are seeing some low traction, post the removal of the FAME subsidy.

So yes, I

wanted just to understand from you how the performance has been.

Anmol Jain: So I think the performance on EV, as I mentioned, definitely in the two-wheeler space, the EV footprint continues to expand. I think if you look at the numbers, they are very encouraging, and

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they continue to grow on a month- on-month basis. The top podium positions have changed. And I think now, more or less, the legacy players are the ones commanding these podium positions rather than the new entrants. So I firmly believe the two -wheeler EV penetration will continue to increase going forward.

However, in the passenger vehicle space, I think there seems to be a bit of a shift in the consumer mindset. And hence, the EV penetration will continue to happen in the passenger vehicle space.

However, the rate at which it penetrates, will be much slower than that of the two -wheeler.

Having said that, almost 40% of our order book, which Lumax Technologies holds at about INR1,000 crores, almost 40% of INR400 crores of that order book is coming from the EV space itself, mostly driven by passenger vehicles.

Sacchi Sharma : Sir, do we also have like -- to talk about two -wheeler, do you also have OLA -- are we present with OLA?

Anmol Jain: No, we do not have any business relationship currently with OLA.

Sacchi Sharma : These were the two questions . In case of any other, I will come again.

Anmol Jain: Sure. Thank you.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.

Amit Hiranandani: Sir, my question is on the margin side. So the stand-alone margin, there's an improvement in the margin, despite the flattish growth in the Aftermarket business. Generally, Aftermarket is a high - margin business for you. And despite that, the margins have improved. So what has led to this improvement and sustainability of the same? And secondly, the growth outlook for the standalone business, please?

Anmol Jain: So you're absolutely right. The margins have expanded on the stand-alone as well, despite Aftermarket being muted. And again, the reason for that is the diverse product portfolio. If you look at the growth across the other OEM domains, they have been all in double digits. I think

the Advanced Plastics grew by almost -- and the Structure & Control System both grew by almost 13-odd percent. And the Mechatronics grew, obviously by almost 150%. However, it was on a smaller base. These also have a stronger margins in terms of realization compared to some of the other product lines which we are into.

So I think it's a combination of the product mix, across our domains and across our different joint venture partners, which has resulted into the expansion of margins. And we're very hopeful that these margins should remain sustained on a longer -term basis . Of course, as I said, there are some headwinds, which we are currently tackling in Q2 based on demand. But still, the margin should remain intact.

Your second question on the guidance for the full year. As I said, at a consolidated level, I would say it would be about 15% to 20%. However, as stand-alone should probably be maybe close to around 10% or so, just the stand -alone. And then subsidiaries will probably grow at a much faster rate. Probably around 30% to 35%, is the growth we are looking at the subsidiaries.

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Amit Hiranandani: Okay. And sir, secondly, so overall consolidated EBITDA margin guidance in last quarter, you have said that it will be nearly same what we have achieved last fiscal year. So is this guidance remains, sir?

Anmol Jain: Yes. I think the EBITDA margins, the -- if you see the last three to 4 trailing quarters, they have been sustained at what we have achieved in quarter one of FY '25. And my estimate and my guidance would

be that we should be able to sustain the current EBITDA margins. While growing the top line, of course, the absolute amount will continue to grow.

Amit Hiranandani: So sir, generally, the market looks into -- I mean, excluding the other income, so if we exclude the other income, there is some dip in the EBITDA margin. So 11.6% is what -- is excluding other income. So are you able to achieve the 13% level? Because to achieve the 13% level, the company will need to keep growing the margins about 13% to 14% level, in the coming next three quarters. So are we confident to achieve that last year's level margin, without other income?

Ankit Thakral : So other income for the whole year will remain constant, which was in the range of around INR45 crores to INR50 crores. So answer to your question, yes, without other income, we will sustain the last year EBITDA margin as well. And including other income also, we will sustain.

Amit Hiranandani: Okay. And sir, just a few bookkeeping questions. I wanted to understand the total debt, including the long term, short term and current maturities -- and this is basically as on 30 June. And what was the 31st March, the same figure?

Sanjay Mehta: So total that is 660 as on 30 June, and it was 618 on 31st of March. It has been reduced by INR20 crores.

Amit Hiranandani: Sir, despite reduction in debt level, the interest cost Q -on-Q remains broadly the same.

Sanjay Mehta: Because of the interest cost in general of working capital, even the long term also has been slightly increased. But we have taken, because the earlier one was in lock-in -- and lock-in is expiring within two month's time. So we are renegotiating, and I think going forward, the

interest should be back to the normal level.

Amit Hiranandani: Okay. And sir, the guidance for capex, you said about INR140 crores for FY '25. So where we are planning to spend this money?

Anmol Jain: The guidance for the full year would be about INR120 crores to INR140 crores. As I said, 50% of this capex would be in IAC to service the new models and to extend certain capacities in the Pune region. There also would be certain -- Structure & Control Systems would be about INR20-odd crores, the Mechatronics would also be about INR20-odd crores, and remaining part of the plastics, apart from IAC, would also be about INR20-odd crores. So give or take, it would be equal in the other regions or the other domains. But IAC would be about 50% of the total pie.

Amit Hiranandani: Got it. And sir, one question on the Lumax Cornaglia. Just want a feedback. Are this margin for the plastic fuel tank is lower than the 17% margin what Lumax Cornaglia in general achieved?

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Vikas Marwah: So the plastic full tank is a very recent entry. We went into the SOP just two to three months back. The market is still evolving. I think going ahead, on a sustainable basis, once we hit critical mass, which we estimate to be about 30,000 tanks per year. At that time, the EBITDA should be in the range of 50% to 80%.

Amit Hiranandani: So, so far it's because of lower utilization, but it will increase to company level, 17%.

Vikas Marwah: Lumax Cornaglia currently is operating at higher than 17%. It is closer to a sustainable around 20% right now.

Amit Hiranandani: Yes. So -- but the plastic fuel tank is presently lower margin than what the company is on...

Anmol Jain: So the plastic fuel tank actually has not had an offtake yet. It's a very small contributor to the overall Lumax Cornaglia revenues. And hence, majority of the margin is coming from other product lines. Once we do hit critical mass later this year, we do expect the margins, as Vikas mentioned, to stabilize of the plastic fuel tank in a similar vicinity as the overall Lumax Cornaglia business, maybe it would start at about 15% to 18% mark. And then there after months,

we do hit a certain order quantity, then we would like to expand that further.

Amit Hiranandani: Very clear, sir. Sir, last question, basically, this is based on FY '24 number for Alps Alpine. So that subsidiary has just grown about 1% on the top line. And so what is the reason for this low growth and outlook for the next three years for the subsidiary? Because I believe that this is an important subsidiary for the company. Secondly, similarly, Lumax JOPP, that is also -- we have seen revenues have dropped in FY '24 from INR9.5 crores to over INR8 crores in FY '24. So if you can guide both these things, please?

Anmol Jain: I think if you look at FY '25 for the full year, and I'm not going to be talking about quarter one specifically, but if you look at the next three quarters, both the entities you mentioned, Alps as well as Lumax JOPP, are expected to grow at a very significant rate, although on a low base. Alps would grow anywhere upwards of 30%, 35% on a full year basis and JOPP would probably grow at 70% or upwards on a full year basis. Because they both are sitting on a good order book, which kicks in, in the H2 of this fiscal year.

Moderator: Next question is from the line of Hitesh Goel from Riddhish Advisors. Please go ahead.

Hitesh Goel: My question is on this subsidiary revenue. So if I subtract the overall subsidiary revenue from IAC which you have given, we see a 45% Y-o-Y growth. But when you do that for the EBITDA also, the EBITDA growth is only 31%. So this steep drop in EBITDA margin on a Y-o-Y and Q-on-Q basis. So can you tell us why? Is there something which has happened, a one-off expense or something which we have missed?

Anmol Jain: So the subsidiary growth which you see on top line of 45%, 46% also includes the Lumax Ancillary revenues, which was new in quarter 1. I would think that 30% of the 45% would come from Lumax Ancillary. However, the Lumax Ancillary business currently operates at a lower margin than that of the company overall and hence, you do not see the similar rate of change at the EBITDA level. However, having said that, I think we are focusing on how do we synergize our capabilities and utilize our cost competitiveness across the group to try and, again, improve

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the margins of Lumax Ancillary. But that would be one of the major reasons, why you see this anomaly.

Hitesh Goel: So the Cornaglia -- you said that it's operating a 20% margin in the first quarter. And Lumax Mannoh was also around 16%, which was last year. Is that right?

Anmol Jain: That's correct. I think most of these joint ventures are running at a double-digit teen plus margins.

The major reason is the Lumax Ancillary, where you see a top line growth, but you do not see that bottom line margin expansion or contribution.

Hitesh Goel: And then in IAC, sir, one more question. In IAC, you will be supplying to Tata Motors curve

recent launch also, right? You've said that in previous con calls.

Anmol Jain: We will be supplying to Tata Motors. Yes, we've got into Tata Motors as a full service supplier. We used to be engaged with Tata Motors only from a designing work earlier. But this will be the first time, where IAC India will become a full service supplier, including design and manufacturing of the product for Tata Motors going forward.

Moderator: The next question is from the line of Yug Modi from AP Capital. Please go ahead.

Yug Modi: Sir, I just had one question. How are our smaller JVs faring in this quarter? And what is your update in these JVs from long term perspective? When do we expect them to become sizable in terms of revenues?

Vikas Marwah: So currently also, if you see, we have targeted for ourselves 40% to 45% growth in terms of the joint ventures this year -- the previous year on a full year basis. While we have two very mature joint ventures in this, which

are Lumax Mannoh and Lumax Cornaglia, they will continue to outpace the industry growth by a couple of basis points. But the other JVs are coming to traction.

A large part of the order book that you see of INR1,000 crores, if you take out the is coming from these other joint ventures, order book of Lumax Alps Alpine, Lumax JOPP, amongst the two, which are now slated to grow.

We continue to maintain a conservative guidance on one particular JV. Which is Lumax FAE because this is a totally regulation-controlled product when OBD2 norms announcement happened in terms of the second sensor getting introduced. Only then we'll be able to give a more clear nature of that. But to answer your question, all the JV is a critical part. With the exception of Lumax FAE in the next 12 to 24 months, and they all start operating at a double-digit EBITDA margin.

Moderator: The next question is from the line of Apeksha Bajaj from AV Fincorp Private Limited. Please go ahead.

Apeksha Bajaj: I wanted your view on the inventory buildup, which is getting across dealers across OEMs. So will auto sector underperform for the next couple of quarters or years? And how is the company dealing with it?

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Anmol Jain: Well, it's a difficult question for me to answer on behalf of the OEMs. But I think we have seen an increase in the inventory levels across the OEMs, specifically in the passenger vehicle space.

However, I think I still remain optimistic that while in quarter 2, the sluggishness is likely to continue, however, in H2, backed by certain exciting new model launches which will bring a lot of excitement into the market. And also with the festive period, I do feel that these inventory levels should be normalized and the demand should come back. We can only hope for these signs of recovery. But having said that, we are on a close watch with our OEM plans than we are taking prudent measures internally to safeguard our top line as well as bottom line.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Anmol Jain: Well, I take this opportunity to thank everyone for joining into this call. We will keep the investor community posted on a regular basis for updates on your company. I hope we were able to address all your queries. For any further information, please do get in touch with us or SGA, our Investor Relations advisers. Thank you once again, and have a nice day.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thanks for joining us. You may now disconnect your lines.

Call: Sep 2024

LATL:CS:REG30:202 4-25 Date: 25.09.2024

BSE Limited
Listing & Compliance Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
National Stock Exchange of India Limited
Listing & Compliance Department
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Conference Call on Acquisition

Dear Sir/Ma'am,
Pursuant to Regulation 30 and other applicable regulations , of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Analysts/Investor Conference Call on Acquisition which was held on Friday , September 20 , 2024.

The transcript shall also be made available on the website of the Company at <https://www.lumaxworld.in/lumaxautotech/transcript.html>.

This is for your information and records .

Thanking you,
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No. A 28161

Encl: As stated above

“Lumax Auto Technologies Limited
Acquisition Update Conference Call ”
September 20, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 20 th September, 2024 will prevail

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR – LUMAX AUTO
TECHNOLOGIES LIMITED
MR. DEEPAK JAIN – DIRECTOR – LUMAX AUTO
TECHNOLOGIES LIMITED
MR. AKSHAY KASHYAP – MANAGING DIRECTOR –
GREENFUEL ENERGY SOLUTIONS
MR. SANJAY MEHTA – DIRECTOR – LUMAX AUTO
TECHNOLOGIES LIMITED AND GROUP CHIEF FINANCIAL
OFFICER
MS. PRIYANKA SHARMA – HEAD, CORPORATE
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LIMITED
MR. ANKIT THAKRAL – CORPORATE FINANCE – LUMAX

AUTO TECHNOLOGIES LIMITED

Lumax Auto Technologies Limited

September 20, 2024

Moderator: Ladies and gentlemen, welcome to the Acquisition Update Call of Lumax Auto Technologies Limited. This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements do not guarantee the future performance of the Company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Since the conference call today is regarding the acquisition, we request all to restrict questions and discussion to the acquisition only.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain : Thank you. A very good afternoon, ladies and gentlemen. A very warm welcome to our Acquisition Update Conference Call. Along with me on this call, from Lumax Technologies, I have Mr. Deepak Jain, Promoter Director; Mr. Sanjay Mehta, Group CFO; Ms. Priyanka Sharma, Head of Corporate Communications; Mr. Ankit Thakral from Corporate Finance. From Greenfuel Energy Solutions, I have Mr. Akshay Kashyap, the Managing Director; and along with SGA, our Investor Relations Advisors.

We have uploaded the press release and other requisite documents highlighting the details of the transaction. I do hope everybody has had a chance to go through the same. At Lumax Auto Technologies, our core strength lies in forging strategic partnerships with leading automotive component manufacturers both domestically and internationally. These organic and inorganic alliances facilitate the introduction of advanced technologies and a diversified product portfolio into the Indian automotive market. Over time, these collaborations have solidified our position as a key supplier in the automotive sector, helping us establish a strong and influential presence across the industry.

Furthering our vision, we are thrilled to announce another significant development of this strategic acquisition of 60% stake in Greenfuel Energy Solutions alternate fuel business. This acquisition represents a transformative step for Lumax Auto Technologies and marks our foray into the green and alternate fuel segment. It paves the way for our future growth in sustainable

solutions, aligning with our long-term goals and setting the stage for expanded opportunities in this rapidly growing sector. This business specializes in high-pressure fuel delivery and storage systems for CNG and hydrogen vehicles as well as fire and smoke detection systems for the automotive industry.

This acquisition strengthens our capabilities, diversifies our product portfolio, increases our per vehicle content and aligns with our commitment to providing advanced sustainable solutions to the market. Greenfuel Energy Solutions, based out of Gurugram and Haryana, is a prominent provider of clean mobility solutions for over 15 years, supported by robust and long-standing

technology partnerships. Greenfuel has been a leader in sustainable mobility, serving as a Tier

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1 supplier to prominent automotive OEMs including the likes of Maruti Suzuki, Tata Motors and Volvo Eicher vehicles.

This strategic partnership comes at a time when the CNG vehicle segment, specifically for passenger vehicles in India, is poised for a strong growth with key OEMs like Maruti Suzuki and Tata Motors already outlining aggressive expansion plans in this segment, along with other OEMs like Hyundai Motors also foray

ing into this space. Both Maruti Suzuki and Tata Motors

has projected 33% and 25%, respectively, of their overall portfolio will be from the CNG by 2030. By joining forces with Greenfuel, we aim to capitalize on this growth potential and expand our portfolio to offer sustainable automotive solutions that will meet the evolving needs of both the industry and consumers.

Greenfuel's management team, under the able leadership of Mr. Akshay Kashyap, will continue to oversee the company's strategy and execution, ensuring seamless operations and driving future growth. With Greenfuel's strong product expertise and technology partnership, coupled

with Lumax's strong customer relationships, manufacturing excellence and sound governance practices, we are well positioned to capitalize on the growing demand for green and alternative fuel systems and to create value.

Coming to the key deal contours. Greenfuel's equity has been valued at INR221 crores, of which Lumax Auto Technologies through its SPV will purchase a 60% stake for INR133 crores, subject

to customary closing adjustments. This will be paid in cash funded by debt and internal accruals.

The strong free cash flow generation in Greenfuel will ensure debt repayment within 5 years.

Revenue of Greenfuel's alternate fuels business stood at INR214 crores in FY '24. The business is expected to witness a 20% -plus growth in FY '25 and continue a strong growth path thereafter. The EBITDA margins for the business has consistently been in the high-teen percentages. The

acquisition will be EPS and ROCE accretive for Lumax Auto Technologies on a consolidated basis.

Together with our new partners at Greenfuel, we are committed to delivering sustainable high - performance solutions that address the current market needs while positioning ourselves for future demand as well. With this, we open the floor for questions.

Moderator : Thank you. We will now begin the question-and -answer session. The first question is from the line of Amit Hiranandani with SMIFS Limited .

Amit Hiranandani : First of all, congratulations to the team for this attractive acquisition in the fast-growing CNG components market. Sir, my first few questions is to understand more about the business. So wanted to understand what all components are included in this acquisition and what is excluded. Secondly, how much is the import content for these acquired products? Thirdly, the most important thing is what is the capacity utilization of the acquired assets? And who are our top 3 customers and what is the contribution of the top 3 customers in the total revenue? And lastly, the present order backlog, how is it looking at present.

Anmol Jain : Thank you. The first question I will take is on the CNG, the products. As I mentioned, the products are specific to delivering the high-pressure system from the tanks to the engine.

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Currently, we are strong on things like receptacles , which are already been there in mass production. We are also getting into the production of tube and fittings in due course. We are currently supplying both to the passenger vehicle space as well as the commercial vehicle space. So that's just a quick overview on the current product.

Apart from the CNG specific, as I mentioned, there are also certain safety critical components and systems more specifically for the commercial vehicle and the buses space, which we are currently doing in this company.

Amit Hiranandani : Sir, this doesn't include the batteries, right?

Anmol Jain : No. This does not include the EV battery business of the company.

Amit Hiranandani : My second question is basically how much of the import content in this product?

Akshay Kashyap : So today, we have localized a lot of the content. Having said that, we are still importing some critical products, which comes to about 50% of the value of the product.

Amit Hiranandani

i : And sir, what is the capacity utilization of the assets?

Akshay Kashyap : So the capacity utilization today stands between 65% and 70%.

Amit Hiranandani : And sir, our top 3 customers and what's the revenue contribution of these top 3 customers?

Anmol Jain : So the top customer is Maruti Suzuki, which would contribute close to about 45- odd percent of the total revenue for FY '24, followed by Tata Motors, which would be close to 18% to 20%; followed by Volvo Eicher commercial vehicles, which would be close to around 13%. These would be the top 3 customers. And then we also have players like ACGL which would contribute about another 7% to 8% and then a few miscellaneous customers, which would add up to the remaining pie, like Ashok Leyland etc.

Amit Hiranandani : Okay. And sir, how is the order backlog presently looking?

Anmol Jain : So I think we do have a strong order book with the few critical and important models which will be launched by the OEMs in the CNG space coming in this year as well as next financial year.

As I said before, the outlook is that we would continue to drive growth around 20% to 25% at a CAGR level . And fundamentally, the two key growth drivers for this company, number one would be to increase the share of business from the present levels, improve the wallet share with key OEMs like Maruti Suzuki and Tata Motors . And the second growth driver would be increasing the per vehicle content from currently at about 20%, 25%, doubling it to 50% the minute we get into the tube and fittings mass production.

Amit Hiranandani : And sir, what was the share of business from Maruti Suzuki?

Anmol Jain : About 30%, 35% of the total Maruti buying would be from Greenfuel , so about one-third .

Amit Hiranandani : And our overall share in the CNG product is about 35%, right?

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Akshay Kashyap : Okay. So if you see the content per vehicle, if you take all of it, it's about INR15,000. Today, our content per vehicle is about INR3,200. So that represents a 20% content per vehicle. If we see just the product and the component, for that component, we are about 35% market share. So with the tube and fittings, our content per vehicle from around INR3000 -INR3,200 per vehicle will climb up to close to around INR7,000 to INR8,000 a vehicle. And hence, I said the content per vehicle will go from 20% of the entire system to 50% of the entire system, which is INR15,000 on an average per vehicle.

Amit Hiranandani : Just secondly, sir, I was reading that Greenfuel has some technical collaboration. So can you please tell us more about this? And how is the arrangement and what services we get from this?

Anmol Jain : So we have a technical collaboration for the last more than 15 years with a German company called WEH Gas Technology They were the original inventors of this product called The Receptacle. And we have a perpetual technical license agreement with them to manufacture their

products locally in India.

Akshay Kashyap : And the agreement continues on an as-is basis. There will not be any changes to the agreement whatsoever with our technical partner.

Amit Hiranandani : So how much is the contribution of this product, receptacles, and the total revenue?

Anmol Jain : So that would be about one-third, a little over one-third.

Akshay Kashyap : About 40% of the revenues would come out of receptacles.

Amit Hiranandani : 40% of revenue coming. And sir, how is the royalty payment to this German company?

Akshay Kashyap : Yes. The royalty payment is made once in a quarter depending on the volumes for that quarter.

Amit Hiranandani : And is there any percentage you want to disclose?

Anmol Jain : No. So it is dependent on the value addition which is done and again based on the import content.

So there are certain boundaries, but there is no specific percentage of royalty which will be continued to be given on a piece price basis.

Amit Hiranandani : All right, understood. And my second question is basically, sir, what is the revenue split between the station products, PVs, CVs and the safety products?

Akshay Kashyap : Yes. So the station products today contribute a very low, less than 2% to 3% at this point. As far as PV and CV goes, it really depends, because every year, it keeps changing. PV is a more stable industry. CV is kind of dependent on diesel pricing as well. So there have been times, but on a weighted average, you would say that PV contributes at least 50% of our revenue base.

Anmol Jain : And we're very bullish going forward. Because if you look at the passenger vehicle forecast, I mean, today there are almost close to 600,000 total CNG cars which were made in FY'24, which represents close to 15% of the total passenger car production. And this is expected to grow

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upwards of 1.25 million by 2030 based on forecast given by top OEMs like Maruti Suzuki and Tata Motors.

Amit Hiranandani : So sir, station products, 2% to 3%; PVs, 50%. CVs in FY'24, what was the contribution?

Akshay Kashyap : So in FY'24, the contribution of CVs will be about 35% -- 30%, 35%.

Amit Hiranandani : Okay. And sir, lastly on the financial side. So if you can please give us a broad financials of Greenfuel for FY'24 as well as FY'23, because we presently have only the revenues in hand? We require some other details like EBITDA, excluding other income, the PAT level, the gross block, net worth, cash.

Anmol Jain : As I mentioned, revenue was about INR214 crores in FY'24 with EBITDA margins historically been hovering between 17% to 19%. And at a PAT level, we are operating at about 10% to 12%.

We do expect these margins to be sustained going forward at a growth of 20%, 25% CAGR.

Amit Hiranandani : Understood. And sir, as per the press release, the FY'23 revenue dropped by about 5%. However, our largest customers, Maruti Suzuki, their CNG volumes have seen 40% growth for the same period. So if you can help us, what am I missing here?

Akshay Kashyap : Yes. You see, the volumes are very model-specific. So in those years, certain models of passenger cars which we are specified in were actually discontinued and they came in next year.

Anmol Jain : It was more of a product mix, specifically for Maruti. That's the reason. There was no loss of business or change of wallet share.

Amit Hiranandani : Correct. Okay. No loss of business.

Akshay Kashyap : Also, you have to understand that that was an anomaly year for commercial vehicles because of the differential in diesel and CNG pricing. And in that year, the CV volumes were extremely high the year before. While our pass car volume still did grow, the CV volumes went down. But overall on a revenue level, there was a 5% effect.

Amit Hiranandani : So you're saying there is some drop -- discontinuation of the model and the CV CNG vehicle has also seen some lower contribution.

Akshay Kashyap : Yes.

Amit Hiranandani : Correct. And lastly, sir, how...

Moderator: Amit. I'm sorry to interrupt you, but if you could please join the queue. Our next question is from the line of Ravi Shah from Opal Securities. Please go ahead.

Ravi Shah: I just wanted one clarification. Greenfuel has a battery division. So is there any particular reason why we did not acquire as EV is doing very well in India?

Anmol Jain : So I think first and foremost, our philosophy is always be EV-agnostic and we will continue to grow based on that philosophy. We would currently not like to enter into any specific EV-critical

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products. We still do believe that at least in the passenger car space, EV is something which may or may not happen up to the expectations which were set before. We've already started seeing some headwinds in the EV demand. So that is one a

rea which we would like to stay clear of. I

think, hence, this partnership continues to focus on servicing alternate fuel applications and the regulated environment, which is expected to develop in the coming years.

Even if you look at the PM's e-drive, there is really no passenger car which -- subsidy, which is

being given to passenger cars on that. So based on the current estimates, we do believe that the CNG vehicles will actually continue to have a much more significant share in the overall passenger vehicle market over the next 5 to 7 years. And that's the reason why we did not do it at the EV battery business as a part of this transaction.

Ravi Shah: Understood, sir. Also, I had another question, sir. How does the company plan to finance this acquisition? And are we -- do we have any option for acquiring more stake in the future?

Anmol Jain : So right now, the transaction, as I mentioned, will be a mix of debt and internal accruals. And as I also mentioned that the cash flow, there is a very strong cash flow at Greenfuel which should be able to service this debt over the 5 -year period. So that would be my take on how it was being funded.

Ravi Shah: Understood, sir. And sir for the remaining stake, how are you going to acquire that?

Anmol Jain : So I think we continue to co-create value. I think the idea is that the motor at Greenfuel, of course, will continue. The technical partnership will continue and as a strategic partnership where Lumax brings its customer portfolio, customer relationships and the technical and the day-to-day management and execution will continue to be with Mr. Kashyap and the team. We continue to drive the way forward in a similar way. So as of now, there will be a 60-40 split, which will continue.

Ravi Shah: Understood, sir. Sir, my last question is on exports. I think I missed it. So do we have any export contribution to our revenue? And if we do, how much is it as of now?

Akshay Kashyap : So we did just do some pilot projects in export for Africa as the market is just developing there , so the revenue share is very insignificant. Having said that, we are very bullish on the African market, but it also depends on some government policies and the infrastructure development there. But yes, we started some pilot projects in the -- for the African continent.

Anmol Jain : So I think we will continue to be watchful of these emerging markets, specifically Africa. And as and when there is a growing need we will look at strategically how do we utilize those or service those markets from India.

Ravi Shah: Understood sir. Thank you so much sir and all the best.

Anmol Jain: Thank you.

Moderator: Thank you. The next question is from the line of Radha with B&K Securities. Please go ahead.

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Radha: Hi, sir. Thank you for the opportunity and many congratulations. Sir, I wanted to understand that historically you mentioned that the EBITDA margin was in high teens. But in FY '23, we have seen a huge drop in margins from 18% to 10%. So could you please explain the reason for that happening in FY '23? And how has the numbers been in FY '24?

Anmol Jain : I'll let the finance team handle that.

Ankit Thakral : Those numbers, if you see in the financials of the company actually also include the EV business. So once you look at the CNG business in a split segment, those are consistently being between the 17% and 19% range that we mentioned.

Radha: All right, sir. 17% and 19% range in the CNG business has been consistent for the past 3 to 4 years?

Anmol Jain : Yes. That's correct.

Radha: All right sir. Secondly, could you please share your thoughts on -- you spoke a little bit about the EV, but your thoughts on green hydrogen as well and hydrogen automobile versus your thoughts on EV?

Anmol Jain : I'll let Akshay handle that question, please.

Akshay Kashyap : So that

thank you for that question. I think green hydrogen has a very promising future. Each country will have its own energy and energy security strategy. As far as the Indian government is concerned, as you are already aware, we are extremely bullish on green hydrogen. There are some PLIs for electrolyzer manufacturing as well.

Greenfuel as a company is excited because we have done already about 35 trucks and buses on hydrogen in India. And going forward, as the market matures, progresses, we do believe that this is going to be an exciting opportunity for diversification.

Radha: Any highlights on what are the specific products that we have supplied for green hydrogen?

Akshay Kashyap : Yes. So again, these include the fuel delivery and storage systems, but because we are already familiar with 200 bar systems. So going to 350 bar with hydrogen has been a very easy transition for us and we have the knowledge for doing that. .

Radha: All right. And sir, the fuel delivery system they are making for CNG as well as green hydrogen. So would it be -- the capacity would it be fungible or how -- the production line will be completely different for green hydrogen ?

Akshay Kashyap : No. So the production line can be very similar because the parts do look similar from the outside. But yes, they will have some differences in the material composition, etc which -- but they can be made on the same line, if that's the question.

Radha: And on a PBT basis, are we making money on green hydrogen or we are yet to reach there?

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Anmol Jain : It's a very small, it's more of a proof of concept. So right now it would not be fair to assess are we making money on hydrogen or not. But I think the key point is that the company has the technology and the technical capability to also meet the needs of the market should the market shift towards green hydrogen in the future. So we do believe that there is a big opportunity out there. And once the scale comes into play, we should be able to make margins on the hydrogen as well.

Radha: Yes sir. Thanks and all the best.

Anmol Jain: Thank you.

Moderator: Thank you. Our next question is from the line of Shashank Kanodia with ICICI Securities. Please go ahead.

Shashank Kanodia: Hi sir and congratulations for this great transactions. Sir just wanted to get some numbers. So is there any debt on the business that we're acquiring, this portion of business?

Anmol Jain : So the debt right now is only of working capital, which is approximately INR15 crores. There is no long-term debt on the business currently.

Shashank Kanodia: Sir, is my understanding correct that this company has been acquired at an effective valuation roughly 6x EV/EBITDA and 10x earning?

Anmol Jain : Can you just say that again, please?

Shashank Kanodia : So effectively, is my understanding correct that this transaction has been acquired at roughly 6x EV/EBITDA and 10x price to earning?

Anmol Jain : Yes. your understanding will be correct.

Shashank Kanodia: Good. And sir, who will be a competitor in this business -- the business that we acquired?

Anmol Jain : Primarily two similar scale groups. One is the Krishna Group and the other is the U no Minda Group. Both of them have certain joint ventures for this business segment.

Shashank Kanodia: Okay. And right, so we have 35% market share. So even these guys hold similar shares in that pie right? Or is it...

Anmol Jain : There's different products. But yes, as a part of the whole CNG landscape on the fuel delivery system, they both are also present but it may be on a different product category.

Shashank Kanodia: Right, right. And sir, secondly, regarding this acquisition. So can you help us understand, so out of this INR133 -odd crores, what part goes into fixed asset and what is largely you charge it to your goodwill or intangible assets?

Ankit Thakral : So the closing

is still under process and subject to the -- any closing adjustments, we will be able to communicate this in some time.

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Shashank Kanodia: And effective IRR for this or the payback period would be, what, 4 years for us?

Anmol Jain : Yes, it will be closer to between 4 to 5 years.

Shashank Kanodia: Right. And sir, lastly, sir, I have one request. So regarding the time line of a con call, sir. So we announced the transaction sometime over the weekend right. So as a practice, could we have these calls a bit early and closer to a transaction date only?

Anmol Jain : Surely noted.

Moderator: Thank you. The next question is from the line of Apurva Mehta with AM Investments.

Apurva Mehta : Many congratulations on a great acquisition. Sir, just one question on the content per vehicle from INR3,200 to INR7,000 to INR8,000. So practically, when it will start? What is the time line for that?

Anmol Jain : So this will start in the next financial year, quarter 1 of FY '26. This shift will start to be seen.

Apurva Mehta : Okay. And can you throw some light on what type of -- which are the models, current models which we have there? And future models which we are likely to be there three of them , which are bigger in size?

Anmol Jain : Sure. So I'll let Akshay handle what are the key models we are currently on and we have in the pipeline.

Akshay Kashyap : So for the current products that we supply, we have two of the largest models, which is the Swift Hatchback and the Swift regular notchback. And we also have the eco model and the ALTO K10, which will come in a new for next year. And for the fittings project, I am not allowed to disclose at this moment in which vehicles we will come. But the volumes will be significantly good from March onwards. So the models which actually had mentioned are for the receptacle. And for the tube and fittings, we've already got a confirmed order for one of the new models, as I mentioned, which will come into mass production in Q1 of next financial year.

Apurva Mehta : That's from Maruti?

Anmol Jain : Yes. That is from Maruti Suzuki, correct.

Apurva Mehta : And on the Hyundai side, are we also going to supply? You are telling that Hyundai is also coming with CNG?

Anmol Jain : So right now, we do not have an existing business relationship with Hyundai. But clearly, as a part of our strategic landscape, we will definitely engage with Hyundai. As you know, Lumax Group already has one very large joint venture which caters to Hyundai Motor India. So we will utilize our customer relationships there to try and see what kind of business opportunities we

can get for Greenfuel in the future.

Apurva Mehta : Okay. And on the product expansion side, are there any gaps remaining where you would like to develop or enter into some products which are related to the CNG side?

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Akshay Kashyap : Yes. The answer to that is an emphatic yes. We have quite a few product technologies in the works, which will allow us to address different areas as within the vehicle as well.

Anmol Jain : The idea is to try and bring these products and technologies, to try and continuously up our content per vehicle and penetrate deeper on to the opportunity that lies with the INR15,000 per vehicle content on the whole CNG delivery system. And these are all without the tank. We are not talking about tanks yet.

Moderator: The next question is from the line of Harshi I Shah, an individual investor.

Harshil Shah: Congratulations on a great acquisition. So my question is Maruti's growth for current year is 30% in CNG vehicles, April to August period, sir, if you can give us April to August turnover, it will be great, sir. How much have we grown like?

Anmol Jain : I think the growth for the first half would be again close to between 25% or upwards. A lot

of

this growth is also driven by the safety and critical component space, not only from the CNG.

But again, as these are cyclical in nature, please look at the annual guidance, which I continue to maintain would be around 20% to 25% growth rate for a full year basis.

Harshil Shah: And sir, what is the absolute number for April to August?

Anmol Jain : I'll come back to you. I don't have that number right off the top. I'll come back to you.

Harshil Shah: Okay. And sir, what's the order book of the company?

Akshay Kashyap : So this year, we expect to do between INR260 crores to INR 280 crores of revenue, which represents the 20% post growth from last year's revenue.

Harshil Shah: Okay. And sir, with increasing turnover, like do we get operating leverage? Like can the margins be ahead of 20%?

Anmol Jain : I think for now we want to maintain a guidance that the operating margin at first will continue to maintain at a similar level. There may be certain governance costs, which would also go up being a part of a listed company. So all in all, I think right now, with a 20%, 25% top line growth, which is projected, we would like to give a guidance of similar margins between 17% to 19% EBITDA to maintain.

Harshil Shah: And sir, last question is on the capital employed. So what is the capital employed for the company? I have FY '23 numbers. But then that inventory includes the battery division also. So like if we can give the capital incurred number for current business, for the business that we acquired.

Anmol Jain : So the capital employed would be close to 17 to -- Sorry, INR70 crores to INR80 crores.

Harshil Shah: Okay sir, okay that is great. Thank you.

Moderator: Thank you. The next question is from the line of Amit Hiranandani with SMIFS Limited. Please go ahead.

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Amit Hiranandani : Sir, need absolute EBITDA number for FY '24, excluding other income, please?

Anmol Jain : So Amit, I don't have that number right off the top, but it would be approximately close to somewhere around INR 40 crores. I don't have the exact number, but ballpark, that would be the range.

Amit Hiranandani : Okay. And sir, how is the annual capex guidance for this company?

Anmol Jain : So the company is light on a capex model. So it has a higher asset turn, I think the guidance I would like to give is perhaps the total capex over the next 3 years, should be maybe around INR40 crores to INR50 crores.

Amit Hiranandani : Okay. How LATL is planning to scale this new business? What are the internal targets and steps taken to improve the overall business and its financials?

Anmol Jain : I think, I already explained that the clear growth drivers are to increase the content per vehicle and also to expand the current wallet share with the current OEMs and also penetrate into other OEMs. That is where LATL would bring the customer relationship. And the guidance, as I said, if I look at a 20%, 25% CAGR over the next few years, then clearly this revenue could double from its current level over the next few years.

Amit Hiranandani : Sir, I just missed that content per car. Basically, there's some conclusion in that. Can you explain what is the current and how you're projecting it further?

Anmol Jain : I explained that out of a total INR 15,000 per vehicle which is the, let's say, estimated content per vehicle out of the entire CNG delivery system, currently, this company is operating at about only 20% of that entire system. And we are around INR 3,000 to INR 3,500 on a vehicle model. We also have confirmed orders where the content per vehicle will go up from INR3,000, INR3,500 to roughly close to around INR 8,000 once these new products are introduced to the market. So -- and again, we continue to see what are the opportunities, how do we get the content per vehicle further up from INR 8,000 to perhaps INR10,000 to INR 12,000 in the

e coming times.

Amit Hiranandani : Sorry, sir, last one final question. Basically, I wanted to know the exact gross block and net worth of this company?

Anmol Jain : Gross blocks of now is closer to INR 15 crores and net worth is closer to INR 60-odd crores.

Amit Hiranandani : Great, sir. Many thanks. All the best. Thank you.

Anmol Jain : Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for closing comments.

Anmol Jain : Well, I will take this opportunity to thank everyone for joining into the call. We will keep the investor community posted on a regular basis for updates on your company. I hope we have been able to address to all your queries. For any further information, please get in touch with us or Lumax Auto Technologies Limited

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Strategic Growth Advisers, our Investor Relations adviser. Thank you once again, and have a good day.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

LATL:CS:REG30:202 4-25 Date: November 21 , 202 4

BSE Limited
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Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
National Stock Exchange of India Limited
Listing & Compliance Department
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Security Code : 532796 Symbol: LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call - Q2 FY 2024-25.

Dear Sir/Ma'am,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call for all Investors/General Public which was held on Thursday , November 14, 2024 at 02:30 P.M. (IST) to discuss the operational and financial performance of the Company for the 2nd Quarter and Half Year ended September 30, 202 4.

The transcript will also be made available on the website of the Company at www.lumaxworld.in/lumaxautotech

This is for your Information and Records.

Thanking you,
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No. A28161

Encl: As stated above
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“Lumax Auto Technologies Limited
Q2 & H1 FY '25 Earnings Conference Call ”
November 14 , 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1 4th November 2024 will prevail

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR
MR. DEEPAK JAIN -- DIRECTOR
MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER
MR. SUNIL KOPARKAR – MANAGING DIRECTOR , IAC INDIA
MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF FINANCIAL OFFICER
MR. ASHISH DUBEY – CHIEF FINANCIAL OFFICER
MR. NAVAL KHANNA – CORPORATE HEAD, TAXATION
MR. SANJAY BHAGAT -- HEAD OF AFTERMARKET
MR. ANKIT THAKRAL – CORPORATE FINANCE
SGA -- INVESTOR RELATIONS ADVISOR

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '25 Earnings Conference Call of Lumax Auto Technologies Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance

of the company, and it may involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

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I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very good afternoon, ladies and gentlemen. A very warm welcome to our Q2 and H1 FY '25 earnings conference call. Along with me on this call, I have Mr. Deepak Jain, the Director; Mr. Vikas Marwah, CEO; Mr. Sunil Koparkar, Managing Director, IAC India; Mr. Sanjay Mehta, Director and Group CFO; Mr. Sanjay Bhagat, Head of Aftermarket; Mr. Ashish Dubey, CFO of the company; Mr. Naval Khanna, Corporate Head of Taxation; and Mr. Ankit Thakral of Corporate Finance, along with SGA, our Investor Relations advisor. The results and presentations have been uploaded on the stock exchange and the company's website. I hope everybody has had a chance to go through the same. I am happy to announce that our performance for this quarter has been very strong with a revenue growth of 20% at INR842 crores, which has been the highest ever single quarter revenue in the history of the company. H1 too witnessed strong performance with revenue standing at INR1,598 crores, a similar growth of 20%.

This performance stands as a testament to the core principles that define our brand, our enduring relationships with customers and the unwavering dedication of our entire team. However, it is also important to acknowledge the broader context of the automotive industry, which did face certain headwinds during the quarter.

A few key factors impacted growth across the industry. The general elections in the country did slow down the capital expenditure, impacting the demand for commercial vehicles. Heat waves and heavy rainfall in many regions affected overall consumer sentiment and business activities, specifically in the aftermarket. The traditional observance of the Shradh period, which fell entirely within the month of September this year, also influenced purchasing decisions among consumers.

On a segment-wise basis, on the passenger vehicles, the inventory levels for passenger vehicles rose during the quarter, driven largely by anticipation around new model launches from OEMs. However, we are seeing inventory levels gradually decrease due to a strong festive season sales and attractive discounts from the OEMs.

Overall, as noted previously, we expect the passenger vehicle segment to register a low single-digit growth for the full year as an industry.

On the 2-wheeler side, the 2-wheeler segment continued its growth momentum, particularly in rural areas. The recent launch of high-end models by OEMs has driven substantial demand with festive season sales providing an additional boost.

Looking ahead, we anticipate this upward trend to persist, fueled by a stronger rural economy, continued introduction of premium models and evolving consumer preferences. The commercial vehicle segment experienced a subdued performance this quarter for reasons already explained. However, we are hopeful that the demand for CVs will rebound in the second half of the year as government spending resumes and infrastructure projects regain momentum.

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Turning to Lumax Auto Technologies. We are excited about our growth journey that lies ahead with a clear focus on several strategic priorities. Number one, increasing our content per vehicle. We continuously aim to expand our range of offerings for each vehicle, each segment, enhancing the value we provide to our OEM partners and strengthening our presence in the auto market.

Number two, introducing new product categories, which are EV agnostic through new joint ventures and new acquisitions with prime focus on improving the top line and the bottom line growth. Number three, maintaining our position as a trusted single source partner for major OEMs and delivering cutting

edge technology by drawing on the expertise of our global joint venture partners.

And number four, lastly, to meet the evolving demands of OEMs and drive sustainable growth, we are enhancing our own R&D capabilities significantly focused towards technologies like

ADAS, electronics integration, HMIs and software.

Speaking of our operations, Lumax Tech is a financially sound, diverse automotive component manufacturer in the country, having partnerships with multiple global leading joint venture partners and having relationships with all major OEMs in the country.

Coming to the product category -wise performance for the first half. Advanced Plastics was grown by 17% from INR775 crores in H1 FY '24 to INR907 crores in H1 FY '25. The passenger vehicle segment is a major revenue contributor for this segment, constituting almost 70% of the total. Our outlook for this segment remains strong with more premiumization trends and addition of new product line. The order book for this segment stands at INR650 crores.

The mechatronics domain has grown from INR26 crores in H1 FY '24 to INR46 crores in H1 FY '25, a strong growth of 76%. This product category has a huge opportunity in terms of wallet share in new model launches through cross-selling. Many products are lined up for SOP in the second half of the current financial year, which will further increase the revenue pie. The order book for this domain stands at INR175 crores for the segment.

Coming to Structures and Control Systems. Revenue has grown by 11% from INR306 crores in H1 FY '24 to INR338 crores in H1 FY '25. The passenger vehicle segment contributes almost 60% of the total revenue. Our outlook for the segment remains strong with opportunity to penetrate into the premium and EV segment and addition of new technology-driven products with order book standing at INR225 crores.

Lastly, our revenues from the aftermarket segment has seen a flat growth in H1 '25 with respect to H1 of FY '24. This is pretty much similar to all major Tier 1s and other peers of the industry. This is largely because of poor income realizations from the aftermarket. However, the situation has started to show signs of recovery with stronger growth expected in H2 through product launches, which may lead to a higher single-digit growth for the whole year. The total order book, considering the value of all product and domain categories is INR1,050 crores, out of which 90% is new business. 15% of the order value will mature in the current

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financial year FY '25, 40% in FY '26, 30% in FY '27 and the remaining residual 15% in FY '28. EV contribution is approximately 40% of the total order book.

We look forward to a strong second half of the year with several new model launches on the horizon. With our decades of experience, we have successfully navigated the shifting market dynamics to consistently deliver higher value to our customers and shareholders. This performance also highlights our resilience and unwavering commitment to excellence, and we are well positioned to adapt, grow and seize new opportunities in the coming years, thereby creating higher value.

Now I would like to hand it over to Mr. Sanjay Mehta, Director and Group CFO, to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. Let me brief on the operational and financial performance for Q2 and H1 FY '25. With increased focus on passenger vehicle segment and integration of IAC, our share of passenger vehicle is at 50% in H1 FY '25 as compared to 47% in FY '24. In H1 FY '25, 2- and 3-wheelers contribution to overall revenue is at 25%, aftermarket at 12%, CV at 9%, and balance at 4% was contributed by other categories. For more detailed operational highlights on customer-wise revenue breakup, one can refer our investor presentation uploaded

on the exchanges and company's website.

On financial highlights, the consolidated revenue for Q2 FY '25 is at INR842 crores as compared to INR700 crores, up by 20% year-on-year. On H1 FY '25 basis, revenue stood at INR1,598 crores compared to INR1,332 crores, similar growth of 20%. EBITDA margin stands at 14% for Q2 FY '25. Absolute EBITDA for Q2 stood at INR118 crores, growth of 18% on a year-on-year basis. H1 FY '25 margin is at 14% with EBITDA growing by 19% at INR223 crores on a year-on-year basis.

PAT before minority interest for the quarter is at INR52 crores as compared to INR38 crores in Q2 FY '24, a growth of 38%. The tax rate for the quarter is 26% and is likely to continue in the same range in the future.

The Capex outlay during H1 '25 has been INR32 crores. However, with many SOPs planned for the second half of the year, the Capex outlay for the whole year is estimated to be around INR120 crores to INR140 crores. The company is sitting on a healthy free cash of INR387 crores as on 30th September, which is more than the long-term debt of INR363 crores.

With this, we open the floor for questions.

Moderator: First question is from the line of Harshil Shah from AM Investment.

Harshil Shah: Congratulations on great set of numbers. Sir, my first question is, could you share some insights on IAC utilization levels and current performance? What margins do you see as

sustainable going forward given the consistent 17% margins you have been maintaining.

Anmol Jain: So IAC, did you talk about the capacity utilization levels?

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Harshil Shah: Yes, IAC capacity because we did some INR280 crores of topline. So like are we nearing peak in terms of utilization?

Anmol Jain: So, yes, fortunately, for us, Mahindra has been growing significantly. As you clearly see in H1, IAC revenues have also grown by roughly about 19%. And in H2, we expect this growth to be even more significant on the back of certain model launches, which are planned for H2 by Mahindra & Mahindra.

So from a capacity utilization, I would say that we have already initiated certain brownfield expansions on our capacities, both in Pune as well as in Nashik, and these will be operational in H2. So post the investments, I would say that our capacity utilizations would still be close to around 85 -odd percent.

Harshil Shah: Okay, sir. And on the margin front, sir?

Anmol Jain: So I think we have been able to maintain EBITDA margin of roughly between, let's say, 16% to 18%. And in the near future, let's say, specifically for H2, we do expect a similar margin to be maintained.

Harshil Shah: Okay, sir. And sir, any update on the new acquisition? Like can you share first half top line and EBITDA margins of GreenFuel Energy Solutions Private Limited.

Anmol Jain: So that has not been closed yet. So as of now, in H1, there is no revenue inclusion of GreenFuel in the financial setup.

Harshil Shah: Correct, sir. But what is the number, like if you can share.

Anmol Jain: So for, let's say, on a full year basis, we are expecting anywhere between INR300 crores to INR350-odd crores of revenues with a stronger EBITDA margin than what we are looking at currently across the most of our subsidiaries and joint ventures.

Harshil Shah: FY '25, you're saying GreenFuel can do INR300 crores to INR350 crores of top line?

Anmol Jain: That will be FY '25 total. Of course, depending on the closure, we will see how much of that gets consolidated in FY '25. But this guidance, which I gave for an annualized number is more for FY '26.

Harshil Shah: Okay. And sir, it will start contributing from January onwards, GreenFuel?

Anmol Jain: Perhaps. We are looking at quarter 3 onwards, we should start getting it on our books.

Harshil Shah: Vikas Ji, can you please elaborate on each subsidiary like in terms of order book, actual

performance and outlook, that would be helpful, sir.

Vikas Marwah: Okay. So, Harshal Ji, we are seeing a strong traction on mechatronics, as Mr. Anmol Jain indicated. On mechatronics, while this year, I mean, in the last quarter, we have already seen a 70% growth, but that's a small base. We are planning to more than double up our revenue on mechatronics division, which includes Ituran, Alps Alpine, FAE, and Yokowo portfolio. These

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four divisions are the future drivers amongst many drivers for Lumax Auto Technologies in the future. We are planning to more than double of this revenue in FY '26 also.

Currently, if we see in terms of the order book of all of these entities. So we see for mechatronics close to INR175 crores order book already with us. And this is something which is still on the increased traction, and it will gain more momentum.

Plus on Lumax Mannoh, we have an order book currently of INR60 crores, but Lumax Mannoh is to be seen in the context that we get a rollover and carryover of many programs without the RFQs also. So that remains much on the traction.

On LCAT, currently, the order book is slightly lower in terms of about INR15 crores to INR20 crores, but even that is getting traction now. So if you see all of these subsidiaries, including one remaining subsidiary, FAE, which has not seen traction in the last few years, with the OBD II now rolling out, we expect to get into the SOP of oxygen sensors for the first time with a major 2 -wheeler manufacturer by January 2025.

Harshil Shah: Okay, sir. And sir, Anmol Ji, can you shed some light on the stand -alone business, like with exports at Bajaj showing signs of revival, are we experiencing a similar trend? -- and your outlook for the aftermarket business? That's it.

Anmol Jain: So I'll take the aftermarket first. I think aftermarket in the first half, as I said, has been subdued, but this is a phenomena which is across the most major Tier 1s across the industry. In H2, we have already started seeing signs of an uptick. We do expect the H2 should be probably by itself a double -digit growth compared to year -on-year basis.

And hence, as I mentioned in my opening remarks, for the full year, we still expect a high

single -digit growth rate for aftermarket in the current financial. But we are monitoring it closely. We do have some exciting new product launches in H2 for the aftermarket, which should further fuel this growth momentum in H2.

Coming to the stand -alone business, I think Honda Motorcycle has done exceptionally well. If you look at their numbers, they've grown by almost 33% in the first half. And subject to that, our business of plastic injection has also grown by almost 21% for HMSI in Bangalore. We continue to also grow our metallic business, which has grown by almost 20% in the first half on the back of new models and growth of Bajaj Auto as well. We've started the production of the EV model, the EV Chetak as well in the first half. So that has also fueled this growth. So the stand -alone business also continues to look good, both on OEM part and specifically in H2 recovery in the aftermarket.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited.

Amit Hiranandani: Congratulations team for a good set of numbers. Sir, first of all, on your last comments, basically, on the stand -alone business, although we have seen no good improvement. But if we look at our key customers, Bajaj, HMSI, they have reported very good double -digit growth on Lumax Auto Technologies Limited

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a Y-o-Y basis in Q2, but stand -alone revenue has grown by just 9 percentage. Was the aftermarket was only thing which was dragging the revenue or any other reason for that thing?

Ankit Thakral : So, stand -alone business, if you see a comparison of H1 last year to H1 cu

rrent year, as a

reported number, it grew by almost 12%. But with the aftermarket registering a flat growth, if we reduce that aftermarket business, the OEM business has grown by 17% to 18% with respect to the H1 last year and same as a story for both the Q1 and Q2 with respect to the last quarters.

Anmol Jain: So I think just to add color, I think if you look at Bajaj Auto's own growth on a first half basis, their numbers have grown by 11% H1 to H1 vis -a-vis our revenues with Bajaj, which are primarily all of it in the stand -alone entity has grown by 17%, primarily because, as I mentioned, we have expanded our wallet share on the -- specifically the fabrication and the chassis business. HMSI grew by 33%. And based on our wallet share of the certain product mix, our value with Honda Motorcycle also grew by about 22% for the first half.

So this is pretty much in line with the OEM growth. And as was mentioned, if I take out aftermarket from the stand -alone, we are looking at a high double -digit growth already in H1, and we expect a similar momentum to continue in H2.

Amit Hiranandani: Great. This is very nice to hear, sir. Sir, continuing with the stand -alone business only, the EBITDA margin has shown very decent improvement. So what are the factors led to this despite soft aftermarket? Generally aftermarket is your high -margin business. So how much more juice is left on the margin side?

Ankit Thakral : So if you see the stand -alone margins with respect to the H1 last year, it has grew almost by 150 basis points and which basically includes certain economies of scale due to the higher revenue in OEM and as well as certain, you can say, the price corrections from our major OEMs, namely Bajaj and HMSI, which were basically the carry forward from the last financial year. So these two reasons -- these are the two reasons basically, which has resulted into the increased EBITDA margins.

Amit Hiranandani: Scale and price increases, you said, right?

Anmol Jain: Yes, yes.

Amit Hiranandani: Okay. And sir, what was the revenue of Lumax Ancillary Limited because this is required just to calculate the organic growth on a Y -o-Y basis?

Anmol Jain: In H1, Lumax Ancillary has reported INR80 crores of revenue.

Amit Hiranandani: Understood. And sir, on the IAC India, it reported very healthy top line growth of 29% in Q2. And this, we believe, is largely driven by the M&M's strong performance. However, despite the good scale, the EBITDA margin dropped year -on-year by 29 basis points to 16%. And in fact, margins lower Q -on-Q by 302 basis points. So can you just explain me what is the reason for this?

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Ankit Thakral : So you are absolutely right. If you see the reported numbers, it has grew by 29%, the total revenue. But for this quarter, it included a substantial amount of tooling revenue in IAC amounting to INR35 crores. If we exclude that INR35 crores as a manufacturing revenue, it has increased by almost 15% to 16% with respect to Q2. And with respect to H1, the manufacturing revenue has grew by 17% and the total revenues by 19%.

Now coming to the second portion of your question, the EBITDA margins. EBITDA margins as an overall, it's about 16.5% for Q2, which is almost down by 150 basis points with respect

to the Q2 of last year, which is mainly due to there were certain one -timers and price corrections from their major OEMs in the last financial year. So the reported margins, as Anmol sir just mentioned, we'll be continuing to report between the range of 16% to 18%.

Amit Hiranandani: Right. And sir, for continuing with the IAC only, so Tata Motors business is expected to start from Q4 FY '25. And apart from that, any other new order wins or a client addition, if you would like to highlight on the same?

Anmol Jain: So I will let Sunil just come in on the operational SOP of the Tata Motor

s business, but I will

highlight that we have won a full service supplier business for Tata Motors, not just for the plastic interior products, but also for the ambient lighting, and that's a new product category which IAC India has ventured into. And we do expect to first stabilize this particular order and then perhaps grow the ambient lighting, interior lighting space to other OEMs as well. But that's just a new product.

We are continuously engaged in discussions with OEMs like Maruti Suzuki to expand and increase our wallet share and also with new potential customers like Honda Car India apart from already our existing customers like Skoda, Volkswagen.

But just to come back on when the Tata Motors business will be operational, I'll let maybe Sunil, the MD of IAC India, take that. Sunil?

Sunil Koparkar: Just wanted to give you highlights on Tata business. The newly awarded business, as Anmol sir said, will be launched in 2026. There is multiple businesses going on, but there is a significant design revenue as well in this program. The Q4 program, which we had originally announced, which will be launched for the CURVV has been kind of put on hold because they wanted to launch the model, but it will be resurrected later. But to the Tata business, the product launch is in 2026.

Anmol Jain: Thank you.

Amit Hiranandani: So it is slightly delayed, you said. Okay. And sir, on the Lumax Mannoh, so can you just tell me the revenue and margin in H1 for Lumax Mannoh?

Anmol Jain: So the revenue in H1 for Lumax Mannoh stood at INR176 crores and the EBITDA margins were pretty much in line with the previous track record of between 16% to 17%.

Amit Hiranandani: Right. And sir, any update on the export business opportunity for Lumax Mannoh?

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Vikaas Marwah : Well, as you are aware that these are the subsidiaries with international joint venture partners. We have -- in terms of the geographies. So currently, the visibility is restricted to the ASEAN countries, which is largely towards Indonesia and Thailand. And over the next 24 months, we are looking at having an overall about INR30 crores, INR35 crores per year kind of contribution coming in from these markets depending on the launch of the new programs.

Amit Hiranandani: Understood. And sir, Lumax Mannoh in FY '24, its revenue was around INR350 crores. So I mean, just wanted to understand where do you want to take this number by FY '27?

Vikas Marwah : So this entity, of course, holds majority market share in terms of the gear shifters with all the passenger vehicle manufacturers, which is close to 60% to 62% market share. So therefore, it's in a stronger position. We are anticipating a year -on-year growth of about 12% to 15%, depending on the OEM demand holding up.

Amit Hiranandani: Sure. And sir, on the Lumax Cornaglia, so we are supplying majorly to Tata Motors and which in turn has reported a degrowth in the first half. So how was your performance for Lumax Cornaglia?

Anmol Jain: Our Cornaglia performance for the first half has been flat compared to year -on-year basis in H1 despite a negative growth of Tata Motors. We still are hopeful that for H2, we will continue to have a single -digit growth for Lumax Cornaglia overall. But as was mentioned earlier, we are sitting on an order book of INR60 crores in Lumax Cornaglia. And next year, we do expect the growth momentum to be much better compared to the current year.

Amit Hiranandani: Right. And sir, our plastic fuel tank that product has started gaining traction? And how do you see the top line growing basically for this Cornaglia?

Vikas Marwah : So the plastic fuel tank entry was done largely for Tata Motors. Entering during the development, Tata Motors had a shift in their strategy when they have replaced a lot of their platforms back to metal. So plastic fuel tanks has not really come in

as a mandate till now. We

are now looking at the overall roto moulding technology opportunities in the same machine setup that we have put, and we are happy to inform that we have acquired the roofing business of one of the vehicle platforms of Mahindra there, and we are aggressively targeting a couple of more businesses.

So hopefully, I think with one machine that we have put up in terms of utilization over the next 24 months, again, we are looking at a INR25 crores to INR30 crores revenue coming from

there, which would make it viable. So roto moulding technology is a gradual and a nascent technology, which has just been introduced, and we hope to see traction there.

Amit Hiranandani: Sir, I just missed the first line. So you said plastic fuel tank business is like delayed or what?

Anmol Jain: I think Tata Motors has gone back to using from plastic fuel tanks back to metal fuel tanks on a lot of their models. And that's the reason the offtake of plastic fuel tanks from our perspective has, let's say, hit some sense of a back burner. And that's the reason we are now trying to find different product lines, which can utilize the machine, the roto moulding machine better in terms of capacities.

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And that's why we have already won an order for the plastic roof of one of the tractor OEMs -- sorry, the 3 -wheeler -- not the tractor, the 3 -wheeler from one of the OEMs to service that. So that's a new, let's say, product line, which we are entering into basically to utilize our machine capacities better.

Amit Hiranandani: Sir, but we have recently set up a large plant in Pune, considering that Tata Motors has given plastic fuel tank order. So just want your update on the same?

Anmol Jain: So that is one of the machines or one of the products that plant is not specifically for that. That plant is an integrated plant for all Lumax Cornaglia products and customers. And whatever revenue Lumax Cornaglia does today, which is, let's say, around INR80 crores, which it clocked for first half of this fiscal comes out of that single plant location.

Amit Hiranandani: So sir, how much run rate we can assume for the next 3 years, I mean, growth rate for Lumax Cornaglia, now the Lumax -- now the plastic fuel tank business is not with us presently?

Anmol Jain: As I mentioned, I think for the current year, we are still looking at H2 being a better growth driver because of certain new products as well. So we should be for the full year looking at close to approximately between INR160 crores to INR180 crores of revenue for the current year. And again, for the next year, because we have some order book, we should be looking at a high single -digit growth for Lumax Cornaglia next year.

Amit Hiranandani: Understood. And sir, lastly, on the emerging subsidiaries, basically, if you can help us with the H1 revenue for Alps Alpine and its margin. Also, sir, your midterm growth drivers for Alps Alpine are to localize the power window switches, expand range of switches, window raising sensors and in -vehicle infotainment. So how is the progress happening in this front? And how do you see revenue growth for this entity?

Anmol Jain: Lumax Alps Alpine in the first half did about INR15 crores of revenues, which was flat compared to the previous year. In H2, stand -alone H2 basis, we are looking at doubling our revenues compared to the previous year. So for the full year, we are looking at a handsome 50% year -on-year growth for Alps Alpine. We should be close to INR50 crores revenue, although on a small base for the current fiscal.

But as I mentioned, we have almost more than INR100 crores of order book on Alps Alpine. A significant part of this comes in FY '26, largely driven by the throttle position sensor and the in-vehicle infotainment system for 2 -wheelers. And next year, we are looking to perhaps cross the INR100

crore revenue mark for Alps Alpine.

Amit Hiranandani: And sir, this for the passenger vehicle switches, right? Just following up on the last question.

Anmol Jain: I mentioned the both products in the order book of Alps Alpine, half of 2 -wheelers.

Amit Hiranandani: And sir, just continuing, I just ask you one question about this other products like sensors in vehicle infotainment. How is the progress happening over there?

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Anmol Jain: I just explained the same, the sensor and the in -vehicle infotainment, both are getting launched in later part of this year and early FY '26, which will contribute the total turnover of Alps Alpine to go beyond the INR100 crores mark for FY '26. Both these products are in the 2 -wheeler space.

Moderator: The next question is from the line of Rohan Mehta from Nexus Capital.

Rohan Mehta: Yes. Sir, my first question is on the -- how is the GreenFuel acquisition playing out for us? And what kind of synergies are we seeing currently?

Anmol Jain: So the GreenFuel acquisition is on track. This partnership, as I mentioned, should be fructified sometime in quarter 3 itself and with consolidation revenues maybe kicking in from quarter 3. We do see some very high synergies. And again, as I mentioned before, it is a step towards the alternative fuels market. namely CNG, LNG and hydrogen, which we do believe have a very strong market in the future, both in the passenger vehicle as well as the commercial vehicle space.

Rohan Mehta: Sure, sure, sir. And sir, secondly, how have the smaller JVs performed this quarter? What kind

of growth are we looking at for these JVs in the medium to longer term, say, over a 3 - to 5-year horizon?

Anmol Jain: So I think I already explained that, let's say, the Alps Alpine JV has a huge potential where current year, as I mentioned, it would be just close to around INR50 crores, and we do expect it to double beyond INR100 crore mark in the next financial year itself on the back of a strong order book and certain launches, which will come in the later part of FY '25, FY '26.

Apart from that, let's say, something like Yokowo will also be growing at a very strong rate of, let's say, 50% to 70% in the current financial year as well as continuing that growth momentum over the next financial year as well. I do understand it's a small base, but we do expect that critical mass to be brought in, in FY '26.

Ituran, again, we started with a very strong growth in H1. There has been certain demand challenges with Daimler, and that's the reason for the full year, we are looking at still doubling our revenue, but that growth momentum will continue on a maybe 20% to 30% mark over next fiscal year as well. So these are some of the smaller JVs, which I believe mechatronics is the culmination of all these JVs. And mechatronics, as was explained earlier, will grow at almost close to 70% to 80% this year. And next year also, we expect the revenues of mechatronics domain to double, maybe crossing the INR200 crores mark.

Moderator: The next question is from the line of Aman Agrawal from Cernelian Capital.

Aman Agrawal: Sir, congrats on a good set of numbers. A few questions from my side. First was on the inorganic place, like we have acquired IAC India and now with GreenFuel, like how are we looking at basically the inorganic opportunity for the future? Like would we like to basically digest these acquisitions and focus on improving more business from them? Or like would we be open to going for more inorganic acquisitions and partnerships basically in the future?

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Deepak Jain Thanks for the question. This is Deepak Jain here. I'll just take this one. So I think in our previous commentary, what we have said was that we would like to envisage getting more partnerships, new orders

coming in with a much more healthy EBITDA. I think the company had a good success with IAC, where we were able to acquire 75% on a basis which was much more sales intense as well as having an EBITDA higher for the company.

Similar philosophy has been used for identifying Greenfuel. We're very bullish on the alternate fuel CNG particular segment and a very similar kind of acquisition partnership structure has been done for GreenFuel as well. I'm very hopeful that going forward, like what we are doing in IAC, acquiring more customers and accelerating growth of that company, we would be able to, as Lumax along with the current promoter management, be able to do the same thing for greenfield going forward.

Your question is that how do we basically take that? Of course, we have got current joint ventures. So if I look at the total business, right, we have actually the aftermarket division, which we would like to have a robust growth. Second, we have the current joint ventures in which Lumax Mannoh and Lumax Cornaglia are actually having more basically revenue and profit, but we are hopeful that the other joint ventures get incubated.

We have IAC, which I've just spoken about. And with green fuel coming in, we should be able to get more opportunities for having a faster track on revenue as well as having better margins because whatever businesses we're acquiring, they're having better margins.

And I think the philosophy fundamentally will remain the same. We will continue to very closely interact with our customers and try to get basically into segments which we probably are not in. For example, GreenFuel has a good play in also the commercial vehicle space. and of course, as CNG comes in. IAC had a whole premiumization model. And as Mahindra has is actually feeling better for the company because the whole space coming in from SUV.

So IAC helped the company to go largely from a 2 -wheeler now more dominated to a 4 -wheeler and greenfield will also continue to do that. And also greenfield is the first, I would say, powertrain or basically centric kind of, I would say, bet which Lumax is taking because we have not been very, very powertrain agnostic. But this time, we are betting good on CNG because going with India plans, going with what the customer and particularly Maruti Suzuki, I think is very, very important for that.

And we continue to basically scout for acquisitions, which will not just synergize, but it's probably having higher or good profitability and good potential to grow, which with Lumax's OEM relationships, we can continue to do that.

Aman Agrawal: Thank you, sir, for elaborating. Second thing, sir, we have talked about our EV play, right, like EV strategy where we want to focus on. So like have we finalized it? And like any thoughts on that basically?

Anmol Jain: So right now, let's say, if you're talking about our organic products, which are also applicable into the EV space, as I mentioned earlier, out of the order book of INR1,050 crores, almost

space. However, we are currently not further pursuing any opportunity in the EV specific component space.

As an alternative, as I mentioned, we are a lot more bullish on the penetration of alternate fuels like CNG, and that's why we are strategically aligning our direction into that space and foraying into that segment. So for EV critical components, right now, the company has no plans to move forward in pass cars or 2 -wheeler space.

Aman Agrawal: That was really helpful. Just one question, sir, since we would be looking for expansion across our verticals, so any debt to EBITDA level or debt -to-equity levels we are looking at maximum level since we may go for further acquisitions, right? So anything on that.

Anmol Jain: So currently,

I think if I were to give you a horizon of over the next 3 to 4 years, I think we do expect that with the order books in hand and with all the current product lines which we have, we should be able to grow at least 50% more than the industry's growth rate. So that is something we should be able to easily grow. And for that, there is enough cash generated during the year to be ploughed back to fuel that kind of growth.

To further that growth rate in the going forward coming years, I think we will do a mix of perhaps fresh debt as well as using our strong internal free cash sitting on the books. So with the mix of that, I think we will be ploughing that in inorganic opportunities further going forward to further accelerate the growth.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited.

Amit Hiranandani: Yes. Sir, continuing with the emerging subsidiaries for Lumax JOPP, our target was to become a full system supplier along with Lumax Mannoh. So is there any progress, any cross -selling opportunities you are seeing? If you can just let me know on this?

Vikas Marwah : So thank you, Amit. Lumax JOPP came into India to make a joint venture with us basically for one product, which was shift towers that became an FSS offering to the OEM along with the gear shifter division of Lumax Mannoh. However, while we are happy to inform you that Lumax JOPP has won substantial shift tower business from country's largest PV manufacturers, namely MSIL. The program gets into the SOP in FY '26.

Currently, they are supplying shift towers only to Mahindra. So you will see large critical mass emerging in FY '27 when we start supplying the shift towers to Maruti Suzuki, that's a large business award. However, Lumax JOPP is also now aggressively pursuing the electric shifter strategy because that is what they do globally along with Volkswagen and with other European OEMs, including JLR. And both programs are currently underway. So in the next quarterly Board meeting, we will be able to present a more clear picture in terms of Lumax JOPP's road map over the next 3 to 5 years. But we see very strong potential there.

Amit Hiranandani: And sir, what was the revenue for H1 and margin for Lumax JOPP?

Anmol Jain: So H1, we had a negligible revenue of about INR7 crores although it was 70% growth, but it was a very low base. And right now, we've not yet achieved breakeven because of the low
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revenue. But we do expect that on a full year basis, this should double up to maybe anywhere between INR12 crores to INR15 crores in terms of revenues. And again, the order book is almost INR50 crores for Lumax JOPP. So once that kicks in, we should be able to tide the wave of getting into profitability as well.

Amit Hiranandani: And this majorly INR50 crore order book executable in FY '26 and FY '27 combined, right?

Vikas Marwah : A very small portion of it comes in FY '26. But as I mentioned, the Maruti Suzuki SOPs are in FY '27. And that is where 80% of the order book lies right now.

Amit Hiranandani: Right. And sir, any update on the oxygen sensors business, the FAE side? The implementation date is April 2025. So any change from the deadline change or you have won some order?

Anything we can update on this, please?

Vikas Marwah : Yes. So this is one business that has been waiting to get off the block largely due to the OBD II implementation. By all signals, by all indications from the OEMs and no other voice heard from the government circles, we are anticipating February '25 production of these vehicles with the second sensor. So we are going ahead with the SOP in January with a major 2 -wheeler manufacturer. We are looking at supplying almost 0.5 million sensors in the next financial year.

But yes, from February onwards, you will start seeing the revenue coming in. And for the full year FY '26,

we are anticipating almost 40% capacity utilization of the plant that we have put up. And definitely, then we will get more aggressive in the market with more order acquisition .

Amit Hiranandani: Understood. Sir, oxygen sensor, generally, we use two oxygen sensors, right, in 2 -wheelers. Approximately realization per oxygen sensor is around INR500. Am I correct in this?

Vikas Ma rawah: So the oxygen sensors traditionally were the unheated sensors that were being deployed by most of the OEMs, 80% OEMs were deploying unheated sensors, which had a price of anywhere between INR300 to INR400. And then the heated sensors were INR450 to INR600, largely imported from 2 global manufacturers. Lumax FAE will be giving only heated oxygen sensors. We are not in the unheated oxygen sensor game. So you have a price bracket there.

Amit Hiranandani: Right. And sir, just a bookkeeping question. I just missed the gross debt number as on 30 September and the cash and investments in hand.

Ankit Thakral : So the free cash as on 30th September as on consolidated basis is INR387 crores and the long - term debt is INR363 crores.

Amit Hiranandani: INR363 crores is the long -term debt, okay?

Ankit Thakral : Long -term debt, yes.

Amit Hiranandani: Understood. And how -- what is the annual repayment schedule, sir?

Ankit Thakral : Annual repayment schedule for the whole year was -- long-term debt was INR75 crores. So out of that INR75 crores, half of it has been paid in H1 and the balance will be paid in H2.

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Amit Hiranandani: Okay. And sir, Capex outlook for consolidated business? And if you can break up majorly where we are going to spend the same...

Anmol Jain: So Capex , if you look at last year to this year, there should be an incremental Capex of about INR60 crores. Last year was around INR80 crores. This year, we are looking at anywhere between INR120 crores to INR150 crores. So this Capex largely will give us almost INR400 crores of additional revenues in the current year itself. So from an asset turnover, the additional Capex to additional revenue will be almost INR1:7 in FY '25 itself. Part of -- most of this Capex will go into the IAC as well as the metallics for new subsidiaries, the smaller JVs.

Amit Hiranandani: Right. Sir, just last one final question. On the consolidated EBITDA margin. So in H1, it's slightly lower than the last year. So do you still maintain your annual guidance of keeping EBITDA margin at the same level of what we have achieved in FY '24?

Anmol Jain: I think if you look at EBITDA margins, total in FY '24, we did 14.6%, but there were certain one-off cases. If I were to take them off, the normalized EBITDA was maintained at 14% on a consolidated basis. The same is already achieved in Q1 as well as Q2 at 14%, and we expect this margin to continue in Q3 and Q4 for the remaining part of the fiscal despite headwinds, but we are pretty sure that we will be able to deliver this top line growth with a sustained EBITDA margin.

Amit Hiranandani: Right. Sir, any internal targets to take this margin ahead for the next 3 years perspective?

Anmol Jain: Absolutely, I think as the top line grows, as I already mentioned, we should be able to get the top line growing organically 50% more than that of the industry growth. So if the industry grows, let's say, at around 8% to 10%, we should easily be looking at a 12% to 15% growth organically. And for that, with that organic growth with better operational efficiencies with the new subsidiaries scaling up, we should be able to expand those EBITDA margins further, perhaps from 14% to 15%.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to management for closing comments.

Anmol Jain: Well, I would like to take this opportunity to thank everyone for joining into the call. We wi

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keep the investor community posted on a regular basis for updates on your company. I hope we have been able to address all your queries. For any further information, please do get in touch with us or Strategic Growth Advisors, our Investor Relations advisers. Thank you once again, and have a good day.

Moderator: Thank you, sir. On behalf of Lumax Auto Technologies Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

LATL:CS:REG30:202 4-25 Date: 20.02.2025

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Subject: Transcript of Analysts/Investor Earnings Conference Call - Q3 FY 2024 -25

Dear Sir/Ma'am,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call for all Investors/General Public which was held on Friday , February 14 , 2025 at 02:30 P.M. (IST) to discuss the O perational and F inancial performance of the Company for the 3rd Quarter ended December 31, 202 4.

The transcript shall also be made available on the website of the Company at <https://www.lumaxworld.in/lumaxautotech/transcript.html>.

This is for your information and records .

Thanking you,
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No. A 28161

Encl: As stated above
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"Lumax Auto Technologies Limited
Q3 FY '25 Earnings Conference Call "
February 14, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th November 2024 will prevail

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR
MR. DEEPAK JAIN –DIRECTOR
MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER
MR. SUNIL KOPARKAR – MANAGING DIRECTOR , IAC INDIA
MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF FINANCIAL OFFICER
MR. SANJAY BHAGAT – HEAD OF AFTERMARKET – LUMAX AUTO TECHNOLOGIES LIMITED
MR. NAVAL KHANNA – CORPORATE HEAD, TAXATION
MS. PRIYANKA SHARMA – HEAD CORPORATE COMMUNICATIONS
MR. ANKIT THAKRAL – CORPORATE FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to Lumax Auto Technologies Limited Q3 and 9 Months FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very good afternoon, ladies and gentlemen. A very warm welcome to our Q3 and 9 months FY '25 Earnings Conference Call. Along with me on this call, I have Mr. Deepak Jain, Director; Mr. Vikas Marwah, CEO; Mr. Sunil Koparkar, Managing Director, IAC India; Mr. Sanjay Mehta, Director and Group CFO; Mr. Sanjay Bhagat, Head of Aftermarket; Mr. Naval Khanna, Corporate Head, Taxation; Ms. Priyanka Sharma, Head, Corporate Communications; and Mr. Ankit Thakral, Corporate Finance; along with SGA, our Investor Relations adviser. The results and presentations have been uploaded on the stock exchanges and the company's website. I hope everybody has had a chance to go through the same. I'm happy to announce that our performance for this quarter has been very strong with revenue growth of 24% at INR 906 crores, which has been the highest ever single quarter revenue in the history of the company. Nine months, too, witnessed a strong performance with revenue standing at INR 2,504 crores, a growth of 21%. This revenue includes INR 23 crores from Greenfuel Energy Solutions, which has been consolidated from 26th November 2024, having an impact of 3% and 1% on the Q3 and 9 months growth respectively. We continue to beat the industry growth rate and this exceptional performance is a testament to our decade-long partnerships with OEMs and the enduring trust they place in our products and solutions.

It also highlights the strength of our technological expertise, manufacturing excellence and the strategic advantages gained through our joint venture collaborations. I would like to provide a brief overview of the key macroeconomic factors currently shaping the Indian economy and their potential impact on the automotive industry.

The country has experienced a period of economic slowdown with GDP growth showing signs of moderation. Consumer confidence has been somewhat dampened due to persistent inflation and high interest rates, leading to cautious spending patterns. However, the recent union budget presented by the Honorable Finance Minister has delivered a much needed boost to the economy. One of the most significant measures introduced is the increase in the income tax exemption limit, which will leave consumers with higher disposable income. This, in turn, we believe, can

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have a positive impact on the automotive sector as more individuals may now consider purchasing vehicles. With improved affordability and greater financial flexibility, we anticipate a steady demand in the industry, supporting its growth in the coming quarters.

Now coming to the performance of the overall automotive industry during the quarter. Overall, it grew by 6% in quarter 3 FY '25 as per the data released by SIAM. On a segment-wise basis, passenger vehicles, the issue of higher inventories at dealers' end was addressed

with OEMs

providing recent discounts to clear the inventory levels. Overall, the festive season, coupled with decent discounts helped the passenger vehicle industry witness highest sales ever in quarter 3 of any year.

The ongoing trend of premiumization remains strong. However, with the recent increase in the income tax exemption limit, we may see a potential revival in demand for the entry-level vehicles as well. However, a weakness in urban demand, relatively high interest rates and some tightening in retail loans may lead to a muted growth in this segment.

The 2-wheeler industry has witnessed a strong revival throughout the year, achieving a double-digit growth despite a slight slowdown in the sales momentum in December 2024. This growth has been largely driven by a favorable monsoon, barring excess rainfall in some regions, along with a robust agricultural sector performance and rising rural demand. While there may be a marginal dip in the growth in the last quarter, the overall volume expansion in the domestic 2-wheeler market is expected to remain in the low double digits.

New model launches by leading players, particularly in the EV segment, are expected to further

fuel the demand. Additionally, a recovery in export market, as seen in the numbers reported by leading OEMs in the last quarter, provides further optimism for the 2-wheeler industry's production outlook.

On the commercial vehicles, the commercial vehicle market has continued to face challenges where the volumes have remained flat on account of slowdown in industrial activities and a sluggish pace of government capital expenditure, which was impacted by multiple elections. Additionally, the demand for LCVs is experiencing some cannibalization due to the rising popularity of electric 3-wheelers for local transportation, which are proving to be a much more cost-effective alternative for last mile connectivity. However, in FY '26, we can see some recovery in the commercial vehicle industry with an uptick in government and private sector capex.

Speaking of our operations, during the quarter, we have consolidated the operations of Greenfuel Energy Solutions Private Limited from 26th of November 2024. Greenfuel's expertise in clean mobility solutions complements our product portfolio. This integration is expected to drive significant synergies by leveraging Greenfuel's technological capabilities and Lumax's extensive OEM relationships, manufacturing excellence and the distribution network.

With a growing push for sustainable mobility, this partnership positions Lumax Technologies to catalyze on the increasing adoption of alternative fuel vehicles, expanding its product portfolio and driving long-term growth in the green automotive space.

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Giving an update on some of the major awards won by the company in the recent quarter and as recent as this month, the subsidiary company, IAC India, won 3 awards, including the Business Partner of the Year and Special Appreciation Award for development in Thar Roxx and BE 6 models from an esteemed customer, Mahindra & Mahindra, at the recently held Supplier Conference.

The subsidiary company, Lumax Cornaglia, also won 1 award for innovation in development of Degassing Tank at the same vendor conference of Mahindra & Mahindra. The Bangalore plant of the company has been awarded with the prestigious JIPM TPM Consistency Award. The Chakan plant of the company also won the JIPM TPM Excellence Consistency Award at the Bajaj Auto Vendor Association Convention for the year '24-'25.

The subsidiary company, Lumax Ituran Telematics, received a prestigious Hall of Fame Award from Daimler India Commercial Vehicles for its role as a reliable telematics partner, achieving 100% delivery and quality performance. We remain highly optimistic about the future, driven by multiple growth

levers in the automotive

industry, rising disposable incomes, improved consumer sentiment, increased capital expenditure from both the government and private sector and the wave of new model launches by OEMs are set to propel the industry forward.

Our strong performance reflects our resilience and unwavering commitment to excellence. With a sharp focus on innovation and adaptability, we are well positioned to capitalize on emerging opportunities and drive a sustainable growth in the years ahead.

Now I would like to use it over to Mr. Sanjay Mehta, Director and Group CFO, to update you on the operational and financial performance of the company.

Sanjay Mehta: Good afternoon, everyone. Let me brief on the operational and financial performance for Q3 and 9 months FY '25. Your company has witnessed a strong performance with revenue growth of 24% and 21% for Q3 and 9 months FY '25, respectively.

Coming to the product, category-wise performance for 9 months, the Advance Plastic has grown by 18% from INR1,204 crores in 9 months FY '24 last year to INR 1,420 crores in 9 months FY '25. Our outlook for this segment remains strong with more premiumization trends and addition of new product lines. Order book for this segment stands at INR 660 crores.

Mechatronics segment has grown from INR38 crores to INR 67 crores in 9 months FY '25, a strong growth of 75%. This product category has huge opportunity in terms of wallet share in new model launches through cross-selling. The order book stands at INR 320 crores for this segment.

Structures & Control Systems segment has grown by 9% from INR 471 crores to INR 512 crores in 9 months FY '25. Our outlook for the segment remains strong with opportunity to penetrate premium and EV segment and the addition of new technology-driven products with order book standing at INR 170 crores. Green Energy Solutions recent addition to our portfolio has a strong

visibility due to growing preference for alternate fuels in the country. The strong demand is

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reflected in our robust order book, which currently stand at INR 200 crores, positioning us well

for sustained growth in this segment.

Revenue from Aftermarket segment has growth of 3% in FY '25 with respect to 9 months last year, pretty much similar to all major Tier 1 suppliers and other peers. This is largely because of over realization due to tight money liquidity in the Aftermarket. Our outlook is better for Q4 with the ease in liquidity and new product launches, which will lead to double -digit growth in Q4 with respect to Q4 of last year.

The total order book, considering the value of all product categories, are INR 1,350 crores, out of which 90% is new business. 30% order book value will mature in FY '26, 40% in FY '27 and remaining 30% in FY '28. EV contribution is approximately 40% of the total order book.

With increased focus on passenger vehicle segment and integration of IAC, our share of passenger vehicle stood at 50% in 9 months FY '25 as compared to 47% in last year. In 9 months, FY '25, 2/3-wheeler contribution to overall revenue is at 25%, Aftermarket at 12%, our CV at 8% and balance 5% was contributed by other categories.

On financial highlights, the consolidated revenue for Q3 stood at INR 906 crores as compared to INR 733 crores, up by 24% year -on-year. On 9 month FY '25 basis, revenue is INR 2,504 crores compared to INR 2,064 crores, a growth of 21%.

EBITDA margin stands at 14% for Q3. Absolute EBITDA for Q3 is at INR 127 crores, a growth of 9% on a year -on-year basis. 9 months '25 margins stood at 14% with EBITDA growing by 15% at INR 350 crores on a year -on-year basis. PAT before minority interest for the quarter is at INR 56 crores as compared to INR 48 crores in Q3 FY '24, a growth of 17%. The tax rate for the quarter is 25% and is likely to continue in the same range in the future.

The capex outlay during 9 months has been at INR 83 crores, majorly on account of new products SOPs in IAC and Lumax Alps. The guidance for the full year remains at INR 130 crores to INR 140 crores. The company is sitting on a healthy free cash of INR 315 crores as on 31st December, whereas the long -term debt is at INR 462 crores, which has increased from previous quarter due to acquisition for the purchase consideration of Greenfuel Energy. The long-term debt equity ratio stands at 0.53 as on 31st December.

With this, we open the floor for question .

Moderator: Sure, sir. Thank you very much. We have our first question from the line of Apurva Mehta from A M Investments. Please go ahead.

Apurva Mehta: Sir, congratulations on a great set of numbers. Sir, just wanted your broad outlook on where the 4-wheeler industry and the 2 -wheeler industry is moving on the basis that a lot of new EV launches are happening? And where do we see ourself in this EV launches?

Anmol Jain: So Apurva, thank you very much. Number one, on the passenger vehicles, as I mentioned in my opening remarks even in FY '26, similar to what of FY '25, I think the growth would be pretty muted. The penetration of electric vehicles, we believe, will definitely be far more in the Lumax Auto Technologies Limited

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passenger vehicle segment, and that's primarily because of some of the recent launches, which we have seen.

The full year production of those particular launches from big OEMs like Mahindra and Maruti Suzuki will add significant volumes in FY '26. So the penetration levels will definitely be much higher than what they are today. However, overall, as a passenger vehicle, I think we are still anywhere looking at estimates between anywhere 3% to 4% or 5% at best.

The 2 -wheeler industry, however, will continue to outperform the other segments, even in the current year, as I mentioned, the 2 -wheeler industry has reported a double -digit growth, and we are fairly certain that in FY '26, we will surpass the FY '19 historic production volume of about 24.5 million units.

So 2 -wheelers will continue to outshine. And I think the penetration of EVs in 2-wheeler continues to increase. If you see the last 3 -year trends, it's consistently increasing . And of course, the players will keep changing, but the good part is that the legacy players are now commanding the top 2, top 3 positions in the electric 2 -wheeler segment. And Lumax Technologies, again, both on the 4-wheeler as well as on the 2 -wheeler electric vehicle models has a good presence with a sizable contribution per vehicle.

Apurva Mehta: Okay. And where we are placed today if we want to penetrate more into the EV side of the thing? And are we finding any new products which are particularly focusing on EV side of the thing? Or anything which is on the pipeline or in the radar where you will be in future trying to penetrate more into the EV side of the business?

Anmol Jain: Yes, absolutely. I think the company is currently also evaluating certain products and technologies to foray into the EV space. We believe that the play in EV will be more on the software and integration side where there will be real value added rather than the hardware and product manufacturing sites, which may slowly but surely get commoditized. So I think there is a lot of significant focus by the company to evaluate how to get into this software and integration

space for the EV vertical. And I'm hoping that in FY '26, you will see some traction and movement towards the same.

Apurva Mehta: And on the JV side, Mechatronics has ramped up a lot of orders. Can you just explain which are the JVs which are getting huge order from this Mechatronics?

Anmol Jain: So if you look at Mechatronics as a whole in the 9 months outlook, they have grown by approximately 75%. And in this, one of the clear winners was the telematics joint venture,

which started in FY '24, but for the full year realization has significantly ramped up on the volumes.

Also, the Yokowo joint venture because of certain new product launches has grown by almost close to 85% to 90%.

So these were 2. And the last was the oxygen sensor joint venture, which has ramped up its production in FY '25. And going forward in FY '26, we actually see all of these JVs are having a significant run rate and contributing to the top line growth.

Apurva Mehta: So this INR 320 crores order breakup is more towards telematics or where it is exactly?

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Anmol Jain: Yes. So INR 220 crores is on the total mechatronic. And I would say that almost half of that would be for the Alps Alpine joint venture. Along with that, there is also a discussion with a new Japanese player as a Tier 2 contract manufacturing setup, which would further add about INR100 crores to the order book.

Apurva Mehta: Okay. And that is for export or for domestic?

Anmol Jain: It is for domestic product.

Apurva Mehta: Okay. And any new products or developments which you would like to highlight in the last quarter where we have done anything new?

Anmol Jain: So Apurvaji, I think the new product, as I mentioned, yes, it will get into SOP only in FY '26.

That is something. But along with that, there are 2 particular products where we have already gone into SOP under the Alps Alpine joint venture. One is a throttle position sensor and one is an in-vehicle infotainment system. Both are in the 2-wheeler space. One is more specific to EV model and one is, again, going on an ICE model.

Apurva Mehta: Okay. And your outlook for next year, broadly?

Anmol Jain: Well, it's too premature to say, but I would suggest that the overall revenue would continue to outperform the industry, anywhere close to between 15% to 20% would be our estimate in terms of the top line growth. I think our endeavour is to continue to sustain and further expand these EBITDA margins in FY '26 as well. So we do not anticipate any major hiccups. There are certain signs of raw material pricing going up. But again, that is a lag. We should be able to recover them from the OEMs in 3 to 6 months' time frame.

Apurva Mehta: Okay. And on the Greenfuel side, where we are currently and what are we doing to complete the chain of the whole packet? And is it possible to us that we use this Greenfuel for the Aftermarket also in a bigger way, like putting the whole set of the CNG kit like a thing?

Anmol Jain: So absolutely, I think Greenfuel, obviously, because of our full year consolidation will becoming a much more sizable by contribution of the pie in terms of the top line and bottom line in FY '26. We continue to believe that the kit value and the content value per vehicle through the CNG core products and other products which we are pouring into should be anywhere between to INR7,000 to INR 10,000 of vehicles in the near future in maybe another 2 years' time frame.

On the Aftermarket, yes, we have already supplied about 2,000 CNG kits to the African market.

We do believe that there is a tremendous export potential of converting CNG kits in Africa.

We've done this for passenger vehicles as well as buses, and we continue to explore further geographies and territories for penetrating this conversion.

Apurva Mehta: And on the Aftermarket side, we have been muted for last maybe 1.5 years. We are very stagnant which was our area where our focus was there and we were hoping to double the turnover in every 3 years. But last 1.5 years, for many reasons, it's not moving at all. So what is your take?

And where should we look for next 3 years? Should we double the turnover now or from next 3 years

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Anmol Jain: So absolutely, I think it has been an industry-wide phenomenon, nothing

specific or exclusive

to Lumax Technologies. If you look at other Tier 1 peers in the Aftermarket space, pretty much most of them, almost 90% of the big names have reported a very muted or a low single-digit growth in FY '25.

However, as Mr. Sanjay Mehta had mentioned, we have already started seeing good traction in quarter 4 onwards, where January has been a good month, and we see a similar momentum continuing in the month of February as well. So for quarter 4 stand alone, we should be looking

at a good double -digit growth rate, which is pretty similar to what the Aftermarket division used to do up until FY '24.

Giving you a horizon, I think this growth momentum in FY '26 will continue very healthy into a double -digit territory. And yes, our endeavor is still to double the Aftermarket revenues in the next 3- year time frame, given the fact that more growth would probably come from the exports vertical, not just the domestic vertical.

Moderator: The next question is from the line of Hitesh Goel from Riddish Advisors.

Hitesh Goel: Congratulations on very good results. Sir, you gave a pretty good background on the 3 main subsidiaries. So if you can give that about IAC, Lumax Mannoh and also Cornaglia. So what has happened in this quarter in terms of Y -o-Y growth, margins, how it has been and order book, which you can repeat because I think I missed the order books in position as well?

Anmol Jain: So I think IAC continues to have a strong growth rate. For the 9 months of the current fiscal, total revenue was up by 20%. This was also on a large set of tooling revenue. If I look at the manufacturing, it was up by almost close to 14%. And I do believe that in quarter 4, this momentum would continue to grow. For the full year, I think we're looking at a 20- plus percent growth of manufacturing as well as including tooling a total growth of 30% plus.

IAC continues to be a partner of choice for its largest customer, Mahindra & Mahindra. And as was mentioned earlier, we are sitting on a very strong order book of almost close to more than INR500 crores, INR 550 crores in IAC itself. Further to that, we are also in dialogue in touch with other OEMs and expanding our wallet share there.

Coming to Lumax Mannoh as well as Lumax Cornaglia, I think here, the growth rate clearly has been a little bit more muted. The Lumax Mannoh, while the volumes have grown, however, there has been a shift in the product mix more leaning towards manual transmission than automatic as previous year quarter, and that has resulted in a lower value offtake by the OEMs. We have only grown about 1% in the full 9 months, and we expect a pretty similar muted growth for the full year. But I think both these joint ventures, Lumax Cornaglia and Lumax Mannoh, should have a better growth rate in FY '26 on the back of a decent order book.

Hitesh Goel: And sir, in IAC India, you talked about Tata Motors business starting on ambient lighting and plastic business from 4Q FY '25. So I think is that on track? Or there's some delay there?

Anmol Jain: On the Tata Motors front, we did get some order wins for their electric vehicle model. However, for now, they are under a complete revamp on the design. You may have also noticed certain Lumax Auto Technologies Limited

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media information where Tata Motors is now completely having a new strategy on how to defend their turf on the electric vehicle segment in the rise of competition. So there have been some changes but, we are deeply engaged with Tata Motors for ambient lighting and other plastic parts for the forthcoming models.

Moderator: The next question is from the line of Amit Hiranandani from PhillipCapital.

Amit Hiranandani: Yes. Congratulations to the team for achieving the highest quarterly revenue, EBITDA as well as PAT. This is a commendable job. Sir, my first question is, we have achieved a 10%

EBITDA

margin at the standalone level, which is 55 basis points improvement on a Y -o-Y basis.

And this is 14th quarter of high margin for standalone. So what is driving this improvement?

And how much of it is sustainable? And we have achieved it despite aftermarket growth of just in the low single digit. So your views on this same, please?

Ankit Thakral: So yes, this is Ankit Thakral. So standalone revenue excluding aftermarket has grown by almost 15% if we see 9 -month Y-o-Y basis, and which are basically driven by 2 of its prime customers, which is Bajaj and HMSI. So both have shown significant growth. Bajaj revenue is almost up by 20% on 9-month Y-o-Y basis, and HMSI also by similar closer to 15% to 18%.

And yes, the EBITDA margin, if we exclude the other income part, yes, it has grown by almost 60 to 70 basis points, which you said at closer to 10.5% for the 9 months. So of course, on the Aftermarket revenue has been flatter, but we have been able to maintain or, has been better than the last 9 months margin by almost 40 to 50 basis points, which is basically you can say that by giving certain price increases in the market or thereby doing some savings on account of raw materials. And all these reasons have enabled us to achieve the stand -alone margin better than the last 9 months.

Amit Hiranandani: And sir, is it sustainable?

Anmol Jain: Yes, we definitely feel that it's sustainable going forward.

Amit Hiranandani: Great. Sir, my second question is as per the presentation, our consolidated 9MFY25 EBITDA margin is about 70 basis points lower than your last 9M FY '24. So are we still maintaining our guidance of similar level margin in FY '25 versus FY '24? Also, along with this, if you can help us understand what would be the margin levers in the coming year? And conservatively, where do you see it reaching by FY '27, please?

Ankit Thakral: So if we see the 9 months FY '25 EBITDA margin, it is at 14% , and it was 14.7% in the 9 months last year. In the last year, if we exclude the Lumax Ancillary, which was acquired some time in Q4FY24, and in order to have the apple -to-apple comparison, if we exclude the Greenfuel numbers also in the current quarter, so that 14% becomes 14.5% for the 9 months current year also because Lumax Ancillary is at lower single-digit EBITDA margin, which is basically we are aspiring to grow in line with our company EBITDA margins.

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So with this, the 9 months, you can say that the margins are absolutely similar with respect to the 9 months last year. And we will be able to sustain similar sort of EBITDA margins going forward in the Q4, and financial year '25 whole year numbers will be somewhere closer to 14% to 14.5% for the 12 months.

Amit Hiranandani: Right. So sir, my second question was on this thing. Like what will be the margin levels in the coming years? And conservatively by FY '27, where do you see it reaching?

Anmol Jain: , I think my margin guidance would be that anywhere close to 14.5% to 15% which we should be looking at perhaps in FY '26 at a consolidated level. We are having a significant presence of the order book coming into the next year itself, backed by multiple small joint ventures, which are firing. Aftermarket also for FY '26, we do expect the double-digit growth to bounce back, which is operating at a higher EBITDA margin. So we do expect anywhere between 14.5% to 15% should be the margin guidance for FY '26.

Amit Hiranandani: Right. So JVs will turn around and Aftermarket will also do well? So these are the 2 major levers for the margin improvement?

Anmol Jain: That's correct.

Amit Hiranandani: Right. And sir, thirdly, we have added Tata Motors in IAC India as a new client. So are we on track for the SOP starting Q1 FY '26? And how large is this business? And additionally, if you can let us know the

EV IAC revenue for 9M FY25 , please?

Anmol Jain: So IAC total revenue for 9 months of this fiscal stood at INR 800 crores. And again, maybe I'll request Sunil Koparkar to just take the question on Tata Motors launch date and value of the business for IAC.

Sunil Koparkar: I think the answer to your question is there is a delay in the program. We expect the delay to be about 6 months. And this delay is primarily driven by one single factor, which is the recent launch of Mahindra BEVs, which are in the market, has created a lot of momentum in the EV market.

So Tata is rethinking of some of the design changes they need to do, which was supposed to come on stream next year. So we expect some delay in that respect. Tata revenue for us was the initial on this EV program was expected to be about INR 30 crores to INR 35 crores.

Moderator:

We have our next question from the line of Ganesh Shah from Unified Capital.

Ganesh Shah: I'm new to tracking in this particular company. So what I'm trying to understand is in the structural or in the Advanced Plastics segment, apart from gaining wallet share, I mean, with the existing customers, how does the content per vehicle actually increase? Is it just a function of adding more products that you can supply to OEMs?

Or is there also an angle of premiumization that comes along with it? And with the existing OEMs, what would be our wallet share typically? How do you, as a strategy, expand that wallet

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share? And what are you sort of doing to add new customers? Or do you feel you've got the broad portfolio over there already right now?

Anmol Jain: So thank you. Let me try to elaborate as best as possible. Advanced Plastics, it's almost close to 55% of the total pie. Largely IAC would be the biggest contributor in the Advanced Plastics.

Thereafter followed by, the lighting and polymer business for Bajaj Auto as a 2-wheeler and then we have HMSI as well as Lumax Cornaglia as an entity.

I think the premiumization story is very integral to IAC. It's not just selling more products , It is actually a technological product, which is adding the contribution per vehicle based on premiumization. And we continue to see the new model launches, our kit value is consistently increasing based on certain new technologies like soft touch and premiumization.

Going forward, as I said, we are also trying to integrate the ambient lighting piece to our interior offering so that, again, the entire kit value goes up significantly. While that holds true for IAC, for HMSI as well as for Bajaj, there is a largely plastic part business, which, again, we are trying to expand based on getting more and more products in our kitty and also getting products which have a higher contribution per vehicle compared to the bottom of the pyramid shoot and ship parts. So these are some of the ways how we are expanding our overall portfolio in the Advanced

Plastics business.

Ganesh Shah: That's very clear. And with the existing clients right now, how has our wallet share evolved, right? Who are we competing with in the supply of these products? And how will this drive growth like because you're guiding about 50% faster than industry, right? So I am just trying to understand over volumes and ACV, what other levers you have? And what do you expect would pan out in the coming years in terms of growth from those levers?

Anmol Jain: So I think it's a pretty difficult question to answer because our wallet share differs entity to entity, product segment to product segments. Lumax Technologies being an extremely diverse player in terms of its product offering as well as multiple technologies, it's a very different equation for each of the entities.

So in certain cases, for example, in Lumax Manno, where we are the market leader, we would have wallet share as high as 80% to 85% or even 100% in cer

tain OEMs where we continue to

be the single source. Similar would be the case in certain products of Lum ax Cornaglia.

However, then when we switch gears to certain other businesses like the metallics business, where our wallet share would be probably 30% in the overall Bajaj Metallic portfolio.

So it would differ. But I think the way we are trying to do is, number one, increase our kit value; and number two, by cross-selling towards OEMs because the relationships are between the organization to the organization. That's how we're trying to expand our presence and our wallet share across different OEMs. So that's the strategic initiative which we're trying to get to.

Moderator: We have our next question from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Sir. Just on IAC, what was the 9-month revenue number and Y-o-Y growth?

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Anmol Jain: The 9-month revenue number stands at INR 800 crores, which is a growth of 20% Y-o-Y basis

Pritesh Chheda: Okay. And specifically for IAC, what's your growth outlook next year? So at the company level, you have given the number, but specifically for IAC, what will be the growth?

Anmol Jain: So I think we're still in the process. It largely depends on the Mahindra volumes. But we do expect a growth of at least somewhere 15% or more on the manufacturing revenue side, basically on the back of the new EV launches, which will have the full year realization.

Pritesh Chheda: Okay. And for IAC, 70% is Mahindra, right?

Anmol Jain: That's correct.

Pritesh Chheda: And IAC is, let's say, INR 800 crores divided by INR 2,500. So about 40% for us is IAC?

Ankit Thakral : Yes, 1/3 of the consolidated revenue is IAC.

Pritesh Chheda: Is IAC. And my last question is the other acquisition, the Green Solutions, when will it start getting merged? And can you give the pro forma number for 9 months for that entity?

Ankit Thakral : So Greenfuel numbers have come into the consolidated revenue with effect from 26th of November 2024. So almost 35 days revenue amounting INR 23 crores is part of INR 906 crores revenue for the quarter 3. And the whole quarter number, which is a quarter 4, the current quarter, the overall quarter numbers will come as a part of the consolidated revenue in Q4, which is somewhere closer to INR 75 crores to INR 80 crores.

Pritesh Chheda: Can you give the 9-month revenue for Greenfuel Solution?

Ankit Thakral : So Greenfuel Energy solutions as a 9-month revenue was closer to INR 225-odd crores.

Pritesh Chheda: And what was the growth here?

Ankit Thakral : I believe it was closer to 15% to 20%.

Pritesh Chheda: And margin of this business?

Ankit Thakral : So margin is between 17% to 19%.

Pritesh Chheda: Okay. And lastly, sir, , the consolidation is 100% or it is less than 100% of your ownership in Green?

Ankit Thakral : We have purchased 60% equity stake of Greenfuel Energy. So up to PBT level, it is 100% and then 40% basically goes out as minority interest.

Moderator: We have our next question from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: Congratulations for superlative performance. Just wanted to check, sir. Firstly, what would be the execution timeline of the new order book that you have? I think initially, you used to guide us that 50% will get executed in the first 2 years and then probably this peak order book hitting

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in 3 years' time frame. So could you please help us explain what is the execution timeline of this order book of INR1,150 -odd crores?

Anmol Jain: So the total order book is about INR 1,350 crores. About 30% of this will come in next year FY '26, 40% in FY '27 and the remaining 30% in FY '28. However, please note that this is an evolving number, and it will keep changing every quarter.

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hashank Kanodia: And this is all incrementally new orders, right? So apart from the organic growth, this will be the incremental top line that is supposed to clock?

Anmol Jain: That's correct. 90% of the order book is new orders, not replacement orders. We will expect this to have an incremental impact on the top line.

Shashank Kanodia: Right. So sir, this INR 5,000 crores kind of a revenue figure seems doable for us in FY '27 in your realistic opinion?

Anmol Jain: Well, I mean, we expect a CAGR of anywhere between 15% to 20%. And if I were to do that number arithmetically, it should take us to somewhere around INR 5,000- odd crores in FY '27.

Shashank Kanodia: Right. Secondly, sir, just I'm a bit curious to know that from last quarter's presentation to this quarter's presentation, there is a substantial increase in content per vehicle for us, right? I think last quarter, we mentioned the PV side, content per vehicle to be around INR 55,000, INR 60,000.

And now, it's roughly at INR 70,000 to INR 75,000. Is it just a function of CNG portfolio adding to our portfolio? Or is there anything else to it?

Ankit Thakral : Yes, absolutely correct. So we have added CNG as a part of our product portfolio, which has led to increase in the content per vehicle for 4 -wheelers. And there is an addition on account of 2-wheeler also because of the SOPs of basically the 2 main products in Lumax Alps Alpine joint venture by name of infotainment vehicle and TPS throttle position sensor.

Shashank Kanodia: But sir, I think initially, we used to guide as a content being INR 3,000 per vehicle, right, in the passenger vehicle for CNG compounds that we are supplying? But the increase is quite substantial to the tune of INR 15,000. And in the initial remarks, you point that we could reach INR 7,000 to INR 10,000, maybe in 2 years' time frame. So is it a potential content per vehicle? Or is realistically supplied at this point of time?

Ankit Thakral : So absolutely right. So as of now, in P&L, there is a content per vehicle of INR 4,000 on account of CNG. But going forward in next year, we are seeing that content to increase to somewhere closer to INR 8,000 to INR 10,000 per vehicle. And apart from that, there has been a slight increase in content per vehicle of the IAC EV launch as well, which is having a larger content per vehicle as compared to the earlier model .

Moderator: We have our next question from the line of Sanket Kelaskar from Ashika Stock Broking.

Sanket Kelaskar: Congratulations on good set of numbers. My first question is on EV agnostic products. So how are EV agnostic product performing in this quarter? And what are the steps we have been taking

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to enhance the market penetration? And if you can also give us like what is the percentage of our revenue coming on from these EV agnostic products?

Vikas Marwah: So Sanketji, this is Vikas Marwah. Thank you for the question. So of course, the DNA of Lumax Auto Technologies is very much EV agnostic and more than 90% of the value contribution continues to come from EV agnostic products, and we don't see this trend changing at least over the next 24 to 36 months.

What is driving the EV product sustainability, in all the joint ventures like IAC or Lumax Mannoh or Lumax Cornaglia or Alps Alpine portfolio are that they do not require currently significant change in their application models and only very fine miniaturization. So that is why I think these are all very sustainable products.

Sanket Kelaskar: Sir, my second question is like as of 1st April 2025, OBD2 norms would be getting implemented. So how are we getting impacted from this norm? And are we expecting any kind of revenue increase from with the help of this norm?

Vikas Marwah: So OBD2 for Lumax Auto Technologies is a very welcome implementation. One of our joint ventures, which has been finding

ing a challenge on capacity utilization, that is Lumax FAE has now got into full -blown SOP with major 2-wheeler manufacturer down south. We went into the SOP

1.5 months back. We are anticipating almost INR 60 crores to INR 70 crores increase in our top line revenues with the implementation of the secondary oxygen sensor, which now becomes mandatory from 1st April 2025.

This will take care for a full year capacity utilization of about 45%, which was earlier hovering around 10% because of the non- implementation of OBD2. We are aggressively pursuing the second OEM then to fill up the remaining capacity and that's the reason FY '27 would be the end date of the second OEM. So on oxygen sensors, we are very positively impacted with the OBD2 norm implementation.

Sanket Kelaskar: Okay. So is this also will be going to increase the content per vehicle?

Vikas Marwah: So on 2-wheeler, this will increase the content per vehicle by almost INR 800.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor Co.

Saket Kapoor: Sir, just to sum it up, . So taking into account the way we ended this quarter on the highest revenue profile on a quarterly basis and also on the increased margin, what should we expect going ahead for the year to end with? And on a consolidated level, sir, what steps are in the annual that will match the levels of our EBITDA margins, which we have posted earlier? I think

so there's a 90 bps point reduction. So these are the 2 questions, sir.

Anmol Jain: So I think the margin reduction was explained earlier by Mr. Ankit Thakral. I think in last year, 14.7% margins for 9 months FY '25. If you were to compare excluding the Lumax Ancillary and the Greenfuel, it stands at about 14.4%. So we are at a similar level of about 14.5% EBITDA

margins. There has not been really a decrease in the margins if you compare apple-to-apple.

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However, going forward, I think the full year outlook is very clear that we should be looking – to similar a 9-month FY25 growth, anywhere between 20% to 25%, which should ideally get the total consolidated revenues closer to around INR 3,500 crores, and we should be able to sustain a similar EBITDA margin in quarter 4 as well.

Going forward, as I mentioned, in FY '26, the guidance would be that anywhere between 15% to 20% top line growth and the EBITDA margins will surely be more towards 14.5% to 15%.

Moderator: We have our next question from the line of Hitesh Goel from Riddhish Advisors. Please go ahead.

Hitesh Goel: You talked about OBD2 norms increasing content by INR 800. What is per vehicle, what is the content right now?

Anmol Jain: So 2-wheeler content as of now, it's closer to INR 16,000 to INR 18,000 per vehicle. So this INR800 per vehicle relates to a specific product of oxygen sensors, which we will be going to the joint venture, Lumax FAE. So answering to your question, the OBD2 will give us an enhancement of about INR 800 to INR1,000 a vehicle.

Hitesh Goel: sir, on basically Bajaj's business, basically, which you have in stand-alone business, it is largely leveraged towards exports because exports are reviving for Bajaj in a big way. So I just wanted to get a sense that does that help you?

Anmol Jain: Well, we have both. We have a pretty diverse portfolio of the domestic models as well, right, from the premium segments of KTM as well as for the boxer & Platinas. However, we also have now a sizable presence on the EV models of Chetak. So that is the reason why the growth has been consistent on the metallic frame business. Apart from that, on the plastics and lighting, we are spread across both Aurangabad as well as Pune and Pantnagar clusters as well. So it's a fairly widespread diverse mix of product for Bajaj.

Hitesh Goel: And any update on Pulsar? You were talking about that you were trying to get into the P

ulsar as

well for Bajaj. Any update there?

Anmol Jain: The discussions are ongoing. We hope to see some traction in FY '26.

Moderator: We have our next question from the line of Amit Hiranandani from PhillipCapital.

Amit Hiranandani: Yes, sir, our largest customer in Lumax Cornaglia is reporting flat to negative growth. So can you please help me with the revenue of this entity for 9M? And additionally, if you can help us understand whether have we received any compensation from the largest client for rolling back to metal fuel tank?

Vikas Marwah: So Lumax Cornaglia, in spite of its anchor customer being down this year in production volumes by 5%, still reported about 5% kind of a top line increase. For the full year, we are expecting Lumax Cornaglia to report around the same number. However, I think what is going to help Lumax Cornaglia is now the new SOPs that are kicking in also for some new customers for Lumax Auto Technologies Limited

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which we cannot disclose the details right now because the products have not gone into SOP. It will take a couple of months.

The strategy for plastic fuel tank is, meanwhile, undergoing a change at our end due to the customer demand not panning out that way and the CAFE -2 norms not getting implemented completely in terms of the plastic fuel tanks as a regulatory thing. So the rota molding business initiatives are now being taken to the direction of making the rooftops of E3-wheelers for which we are going into a major SOP in the next 2 months and also some body cabins. So these are three potential applications of the rota molding facilities that we have put up, and we continue to wait for the expansion of the plastic fuel tank potential.

Amit Hiranandani: Right. Sir, this is the second last question from my side. So, if you can help us understand all the emerging subsidiaries, what we have, Alps Alpine and Ituran, etc. If you can give us an outlook one by one on the revenues and margin side, please?

Anmol Jain: I think overall, my commentary would be that we've seen a significant growth in the Mechatronics vertical. And for the next year onwards, we do expect to almost double our revenue within the Mechatronics vertical. All the joint ventures which sit under the Mechatronics are expected to report a very handsome growth, although it was of a small base, but we have gained significant traction on all of them.

And the margin guidance in pretty much all of them would be similar to the consolidated number or slightly better. So they will add not just the top line, but also the margin accretion for the consolidated entity.

Moderator: We have our next question from the line of Ganesh Shah from Unified Capital.

Ganesh Shah: So just to continue on Lumax FAE that you're explaining, I read the previous call that you said there would be heated sensors that you would be supplying, and this would be about 0.5 million in volume, I assume on a full year basis, right? So the INR 60 crores, INR 70 crores that you're talking, is that the kind of revenue that you expect would materialize on a quarterly basis? And would that also be a strong growth driver for the doubling in revenues that you expect in the coming year?

Vikas Marwah: So Lumax FAE over to secondary sensor application revenue has already started kicking in, and we will now be expecting in FY '26, a full year of revenue emerging. We are expecting a INR 70 crores additional top line to Lumax FAE for one full year. As I mentioned, this would still take us to a 40% capacity utilization only being a new product and being the first year of SOP. We don't want to go in an overdrive mode in the first year of this launch, and we will slow pace it to come to the second OEM launch in FY '27 and thereby take up our capacity utilization closer to 70%.

Ganesh Shah: The last question just from my end, how to understand the order book in ACV number

s, I mean

the content value numbers that you report, right? So when you say order book, typically, I mean you've given the split, I understand 30%, but what is typically the order inflow on a quarterly basis? Are these more recurring orders that clients present and sign with you? Or are they one-off kind of events where there's supply for this model for a year?

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So I'm just trying to understand how these contracts typically work? And as far as the content value in itself is concerned, maybe just a clarification, but is this the potential addressable value that you can supply to these vehicles? Or is it what is actually being supplied at the moment?

Anmol Jain: So again, first question on the order book. I'll just add that, see, the order book is an evolving number. This is not a onetime order. These are orders which have been given on certain models across different product lines, across different entities. So again, these are something which are based on constant engagement, constant RFQ process, which is an ongoing process with multiple OEMs.

These businesses are awarded based on competitive bidding. But these are recurrent in nature. And again, the endeavor should be to get more and more business for new models by increasing our wallet share. So that's a constant endeavor. And if you see the order book, as I mentioned earlier, was it's sitting at about INR 1,350 crores, which is close to 1/3 of the annual revenues of the consolidated entity.

The second question you had was on the contribution per vehicle. I would say that it's a mixed bag in certain cases, the content per vehicle is actually being addressed by the entities. However, in certain cases, it is still an addressable market, which we are hopeful of getting into it over the next 2 years.

Moderator: Ladies and gentlemen, that would be the last question for today due to time constraint. And I now hand the conference over to the management for closing comments. Over to you, sir.

Anmol Jain: Well, I take this opportunity to thank everyone for joining into the call today. We will keep the investor community posted on a regular basis for updates on your company. I hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations advisors. Thank you once again, and have a good day.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

LATL:CS:REG30:202 5-26 Date : June 04, 2025

BSE Limited

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Listing & Compliance Department

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Subject: Transcript of Analysts/Investor Earnings Conference Call - Q4 FY 2024 -25

Dear Sir/Ma'am,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call for all Investors/ General public which was held on Friday, May 30, 2025 at 02:30 P.M. (IST) to discuss the operational and financial performance of the Company for the 4th Quarter and year ended March 31, 2025.

The transcript will also be made available on the website of the Company at

www.lumaxworld.in/lumaxautotech

This is for your Information and Records.

Thanking you,

Yours faithfully,

For Lumax Auto Technologies Limited

Pankaj Mahendru

Company Secretary & Compliance Officer

ICSI Membership No. A28161

Encl: As stated above

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"Lumax Auto Technologies Limited
Q4 & FY25 Earnings Conference Call "
May 30 , 2025

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR

MR. DEEPAK JAIN – DIRECTOR

MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER

MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF

FINANCIAL OFFICER

MR. SANJAY BHAGAT – HEAD OF AFTER MARKET

MR. ASHISH DUBEY – CHIEF FINANCIAL OFFICER

MR. NAVAL KHANNA – CORPORATE HEAD, TAXATION

MR. ANKIT THAKRAL – FINANCE CONTROLLER

Moderator: Ladies and gentlemen, good day, and welcome to the Lumax Auto Technologies Limited Q4 and FY25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very good afternoon, ladies and gentlemen. It is our pleasure to welcome you to the Q4 and FY25 Earnings Conference Call . Joining me today are Mr. Deepak Jain, Director;

Mr. Vikas Marwah, CEO; Mr. Sanjay Mehta, Director and Group CFO; Mr. Ashish Dubey, CFO; Mr. Sanjay Bhagat, Head of After Market ; Mr. Naval Khanna, Corporate Head of Taxation; Ms. Himani Joshi from Corporate Communications; and Mr. Ankit Thakral, Finance Controller. We're also supported by our Investor Relations Partners, Adfactors PR. Together, our leadership team looks forward to sharing the company's performance highlights and strategic outlook with you.

Performance highlights for FY25 has been a landmark year for our company with revenue reaching an all-time high of INR 3,637 crore, reflecting a strong year-on-year growth of 29%. This performance was driven by strong demand across all segments and deepening engagement with OEM partners. EBITDA for the year also touched a record of INR 516 crore, first time breaching the mark of INR 500 crore, marking a 25% increase over the previous year. This growth highlights the strength of our operating model, supported by improved efficiencies, prudent cost management and continued focus on value-added offerings.

Talking about the industry, the demand environment during FY25 was underpinned by gradual recovery in rural consumption, easing inflation and sustained government thrust on infrastructure development and agri supportive policies. These positive trends translated into broad-based volume momentum across the automotive sector.

Continuing about the industry. In the 2 and 3-wheeler segments, growth was fueled by rising rural demand and improving export traction. The passenger vehicle category continued to benefit from a strong premiumization trend with higher consumer preference for feature-rich models, leading to robust off take from our key OEM partners.

This was further supported by healthy production schedules and positive market response to new vehicle launches. The commercial vehicle space witnessed steady demand driven by infrastructure-led activity and fleet upgrades, while the Farm Equipment segment recorded encouraging growth, supported by favorable monsoons, improved rural liquidity and strong crop procurement.

With a well-diversified product portfolio and deep integration with leading OEM platforms, we remain strongly positioned to capitalize on evolving opportunities across segments in a structurally improving macro environment.

As per SIAM report, sales of passenger vehicles has been the highest ever in FY25 at 4.3 million units, with a growth of 2% compared to the previous year. Sales of 3-wheelers in FY25 grew by 7% as compared to last year, which is again the highest ever in any financial year. 2-wheelers witnessed a good growth momentum of 9% in this financial year compared to last year with sales of 19.6 million units, while commercial vehicles posted a slight degrowth of negative 1% in FY25 compared to last year. This reflects robust demand across most categories.

Talking about the Q4 and FY25 company overview, a defining highlight of the year was the successful acquisition of Greenfuel Energy Solutions, marking Lumax' strategic entry into the alternate fuel segment. This move aligns with our long-term vision of sustainable and

innovation-led growth, offering strong synergies with our core business and expanding our capabilities in clean mobility solutions.

On 22nd May 2025, Lumax Technologies acquired the remaining 25% stake in IAC India, making it a wholly owned subsidiary and securing full control of its largest revenue contributing business division, with the intent to boost free cash, better leverage, which will enable Lumax Technologies to go for future inorganic steps.

IAC India also commissioned two new facilities in Chakan, Pune for the BEV models of Mahindra & Mahindra, the BE6 and XEV 9e. IAC India was recognized with 3 awards at the

recently held Mahindra Supplier Conference 2025, including the most coveted Business Partner of the Year award.

Also, our many subsidiaries and plants received multiple accolades, including Lumax Cornaglia's Innovation Award at Mahindra & Mahindra Supplier Conference, and the Supplier of the Year from Skoda Volkswagen India. Lumax Ituran Telematics earned the Hall of Fame award from Daimler India, while Lumax Technologies Bangalore plant secured the best award for QCDDM second year consecutively by its customer, Honda Motorcycle and Scooter India, apart from the JIPM TPM Award.

The Lumax Technologies Plastic division, Lumax Mannoh and IAC India were also recognized at the Maruti Suzuki Supplier Conference for overall performance and process excellence. Our Bengaluru and Chakan plant won the Manufacturing Excellence Award at the 59th ACMA Excellence Awards as well.

During the quarter, we successfully rolled out cockpit assemblies for Mahindra's Thar ROXX, BE6, XEV 9e models. For Honda Car India, we introduced both AT and MT gear shifters and shark fin antennas for the Amaze. Additionally, we initiated the supply of counter box and receptacle assemblies from our Maruti Suzuki's newly launched Swift model, expanding our engagement with key OEMs and enhancing our product portfolio.

We are pleased to report a robust order book of INR 1,300 crore with strong visibility across next 3 fiscal years. Of this, approximately 26% is projected to materialize in FY26, 42% in FY27 and the remaining 32% in FY28. The order book reflects healthy traction across all product verticals with advanced plastics contributing the largest share, followed by mechatronics and structures and control systems.

Alternate fuels also continues to gain momentum, reflecting the industry shift towards cleaner technologies. Notably, a significant portion of the order book comprises of new business wins, reinforcing our expanding presence across customer platforms. We remain committed to deepening OEM associations, driving incremental order inflows and strengthening our participation in future mobility programs.

Talking about the company's NorthStar. At Lumax Technologies, we continue to be guided by our long-term strategic framework the 20.20.20 NorthStar, which outlines four key goals. Number one, minimum 20% revenue CAGR growth from new product segments and future acquisitions.

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Number two, a 20% plus ROCE driven by efficient capital allocation. Number three, the vision for nearing 20% EBITDA margin, reflecting strong operational discipline. And number four, a 20% plus revenue coming from clean and future mobility solutions, including EVs, CNG, electrification and software-defined platforms.

FY26 also marks a key milestone in this journey by kickstarting the next 6-year midterm plan from FY26 until FY31, which is themed as BRIDGE, which stands for Bold Roadmap Integrating Diverse Growth Engines. BRIDGE aims to unlock full potential across all our multiple businesses and helping Lumax Technologies transition from a Tier 1 supplier to a Tier 0.5 systems integrator.

The launch of our innovation-driven center, SHIFT, which implies Smart Hub for Innovation & Future Trends, which aims to strengthen the digital edge with a dedicated software-defined vehicle vertical is a step under BRIDGE.

With robust performance across segments and OEM partners, we are well positioned to lead the industry's transition towards digital, clean and connected mobility. We remain confident in our ability to deliver on our vision through a mix of organic growth, innovation and selective inorganic opportunities.

With this, I hand over the call to Mr. Sanjay Mehta, Director and Group CFO.

Sanjay Mehta: Good afternoon, everyone. I would like to begin by highlighting the company's operational and financial perform

ance for Q4 and FY25. We are pleased to report yet another strong quarter, concluding the fiscal year on a robust note. Revenues for Q4 FY25 registered a solid growth of 50% year-on-year, while for the full year FY25 revenues grew by 29%. This performance reflects our continued focus on innovation, premiumization and expanding our presence across high-growth segments.

Now turning to the product category performance for FY25. The Advanced Plastics segment delivered a healthy 53% year-on-year growth in Q4 FY25 from INR 409 crore to INR 626 crore, and the full year growth of 27% in FY25. The performance was supported by the deeper penetration in the premium vehicle segment and sustained product innovation. The order book for this segment remains strong at INR750 crore, underscoring sustained demand across OEMs. The mechatronics segment continues to outperform recording 87% year-on-year growth in Q4 from INR 26 crore to INR 48 crore and the full year growth of 80% in FY25. The quarterly momentum was largely driven by higher wallet share and effective cross-selling in new motor launches. The current order book stands at INR 210 crore, validating the strong momentum in this space.

The Structure and Control Systems vertical posted stable growth of 5% year-on-year from INR 172 crore to INR 181 crore, and a full year growth of 8% in FY25. The order book for this segment stands strong at INR 190 crore, strengthening our position as a trusted technology partner in the evolving mobility ecosystem.

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The Green Energy Solutions segment, a recent addition to our portfolio is gaining rapid visibility amid the national shift towards alternative fuel platforms. In FY25, the segment recorded revenue of INR 110 crore starting from end of November month. With an order book of INR 150 crore, this segment is strategically positioned to be a key growth driver for us in the coming years.

As anticipated, the Aftermarket segment witnessed a meaningful recovery in Q4 FY25, registering a double-digit year-on-year growth at 10%, validating our earlier outlook. This rebound was supported by easing liquidity conditions and the successful rollout of new product lines. For the full year, the segment recorded a growth of 5%.

With pivoting to demand-led growth for deeper customer engagement and new revenue streams in place, we are very much hopeful of much stronger growth for FY26. With an enhanced focus on the passenger vehicle segment added by a seamless integration of IAC, our share of passenger vehicle revenue rose to 53% in FY25, up from 48% last year. 2 and 3-wheeler segment contributed 22% of our total revenue. Aftermarket followed with 11%, commercial vehicle contributed 8%. This balanced revenue mix positions us well for sustained growth across segments. On the financial front, we delivered strong top line performance. For the first time, we crossed the landmark of INR 1,000 crore in a single quarter.

Our consolidated revenue for Q4 FY25 stood at INR 1,133 crore, compared to INR 757 crore in Q4 FY24, representing a year-on-year growth of 50%. For FY25, revenue reached INR 3,637 crore, up 29% from FY24. EBITDA margins held strong at 14.6% for Q4 with absolute EBITDA of INR 166 crore, a growth of 51% year-on-year basis. Full year EBITDA came at INR 516 crore, marking a growth of 25% with margins at 14.2%.

PAT before minority interest stood at INR 229 crore for the year, compared to INR 167 crore in FY24, a growth of 37%. The tax rate for the year remained stable at 25.6%, a trend we expect to continue. capex for the year stood at INR 177 crore primarily towards SOPs for new product platforms within IAC and Lumax Health. It also includes INR30 crore for purchase of land bank at Kharkhoda, Haryana.

As of 31st March '25, the company maintained a strong liquidity position with free cash reserves of INR322

crore. Our long-term debt stood at INR 458 crore following the acquisition-related payout for Greenfuel Energy. The long-term debt-to-equity ratio remains healthy at 0.49 x. We were also pleased to declare a dividend of INR5.50 per share, a 275% of the face value, reaffirming our commitment to value creation. We deeply appreciate the unwavering trust and support of our investors, partners and employees, which continues to drive our success. With this, we conclude the operational and financial overview. We will now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Amit Hiranandani from Phillip Capital.

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Amit Hiranandani: Congratulations to the team for exceptional performance and thanks for the detailed presentation. Sir, my questions are related to the vision statement. So for the Vision FY31, 15% CAGR is likely to come from organic. So how much industry growth you have assumed for the same?

How confident you are in achieving this target? And risk associated to the same? And can we see -- I mean, is this growth will steadily driven by the subsidiaries? So this is my first question.

Anmol Jain: So thank you, Amit. So number one, the organic growth is, again, a part of the theme BRIDGE. This growth largely would be coming from across different businesses, but your understanding is correct. Some of the subsidiaries and joint ventures will be having a much faster accelerated growth, although on a smaller base.

Recent acquisition of Greenfuel is also likely to substantially increase the top line contribution with a healthy bottom line margin as well. So aftermarket as well is continuously going to grow going forward at a pretty strong CAGR compared to what it has grown over the last 5 years. And again, there has been a strategic shift in terms of focusing on demand generation rather than just new product introduction. So there are multiple factors. We do feel reasonably confident on achieving this CAGR over the next few years organically.

Amit Hiranandani: Any risk to achieve this target?

Anmol Jain: First and foremost, let me qualify that most of our growth is coming on the back of new product introductions, new model launches, or finding a full year realization of some of the recently done SOPs or acquisitions. So to that extent, it is not directly linked with only the production volume of OEMs.

I think if there is, of course, an unforeseen black swan event in the industry, then of course, it

carries its own risk. But I think with the given diversity of products, companies as well as OEMs, we are fairly derisked from this kind of growth opportunity.

Amit Hiranandani: Right. And, secondly, so our EBITDA margin, including other income is around 14% and the vision statement says 20% in the next 6 years. It means approximately every year, we are expecting 100 basis points improvement in the margin. Can you please explain what's the plan and strategy here to achieve the same and the related risk to this thing?

Anmol Jain: So Amit, number one, there is a correction in your understanding. We have not anywhere said that we want to achieve 20% in the next 6 years. I think as a part of the investor presentation also, we say that the 20% EBITDA margin is a NorthStar where we wish to inch closer towards those margin levels. It is not time specific to 6 years. It could possibly be even beyond those 6 years. However, the clear strategic road map is to continuously get into product lines and grow our operating margins.

Having said that, I think by FY28, we are fairly certain that with the accelerated growth on subsidiaries on the aftermarket and getting full year realizations of certain inorganic strategic

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in

initiatives, we should be able to double our EBITDA from the last year's upwards of INR 500 crore to possibly crossing the INR 1,000 crore mark by FY28.

The same is reflected in the investor presentation. And if we are able to do that, I think you will start seeing EBITDA margins expand by about close to 100-200 bps.

Amit Hiranandani: Right. Thanks for the clarification for this thing. Sir, lastly, if you can guide on the emerging subsidiaries like, Alps Alpine, Yokowo, JOPP, IAC, which area will grow in FY31? Which subsidiary will grow fast? And margins we have seen decent turnaround. So keeping this in mind, will it grow faster on the margin side?

Ankit Thakral: So the various subsidiaries, of course, for the FY25, so if we say specifically all the subsidiaries majorly being the IAC one. IAC has grown by almost 35% to 40% for this financial year, and it has closed at INR 1,200 -odd crore with EBITDA margins closer to 17% to 17.5%.

If you see the other basically subsidiaries considering the Lumax Ituran, Alps, Yokowo, and Lumax FAE, so if it is considered as a single mechatronics division, so mechatronics division as a single, which covers all 4 subsidiaries has grown by 80% from, say, ~INR60 crore last year to ~INR 115 crore this year.

Of course, the detailed revenue and the profitability figures of each and every subsidiary is also covered in our investor presentation as a part of annexure, which has been uploaded on the stock exchanges.

Amit Hiranandani: Sorry, my question was related to the growth prospects in FY31 is that, will it grow faster on the margin side?

Anmol Jain: Okay. So I think a few of the subsidiaries, for example, Lumax Alps, Lumax Yokowo, Lumax Ituran, there we foresee a significant growth, perhaps even in the next 2 to 3 years, a CAGR of upwards of 30% -40%. Reason is, again, as I said, these have been some recent launches. For example, in Lumax Yokowo or as well as Lumax Ituran. And also, there is a decent order book, which will get into the SOPs in FY '26 and FY '27 for certain subsidiaries like Alps Alpine.

Again, these are strategic growth drivers for us, aligned with the whole theme of getting towards a 20% plus from clean and future mobility. We do believe that these subsidiaries, which have product lines more targeted towards the future mobility will continue to grow at an accelerated growth compared to some of the other business verticals within the company.

Moderator: We take the next question from the line of Pritesh Chheda from Lucky Investment.

Pritesh Chheda: Just on your presentation, I was trying to comprehend the Slide 8 and the Slide 10. If you could open Slide 8, you guys have given the breakup of order book. So is this comprehension correct that incremental INR 333 crore of order booking or revenue on incremental order is supposed to flow in FY26 and INR 550 crore in FY27. That's how is the interpretation of this slide?

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Anmol Jain: Yes. So the total order book as on date stands at INR 1,300 crore. Out of that 26% or INR 333 crore will get into the P&L of FY26. And the remaining will come in FY27 and FY28 in that much proportion.

Pritesh Chheda: Perfect. Then on the Slide 10, I couldn't comprehend this As-is basis and Post-IAC merger. I was wondering that we are 75% in the company and additional 25% is being bought, but the delta shown here is quite significant. So I was unable to comprehend the math?

Ankit Thakral: So it is just a comparison of the EBITDA numbers of the IAC when we bought in 2023. So the

EBITDA of IAC at that time was INR 90 crore and now the reported EBITDA is INR 210 crore. So we were just trying to show that at that time, we purchased at an EV multiple of closer to 6 and now the EV multiple...

Pritesh Chheda: So, not that grid. The grid next to it?

Ankit Thakral : So this is just, for example, the mathem

atics of the reported number of LATL standalone as of FY25 and the IAC standalone numbers as of FY25. So here we are trying to say, so we intend to merge IAC India into the Lumax Auto standalone. And if that merger happens, so what will be the position based on my current numbers .

Ankit Thakral : Just a comparison of LATL stand alone as on today as is basis without IAC merger and post the IAC merger, an apple -to-apple.

Pritesh Chheda: Okay. Now for FY26, just to draw attention, so your inorganic will have basically the 25% additional acquisition that you did on IAC to flow in FY26. And on Greenfuel, which was merged with effect, I think, November, so we will have another 8 months of Greenfuel to be reflected in FY26. These are the two pending acquisition led numbers, which we see, Correct?

Anmol Jain: So number one, there is no change from the 75% to 100% acquisition in our revenue. We continue to consolidate 100% of revenues of IAC even last year. So there is no change.

Pritesh Chheda: Yes, so our Revenue and PAT doesn't change just PAT after minority interest will change ?

Anmol Jain: Yes. So from a top line, no change, but yes, at a PAT after minority interest, that's correct.

Pritesh Chheda: And Greenfuel will be available for 9 or 8 months for consolidation?

Ankit Thakral : So Greenfuel was consolidated for 4 months for the FY25 and for the FY26, full 12 months consolidation will be there.

Pritesh Chheda: Okay. And your inorganic growth will then be a function of whatever orders that you have announced, which were there on that page, plus whatever is the system level volume growth in the industry for the auto segments that you cater to, which is basically 2 -wheeler, 4 -wheeler, CV, correct?

Anmol Jain: So that's correct. So we continue to maintain an outlook of, again, 20% to 25% growth on the consolidated revenues, in line with our 20.20.20.20 theme of growing at a minimum 20% CAGR. You're right , certain part of this will come from the full year advantages, for example,

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of Greenfuel, certain things will come from the new product introductions made during FY26 from a part of the order book. But there is no new inorganic step, which is as of now planned for FY26.

Pritesh Chheda: Okay. And my last clarification question. The calculation of the minority, which stands at about 22% to 23% today based on the way you have your holdings, once IAC of 25% minority goes off, what will be the new minority calculation that we have to do for so basic math was 77% profit attributable to Lumax shareholder in '23 and minority. What should that mathematics be for FY26?

Ankit Thakral : So if we see the FY25 numbers, so out of the 23% minority almost 15% to 16% is from IAC only. And of course, since the other JVs are also growing in FY26, so that number is expected to be around 10% to 11% based on our projections as of now.

Pritesh Chheda: Okay. So 23% minority drops to 10% to 11%, correct?

Ankit Thakral : Absolutely. Of course, major part of that being the IAC being converted into wholly owned subsidiary.

Pritesh Chheda: Yes, yes, sir. Major part, okay. Thank you, all the best.

Moderator: We take the next question from the line of Ganeshram from Unifi Capital.

Ganeshram: Congratulations on the performance. My question relates more to the plan that you've outlined of about 20%, 15% organic, right? So ex of industry volumes, assuming there's going to be a higher content value from the new models that you just described. My question is IAC grew about 35% to 40% and has been the largest driver of growth for us this year. About 75% of this business caters to Mahindra & Mahindra, right?

So my question is going forward for IAC to continue delivering these sort of numbers, do we have to expand into other OEMs? Or is it just going to be a function of product value increase with Mahindr

a & Mahindra? And if we are expanding into other OEMs, how are those conversations progressing? Is there anything in the pipeline right now with the other OEMs?

Anmol Jain: So thank you for that. I think we continue to maintain that, of course, IAC would perhaps not be growing at the same rate as it has over the last few years. As a part of our next midterm plan, we expect IAC growth to be more in the vicinity of around 10% to 15% CAGR.

There are two factors for IAC's future growth. Number one, we continue to maintain our wallet share at Mahindra & Mahindra, which is almost close to about 90 - 95% for the integrated

cockpits and door panels across different models.

And we continue to enjoy a healthy order book and be engaged for the forthcoming models as well. The content per vehicle there will continue to grow as long as the premiumization and the soft touch technology continues to be expanded across new models as well.

Number two, there for IAC, the discussions with other OEMs, namely Tata Motors, namely Maruti Suzuki have actually been kick started 2 years ago when Lumax came in as a 75% owner,

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and those discussions are progressing extremely well. We do not have any significant cockpit or door panel, let us say, current or ders in hand from these 2 OEMs.

But yes, we are already engaged and we continue to provide parts towards Maruti Suzuki, and we are also in discussions with Tata Motors for their forthcoming models. So a combination of both will give us this 10% to 15% CAGR for IAC India on a higher base going forward.

Ganeshram: Okay. If I can just follow up with that particular part. With Maruti and Tata, when we're trying to capture wallet share, right, how are IAC's products positioned versus peers, right? What is going to kill these OEMs to move from the existing suppliers to us?

If you just give us some understanding of what IAC's edge is there. And now that we have 100% of IAC, will the global parent continue to give us tech support? Or do we have to pay them some royalty in exchange for that support? How is that arrangement?

Deepak Jain : Anmol, can I come in?

Anmol Jain: Yes, go ahead.

Deepak Jain : So let me just address these 2, 3 issues around IAC, right? The IAC is almost about first 100% wallet share on basically cockpits, door trims and other interior things. I think one trend which you've overlooked is the premiumization. I think Mahindra's volume, of course, next year is strong because of the BEVs coming in and some new platforms. However, the premiumization is also upping the basically value kit with IAC. Th at's one part.

Second, the Tata, the Maruti inroads, it has actually been done through design and both parts, selection. So I'm happy to say that in Tata Motors, the one platform which we probably got awarded, they're probably going to start also from parts, and it could be a Tier 2 arrangement, but also kind of a Tier 1 arrangemen t.

Maruti Suzuki already is a supplier -- or the customer to IAC, they're already supplying parts, but now they're actually going on for a whole design program with Maruti Suzuki. So the competitive edge is basically on the engineering front and the premiumiz ation front.

Given basically the technology adaption and adoption, we are basically having a key agreement with IAC Global. But more so now we have the flexibility to actually make certain other technology arrangements. And we are actually looking for a massive human machine interface going forward and th e leader in the world is China.

We are now having that flexibility to actually have certain arrangements to actually get from Chinese players who are established within the China market, within the BEVs, within the full premiumization there. And we are actually making a road map to do th at, along with certain of our key OEMs.

So I think the leverage and the c

ompetitiveness will remain based on the technology, the 100%

gives us the flexibility to do that and also the agility to basically do it more independently. IAC

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already has about more than 350 engineers resident in India, Indian engineers working on platforms of our OEMs. So we feel we want to leverage that around it.

Also one aspect is that there is also certain premiumization, which is coming in into the CV segment. We'll wait and watch that. But maybe another 2 to 3 years, we will figure it out. But if that happens, that can basically give us support.

Ganeshram: Understood. That's very clear. I might connect offline just to get some more details around the rest. And just one last question before I pop off is on the inorganic side, I know there's no plans for FY26, but there's a 5% delta that you're expecting on the inorganic side, right? So with this tie-up that you're discussing potentially in China or, what kind of acquisition are you looking at? And what kind of size would these acquisitions be? What's the target area for that?

Deepak Jain : I think, I may say, from an inorganic point of view, we are always looking for acquisitions, which are, first, margin accretive. Second, it's actually able to have a higher kind of growth trajectory. There are certain trends which the company is already fo llowing, could be on basically lightweighting, could be on plastics, could be on human machine interface, could be

on some other areas as well. Export could be another opportunity.

So we have not defined basically a target, but those are things which we continue to do this. In the recent Board meeting, we have already launched 2 SPVs and formed 2 SPVs as well. So this will help us to basically be more future-ready in acquisition. Once we have more clarity on targets and all, of course, we'll be happy to report.

Moderator: We take the next question from the line of Aryan Goyal from Choice Broking.

Aryan Goyal: Congratulations on such a good set of numbers. Most of my questions have already been answered. Just on the Greenfuel part, the existing share that the Lumax has is 60% and the EBITDA margins of the company are quite good at 22%, which came in this 4 months. So like are we going to increase the share in that in the coming months? Or is there any plan? And if not, then what is the reason we are not doing that? Can you please explain that?

Anmol Jain: Are you talking about the share in terms of the wallet share? Or you talking about the share of equity?

Aryan Goyal: 60% that Lumax has.

Deepak Jain : So let me comment. I think we have only recently started this partnership. And it is as I mentioned, and we have reported before, it is basically a partnership collaboration. We will basically right now maintain it at about 60%.

Going forward, we'll see how the partnership basically shapes out. As you saw what happened with IAC, we wanted to continue with 75%, it was global scenario change that kind of a thing, which gives us a lot more flexibility now.

But I think Greenfuel is run very well by their promoter manager, Kashyap, and I think right now, our effort is to basically get more wallet share and enhance the accelerated revenue growth

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for Greenfuel. Anyways, the company is basically having the complete consolidation and then, of course, the minority.

Aryan Goyal: And the last quarter, you guided that the full year revenue from the Greenfuel will be around INR 300 crore to INR 350 crore. Is it the same or the wallet share will increase than that, the revenue part from that?

Anmol Jain: So the guidance for FY '26 of Greenfuel would be continuing to be similar between INR 300 crore to INR 350 crore.

Aryan Goyal: Okay. And like what is the capex plan for FY26? And like what was the capex in FY25? Can you

share?

Anmol Jain: Sure. The capex plan for the consolidated entity would be anywhere around a similar number as FY25, around INR 175 crore to INR 200 crore around that vicinity. As again last year, we also spent some amount on land acquisition. And we again, to fuel our accelerated growth plans, we will continue to probably see if there are strategically more land banks which need to be created across the country.

Moderator: We take the next question from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: Congratulations on a great set of numbers. Sir, three questions from my side. First and foremost, sir, this new order book of ~INR 1,300 crore, this is, to my best of my knowledge, incremental order book, right? So base business continue to grow at an organic rate plus you have this order book execution over the next 3 years. Is my understanding correct?

Anmol Jain: Can you come again? It wasn't clear. The INR 1,300 crore is what?

Shashank Kanodia: It's the new order book, right? So the base case organic growth kind of continues or this is INR 1,300 crore will get executable over the next 3 years, right?

Anmol Jain: So INR 1,300 crore, as I mentioned, is coming over the next 3 years. The order book is an evolving order book. Every quarter, this order book changes based on new platforms won. But this INR 1,300 crore as of now, only 26% of it or INR335-odd crore will come in FY26 P&L.

Shashank Kanodia: Yes. But sir, this is all incremental sales, right, apart from the base case business that you're doing, right? That is what I'm trying to understand. So let's say, if the Maruti volumes grow 5% or let's say, volumes grow 20%, so your base case will grow 20% and over and above, you have this INR335 crore of sales, right?

Vikas Marwah : So on an average, there's about 10% to 12% replacement model sales and the bulk of this 88% or so is incremental sales that will be added to our overall sales.

Shashank Kanodia: Understood. Secondly, sir, how do we look at the debt trajectory for you given the fact I think you have this acquisition to be paid for this year, INR 220-odd crore, plus INR200 crore of capex as well. So as well as your ambition for inorganic growth.

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So how do we look at the debt trajectory for us? Is there any parameter that you would not like to violate let's say, in terms of debt -to-EBITDA or debt to equity that we should be focusing upon?

Ankit Thakral : So if we see our long -term debt equity ratio on a consolidated basis, it is closer to 0.5:1 and mostly long -term debt has been there on account of our acquisition financing also. And considering the current repayment plan, which is considered for the current year and maybe in the next 1 to 2 years.

So if we do not consider any new acquisition financing, so debt equity ratio is more or less in a comfortable zone and it will continue to decline. So however, considering your next part of that, so we anywhere look around below, say, 0.7 to 0.8:1, internally, we consider it as a comfortable position on account of long -term debt to equity.

Shashank Kanodia: Right. So the only suggestion from my side would be in your pension of growth , we kind of calibrated through a balance sheet as well . That is the last on my side.

Moderator: We take the next question from the line of Sanket Kelaskar from Ashika Stock Broking.

Sanket Kelaskar: Congratulations on a good set of numbers. So my first question is on Lumax Mannoh. So this year, we have seen EBITDA has been declined by 3%, and there has been some margin decline as well. So can you please shed some light on that? And what initiatives are we taking in order to improve on that?

Ankit Thakral : So if we see the Lumax Mannoh, so as a revenue base, so it has more or less remained flat at around INR 360-odd crore with respect to the previous year. So of

course, this is owing to some

product mix relating to the automatic shifter and manual transmission shifter, which was there somewhere closer to 75-25 in favor of MT last year.

So that has reduced to, say, 85% of MT and 15% of AT. So that has impacted the revenue when it comes to the value part of it. So now EBITDA margin of course, if we consider the other income has reduced by almost 80 to 90 basis points, not the 300 basis points.

So still, if we see the reported number EBITDA for the current year, it is anywhere closer to 16% to 16.3%, which was 17% to 17.2% last year. Again, this has been due to as I mentioned in the revenue, the product mix of AT and MT and due to the less content per vehicle because of the higher MT sales. So these are 2 or 3 reasons that has impacted the EBITDA with respect to the last year.

Sanket Kelaskar: Okay, sir. My second question is on ADAS, as in our presentation, we have mentioned that we are catering to ADAS. So I would like to know like do we have our existing products which are catering to this particular segment? Or are we planning on coming up with these products which are catering to ADAS?

So for ADAS as well, are we planning for passenger vehicle or commercial vehicle, because there is one regulation coming on commercial vehicles? So I wanted to know on that front.

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Vikas Marwah : So currently, our ADAS strategy is based out of the telematics and the connected vehicle systems portfolio. As you are aware that we have launched our telematics products with a major commercial truck manufacturer and already, there are more than 80,000 sets in the market. The driver management system, the DMS, as we call it, in the commercial vehicle is ADAS compatible. And currently, your company is working on rolling out the POCs for that.

Second, in our other joint venture, which is Lumax Alps Alpine in the human machine interface products, we are actively working on the ADAS systems. A pilot batch has been already rolled out to a major 2 -wheeler manufacturer. Unfortunately, their EV volumes are currently not ramping up, so we don't see the scale, but your company is already aligned on that path to pursue the ADAS objectives.

Sanket Kelaskar: Sure, sir. And my last question would be on content per vehicle. So how much content per vehicle increase are we looking for in 4 -wheeler and 2 -wheeler in FY 26?

Ankit Thakral : So if we see our current content per vehicle, it is closer to 70,000 as of financial year '25. And in terms of the passenger vehicle, so we are seeing a similar sort of content vehicle, maybe an increase of around 8% to 10%, owing to mainly the increase with respect to the Greenfuel numbers, which will come as a 12 -month consolidated revenues.

Moderator: We take the next question from the line of Apurva Mehta from A M Investments.

Apurva Mehta: Congratulations on great set of numbers. Sir, most of the questions are answered. So just wanted to know your thoughts on Aftermarket , because you were really talking about increasing in a big way. So what are the plans for the next few years? And where do we see this growth coming?

Anmol Jain: So thank you, Apurva. I think Aftermarket, again, FY25 was an anomaly. I think whatever plans we had set forth because of certain external conditions in the Aftermarket, specifically not about demand, but more so on liquidity, I think we were not able to fruition that.

As was mentioned in the opening address, we've already seen some good, let's say recovery, specifically in quarter 4, and we see that the momentum in quarter 1 is a very strong momentum, which gives us that confidence that we will be able to deliver on a very strong growth in aftermarket for FY '26.

Also, we are changing the fundamental strategic focus area. From this year onwards, we're going to be actually spending a lot of resources and a

lot of strategic focus on generating demand across

different districts and also going to the last mile in terms of the connect with the retail and the mechanics. So I think those are some strategic shifts along with a very strong product development plan.

We've also recently engaged an external agency to kind of spearhead and handhold our team to deliver on the full potential of aftermarket over the next few years. So we are quite bullish on Aftermarket from a long-term perspective, and we are quite positively optimistic that for FY '26, we should be able to again come back and deliver a very handsome growth, maybe upwards of 15% odd for aftermarket division.

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Apurva Mehta: And any new products which you are trying to bring in, in the Aftermarket where we can really steer the growth for that?

Sanjay Bhagat : Yes. So I just want to update you that there are three very important new product categories, which we are going to launch. We, in Lumax, we are actually present in all the segments, 2 -wheeler, 4 -wheeler, commercial. So in 2 -wheeler segment, we're going to launch the CDI, starter motors and RR. So this is the regulator electrifiers. This is a complete range of electrical products, which we'll be launching actually the first quarter, which is now next month.

So, in 2 -wheelers, this is going to be our new product launches. In case of 4 -wheeler, we are looking at launching the suspension system. So we see an opportunity of growth in suspension and in the brake systems. So this will come in the third quarter. So that is the kind of plan for the new product launches.

Apurva Mehta: And on Alps Alpine, what are your plans? Means any new products coming from Alps Alpine or strategically on the information system or on the dashboard side?

Vikas Marwah : So in this, Apur va ji, Alps Alpine registered a revenue of around INR 50 crore in FY25. It is expected to deliver INR 120 crore in FY26. And very clearly, we are set for a INR 500 crore plus journey over the next 4 to 5 years. The products have been very well identified with our JV partners. These are largely HMI interface products, new kinds of switches and sensors.

We are also actively talking to the customers in terms of the displayer systems with a lot of software integration. So just to give you more comfort on Alps Alpine, there is a 22 product rollout, which will be fully functional from Alps Alpine global portfolio by FY '29 itself. And that will then give us a base for future expansion.

Apurva Mehta: Sir, and one more thing, when we were looking at the stand-alone numbers, the EBITDA margins, we saw a big drop, before it was around 11-12% kind of thing to somewhere around 7 - 8%. Is there any one-off in this?

Ankit Thakral : Yes, Apur va ji, there is, you're absolutely right. So certain one-off expenses was there in the quarter 4 on account of, say, for example, whatever the, Greenfuel, the deal which we did and certain consultancy expenses with respect to that. So however, for the full year, the reported margin, including the other income was closer to 11%. But for a single quarter, so there was a decline because of that one-off thing.

Apurva Mehta: Can you give me the number? What was the acquisition cost ?

Ankit Thakral : It was closer to 2% to 2.2% of the standalone revenues.

Moderator: We will take the last two questions now. The next question is from the line of Shweta from Arihant Capital Markets Limited.

Shweta: So my first question is regarding the percentage of current order pipeline. If you could tell me about what percentage of current order pipeline is from BEV program? And are you seeing any ramp-up in the content per BEV vehicle compared to IC counterparts?

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Anmol Jain: So from the total order book of INR 1,300 crore, the B

EV is almost 40% of the total order book.

So that is close to approximately INR 500-odd crore is from BEVs platforms. I think, again, on the BEV, most of our product lines are EV agnostic.

But we do see that because of certain lightweighting trends and premiumization trends, specifically on our interior cockpits and door panels, there is a higher value content per vehicle on the BEV platforms compared to the traditional ICE. Having said that, we also foresee some of these trends continuing in the future ICE models, which are yet to be launched.

Shweta: Okay. And can you share some revenue potential about the new BEV Chakan plant over the next 2 to 3 years? And whether there are any plan to add capacities for other OEM programs at this location?

Anmol Jain: So we recently inaugurated, as was mentioned, the new plant in Chakan for the BEV platforms of Mahindra & Mahindra. Again, the average content per vehicle would be even as high as about INR 40,000 to INR 45,000 per vehicle for these BEV models. And again, we continue to service them through FY26. A significant part of IAC growth for FY26 will come from the incremental volumes of these BEV platforms.

In terms of capacities, I think we have sufficient capacities to feed the BEV models as well as the other models in Mahindra's Chakan region. There may be some brownfield expansions that we will undergo in the Nashik facility to cater to the forthcoming models in Nashik for Mahindra & Mahindra.

Moderator: We take the last question from the line of Jaymin from Ardeko Asset Management.

Jaymin: I just wanted to understand one part. When you pursue any targeted acquisitions, what are the typical markers or the milestones that are defined internally for those acquired entities? And how would that fare, I mean, on those markers, if at all, I mean, you can share something on qualitative on that?

Anmol Jain: So, Deepak, do you want to?

Deepak Jain: Yes. So you were talking mostly about our acquisition targets. Is that what you're saying, the markers for it or the boundary around that?

Jaymin: Yes.

Deepak Jain: So if you see our last two acquisitions, right? I mean say, number one, first and foremost, it is basically very much customer-driven. For example, IAC was basically Mahindra, Greenfuel was mainly Maruti Suzuki. Second, we see that all acquisitions, they're not turnarounds, but profit accretive.

Number three, they have potential to have accelerated growth as soon as we come in. And number four, most importantly, that the management is intact, and we then basically come in to see how we can incentivize the management to ensure that there's a better performance.

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We, of course, are very clear about certain areas where we have already explained our investor relationship that what are the future trends we are looking at, where we are basically going to invest on capital if we want to achieve inorganic. Also very clearly, we believe in the India growth story.

And we are basically looking at assets within India. It could be export driven. It could be domestic driven. That doesn't matter, but mostly having manufacturing within India and a scalability per se.

So these are a few areas. Of course, let me say, when we look at potential targets, whatever available, then we do definitely do a lot of financial diligence and make sure that the standalone company is not over leveraged. And we basically make sure that we get profitable assets, add good value so that we can further unlock value by accelerated growth. So this is our fundamental ethos on acquisitions.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Anmol Jain for closing comments.

Anmol Jain: Well, I would like to take this opportunity to thank everyone for joining into the call. We will keep the in

vestor community posted on a regular basis for updates on your company. I hope we have been able to address all your queries. For any further information, please get in touch with us or Adfactors, our IR and PR advisors. Thank you once again, and have a good day.

Moderator: On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2025

LATL:CS: REG30 :2025 -26 Date: 14.08.2025

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National Stock Exchange of India Limited

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Bandra (E), Mumbai – 400051

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Subject: Transcript of Analysts / Investor Earnings Conference Call - Q1 FY 2025 -26

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts / Investor Earnings Conference Call which was held on Friday, August 08, 2025 at 02:30 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 1st Quarter ended June 30, 2025.

The transcript will also be made available on the website of the Company at <https://www.lumaxworld.in/lumaxautotech/transcript.html>

This is for your information and records.

Thanking You,

Yours Faithfully,

For Lumax Auto Technologies Limited

Pankaj Mahendru

Company Secretary & Compliance Officer

ICSI Membership No. A28161

Encl: As stated above

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"Lumax Auto Technologies Limited
Q1 FY 2026 Earnings Conference Call "
August 08, 2025

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR
MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER
MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF
FINANCIAL OFFICER
MR. SUNIL KOPARKAR – MANAGING DIRECTOR , IAC INDIA
MR. SANJAY BHAGAT – HEAD OF AFTER MARKET
MR. NAVAL KHANNA – CORPORATE HEAD, TAXATION
MR. ANKIT THAKRAL – CHIEF FINANCIAL OFFICER
MS. PRIYANKA SHARMA – HEAD CORPORATE
COMMUNICATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Lumax Auto Technologies Limited Q1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants in line, will be the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touch -tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

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Anmol Jain: Thank you. A very good afternoon, everyone, and thank you for joining us for the Q1 FY '26 earnings conference call. It's a pleasure to welcome you all. I am joined today by Mr. Vikas Marwah, CEO; Mr. Sanjay Mehta, Director and Group CFO; Mr. Sunil Koparkar, the Managing Director of IAC India ; Mr. Sanjay Bhagat, Head of the After -Market Business; Mr. Naval Khanna, Head, Corporate Taxation; Mr. Ankit Thakral, CFO of the company; and Ms. Priyanka Sharma, Head, Corporate Communications.

We're also supported by our Investor Relations partners, Adfactors PR. Together, our leadership team looks forward to share our Q1 performance, along with key business updates from the quarter. The results and presentation have been uploaded on the stock exchanges and the company website, and I do hope everyone has had an opportunity to go through them.

The automotive industry in Q1 FY '26 witnessed a mixed performance with demand flat across most segments. Within passenger vehicles, the strong growth of Mahindra &

; Mahindra, driven

by the continued success of its UV portfolio and steady tractor performance provided a positive tailwind for our business.

Premiumization across product categories contributed meaningfully, improving the revenue mix for both OEMs and suppliers. Additionally, diversification across passenger vehicles, 2 -wheelers, 3 -wheelers and the commercial vehicle segments helped cushion the impact of a muted domestic environment.

The broader macroeconomic environment has also showed encouraging signs of improvement with inflation under control, GDP growth resilient and rural sentiment on the rise, aided by a strong monsoon. Urban consumption is expected to strengthen in the coming quarters, supported by personal income tax benefits and improved liquidity conditions.

As per SIAM data for Q1 FY '26, 2 - wheeler volumes stood at 5.9 million units, up only 1% year-on-year. Passenger vehicles stood at 1.25 million units, up by 3% on a year -on-year basis and 3 -wheelers at 0.26 million units, up 10% year -on-year.

The combination of improving rural demand and supportive policy measures provides a constructive backdrop for the industry, particularly as we head into the festive season and expect a gradual revival in consumer sentiment across both urban and rural markets. Moreover, industry leaders believe the recently announced U.S. tariffs will have minimal impact on India's 7 billion auto component exports to the U.S.

Since auto parts already attracted 25% duty effective May 2025, the new levy is seen as a reciprocal measure applied uniformly across countries and therefore, does not alter the competitiveness of Indian products. Moreover, India does not export vehicles to the U.S., further limiting any direct impact.

On the company update, -- we have kicked off FY '26 with a steady performance both in revenue and profitability, which is in line with our internal operating budget. There have been certain price corrections from customers, which have not been realized in Q1 because of which the margins have seen a slight dip compared to Q1 of FY '25.

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These corrections, however, have been subsequently received in the current month. Hence, in Q2, we should be able to see this gain based upon the spillover from quarter 1. And for H1, the EBITDA margins will be in alignment with our strategic direction for the current year, which is between 14% to 15% EBITDA margins. The after-market business delivered a strong growth of 16% in Q1 on a year -on-year basis, in line with our midterm strategy.

During the quarter, we also incorporated 2 new wholly owned subsidiaries, Lumax Auto Comp Private Limited and Lumax Auto Solutions Private Limited in the month of July in New Delhi, aligned with our vision to capture emerging growth opportunities in the automotive sector. The acquisition of the remaining 25% stake in IAC India was completed in May and as previously communicated, will be effective for profit attributable to the owners of Lumax Auto

Technologies Limited from that date.

Our recently inaugurated IAC India manufacturing facility at Chakan is now fully operational, gaining strong traction with key OEM customers and enhancing our ability to meet rising demand and advanced and sustainable manufacturing practices. We are also establishing a local engineering, sourcing and development capability in China in this fiscal year for benchmarking of new trends and technologies and gain real-time access to information from the Chinese industry.

At the same time, we are also going ahead for setting up of a technology center as a part of SHIFT Smart Hub for innovation and future trends at Bengaluru. Both these strategic initiatives are expected to be commercialized by quarter 3 of the current fiscal year and will play a key role towards our strategic move from becoming -- from a Tier 1 to becoming a Tier

0.5 player for our OEMs.

Certain recognitions during the quarter, the Plastics division of the company and subsidiary company, Lumax Manno, received award for overall performance in the Maruti Suzuki Vendor Conference of 2025. IAC India also received a certificate of appreciation in recognition of its superior performance in vendor system audit rating at the same Maruti Suzuki Supplier Conference. Lumax Manno was also honored with the CNBC TV 18 SME Champions Award Season 2 in the category of Manufacturing SME of the Year Industrial Excellence. Another subsidiary, Lumax Ituran Telematics was awarded the Runner Up as Partner of the Year at the Daimler India Annual Supplier Meet. Talking about the order book, we are pleased to report a robust order book of INR1,500 crores with strong visibility across next 3 fiscal years.

Of this order book, approximately just 8% is projected to be materialized in the current fiscal year, almost 40% in FY '27, 40% in FY '28 and the remaining 10% to 12% in FY '29. The order book reflects healthy traction across all product verticals with advanced plastics contributing the largest share, followed by mechatronics, alternate fuels and structures and control systems product vertical.

I'm also pleased to share that 40% of this order book rests within the future and clean mobility solutions thereby taking the company forward in line with its midterm plan. Despite the industry's largely flat performance this quarter, we remain firmly aligned to our vision guided Lumax Auto Technologies Limited

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by the Theme BRIDGE, the Bold Roadmap Integrating Diverse Growth Engines as a part of our midterm plan.

Our focus on diversifying across OEMs, products and segments while accelerating our presence in EVs and greener fuel technologies, enhancing our wallet share positions us to capture emerging opportunities and drive sustainable growth in the evolving mobility landscape. With a good start to FY '26, we remain confident of marching towards our North Star of 20.20.20

With this, I hand over the call to Mr. Ankit Thakral, the CFO of the company.

Ankit Thakral: Good afternoon, everyone, and thank you for joining us today. Q1 FY '26 has commenced on a solid revenue gain, reaffirming the strength of our evolving and well-balanced portfolio. This performance is a direct outcome of our disciplined execution of the strategy and sustained focus on innovation, premiumization and deeper alignment with high-growth mobility platforms. Let me now take you through the key operational and financial highlights for the quarter.

Beginning with the Advanced Plastics division, this segment recorded a year-on-year growth of 25% in Q1 FY '26 with revenues increasing from INR420 crores to INR525 crores. This performance reflects our strategic alignment with OEM programs that prioritize design, durability and lightweighting. The order book remains strong at INR940 crores, providing solid future visibility.

Next, the Mechatronics segment sustained its upward momentum, delivering a year-on-year increase of almost 100% in Q1 FY '26 from INR28 crores to INR54 crores. With a healthy order book of around INR250 crores, this segment remains highly technical due to its high engineering intensity and relevance in the shift towards intelligent mobility systems.

Turning to the Structure and Control Systems vertical. It reported a Y-o-Y growth of 10% in Q1 FY '26, increasing from INR165 crores to INR180 crores. With an order book of INR110 crores, it strengthened our position as a trusted technology partner in the evolving mobility ecosystem. The aftermarket segment showed a strong growth of 16% from Q1 of last year, reflecting strong customer traction and product acceptance. We are very much hopeful of sustaining and building upon this strong growth for full year FY '26 and way forward.

The Green Fuel Energy Solutions acqu

ired in the latter part of the last financial year contributed

INR95 crores in Q1 backed by the order book of around INR200 crores with margins expected to be accretive to the group average over the medium term, this segment is positioned to grow in alignment with the national shift towards alternate fuel platforms and rising OEM adoption.

With an enhanced focus on the segment diversification aided by the seamless integration of IAC and acquisition of Greenfuel has translated into a notable shift in revenue composition. In Q1 FY '26, the passenger vehicle segment accounted for 55% of total revenue, 2 - and 3 -wheeler segment contributed 21%, followed by CV at 11% and aftermarket at 10%, reflecting a well - diversified and balanced mix across mobility platforms.

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Our consolidated revenue for Q1 FY '26 reached INR1,026 crores, marking a Y -o-Y growth of 36% and reflecting the growing strength of our core business as well as the momentum from our newer verticals. The revenue saw a decline of 9% from Q4 FY '25, which is due to the higher tooling revenue of around INR90 to INR100 crores, mainly in IAC India in Q4 of last year.

Tooling being cyclical in nature, which is executed in line with the new model launches by the OEM. If we exclude this tooling revenue, the revenue for Q1 FY '26 is in line with the Q4 of last financial year '25. On the profitability front, EBITDA stood at INR136 crores, up 29% over the same period last year with margin steady at 13.2% -- the decline in margins from Q1 FY '25 has been clarified. And with respect to the Q4 FY '25, it is down because of profitability impact from the just explained tooling revenue and deferment of the customer price corrections, which has been subsequently received in Q2.

Profit after tax before minority interest stood at INR54 crores, registering a Y -o-Y growth of 30%. The effective tax rate remained stable at 27%, and we expect it to hold at similar levels throughout the year.

The share of minority for the quarter stood at 22%, down by 27% from Q4 FY '25 with IAC becoming the 100% subsidiary from 22nd of May. The minority share for the upcoming quarter is expected to settle between 15% to 17% . Capex for the quarter stood at INR73 crores, which includes a strategic investment in Gujarat land of INR31 crores. These investments are aimed at unlocking medium - term revenue growth and supporting localization efforts across key platforms.

The full year guidance for the capex remains at around INR180 crores to INR200 crores. As of 30th June 2025, we continue to maintain a strong balance sheet and a healthy liquidity position. Free cash reserves stood at INR359 crores, providing us with the financial flexibility to support ongoing investments and navigate market cycles confidently. Following the payout for the 100% acquisition of IAC, our long -term debt stood around INR600 crores, resulting in a conservative debt-equity ratio of 0.63, which is within our internal comfort thresholds. We now open the floor for questions and answers.

Moderator: Thank you very much. The first question is from the line of Amit Hiranandani from PhillipCapital. Please proceed.

Amit Hiranandani: Congrats team for once again showing strong set of numbers. Sir, first question is we have observed high growth in clients like Tata Motors and Mahindra. If you can please throw some color on this? Also, secondly, we have created 2 new subsidiaries. So, what's the plan and whether any inorganic talks are nearing completion?

Anmol Jain: So, I'll take the second one first. I think we continue to pursue future opportunities of growth through the inorganic route. As I mentioned before, the company is always evaluating certain future growth strategies inorganically. And just to expedite certain processes, these are just enablers to -- for future growth. As of now, we do not have any mater

ial information to share in

terms of next inorganic move. But as and when we are there, we will definitely keep you informed. Regarding the customer growth, I'll suggest Ankit to just give you some brief.

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Ankit Thakral: So yes, you are absolutely right. Firstly, the Mahindra & Mahindra has reported almost growth of more than 50% at INR317 crores. So of course, if you see the Mahindra own growth, at the same time, it has increased by 24% year -on-year. But if you bifurcate that 24% increase into PV and CV, the passenger vehicle segment of Mahindra has shown an increase of around 30% to 35%.

So of course, due to this increase and of course, IAC being the more dominant player in Mahindra due to their premiumization content, the overall revenue for us from Mahindra has increased more than 50%. And now Tata Motors. So, Tata Motors, if you know for Q1 FY '26, the revenues for the Greenfuel has been consolidated, which were not there in last year.

And Tata being the number 1 customer for green fuel almost commanding around 1/3 of their overall revenue, both in passenger vehicle and commercial vehicle. So, because of this reason, Tata Motors, including the Greenfuel revenue has been doubled from last Q1 of FY '25.

Amit Hiranandani: Yes, helpful, sir. Sir, secondly, can you also help us understand how the emerging subsidiaries have performed in the first quarter like your Alps Alpine, Ituran , JOPP , etc? And what kind of growth you expect in this and in the next fiscal as well? And sir, in general, have we added any

new customer or received any substantial orders from the existing ones for across all subsidiaries?

Ankit Thakral : So, as I mentioned in my opening speech, so the emerging subsidiaries under the mechatronics domain has increased from, I would say, closer to INR25 to 28 crores in last Q1 to almost INR55 crores. So, it's a straight away 100% increase from Q1. And specifically, the main increase is in 2 subsidiaries firstly being, yes, the Lumax Alps Alpine, which was around INR8 to 10 crores base of last Q1 has increased to INR25-odd crores in this Q1.

So, as we have explained in Q4, so whatever the new SOPs has happened mainly of the Throttle Position sensor to the HMSI, that has led to the increase in this Lumax Alps Alpine revenue.

And going forward also with the introduction of new products and 2 - 3 products, which are in line that is supposed to go into SOP in the later part of the year.

So, for the full year, we are anyways expecting a similar sort of growth more than doubling its revenue from the last year FY '25 in Lumax Alps Alpine And secondly, the Lumax FAE , so the SOP for Lumax FAE from the Royal Enfield just started in Q4 of last year. So the full quarter SOP impact has come in FY -- of course, it was miniscule in Q1. And for the full year, we can easily see that this Lumax FAE revenue is expected to surpass around INR55 to 60 crores for the full financial year '25 -'26.

Amit Hiranandani: Helpful, sir. Sir, lastly, sir, export opportunities are opening up for the Indian auto component players. So , do you see anything there in the mid term or any plans or talks ongoing?

Anmol Jain: So, I think from an export point of view, we are already engaged in indirect exports. Our products do get exported to other regions through the Indian OEM counterparts. So , we don't count that as exports necessarily. I think from an OEM export point of view, currently, we still have a very clear focus on capturing the opportunities and growth of the domestic market.

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Please also be cognizant that most of our joint venture partners also have geographical presence in ASEAN countries and maybe in certain Western Europe and North American countries. So we are cognizant of that. So we don't have an immediate midterm plan to significantly

increase

our export footprint. However, aftermarket exports is a completely different chapter, and there are very clear, ambitious and aggressive plans to try and tap into that market going forward.

Moderator: The next question is from the line of Vijay Pandey from Nuvama.

Vijay Pandey: Congrats for a great quarter. Sir, a couple of things I wanted to check the commercial vehicle sales segment has grown significantly this quarter, more than doubled. Is it primarily because of the Tata Motor sales? You mentioned about the alternative fuel segment that has got consolidated from first quarter. Is it primarily coming from that?

And secondly, can you just explain to us like a bit more clarity on the price corrections that happened in the between the first quarter and the second quarter and fourth quarter, like what happened and why it got delayed? Will this may happen over the coming future? Or is it like just a onetime effect and won't be happening again? If you can just give some light on that, that will be pretty helpful.

Anmol Jain: Sure. So , the first question, yes, your understanding is correct. The reason for the commercial vehicle segment growing for us is primarily because of Tata Motors is commercial vehicle revenue coming from the Greenfuel , which starts to getting consolidated in Q1 of this year. And in last year Q1, it was not there. Number two, in terms of the price correction.

So, let me just be very clear. There are 2 sets of price corrections, right? One is a price correction on account of inflationary raw material increases, which are very normal in nature. And there, we continue on every quarter to have a quarterly lag. So that is not something which has in any way impacted the profitability for Q1.

There was a price actualization primarily for the BEV models of Mahindra & Mahindra for IAC India. These BEV models have recently been launched over the last perhaps 4 to 6 months. There were a lot of commercial negotiations. There were a lot of changes done on the actual interior space. And hence, these were actualized now based on retrospective effect from day 1.

So, the cumulative impact from the first day of SOP until end of quarter 1 stands at almost close to INR7 crores, which is significant. And all of that was to be realized in quarter 1 because it pertains to that period, but because of certain ongoing understandings with our customer, Mahindra, that would have not been reached and that has only been reached in the current month of July. And hence, this impact will come in quarter 2 pertaining to quarter 1.

Vijay Pandey: Okay. So , sir, I wanted also to check if Mahindra launches a new model again in second half of this year. Will this mean that again, this price actualization may happen? Or is it like this was only one -off time that it had happened?

Anmol Jain: So usually, this is not such a case where we have such long periods of price actualization.

Usually, it is a much shorter period. But because this was the first time Mahindra got into BEV platforms, there were a lot of new things which emerged on the BEV platforms and a lot of

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changes which were ongoing, it took a significant amount of time for us to reach a price settlement. However, usually, across all other Mahindra models and IAC and even the other product verticals of Lumax Technologies continue to service Mahindra and Mahindra. This is not a regular feature.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Sir, my question is for the full year, the minority interest should be around 11% as guided in the last call?

Ankit Thakral : So, the minority interest, as I mentioned in the opening speech, will be closer to 15% because of the higher contribution in terms of Greenfuel because in Greenfuel , we have around 40% minority that is there. So however,

it is a substantial reduction from around 27% to 28% last year, as IAC became 100% subsidiary from May '25.

Dhaval Shah: Yes. And then it will continue at 15%, right, for the next 2 quarters?

Ankit Thakral : As for the existing structure, if the existing structure remains as it is, so the minority will continue to be between 15% to 17% .

Dhaval Shah: 15% to 17%. Okay. Great. And my other question, which I would like to understand a bit in detail is about the long -term FY '30 business plan. Now for this, what sort of capital would be required? What sort of asset turns are we looking to have? Do you think there would be a short - term need where there will be some equity raising which can happen here or it will be all done internally with some help of bank borrowing ? Can you throw some light on this, please?

Anmol Jain: So, I think if you look at our last 3 to 5 years performance, the asset turns almost going forward every year is continuously improving. Looking at the FY '31 strategy, as I mentioned, as a part of our 20 .20.20.20 , at a 20% CAGR, perhaps we could be also looking at tripling the revenues from FY '25 of INR3,500 crores or so base to maybe upwards of INR10,000 crores.

Largely, most of our different verticals will be continuing to look at an aggressive growth. But we don't see any substantial, let's say, from an equity point of view, any change in terms of raising capital. We are sitting on healthy free cash and each of the business verticals continues to generate healthy operating free cash on an annualized basis. So , with internal accruals and debt, we should be able to service the needs of this revenue increase over the next 5 to 6 years.

Dhaval Shah: And the capex requirement should increase for this total period to around INR2,000 crores over this entire period?

Anmol Jain: So again, I think if I were to take out any inorganic pieces and if I were just to say that the current base of give or take this year, probably looking at another 20% growth over last year, you were probably looking at upwards of INR4,200 crores revenue. So to grow that base, yes, I would assume at a 20% CAGR, we should be looking at a similar capex outlay as the current year of about INR200 to INR250 crores on an annualized basis, which would be largely met, as I said, through our internal free cash accruals.

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Dhaval Shah: Okay. But with this INR200 to INR250 crores capex , that means you are estimating a much higher asset turnover going forward. The incremental revenue to be added is another INR7,000 crores and with the past asset turn. I mean, we can take it offline, but I was just doing my math that the number could be between INR1,800 crores to INR2,000 crores over the next 5 years, the cumulative capex ?

Anmol Jain: That's absolutely correct. So , the reason for that is primarily two. Number one, as I mentioned, 40% of our order book stands in future and clean mobility. So , the value and the content per vehicle on that is significantly higher. Greenfuel, for instance, is not a very capital -intensive business. So , with a base of roughly INR300 crores to INR400 crores, it growing significantly in the next 5 years will not have a significant capex outlay.

Secondly, on the interiors vertical, the premiumization is also going to fetch a higher content per vehicle. Thirdly, the aftermarket, which is poised to grow at a significantly higher CAGR does not again need a capital outlay. So again, as I said, based on these 3 or 4 verticals significantly growing in the future, we do expect our asset turns to significantly improve based on what it is today.

Dhaval Shah: Okay. And sir, last question before I get back.

Moderator: Mr. Dhaval, may we request you to join the queue as there are other participants waiting. The next question is from the line of Sanket Kelaskar from Ashika Stock Broking Services

Limited.

Sanket Kelaskar: Congratulations on a good set of numbers. So , my first question is on IAC. So how much is the revenue from IAC in quarter 1 and its growth? And do we have any RFPs, which is in the last stage of conversion from any new customer or existing customer for newer models ?

Ankit Thakral : So yes, I'll answer the first question. So , the IAC revenue for the quarter 1 '25, '26 stood at

INR317 crores, up by almost 45% -50% from Q1 of last year, directly because of the strong growth in the Mahindra & Mahindra PV segment of around 30% to 32%.

Anmol Jain: Sunil, would you want to just come in and talk about the new models and how I AC positioned with respect to Mahindra?

Sunil Koparkar: Yes. Thank you. Just for clarity, I think we just had a look, there are between now and next 3 years, Mahindra is bringing at least 7 new models. And at least on our commodities, we are front runners and coming very close to maybe even getting nomination on some of the business.

Hopefully, we'll conclude that by end of this month, at least the first piece of business and the remainder to follow in next quarter or so.

Anmol Jain: So, we remain quite significantly deeply entrenched in Mahindra. We've already had some significant order wins in the current month of July, which we will be pleased to share in the quarter 2. But again, as Sunil mentioned, out of 7 new models, some of them being new platforms, some of them being kind of a carry forward from the current models, we are deeply engaged and we are quite hopeful to win a significant share of this new business from Mahindra.

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Apart from Mahindra, we have also made inroads into other OEMs where Maruti Suzuki as well as Tata Motors, we're also trying to gain traction in those OEMs apart from just Mahindra being the significant growth driver.

Sanket Kelaskar: Sure, sir. That's great. My second question is on our various subsidiaries. So, some of our subsidiaries are having similar product lines. So, do we have any plans to merge them in order to obtain synergies out of it?

Anmol Jain: So as of now, we do not have any plans to merge the different subsidiaries. Each of our joint venture is specifically focused into a particular product line or a particular technology area. So as of now, we are very cautious. They don't compete with each other. But again, we will continue to grow each of them individually.

Sanket Kelaskar: Okay, sir. And apart from FAE and Alps Alpine, like which are among other of your stress entity do you expect to turn around PAT in FY 26.

Ankit Thakral: So yes, if you see the other entity in the mechatronics domain, it is Lumax Yokowo. So again, Lumax Yokowo has recorded a strong growth from Q1 FY '26, almost doubling its revenues, but because the base was too low for the Q1 of last year, so that is why the contribution is not so much. But for the full year, again, we are estimating a similar sort of growth from INR20-odd crores last year to maybe closer to INR50 crores owing to the various SOPs that have been planned throughout the year.

And I'm happy to inform you that by the end of the financial year, it is expected that all the major 4 OEMs, be it Mahindra, Maruti, Honda and Toyota will be the key customers for this particular joint venture. And way forward, we are pretty much optimistic to have a strong growth in this particular regime.

Sanket Kelaskar: Sir my last question is on the recent press release, which we made on SmartHub, which we have established in Bangalore and one of the other press releases as well. So, I want to understand if you can elaborate on this as well as if there are any new customer wins in Ituran that is Lumax Ituran segment as well?

Anmol Jain: So Lumax Ituran, as of now, we don't have a new customer win. However, we have made very deep discussions with a leading 2-wheeler OE

M as well as a passenger vehicle OEM, and those

talks currently are undergoing. As and when we have some updates, we will definitely inform all the investors.

In terms of the press releases, I think there are 2 significant updates. Number one was the start of the SHIFT in Bangalore. This is largely a software integration center, as I mentioned, as a part of our midterm strategy from going from a Tier 1 to a Tier 0.5. We do need to also develop software capabilities; how do we integrate different product lines together and sell it as an integrated solution for the customer as one interface.

So as a step towards that, this is the first time we will be getting into this software domain. And the idea is to grow this over time to try and not just support the different product lines of the

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group, but also perhaps to start selling software services to outside customers and make it as an independent profit center.

The number 2 announcement was opening up a branch office and having a significant presence in China. Largely, we see that the interior space, premiumization trends, technology trends in China are way more advanced than today what India sees, and we would be definitely putting in the resources in China to try and get these technology trends into India at a competitive price point, thereby, again, being the first to get these technologies into India and thereby enhancing our content per vehicle.

Moderator: The next question is from the line of Hitesh Goel from Aurigin Capital.

Hitesh Goel: Sir, I joined a little late. Did you give the IAC revenue for this quarter?

Ankit Thakral : IAC revenue for the current quarter was INR317 crores, up by almost 50% from the Q1 of last year, owing to the strong growth in Mahindra & Mahindra PV segment of around 30% to 35%.

Hitesh Goel: And this is like -for-like, right? You said how much growth, sorry, again, 50%, right, Almost 50%?

Ankit Thakral : This is like -to-like growth. So, there were no to oling revenues in Q1 of last year also. And of course, in the current quarter also, there is no to oling revenue. And if we compare from the Q4 of last year, so the reported revenue is showing a decline, but it was because of that tooling revenues of around INR90 crores to INR100 crores in Q4. The manufacturing revenue from Q4 to Q1 is almost on a, I would say, similar figure of around INR315 crores to INR320 crores.

Hitesh Goel: And sir, both in IAC and green fuel, the margins in the vicinity of 17%, 18%, right, EBITDA...

Ankit Thakral : So yes, the Greenfuel continue to report EBITDA of around 18%. But while in IAC, although the normalized margins have been, as we have said to anywhere between 17% to 17.5%. But because of the just mentioned the deferment of the price corrections from the customer, which has been subsequently received in Q2. So , the reported margins for IAC because of this deferment was at around 15% to 15.5%.

Hitesh Goel: Okay. And sir, my final question basically on the new spaces like ambient lighting, right? So , I think Lumax Industries on their concall said they have started ambient lighting business with Honda. Any orders on that front you're getting from Mahindra or anything you can share?

Anmol Jain: So yes, the ambient lighting, specifically for Honda that you mentioned is in the other company, Lumax Industries Limited. It has no bearing on Lumax Auto Technologies Limited. However, with our key client, Mahindra & Mahindra, there are ongoing discussion s how can we integrate ambient lighting as a solution as a part of our cockpit and door panel offering.

We do see that there is a sizable market opportunity of ambient lighting going forward. And again, we do not have a confirmed order yet, but we are in advanced stages of trying and securing some of these ambient lighting orders at Lumax Auto Technologies t hrough IA C In

dia.

Moderator: The next question is from the line of Amit Hiranandani from PhillipCapital.

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Amit Hiranandani: Sir, I just wanted to understand how our non -Mahindra customers doing? Are we winning new orders and any growth prospects?

Anmol Jain: Are you talking about for IAC?

Amit Hiranandani: In general, for the company.

Anmol Jain : So, in general for the company, definitely, I think the order book is pretty widely distributed across different OEMs.

Ankit Thakral : So, if you see the current order book breakup, although we have not mentioned the customer - wise, so of course, out of the INR1,500 crores, so of course, largely being the IAC one. So of course, the number 1 would be Mahindra & Mahindra.

But apart from Mahindra & Mahindra, it is widely distributed between the other OEMs also, Maruti, Tata being a key, I would say, contributor in other divisions like mechatronics and alternate fuel segment and also in 2 -wheeler customers like HMSI, mainly i n this Lumax Alps Alpine JV. So yes, of course, at one time, Mahindra and Mahindra is our number 1 customer, but at the same time, and we are pretty much confident and optimistic of growing the revenues in other OEMs as well.

Amit Hiranandani: Right. Sir, secondly, on the Greenf uel side, so how Greenfuel performed in Q1 on a Y -o-Y basis? What was the revenue and EBITDA number? And any new business or customer wins or new product additions in it?

Ankit Thakral : So, the reported revenue for the Greenfuel for Q1 was at INR95 crores, I would say, similar EBITDA margins of what we have earlier mentioned at around 18% -- so the revenues for the Greenfuel, although were not part of the consolidated revenues in the Q1 of last year. But if I see the like -to-like growth for the company, it was closer to around 12% to 15% and that will continue to maintain, I would say, for the latter part of the year.

Anmol Jain : I think one I would like to add that we have been able to secure a confirmed order for the tubes and fittings product of green fuel. This is the first time any company in India will be localizing this tube and fitting -- across all OEMs, this tube and fitting is currently imported, and we will be the first to market to localize this and hence, trying to secure a significant share of the tube fitting business in India.

Amit Hiranandani: So sir, your growth would be how much for the Greenf uel for the midterm 3 years prospects if we can look at?

Anmol Jain: I think in terms of, I would say, anywhere between a 15% to 20% CAGR is what is our estimate for the Greenf uel business to grow. And again, this is in line with our overall 20% CAGR mark.

So, it continues to be a key vertical for us to scale up.

Moderator: The next question is from the line of Vaibhav Shah from DSP Mutual Fund.

Vaibhav Shah: Congratulations for a good set of performance. My first question is on order book. So if you can talk about the new order wins in this quarter. If I remember correctly, we had INR1,300 -odd Lumax Auto Technologies Limited

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crores of order book, and now we have reported INR1,500 -odd crores of order book. So where is this new incremental order wins have come from?

And in FY '26, if I remember correctly, previously, we highlighted that we expect close to INR300-odd crores of order to translate from the order book. The number now given in presentation is roughly INR115 crores. So, have we seen any delay in SOPs or revenue to accrue later? If you can just help us understand on that aspect?

Anmol Jain: So the order book, yes, continues to evolve. We did generate about INR325-odd crores of new orders in quarter 1. Having said that, a lot of the orders which were secured in earlier quarters and got developed and went into SOP were then removed from the order book because they went

into the P&L. So, this is a cyclical thing.

But again, we don't see any significant delays as of now, except for one model of Maruti Suzuki, the EV, which was delayed over the last many quarters. And also, we do see certain interim production hiccups, more specifically on the EV platforms, case in point, the Bajaj EV vehicle, primarily because of the rare earth supply.

Vaibhav Shah: Okay. So, these INR300 -odd crores, which we anticipated in FY '26 and now we have given INR115 crores, it is a mix of some orders going into SOP and a couple of delays from the customer and which we anticipate to accrue in coming years. That's the way.

Ankit Thakral: That is absolutely correct. So out of the INR300 crores with orders worth around INR200-odd crores, the production of those particular products have started. So, the full quarter impact, I would say, will be visible by -- if not Q2, by Q3 and the later part of the year. And of course, the remaining INR130-odd crores will be going into SOP maybe in the later part of the year.

Vaibhav Shah: Understood, sir. That is helpful. And my second question is on this EBITDA margins. So, in the presentation, we highlight that by FY '28, we want to move towards the 16% EBITDA margin.

So, can you help us understand within the current business mix that we have, how do we plan to improve the EBITDA margins?

Anmol Jain: I think it's a combination of multiple things. I think if I look at the order book, 50% or so of the order book sits in the plastics vertical. And as was mentioned earlier on, the Plastics division continues to operate in upwards of close to around 15% to 16% EBITDA. And hence, we are hopeful that it will be margin accretive for the company going forward.

Also, aftermarket, which primarily operates at a much higher EBITDA, maybe close to around 18% to 20% is talking about a pretty buoyant growth going forward with a CAGR of maybe upwards of 20% to 25%. So that also will be margin accretive. And also, Greenfuel as it scales up, operating at 18 -odd percent EBITDA margin, that scale will also become margin accretive. So again, there are multiple levers.

And again, certain businesses of mechatronics are also sitting on a very high EBITDA margin, although they have a small base, but all the incremental growth, which is primarily the 40% of the order book, which is coming out of the future and clean mobility, that part is sitting on a much better EBITDA margin than what the consolidated reported number is today. So with that,

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we are quite confident that the EBITDA should move forward perhaps closer to 16 -odd percent in FY '28 or so.

Vaibhav Shah: Understood, sir. This is really helpful. Just a last follow-up. You said aftermarket, you expect it to grow at 20% - 25% in the near term. This is higher versus what we typically see for other products. So, any particular thing which you want to explain? Why do you anticipate a higher growth in the aftermarket vertical?

Anmol Jain: So primarily two factors, as was mentioned earlier on. Number one, there is an aggressive product expansion where we will go and get into new product offerings. And second is that we are now focusing more significantly on the demand generation at the retail end, right at the mechanic end rather than just being focused on the channel partners.

So again, there is a shift towards the strategy of demand generation and a wider product portfolio offering. With these two, we have already started seeing a good traction in quarter 1. hopeful for it to continue throughout the year.

Moderator: The next question is from the line of Vijay Pandey from Nuvama.

Vijay Pandey: Just wanted to check on our debt numbers. So how should we look at our debt figures? Should we expect it to come down or you want to maintain it at the current debt level? Or should we expect it to normalize

and this will reduce the financing cost also going forward?

Ankit Thakral : So of course, our long -term debt figure as of 30th June 2025, stood at around INR600-odd crores. Of course, it was increased by almost INR150 crores because of the purchase consideration for that loan we took for the remaining 25% of IAC. And debt equity ratio as of now, it is around 0.63%, again, well within our internal comfort thresholds.

However, with whatever the repayments that has been lined up in the later part of the financial year, we expect that debt equity ratio to be anyway settle between around 0.45 to 0.5 by the end of this financial year. And accordingly, considering whatever the existing debt structure is there, if the existing structure is to continue, it will decline or I would say it will reduce year.

Anmol Jain : So just to supplement that, I think for our organic growth estimation of anywhere between 15% to 17% CAGR, which is mentioned on the investor presentation, we do not anticipate the debt to go up. With the repayment, it would only go down. However, since inorganic growth is also an integral part of our midterm plan, any inorganic growth, which we do would probably come at new debt at the target entity. So , it will be a mix of both. But again, organically growing, we do expect the debt to come down.

Vijay Pandey: And our long -term expectation will be around 0.5x debt to equity ?

Ankit Thakral: Debt equity, of course, at the gross level will be at the end of this financial year. And as just Amol sir mentioned, if it is for the organic growth, of course, this debt equity ratio will continue to decline year -over-year. And at the same time, if you see my free cash reserve also at the consolidated level, it is almost at a level of around INR350 crores to INR375-odd crores and with most of the entities and the divisions earning a well respectable margin, this at the same

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time is expected to increase also by end of this financial year and of course, subsequently after that.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Sir, just one question -- so this long -term guidance, what we've given and if you just look at from a, say, next 2 -year perspective, looking at the underlying auto industry growth, we've had a great last 2 - 3 years for the domestic auto. So apart from Mahindra, what gives you the confidence to achieve this growth where every OEM is getting a bit cautious in their outlook and we see the numbers. So , if you can just help us understand this kind of growth, how do we plan to achieve?

Anmol Jain: So, as I mentioned, Mr. Shah, I think the growth driver is not just Mahindra or IAC. The diversity of Lumax Auto Technologies works in its favor and advantage to insulate us from the headwinds which are there in the industry. I mentioned the aftermarket, which for the current year possibly will probably grow at about 15 -odd percent. But again, in a midterm, over the next 2 to 3 years, the whole idea is to try and bring it towards a 20% plus growth rate.

Similarly, the mechatronics vertical, which today is perhaps not a significant portion, but that itself from an order book is sizable. And I do expect that vertical to be upwards of INR500-odd crores over the next couple of years. So , it will grow at maybe upwards of 30% - 35% CAGR - and thirdly, the Greenfuel.

This is, again, with the entrance of Lumax, we will try to improve our wallet share across OEMs like Tata and Maruti Suzuki. So again, our growth is not limited to the organic volume growth the customers deliver. It is actually coming on a value growth proposition, which is by increasing our content per vehicle offering and increasing our current wallet share significantly over the next few years.

Moderator: The next question is from the line of Suvaan Mittal from MFC

Suvaan

Mittal: I have one question where I could not understand one point. In PPT, nowhere mentioned what kind of capacity utilization we operate on? And do we have any operating leverage yet to kick in? So, if you could just clarify like can we quantify our capacity utilization? And if yes, what are we operating and beyond which do we expect the benefits of operating leverage to kick in because you are also also expanding ?

Anmol Jain: That's correct. The capacity utilization for us would be more persistent for just a few product lines, which add significant, let's say, overall pie to the revenue. Having a very diverse product portfolio, it would be very difficult to give the capacity utilization for each and every product line.

But again, sure, we'll try to give some flavor in terms of where we stand in terms of capacity utilization across certain key products and how the operating leverage will kick in. But again, if you look at a consolidated basis, we do feel that a lot of the operating leverage is already kicking in with respect to our fixed cost structure. But we'll try and present this over the next quarter.

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Suvaan Mittal: And secondly, sir, last question, obviously, for the aggressive growth that we are planning, we will, I believe, have to keep this run rate of CapEx every year as it is right now. And do you see any risk that this can back fire only when the industry decelerates and our product portfolio is

not able to kick as well, so is our product portfolio actually so diversified that even if the auto industry goes up or down, we'll still be able to maintain the growth rate.

Anmol Jain: I think, of course, we are directly correlated with the auto industry. I don't think it would be right to say that irrespective of what happens to the auto industry, we will be continuing to grow. However, we are fairly well insulated based on our diversity of product offerings, based on diversity of our customer portfolio.

And again, the reason why I mentioned earlier that the capex needs would be not significantly in the same ratio as in the last few years is because our asset turn ratio over the next 3 to 5 years is significantly going to change because, as I mentioned, Greenfuel is not a very capital-intensive business. It continues to grow at a significantly higher EBITDA.

Same is the case with aftermarket. And again, IAC India also, even though there are capex needs, but we are seeing a better content per vehicle value realization in the future models. So, then the ATR of the company will continue to grow.

Moderator: Due to time constraints, that was the last question. I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited, for closing comments. Over to you, sir.

Anmol Jain: Well, thank you once again for joining the Q1 FY '26 earnings call. We do appreciate your continued engagement with the company. For any additional information and clarifications, please feel free to reach out to us or our Investor Relations advisors at Adfactors PR. We remain committed to keeping the investor community regularly updated on the company's progress.

Thank you, and wish you all a great day ahead.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

LATL: CS:REG30 :2025-26 Date: November 14, 2025
BSE Limited
Listing & Compliance Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001
National Stock Exchange of India Limited
Listing & Compliance Department
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts/Investor Earnings Conference Call - Q2 FY 2025-26

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts/Investor Earnings Conference Call which was held on Monday, November 10, 2025 at 03:00 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 2nd Quarter and Half Year ended September 30, 2025.

The transcript shall also be made available on the website of the Company at <https://www.lumaxworld.in/lumaxautotech/transcript.html>.

This is for your information and records.

Thanking you,
Yours faithfully,
For Lumax Auto Technologies Limited

Pankaj Mahendru
Company Secretary & Compliance Officer
ICSI Membership No. A28161

Encl: As stated above

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"Lumax Auto Technologies Limited
Q2 and H1 FY '26 Earnings Conference Call "
November 10, 2025

MANAGEMENT : MR. ANMOL JAIN – MANAGING DIRECTOR
MR. DEEPAK JAIN – DIRECTOR
MR. VIKAS MARWAH – CHIEF EXECUTIVE OFFICER
MR. SANJAY MEHTA – DIRECTOR AND GROUP CHIEF
FINANCIAL OFFICER
MR. SUNIL KOPARKAR – MANAGING DIRECTOR, IAC INDIA
MR. SANJAY BHAGAT – HEAD OF AFTER MARKET
MR. NAVAL KHANNA – HEAD OF CORPORATE TAXATION
MR. ANKIT THAKRAL – CHIEF FINANCIAL OFFICER
MS. PRIYANKA SHARMA – HEAD OF CORPORATE
COMMUNICATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Lumax Auto Technologies Limited Q2 and H1 FY '26 Earnings Conference Call. This conference call may contain forward-looking

statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

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during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. Good afternoon, everyone, and thank you for joining us for the Q2 and H1 FY '26 earnings conference call. It's a pleasure to indeed welcome you all. I am joined today by Mr. Deepak Jain, Director; Mr. Vikas Marwah, CEO; Mr. Sanjay Mehta, Director and Group CFO; along with Mr. Ankit Thakral, CFO of the company; Mr. Sunil Koparkar, Managing Director, IAC India; Mr. Sanjay Bhagat, Head of Aftermarket; Mr. Naval Khanna, Head of Corporate Taxation; along with Ms. Priyanka Sharma, Head of Corporate Communications.

We are also supported by our Investor Relations partners, Adfactors PR. Together, the leadership team looks forward to share an overview of the company's operational and financial performance for Q2 and H1 FY '26, along with certain key business developments during the period. The results and the investor presentation have been submitted to the stock exchanges and are also available on the company's website. We trust you have had the opportunity to review the same. Friends, India's macroeconomic environment in FY '26 continues to remain supportive, aided by a series of fiscal and monetary measures aimed at sustaining growth momentum. The recent GST rate rationalization in September '25 has provided a very strong demand stimulus, lowering effective tax rates across multiple segments and improving consumer affordability, particularly in discretionary categories such as automobiles.

Additionally, the Reserve Bank of India's cumulative policy rate cuts of nearly 100 basis points since early 2025 have further eased financing costs and improved credit availability, benefiting both retail buyers and the broader manufacturing ecosystem. Together, these measures have strengthened consumption trends and industry confidence, supporting higher production and investment activity.

Further, the income tax relief announced in FY '26 has provided an incremental boost to disposable income, complementing the broader policy environment that continues to favor growth in the Indian auto sector. The domestic automobile industry witnessed a strong performance in Q2 FY '26, driven by festive season demand, GST rate reductions, new product launches and improved rural sentiment. The 2-wheeler segment recorded its highest ever single quarter, surpassing the earlier peak of quarter two of FY '19, supported by sustained urban demand and export markets, while the passenger vehicle segment benefited from the festive inventory buildup and ongoing premiumization trends.

Exports outpaced domestic sales across segments with particularly strong momentum in 2- and 3-wheelers. Overall, the sector remains on a firm footing with demand expected to sustain through the festive and post-harvest period, supported by favorable policy measures and improving customer confidence.

As per SIAM Q2 FY '26 production data, passenger vehicles production stood at 1.33 million units, up by 4% year-on-year, 2-wheelers stood at 6.93 million units, up by 11% year-on-year, Lumax Auto Technologies Limited

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3-wheelers at 0.36 million units, up 18% year-on-year and commercial vehicles at 0.26 million units, up 11% year-on-year.

Speaking on the company's performance, in Q2 FY '26, our revenue recorded a healthy year-on-year growth of 37%, supported by strong demand, new product launches, integration of alternate fuel business and a continued shift towards premium products. Post the GST rate rationalization, for the full year of FY '26, we would like to revise our revenue growth

guidance from earlier

20% to now 25%, well in line with our 20% CAGR goal. The EBITDA margins for Q2 stood at 14.7% and for H1 at 14%. We continue to maintain the guidance of 14% to 15% EBITDA margin for the full year FY '26.

During the quarter, Lumax Auto Technologies achieved several key milestones, reflecting its strategic focus on strengthening operations, innovation and financial credibility. This quarter marks the first quarter wherein the entire profit after tax of IAC India is attributable to Lumax

Auto Technologies following the acquisition of the remaining minority stake in Q1 FY '26. Additionally, the Board has approved the merger of IAC India with the standalone company, a move aimed at simplifying the corporate structure and enhancing operational synergies. The company also inaugurated SHIFT, Smart Hub for Innovation and Future Trends, the tech center in Bengaluru designed to accelerate product innovation, electronics development and software integration across business verticals. This center is expected to play a pivotal role in strengthening Lumax's capabilities in embedded electronics, connected systems and advanced solutions, supporting its transition towards becoming a Tier 0.5 systems integrator. In continuation of its global expansion strategy, Lumax Auto Technologies is also setting up its first office in China, expected to be operational by January 2026. This office will serve as a group resource center for sourcing, tooling and technology scouting, enabling the company to stay closely aligned with the latest manufacturing and electronic trends from one of the world's most advanced automotive ecosystems. Further, CRISIL Ratings Limited has reaffirmed the company's short-term and long-term credit ratings at CRISIL A1+ and CRISIL AA-, respectively, while revising the outlook on the long-term rating from "Stable" to "Positive", underscoring the company's strong financial position and improving business fundamentals. On awards, the subsidiary company, Lumax Mannoh, was honored with CNBC-TV18 SME Champions Award Season 2 in the category of Manufacturing SME of the Year for Industrial Excellence. Another subsidiary, Lumax Cornaglia, was awarded with Sustainability Excellence Award at the Tata Motor Supplier Conference held in September 2025. Lumax Cornaglia was also awarded with Gold Medal at the 50th International Convention on Quality Control Circle held in Taiwan. Speaking on the order book, we are pleased to report a robust order book of INR1,357 crore with strong visibility across the next 3 fiscal years. Of this order book, approximately 7% is projected to be materialized in FY '26, 35% in FY '27, 48% in FY '28 and the remaining 10% in FY '29. The order book reflects healthy traction across all product verticals with advanced plastics

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contributing the largest share, followed by mechatronics, alternate fuels and structures and control systems.

Q2 FY '26 marks a pivotal phase for Lumax Auto Technologies as we enter a new growth orbit post the full integration of Lumax IAC, guided by our 20.20.20. North Star vision and execution blueprint of our midterm plan, BRIDGE. We are building a stronger, more diversified and future-ready organization, our sharpened focus on premiumization, EVs and sustainable future mobility solutions, coupled with our expanding global footprint positions us well to capture emerging opportunities in the evolving automotive landscape.

With this, I would like to now hand over the call to Mr. Ankit Thakral, CFO of the company.

Ankit Thakral: Good afternoon, everyone, and thank you for joining us today. The first half of FY '26 has been defined by sustained operational excellence and strong financial results. Q2 FY '26 continued the robust trajectory established in Q1, successfully translating our strategic alignment into strong

revenue gains and EBITDA expansion, further solidifying the strength of our diverse and well-balanced portfolio.

Let me walk you through the consolidated financial and operational highlights for the quarter and half year ending September 30, 2025. Our consolidated revenue reached INR1,156 crore for Q2 FY '26, which is historic high for the company in a single quarter and INR2,183 crore for 6 months FY '26, marking robust Y-o-Y growth of 37% for both periods.

On the profitability front, EBITDA for Q2 FY '26 and H1 FY '26 stood at INR170 crore and INR306 crore, respectively. This performance resulted in strong margins of 14.7% for Q2 and 14.0% for H1 FY '26. EBITDA performance in Q2 FY '26 benefited significantly from the subsequent realization of customer price corrections retrospectively from the first quarter of FY '26. The realization of the same in Q2 has ensured that our resulting H1 FY '26 margins are firmly in alignment with our strategic direction of achieving 14% to 15% EBITDA margins for the current fiscal year.

Profit after tax before minority interest for Q2 and H1 FY '26 stood at INR78 crore and INR132 crore, respectively, registering an impressive Y-o-Y growth of 50% and 41% for Q2 and H1 FY '26, respectively. The effective tax rate for six months remained stable at 25% to 26%, and we expect it to hold at similar levels throughout the year. The share of minority for the quarter for Q2 FY '26 stood at 14%, down by 23% from Q1 FY '26 with the quarter two being the first full quarter of IAC becoming the 100% subsidiary of the company. The minority share for the upcoming quarters is expected to settle around 15%.

With respect to the division-wise breakup, firstly, the advanced plastics division, this segment recorded a Y-o-Y growth of 25% in H1 FY '26 with revenues increasing from INR907 crore to

INR 1,138 crore. This performance reflects our strategic alignment with OEM programs that prioritize design, durability and lightweight.

The order book remains strong at INR 680 crore, providing solid future visibility. The mechatronics segment sustained its upward momentum, delivering a year -on-year growth of 165% in six months FY '26 from INR 46 crore to INR 122 crore with a healthy order book of Lumax Auto Technologies Limited

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INR360 crore, remains highly technical business due to its high engineering intensity and relevance in the shift towards intelligent mobility systems.

Turning to the structure and control systems vertical, it reported a year -on-year growth of 13% in H1 FY '26, increasing from INR 338 crore to INR 382 crore with an order book of INR 116 crore, strengthening our position as a trusted technology partner in the evolving mobility ecosystem. The aftermarket segment showed a strong growth of 15% in H1 from last year six months, reflecting strong customer traction and product acceptance. We are very much hopeful of sustaining this strong growth for the full year FY '26.

The Greenfuel Energy Solutions acquired in November last year contributed INR 170 crore in H1, backed by an order book of INR200 crore with margins expected to be accretive to the group average over the medium term. The segment is positioned to grow in alignment with the national shift towards alternate fuel platforms and rising OEM adoption.

The seamless integration of IAC and the acquisition of Greenfuel have resulted in a notable shift in our revenue composition, leading to a well -diversified and balanced mix across mobility platforms. In H1 FY '26, the passenger vehicle segment accounted for 55% of total revenue with 2- and 3 -wheeler segment contributing 24%, followed by aftermarket at 10% and CVs at 9%. Capex for the first half of year stood at INR133 crore, which includes investment in land of around INR 38 crore and INR 42 crore in IAC business. These investments are aimed at unlocking medium -term revenue growth

and supporting localization efforts across key

platforms. The guidance for the full year remains at around INR 200 - 220 crore.

As of September 30, 2025, we continue to maintain a strong balance sheet and a healthy liquidity position. Free cash reserves on a consolidated basis stood at INR391 crore, providing us with the financial flexibility to support ongoing investments and navigate market cycle confidently.

Following the payout for the 100% acquisition of IAC, our long -term debt stood at INR 606 crore, resulting in a conservative debt -to-equity ratio of 0.57, which is within our internal comfort thresholds.

With this, we conclude the operational and financial overview. We now open the floor for questions.

Moderator: The first question is from the line of Mihir Vora from Equirus Securities.

Mihir Vora: So my question was on the standalone operations. The growth for the last two quarters has been defended . However, the margin performance is seeing some pressure. So just some color on why we are seeing such kind of margin decline here? And basically, what are our targets going ahead in terms of the margin here?

Anmol Jain: So thank you, Mihir. I think the company has taken certain bold steps in really doing a lot on cost optimization and also accelerating a few business growth drivers. And for that reason, we've engaged certain external consultants. That one -time cost during the H1 has taken a little bit of hit on the margins compared to last year basis, but that's approximately 100 basis points dip.

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But going forward, we are very confident that we will be able to reach the double digit for the 12 months, including the other income part. So this is just a one -off anomaly. But in return, we do expect a significantly much more handsome gains from these expenses going forward in the coming years.

Mihir Vora: So sir, just a follow -up on that. Like can you give some more color on the strategical shift which you are taking like in terms of product mix or market, what are you doing there in the standalone business?

Ankit Thakral : So can you repeat the question, please?

Mihir Vora: So like you mentioned in the start, you are taking some strategical shift here in the standalone business. Like what are those shifts like is it we are moving more towards aftermarket or some other products? Or how are we working on it?

Anmol Jain: So the standalone business has a few key business areas. Number one, of course, there is the aftermarket. There is also the lighting and plastic for the 2 -wheeler segment, specifically for Bajaj and HMSI. There is also the metallic business, which houses the chassis. So these are fundamentally the major ones.

And of course, we do some accessories business as well, which is hosted from the standalone entity, but this would largely contribute to a significant share of the total revenues of the standalone business. Yes, going forward, once the merger of IAC is completed, thereafter, that business will also be reported as a standalone entity.

Ankit Thakral: And Mihir, just to add, so the one-timer, which Anmol sir just mentioned, it relates to the basically the deal expenses, which we paid for the remaining 25% acquisition of IAC, that has impacted the EBITDA by around 100 to 120 bps. For the full month, we will be able to get back on that 10% to 11% EBITDA margins.

Mihir Vora: All right. Okay. And sir, second question is on Greenfuel basically. So we previously had mentioned that we'll be adding some new products here in Greenfuel, which will lead to a CPV increase. And have we started that? And how is the acceptance among the customer here? How are we seeing things going ahead?

Anmol Jain: So yes, we've already got one firm order for one of the new product lines, which we have been engaged with discussions with the customer for quite some time. This

is a deeper localization

effort, which also gives a significant cost reduction advantage to the OEM. We would be the only one and the first one in India to have localized this product for one of our customers. And I do foresee that once this is productionized, there will be a significant ramp-up in terms of the offtake from other OEMs as well.

Mihir Vora: Okay. And lastly, sir, on the IAC front, this year, we saw like first half, we saw a decent drive from the Mahindra & Mahindra businesses where the volume for Mahindra is also good. But however, going ahead, how are we looking at diversifying this business and some color on the order we'll take from new other players like Maruti or Tata, how are we increasing our business share there after we have started getting involved into the IAC business?

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Anmol Jain: So I think IAC team continues to engage constructively in discussions across OEMs. We've already got certain firm orders from Maruti Suzuki for their forthcoming models. And that relationship continues to grow stronger, and we will continue to expand our wallet share with Maruti Suzuki. Mahindra, of course, is our key customer, and we continue to enjoy strong order book across various platforms of Mahindra as well. And we are in conversations with other customers like Honda Car, Tata Motors to try and pitch for some of their forthcoming models in the future.

Moderator: The next question is from the line of Vijay Pandey from Nuvama.

Vijay Pandey: Sir, just wanted to check what was our revenue from IAC India for the second quarter and for first half?

Anmol Jain: Sorry, can you repeat that question? You said Maruti's revenue?

Vijay Pandey: Revenue from IAC India.

Anmol Jain: INR 378 crore was the revenue from IAC for quarter two.

Vijay Pandey: And sir, in first half?

Ankit Thakral: For the quarter one, it was INR 317 crore. And for quarter two, it is INR 378 crore. And for H1, it is showing a growth of 40% from the H1 of last year at INR 694 crore with margins at 17.5% for the six months.

Vijay Pandey: Okay. Sir, we expect the IAC India to reach INR 400 crore revenue by fourth quarter or by quarterly revenue of INR 400 crore by next year? Or is it reasonable to assume it will be achieved this year?

Anmol Jain: So I think right now, the visibility for a full year basis, I would say that probably close to a 20% growth for IAC. Again, we have delivered a similar growth for H1.

Ankit Thakral: H1 is 40%.

Anmol Jain: H1 is 40%, but for the full year, we're expecting close to a 20% growth rate. And this is again largely because H1 also saw a lot of new launches.

Ankit Thakral: And H2 of the last year had a substantial tooling revenue because of the two launches of Mahindra BEVs. So with respect to the product revenue, it will be overall growth of 25% to 27%. But considering the higher tooling revenues last year, so that's why the reported number for the full year, we are estimating a growth of around 20%, maybe closer to INR 1,450 crore for the full year.

Vijay Pandey: Okay. Sir, secondly in regards to sales of commercial vehicles, our revenues declined Y-o-Y. Any particular reason for the same? Is it mainly focused on LCV or is it because of customer mix or anything? Any update on the same?

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Ankit Thakral: So if you see my six months commercial vehicle revenue, it is at 9% of overall pie. Of course,

that is, I would say is due to this Greenfuel business coming in because among the total overall business of Greenfuel, 35% to 40% is from commercial vehicles.

Vijay Pandey: Okay. And sir, if I compare commercial vehicle from quarter two of this year to last year, so it comes out that this year, it was INR83 crore. Last year, it was around INR90 crore of sales. So that's what I

was thinking why the revenue has declined.

Ankit Thakral: So I think with respect to any of your specific query relating to the figures with respect to the quarter or half year, we can discuss it offline, Vijay.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Very good to see very surprising the margin, the revenue guidance, which have increased to 25%. Sir, first question is we've incorporated two new subsidiaries, Autocomp and Auto Solutions. What will be the business that will be carried out in those subsidiaries? And yes, that's the first question.

Anmol Jain: Well, they're just enabling SPVs for accelerating future inorganic growth for the organization.

In the past also, we created such SPVs as it's just enabling to fuel the future inorganic plans.

Dhaval Shah: Okay. Second is we are putting additional capital in Lumax Yokowo and in Greenfuel. So can you just highlight what's the short - to medium -term outlook looking for these two subsidiaries? We're putting more capital in it? What are the opportunities there?

Ankit Thakral : So Lumax Yokowo, there is a resolution which we have taken in the Lumax Auto Tech Board is relating to the working capital increase in the working capital facility of Lumax Yokowo and Lumax Yokowo being a subsidiary of Lumax Auto that is why it is just a statutory requirement. So we are not infusing any capital from Lumax Auto.

Dhaval Shah: Yes, it was a letter of corporate guarantee, correct.

Ankit Thakral : And regarding your question relating to the investment of INR5 crore in the Lumax Resources, which is a, I would say, holding company of Greenfuel, that is only because we had taken the loan exposure in this SPV company. And unless and until that SPV company gets merged with the Greenfuel, till then repayment will have to be gone by that SPV company. So that just to support that repayment, we are infusing that.

Dhaval Shah: Understood. And sir, in the last call, we had some discussion regarding getting Chinese tech into India and our company being the first one who would be able to get this. And we were quite excited about the content per vehicle of these Chinese tech, which is there in the Chinese cars and you want to get it here. So can you just share more thoughts on it? What are the developments happening, which is beneficial for Lumax Auto Tech?

Anmol Jain: I think as I mentioned in my opening, we are already on course to start a China resource center, which should be up and running either by end of calendar year or January 2026. And through this center, we do expect to have technology access to the new emerging trends, specifically in Lumax Auto Technologies Limited

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the interior cabin space to begin and thereafter see what other new product expansions and new technologies we could tie up for Lumax Auto Technologies as a whole. So things are on track, and we are hopeful that by quarter three or quarter four of this year, we should be able to share certain developments in terms of accessing new technologies through perhaps new local partners as well.

Moderator: The next question is from the line of Pawandeep Bhatia from NV Alpha.

Pawandeep Bhatia: Sir, I just wanted to understand the Greenfuel, it's showing six months H1, we are doing a revenue of INR170 crore. What was this number, sir, in FY '25 and FY '24?

Ankit Thakral So Greenfuel as an entity or as a business we acquired in November last year only. So that's why with respect to the LATL consolidated revenues. So for the H1 of last year and even before that, we are not, I would say, comparing that number. I'm not having an exact figure of six months of FY '25.

But as an overall for full year, the revenue number for the Greenfuel was INR300-odd crore in FY '25. And this year, we are estimating a growth of around 15% to 17% for the full year from FY '25. But for Lumax A

uto Technologies, this will be the first full year of consolidation.

Moderator: The next question is from the line of Apurva Mehta from A M Investments.

Apurva Mehta: Congrats on great set of numbers. Just wanted to ask about this new facility of tech center at Bangalore. What does it really targeting? And what are our long -term views about this new center?

Anmol Jain: Thank you, Apurvaji. See, the tech center is going to solve two particular objectives. Number one, it will cut across the different business verticals of Lumax Auto Technologies. It could be the mechatronics. It could also be the advanced plastics or the interior cockpit systems, and see how do we up the value chain by integrating certain embedded electronics or software capabilities so that just by instead of selling a hardware component, we are able to integrate it

with a little bit more of vehicle communication solution. So that will give us an added advantage not just from a tech point of view, but also from a value content per vehicle point of view. The number two objective of the tech center is to consistently innovate and develop certain POCs for products and solutions where Lumax Auto Technologies is not necessarily present today. These could be products which are adjacent or complementing to our skill sets and product portfolio today. It could also be certain completely new territories, which will open up certain other opportunities. I'm happy that we've already done about 6 to 7 POCs. During the inauguration, these were showcased to some of our key OEMs, and there has been a significant traction on the excitement and engagement since then as well. And I'm hoping that going forward, we should be able to convert some of these POCs into real orders.

Apurva Mehta: Great. Sir, that means this China unit, which we are opening and this Bangalore unit will be working hand-to-hand together or China unit will be totally different than what we are doing in Bangalore?

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Anmol Jain: So there obviously will be a lot of integration, a lot of synergy and a lot of connect between the two. But predominantly, China resource center will, have access to new technologies, specifically in the interior space, which is already very clearly evident. In addition to that, we will also scout for certain new partnerships and new technologies across for different verticals of Lumax Technologies. Thirdly, the sourcing optimization and the tooling for our new products. These will be two further areas where China center will give us an added advantage in terms of the cost optimization or getting at least the best value for money.

Apurva Mehta: And on the acquisition side, are we also looking on the software side of acquisition where we'll get a head start directly and rather than making our own software and otherwise, it would take a lot of time to validate and using it? Are we also looking at where we can acquire a company and get a head start and develop products which are much faster in nature?

Anmol Jain: Yes, we have not ruled that out. If there is something which we can pinpoint, which will accelerate our leapfrog shift into a different orbit, we will definitely look at an inorganic opportunity to fast track those ambitions.

Apurva Mehta: Okay. And what kind of capex we are doing in Bangalore if you take 2-3 years kind of horizon?

Anmol Jain: So as of now, we are not looking at anything significant. I think Bangalore would be more of a people and development of skills rather than hard capex, which would be required at least for the next couple of years.

Moderator: The next question is from the line of Sahil Sharma from Dalmus Capital Management.

Sahil Sharma: Congratulations on a good set of numbers. So my question was like, if we look at the customer-wise data, on a Q-on-Q basis, we see that M&M seems to be flat and Tata

Motors has sort of

declined. On the other hand, share of others has increased and IAC revenue has also gone up in absolute terms. So I was just trying to understand these numbers. Have we onboarded any new OEMs in the IAC business? Like how do we look at this increase in the IAC business, whereas M&M has stayed flat?

Ankit Thakral: So if you see basically M&M, I would say, their own growth with respect to Q-on-Q movement, it is again and more specifically, their PV growth it is down by 2%. And with respect to my IAC own revenue, it has increased by 20%. Of course, that 20% is majorly, I would not say majorly, half of it is because of there is some tooling revenue of Q2 of around INR30-odd crore. But like -to-like comparison, Q1 to Q2, Mahindra and Mahindra, their PV is down by 2%. And as an IAC business for Mahindra, I have grown by around 5% to 7%.

Sahil Sharma: Right. That I understand. I'm just trying to understand the other segment in the customer category and like there has been a significant jump if I see from INR185 crore in Q1 to INR252 crore in Q2. So this is what I was trying to understand, like where is this jump coming from?

Ankit Thakral: So rather than I would say the exact number, if you see the others as a percentage, so it has remained as an overall pie of around 20% - 22%. And the others is nothing but we have categorized the tooling revenue in this particular segment because we have not basically added in their customer-wise pie. In Q1, there was little tooling revenue and Q2, including the IAC

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business of INR35-odd crore, there is an increase in tooling revenue by INR40-45 crore. That is why you are seeing that increase pie of others.

Sahil Sharma: Understood. And in the Greenfuel business, the revenue seems to have declined from INR95 crore in quarter one to INR75 crore in quarter two. So what is the reason for this?

Anmol Jain: So almost half of Greenfuel today, there is a revenue which comes from the safety products, which goes on to the school buses. It's a regulated feature, which is on the school buses. And

this is a cyclical nature where we see that quarter four and quarter one of the fiscal year has a very strong demand for such products. Such buses are made more in Q4 and Q1. And quarter two and quarter three are pretty much on a lower side. And that's the reason if you're looking at from quarter one to quarter two, you're seeing a downward shift. But for the full year, this has been already forecasted, and we do expect to still deliver a handsome growth for the full year. I think the revenue guidance for full year for Greenfuel is between INR350 crore to INR400 crore.

Moderator: The next question is from the line of Sanket Kelaskar from Ashika Stock Broking Limited Institutional Desk.

Sanket Kelaskar: Congratulations on good set of numbers. Sir, I've observed in this quarter, we have seen a drop in our revenue from Lumax Industries Limited. And at the same time, we have seen a robust growth in our revenue from HMSI. So can you please shed some light on that, whether we have increased in content per vehicle on HMSI side?

Ankit Thakral: So you're talking from Q2 of last year or maybe the succeeding quarter?

Sanket Kelaskar: Q2 of last year versus Q2 of this year.

Ankit Thakral: So Q2 of last year, the numbers which I'm having in front of me, the HMSI revenue was INR45 crore. And this year for Q2, the revenue for HMSI is INR63 crore. I think there is an increase of around 40%. And HMSI as an OEM, their own production, I would say, with respect from the Q2 of last year, it has degrown by 2%. And that 40% increase is because of the various SOPs that has been there in mainly in my subsidiary companies, mainly Lumax Alps Alpine. So I think HMSI, I would say, overall pie, we have grown with respect to Q2. And Lumax Industries also in Q2 last

year, the revenue was INR70 crore. And in this year, the revenue is INR92 crore. And again, this growth is again in line with the growth of the Lumax Industries Limited.

Sanket Kelaskar: Okay, sir. Sir, my second question is on many of our subsidiaries. I've seen this time, as you were mentioning, Alps Alpine has grown significantly as well as Cornaglia has also grown very significantly. So can you explain us like where is the growth coming from, whether it's coming from just because of the OEM or increase in content per vehicle? And at the same time, also if you can give us an idea like what margin profile are we expecting in Alps Alpine and Yokowo going ahead?

Vikas Marwah: So Sanket ji, this is Vikas Marwah. You are right, Alps Alpine has seen significant growth and being the largest business driver for the mechatronics division in the future is also poised for the Lumax Auto Technologies Limited

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highest growth number. The change point being that this year, we have gone beyond the power window switches, which used to be the only product that Alps Alpine used to sell. We have now gone into the steering wheel switches. We have gone into steering angle sensors, and there are 4 new switches that have been added to the product portfolio. The full impact of these would be visible in H2 as most of these launches have come between July till September.

Alps Alpine is focusing on having at least 11 product lines running up to 2028, which will be driving significant growth for this particular joint venture, targeting more than INR500 crore plus of revenue by FY '30. The margins are fairly reasonable, and they are going to be hovering around the LATL average, which is currently at around 14% is our guidance, also in terms of one dominant competitor being here where we will have to be price competitive while establishing our revenue base.

Coming to Lumax Yokowo, a significant addition to the portfolio is that now Lumax Yokowo from the current H1 is also catering to Mahindra where we have entered in a very strong way on the shark fin antenna and the other antenna systems and now this JV is supplying not only to HCIL, Toyota, but also to Mahindra. And our target is that by FY '27, we should be able to stabilize it anywhere between 13% to 15% kind of an EBITDA margin. The antenna system industry in itself is quite small, but expanding rapidly. So these are still the early years for Lumax Yokowo to grow, but we are quite confident about it.

Moderator: The next question is from the line of Swapnil Gupta from White Pine Investment Management.

Swapnil Gupta: On last call, you mentioned that we have secured a confirmed order for the localized tubes and fitting product of Greenfuel, which position us as a first domestic supplier in India. Could you clarify the order size in terms of revenue or volume potential? Additionally, when is the SOP expected? And how should we think about the ramp-up time line across OEMs?

Anmol Jain: So yes, absolutely, we had confirmed that. And right now, in terms of Greenfuel, the total order book is about INR200 crore, but this is a combination of multiple things. Specifically on the tubes and fitting, the first model, which we have been awarded, that annual revenue is close to INR20 crore. But as I mentioned earlier, this is one product category where we do see a significant scale up over the next 3 to 5 years, given the fact that we are the first and the only ones who would have localized this product and technology in India, thereby giving a significant price advantage to the OEM.

Moderator: The next question is from the line of Jyoti from Arihant Capital.

Jyoti: Congratulations on the good set of numbers. Sir, basically, like earlier, you explained about some of the JVs, Alps Alpine and Yokowo. So among all JVs, which are outperforming against initial expectation and which need more operational t

urnaround going forward? And also on the order pipeline side that we are having INR1,357 crore through FY '29, that shows very strong visibility for us. So can you quantify how much related to EV and clean mobility program? And also how is the content per vehicle trending in EVs versus ICE vehicle? Is EV content already accretive?

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Vikas Marwah : Yes. So Jyoti, in the portfolio currently of joint ventures in Lumax Auto Technology, of course, moving ahead, IAC gets merged into LATL as amongst the standalone entity. So we will talk about the other joint ventures. Lumax Mannoh is in market leadership position today with more than 65% market share. And it's a mature joint venture as we see it at a run rate of about INR400 crore per annum. Lumax Cornaglia has also matured to almost INR200 crore per year. In terms of its product portfolio, quite cash sufficient, good profit margins and expanding further into its current customer base.

The third JV about Alps Alpine, I've already briefed you about the path where we are in. But in terms of the operational stabilization, the two joint ventures that will be needing further efforts from our side will now be Yokowo, FAE and to some extent, Lumax JOPP. These three are still in their initial phases. And amongst them also, Yokowo and Ituran will ramp up faster.

FAE already is on one customer dominance. It will be reaching a 65% capacity utilization by next year with the key supply element almost like a rare earth being the sensing element. And as soon as we have secured more supplies of sensing element, we'll be going for a further push. So we are on that path in terms of stabilizing all the joint ventures in the portfolio currently.

Coming to your specific question in terms of the product mix relating to EV, we are targeting a future clean mobility as we call it, to the extent of 40% running up to as early as FY '28 out of the total LATL portfolio.

Jyoti: Sir, just wanted more clarity on the rare earth product that we are working and which one is the one client that we are doing in FAE?

Vikas Marwah : See, currently, fortunately or unfortunately, LATL is not impacted by the rare earth magnet crisis. For the reason that we have till now expanded not into pure BEV products, as you call it.

We have been very powertrain agnostic in terms of our product strategy. So we are not into the thermal magnet solutions. We are not into the batteries, electric motors and controllers today.

There is some amount of rare earth magnet largely non-ferrite that is going into our gear shifter solutions. And to that extent, we are fairly well covered. Also, we are now beginning to find alternatives to lithium components that is going into there. Also, one of our partners has got an inductive sensing technology, which is an alternative in these kinds of product solutions. So going ahead, we will be approaching this issue accordingly.

In terms of the semiconductor dependence that is coming from Alps Alpine, our JV partner, Alps Alpine is covering all the risks in terms of the rare earth thing because Japan and the rare earth factory of the world China, they already have sourcing arrangements. So we are adequately covered to that extent. Rest of the other products do not require rare earth right now.

Moderator: The next question is from the line of Pritesh from Lucky Securities.

Pritesh: Sir, I was just trying to interpret the organic growth, which is obviously ex of Greenfuel, if I'm seeing it clearly. So the organic growth is about 25% for H1. Is this correct?, I was a little bit confused. I'm hoping that IAC was always 100% consolidated on revenue side.

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Ankit Thakral: Yes, you're correct. So excluding Greenfuel, the organic growth for the six months is 26%.

Moderator: The next question

on is from the line of Neeraj from Damac.

Neeraj: Sir, in our Q1 presentation, there was a comment that we are planning mega plant for mechatronics, which would cater to the ambitious growth targets. Can you please elaborate a bit more on this?

Vikas Marwah : So thank you, Neeraj. The mega mechatronics plant is coming up at Manesar. It is currently under commissioning as we speak. There are four joint ventures that will be moving into this facility targeted by March or April 2026. Phase 1 movement will be Lumax Yokowo. Phase 2 movement will be Lumax Alps and Phase 3 movement will be Lumax Ituran and Lumax FAE together into this mega plant.

This mega plant of mechatronics is also now focusing to have PCB SMT captive lines inside the plant to give a complete backward integration to our production capabilities. It will be equipped with the clean rooms and the sensor management control rooms. And therefore, the two Japanese joint ventures working there will also be having a controlled presence inside this plant. So the plant is currently under commissioning at Manesar.

Neeraj: Okay. And would it be correct to assume that once that plant is up and running, there will be significant cost savings because of all these 4 entities operating out of a single place?

Vikas Marwah : Yes. So that is a fallout directly intended to be of this particular movement under a consolidated management bandwidth, this will be a natural outcome. The more cost savings will come in terms of an optimized material movement because we would like to keep the DNAs of all the four joint ventures independent in terms of their operating management. But whatever the corporate support function and the material management cost savings accrue, that is something that will be deployed.

Neeraj: Understood. And sir, just quickly on the mechatronics part, in the previous comment, you mentioned maybe by FY '30, we are planning INR500 crore of top line. Is that understanding correct?

Vikas Marwah : It's significantly higher than that because that is the top line intended only for Alps Alpine and the mechatronics JVs are Alps Alpine, Lumax Yokowo, Lumax Ituran and Lumax FAE. So our target should be anywhere between INR800 crore to INR1,000 crore.

Neeraj: And what would be the run rate, let's say, in FY '26 or what it was in FY '25?

Vikas Marwah : So FY '26 run rate is about INR264 crore for mechatronics currently. And FY '28, we are targeting INR500 crore plus.

Neeraj: Understood, sir. And just very quickly, one more question on our aftermarket. So in Q1 presentation, we made a comment we are targeting 20% growth. And in Q2, we had maybe reduced it to 15 -17%. Just some lines on what we are seeing on the aftermarket. Is it still not picking up as we intended it to be?

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Anmol Jain: No, I think we are quite happy with a 14 -15% growth currently. I think if I look at it last year, we were averaging around 6% to 7% growth. So we've definitely accelerated that to a double 14% growth. Going forward, I think we are hopeful that at least by quarter four, we should be between 15% to 20%, anywhere maybe closer to 20% at a run rate of growth for aftermarket. And the real benefit you'll see is in FY '27. Sanjay, do you want to add that?

Sanjay Bhagat : Yes. So in aftermarket, actually, the industry is still growing by around 8% to 9%, but we've done some aggressive work in the first half of this year. And there are 4, 5 things which we've aggressively worked on expanding the channel, focus on the secondary product innovation team building and we have launched a lot of new products . So all these results are going to come in Q3 and Q4. Actually, in the month of October, we did a 20% growth over last year. So between 15% to 20% is something which we can certainly look at in H2 also.

Moderator: The next question is from the line of Mihir Vo

ra from Equirus Securities.

Mihir Vora: So sir, basically, the new division, the technology division in Bangalore and the China division, which we are starting. So in terms of initial impression, what would be the impact of it on the margin because this would be a call center at the start? So how are we seeing that impacting like what would be the broader impact on margin?

Anmol Jain: So there will not be really any material impact on the margin. Right now, we are looking at only about 15 to 20 people at the Bengaluru facility and about close to 8 to 10 people in China. So that's an insignificant cost in terms of just the manpower. And as I mentioned earlier, there is no significant capex needed either. So I don't see any impact on margins with respect to setting up these 2 centers.

Mihir Vora: All right. And broadly, sir, second also is on basically the IAC and Greenfuel where we see a very good margin performance there. Historically, if you see whenever OEM faces pressure in terms of profitability, he comes and squeezes the ancillary companies. So how confident are we in terms of maintaining this sort of margin profile for this company?

Anmol Jain: We are reasonably confident that we should be able to maintain the margins for both the companies going forward.

Mihir Vora: So it is more because of the product or like because IAC historically has not reached these kind of margin levels, but what has changed now is something which I was trying to understand.

Anmol Jain: Well, I think in quarter 2, as I said, there was a spillover of certain price increases, which were pending of quarter 1. But if I look at it from an H1 perspective, the IAC's margins stand at, give or take, 17% to 18%, which is exactly in a similar ballpark vicinity, which it reported in H1 of '24-'25. So we have been able to maintain a 17% to 18% EBITDA margin on a year -on-year basis, and we expect this to continue going forward as well.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over

to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited for closing comments.

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Anmol Jain: Well, thank you, everyone, once again for joining the Q2 and H1 FY '26 earnings call. We truly value your continued interest and engagement with Lumax Auto Technologies. For any further information or clarifications, please feel free to reach out to us or our Investor Relations partners, Adfactors PR. Thank you very much again, and wish you all a wonderful day ahead.

Moderator: Thank you very much. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2026

LATL:CS: REG30 :2025 -26 Date: 20.02.2026

BSE Limited

Listing & Compliance Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001

National Stock Exchange of India Limited

Listing & Compliance Department

Exchange Plaza, C -1 Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400051

Security Code : 532796 Symbol : LUMAXTECH

Subject: Transcript of Analysts / Investor Earnings Conference Call – Q3 FY 2025 -26

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts / Investor Earnings Conference Call which was held on Friday, February 13, 2026 at 03:00 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 3rd Quarter and Nine months ended December 31 , 202 5.

The transcript will also be made available on the website of the Company at <https://www.lumaxworld.in/lumaxautotech/transcript.html>

This is for your information and records.

Thanking You,

Yours Faithfully,

For Lumax Auto Technologies Limited

Pankaj Mahendru

Company Secretary & Compliance Officer

ICSI Membership No. A28161

Encl: As stated above

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“Lumax Auto Technologies Limited
Q3 and 9M FY 26 Earnings Conference Call ”
Febru ary 13, 202 6

MANAGEMENT :

- Mr. Anmol Jain – Managing Director
- Mr. Sanjay Mehta – Director and Group Chief Financial Officer
- Mr. Vikas Marwah – Chief Executive Officer
- Mr. Ankit Thakral – Chief Finance Officer
- Mr. Sunil Koparkar – Managing Director – IAC India
- Mr. Akshay Kashyap – Managing Director – Greenfuel Energy
- Mr. Naval Khanna – Head Corporate Taxation
- Ms. Priyanka Sharma – Head Corporate Communications
- Ms. Surabhi Chandna – Group Head Investor Relations and Value Creation

Moderator: Ladies and gentlemen, good day, and welcome to the Lumax Auto Technologies Limited Q3 and 9M FY 26 Earnings Conference Call. This conference call may contain forward -looking statements about the Company , which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements

are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

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assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anmol Jain, Managing Director of Lumax Auto Technologies Limited. Thank you, and over to you, sir.

Anmol Jain: Thank you. A very good afternoon, everyone, and thank you for joining us for Lumax Auto Technologies Limited Q3 and 9M FY 26 Earnings Conference Call . It's a pleasure to welcome you all today. I'm joined by our leadership team, including Mr. Sanjay Mehta, Director and Group CFO; Mr. Vikas Marwah, CEO of the Company ; Mr. Ankit Thakral, CFO of the Company ; Mr. Sunil Koparkar, Managing Director, IAC India; Mr. Akshay Kashyap, Managing Director , Greenfuel Energy; Mr. Naval Khanna, Head of Corporate Taxation; Ms. Priyanka Sharma, Head of Corporate Communications. And I would also like to introduce Ms. Surabhi Chandna, Group Head of Investor Relations and Value Creation. We're also supported by our Investor Relations Partners , Adfactors PR.

Together, the leadership team looks forward to sharing an overview of the Company 's operational and financial performance for Q3 and 9 M FY 26, along with the key business developments during the period.

The results and investor presentations have been already submitted to the stock exchanges and are available on the Company 's website, and we trust you've had the opportunity to read through them.

On the industry performance, India's macroeconomic environment during Q3 FY 26 remains supportive for the automotive sector with growth visible across all major segments.

As per SIAM production data for Q3 FY 26, Passenger Vehicle (PV) production was up by 19% year-on-year (y -o-y), 2-wheelers were up by 15% y-o-y, 3-wheelers at roughly 3.4 lakh units were up by 35% y-o-y; and Commercial Vehicles (CV also saw a positive upward trend of 18% y-o-y.

This broad -based expansion underscores the strong momentum across the industry with overall robust performance of OEMs during the quarter.

Importantly, domestic passenger vehicle sales grew by an impressive 21% y-o-y in Q3 FY 26 compared to the same quarter last year. Demand was further aided by the benefits of recent GST rationalization, a buoyant festive and marriage season and continued premiumization trends across different categories.

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In addition, cumulative RBI rate cuts have helped ease financing costs and improved affordability, particularly for the mass market consumers. These factors have supported higher volumes, better product mix and healthier retail sentiment across urban, semi -urban and rural markets, trends that are clearly visible across the sector. Finally, the recent union budget's continued thrust on infrastructure spending, manufacturing and supply chain development is expected to provide further structural support to the auto ecosystem.

In parallel, recent developments on the trade front, including the U.S. trade agreement and progress on the EU Free Trade Agreement (FTA) should be positive for the industry over the medium term by improving market access and competitiveness.

Overall, the macro and industry environment remains constructive with strong momentum across segments and improved visibility for sustained growth.

Speaking on the Company 's performance, in Q3 FY 26, we delivered our highest ever revenue with revenues growing by 40% y-o-y. For the 9 M FY 26, revenue increased by 38% y-o-y, reflecting sustained momentum across our businesses, supported by healthy demand, successful product launches and a continued shift towards premium offerings.

Driven by this momentum, we would like to revise our revenue growth guidance from earlier 25% to now 30%, and we remain firmly on track with our

growth objectives

under our North Star. On the profitability front, EBITDA margins reached 15% for the first time during Q3 FY 26 and thus remained aligned with our strategic direction of improving EBITDA margins progressively.

A quick update on mergers. The merger of Greenfuel Energy Solutions Private Limited with the SPV Company, Lumax Resources Private Limited has been approved by the Honourable NCLT Chandigarh with effect from February 3, 2026. The merger of IAC India with Lumax Auto Technologies is also gaining progress with the first motion already completed.

We continue to evaluate capital allocations in all our partnerships to create sustainable growth for the Company. This reflects a focused effort to simplify the corporate structure, enhance our capital efficiency and sharpen the alignment with future -ready mobility platform.

On new launches, during the quarter, we continued to strengthen our product portfolio with several new launches across both passenger vehicles as well as 2 -wheeler segments. On the passenger vehicle side, we commenced supplies from Maruti Suzuki's Celerio model for the ferrule -less tubes and fittings for the CNG version, Lumax Auto Technologies Limited

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which is an industry -first localized solution as well as interior parts for Maruti Suzuki's Victoris platform. We also added interior components for Mahindra's XUV 7XO and XEV 9e models and emission -related parts for Tata's iconic Sierra.

In the 2 -wheeler segment, we began supplying plastic parts for TVS' s export model and frames for Bajaj's Triumph platform. These wins underscore our strong OEM relationships and our ability to participate across multiple platforms and product categories.

Speaking on the order book, we are pleased to report a robust order book of INR1,450 crore, which provides healthy visibility for the business going forward. Of this order book, approximately 33% is expected to be executed in the next financial year FY 27, 44% in FY 28 and the remaining 23% in FY 29.

The order book continues to reflect healthy traction across all our product verticals with Advanced Plastics contributing the largest share, followed by Mechatronics, Alternate Fuels and Structures & Control Systems.

In closing, Q3 and 9 M FY 26 represent an important milestone in Lumax Auto Technologies' journey as we continue to execute our strategy with clarity and confidence under our North Star and the BRIDGE (Bold Roadmap Integrating Diverse Growth Engines) mid-term plan. We are building a stronger, much more diversified and future -ready organization anchored by our focus on premiumization, electronics and software -led solutions and sustainable mobility.

With a robust order book, strengthening capabilities through initiatives like SHIFT (Smart Hub for Innovation & Future Trends) - our tech center, growing momentum in businesses such as IAC, mechatronics, Greenfuel and improving industry tailwinds, we believe we are well positioned to consistently deliver profitable growth and create long-term value for all our stakeholders in an evolving automotive landscape.

With this, I would like to now hand over the call to Mr. Ankit Thakral, CFO of the Company.

Ankit Thakral: Thank you, sir. Good afternoon, everyone, and thank you for joining us today. The first 9M of FY 26 have reflected strong execution across businesses, sustained growth momentum and continued progress on our strategic priorities. Q3 FY 26 builds on the strong foundation laid in the first half with successful transformation of our strategic alignment into strong revenue gains and EBITDA expansion, further solidifying the strength of our diverse and well -balanced portfolio.

Let me walk you through the consolidated financial and operational highlights for the quarter and nine months ended 31st December 2025. The consolidated revenues Lumax Auto Technologie

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reached INR1,271 crore for Q3 FY 26, which is historic high for the Company and INR3,453 crore for 9 M FY 26, registering a growth of 40% and 38% y-o-y for Q3 and 9 M, respectively.

This reflects a consistent scale -up across core product lines, steady traction with OEMs and continued strong momentum of the Aftermarket portfolio. On the profitability front, EBITDA for Q3 stood at INR191 crore, while for 9 M FY 26, it stood at INR497

crore. This translated into margins of 15% for Q3, which is an improvement of 100 basis points from Q3 of last year. The same was 14.4% for 9 M FY 26.

PBT before exceptional item for Q3 FY 26 stood at INR116 crore, while for 9 M, it stood at INR295 crore. There is a slight increase in depreciation cost in Q3 FY 26. Part of it is due to the capitalization, but majorly on account of amortization on account of right-of-use assets because of start of lease on a couple of new facilities. It is because of this that the finance cost is also slightly increased in the current quarter.

The impact of change in wage codes notified by the Government of India on 21st November 2025, amounting to INR14.95 crore has been shown as an exceptional item for the Q3 and 9 M FY 26.

Profit after tax before minority interest for Q3 and 9 M FY 26 stood at INR108 crore and INR240 crore, respectively, registering an impressive y-o-y growth of 93% and 60%, respectively.

In tax expense, there was a one-time impact in Q3 FY 26 on account of reversal of deferred tax as a result of the merger of Greenfuel with the SPV company. Excluding the same, effective tax rate comes out nearer to 26%, both for Q3 and 9 M FY 26, and we expect it to hold at similar levels way forward too.

The share of minority, excluding the same deferred tax impact for the Q3 FY 26 stood at 16%, which is again expected to be in the similar range going forward. With respect to the division-wide breakup, beginning with the Advanced Plastics division, this segment recorded a y-o-y growth of 28% in 9 M with revenues increasing from INR1,420 crore to INR1,811 crore.

This performance reflects our strategic alignment with OEM programs that prioritize design, durability and lightweighting. The order book remains strong at INR745 crore, providing solid future visibility.

The Mechatronics segment sustained its upward momentum, delivering a y-o-y increase of almost 200% in 9 M FY 26 from INR67 crore to INR198 crore with a healthy order book of INR345 crores, remains a highly technical business due to its Lumax Auto Technologies Limited

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high engineering intensity and relevance in the shift towards intelligent mobility systems.

Turning to the Structure & Control Systems vertical. It reported a y-o-y growth of 15% in 9M from INR512 crore to INR588 crore. With an order book of INR180 crore, it strengthens our position as a trusted technology partner in the evolving mobility ecosystem.

The Aftermarket segment showed a strong growth of 15% from 9 M of last year, reflecting strong customer traction and product acceptance. We are very much hopeful of sustaining this strong growth for the full year FY 26.

The Greenfuel Energy Solutions acquired in November last year FY 25, contributed INR270 crore in 9 M, backed by an order book of INR180 crores and with margins expected to be accretive to the group average over the medium term. The segment is positioned to grow in alignment with our national shift towards alternate fuel platforms and driving OEM adoption.

Over the year, there has been a notable shift in our revenue composition, leading to a well-diversified and balanced mix across mobility platforms. In 9 M FY 26, the Passenger Vehicle segment accounted for 53% of total revenues with 2- and 3-Wheeler segment contributing 24%, followed by Aftermarket at 10% and EVs at 9%.

Capex for 9 M stood at I

NR172 crore, which includes strategic investment in land in Gujarat and Kharkhoda regions of INR44 crore. It also includes INR50 crore and INR20 crore on the capacity expansion in IAC and Lumax Alps, respectively. These investments are aimed at unlocking medium-term revenue growth and supporting localization efforts across key platforms. The guidance for the full year is close to INR240 crore, which is a slight increase from the earlier outlook given of around INR220 crore.

As of December 2025, we continue to maintain a strong balance sheet and a healthy liquidity position. Free cash reserves stood at INR421 crore, providing us with the financial flexibility to support ongoing investments and navigate market cycles confidently. The long-term debt stood at INR574 crore, resulting in a conservative debt-to-equity ratio of 0.50, which is within our internal comfort thresholds.

With this, we conclude the operational and financial overview, we now open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. Our first

Amit Hiranandani: First of all congratulations to the team for one more exceptional set of performance, especially at the operational front. And it's good to hear that the FY 26 outlook is revised upwards for the second time in this fiscal. So team, are you also looking stronger FY 27 as well and can beat the original guidance of 15% organic growth? Also, if you can help us understand the quantum of growth, the subsidiary-wise is just to understand which all subsidiaries will still continue to see higher growth momentum in the next fiscal as well?

Anmol Jain: Sure. So thank you, Amit, for your comments on the great set of performance. I think on the revenue growth aspect, the buoyancy across segments continues to be fueled by key customers. As you know, Mahindra & Mahindra, Bajaj Auto and Maruti Suzuki are amongst our top 5 customers, all of them are showing very positive trends for Q4. So I think for the most part of FY 27, we do believe that we will still be able to maintain and in due course, we will look at if we need to revise upwards the guidance. But I think we are on track in our North Star of delivering about a 20% CAGR over the next 3 to 4 years. And as I said before, this is a culmination of both organic and inorganic opportunities, which the Company will evaluate in due course.

In terms of your question on subsidiaries, I think, yes, the subsidiaries have had a significant growth. Some of them, again, coming out of a low base, but I'll let Ankit handle in terms of the growth in subsidiaries for next year.

Ankit Thakral: So yes, subsidiaries for the 9 M, mainly amid IAC and Mechatronics division, they have led the growth for the subsidiaries. And I think IAC for the 9 M grew closer to 40%-odd with respect to the 9 M of last year. And Mechatronics as a whole kitty, considering the entities like Lumax Alps Alpine and Lumax FAE, they grew by, I think, closer 200% from last year, although on a very low base.

Amit Hiranandani: So then the subsidiary question was basically for FY 27, like which all subsidiaries will still continue to see higher growth momentum?

Ankit Thakral: So, apart from the Mechatronics and especially the Lumax Alps Alpine will continue to have a strong trajectory going forward because some of the SOPs which have happened in the middle of the financial year, the full year impact of those will come. And as a matter of fact, some of the new business wins which have happened in this particular financial year, a couple of them, they will also start somewhere in maybe closer to H2 of the next financial year.

And, as you must have read the announcement of Mahindra and their increase in capacity expansion, IAC will still

continue to benefit from that, and they have a couple of new models lined up for SOP in the next financial year. However, with respect to Lumax Auto Technologies Limited
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any exact or specific number with respect to FY 27, we will be able to provide you some clarity maybe by the end of March or so.

Amit Hiranandani: Noted. Sir, my second question pertains to margins. So how confident is the Company to attain this guided 16% of EBITDA margin target by FY 28? There are 3 parts to the question here, basically. First is, is there any risk which can probably restrict this upward journey? And second, what all steps the Company is taking to achieve this aim of 16%. And lastly, which subsidiaries will mostly be going to contribute positively in attaining the same?

Anmol Jain: So Amit, I'll take this first. I think if you look at our performance from Q1 onwards, we've progressively expanded our EBITDA margins, which were sitting at around 13% and then inching towards 14.5%, and then for Q3, we've done 15%. I think we are reasonably confident to maintain a similar EBITDA margin in going forward for Q4. And in FY 27 as well, we should be able to expand further by about 50 basis points or so. I think the confidence comes from, again, as I mentioned, a very different diversified reasons. One, of course, certain subsidiaries like IAC or Greenfuel will have a stronger growth compared to the 15% to 20% guidance, which we've given. Both of these sit at a higher margin business. Also, the Aftermarket, which sits at a higher -margin business, will continue to also deliver accelerated growth. And once again, with the premium offerings, our value content per vehicle will also continuously change, thereby pulling the margins further.

Amit Hiranandani: Right. So there are no risk you see, right, for this upward journey?

Anmol Jain: I mean most of the risks seem to be mitigated. But of course, if something unforeseen comes, then we'll cross that bridge when we get there. But as of now, we seem to be on track to maintain the current margins achieved and expand it further as we go forward in FY 27 to achieve closer to 16% or so in FY 28.

Amit Hiranandani: This is good to hear, sir. Sir, just last one question, especially on the standalone side. So we are in the process of doing some restructuring and appointed an external consultant as well. So I wanted to know what is the status, progress and benefits expected on margins? And any internal aim for margin improvement, especially on the standalone side?

And lastly, similarly, standalone is a big portion of your consolidated business now. So from where the growth is expected to come for the next 2 fiscal? And in case you want to highlight any new wins so far for the standalone?

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Ankit Thakral: So I think I'll answer in serial order. So with respect to whatever the external help we sought, so I think that margins or I would say that, that impact of that particular cost has reflected on the standalone financials for this particular financial year.

But the full impact of that particular expense, you can see in the consolidated profitability because some of the various, I would say, cost cutting or maybe the fixed cost reduction savings impact has been reflected in the consolidated financials apart from the strategic input they gave on the Aftermarket or maybe the couple of other subsidiaries also.

So if you exclude that one-time impact in this particular fiscal year, even for the standalone financials, the profitability, including the other income will come in the region of maybe closer to ~11%, which say, in the last maybe 2 to 3 years, we have seen slight improvement from the maybe 8% to 9% that was there in a couple of years back of the standalone financials.

Moderator: Our next question comes from the line of

Vijay Kumar Pandey from Nuvama.

Vijay Kumar Pandey: Congrats for a good set of numbers. Sir, first of all, I wanted to check about the mid-term FY 28 margin target of 16%. So we are already at 15%, 14.8%. What is the risk of not meeting that target? And is there a possibility or in other ways, is it okay to assume that we can cross 16% margin in FY 27 or early part of FY 28?

Anmol Jain: Well, Mr. Pandey, I think we've given an ambitious goal for us to move closer to a 20% EBITDA over the next 5 to 7 years. I think we would appreciate that the margin in this fiscal year, where we were starting in quarter 1 has almost gone up by 180 bps in the 9 M.

I think we are reasonably confident, as I mentioned before, that the EBITDA margins between 15% to 15.5% will continue to be maintained on a accelerated top line growth of maybe 20-25%. So in clear absolute amounts, yes, we will have a significantly higher profit growth in FY 27. But I think for now, I would still continue to maintain a guidance of getting close to ~16% EBITDA in FY 28.

There are always risks associated with this journey, but I think the management team is quite confident given the diverse set of products and systems we do and also the whole premium offerings, which we are trying to get towards as a part of our long-term strategy, I think we are fairly confident to achieving and sustaining those margins.

Vijay Kumar Pandey: And sir, secondly, on the subsidiary side, I wanted to check about the loss-making subsidiaries. So we said that JOPP will be, again, like it turned EBITDA positive in second half, but at PBT level, it will be negative. So if you can help us on JOPP, Ituran, Alps Alpine and FAE, the profitability and the growth aspect in these subsidiaries, that

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will be pretty helpful. And also, sir, just wanted to check about the deferred tax, what was the impact in the third quarter?

Ankit Thakral: So I'll answer on the profitability part of your specifically and the deferred tax, then I will let Mr. Vikas Marwah to come in and speak about the growth aspects of all these subsidiaries. So firstly, just to answer, so with respect to maybe the earlier discussion, Vijay, this was specifically for Lumax Yokowo that we mentioned that it will be EBITDA positive for the H2 of the current financial year.

And just to let you know that Q3 was the first full quarter for the Lumax Yokowo in which it became EBITDA positive and also maybe PBT positive also for some part of the quarter. But Lumax Yokowo will still continue to have the negative EBITDA for

the rest of the financial year also.

And with respect to your deferred tax query, so as I mentioned in my opening speech, it was a one-off. It was nothing but a notional entry on account of the reversal of the deferred tax liability, which we accrued when we acquired the Greenfuel Energy through our SPV. Now the merger of that Greenfuel has happened with the SPV.

That is why the reversal of deferred tax has come in this particular quarter. However, if we exclude that impact, the ETR, that 26%-odd and will continue to remain at the similar percentage way forward also considering the existing structure. Now I will request Mr. Vikas Marwah to come in and comment on the growth of these JVs.

Vikas Marwah: Thank you, Ankit. So as far as the subsidiaries are concerned, the question is very relevant. But let me assure you that even in the subsidiaries also, the management continues to focus on the subsidiaries, which have got huge scalability and a larger traction. I will begin with Alps.

Alps is set to exceed a revenue mark of INR500 crore by FY 31 and also target somewhere close to a 15% kind of an EBITDA margin in very technologically intensive products. Yokowo, as already mentioned by Ankit, has reached a full quarter of profitability as far as the EBITDA margins are concerned and is now approaching

market leadership position with at least 2 major OEMs and going to a revenue scale. So we have no concerns on that also on scalability and potential to improve the profitability.

Ituran continues to be profitable. Yes, the Telematics vertical as such is not yet completely mature in India. It is still in nascent stage. So we have matured our business offering with India's premium customer, Daimler India, where our products are already successfully validated, and we are waiting for the next business opportunities.

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FAE already went into successful SOP and is profitable and has got a dominant market share at two, 2-wheeler companies, which is Mahindra Motorcycles and Royal Enfield and continues to look at the third opportunity very soon.

JOPP, of course, was an entry into a product line, which was a second source when we came in, primarily the products being shift towers. And currently, even though the order book is parked for future scalability, we continue to have active discussions with the OEMs in terms of how to integrate this better within our transmission division.

Lumax Manno and Lumax Cornaglia continue to be high revenue, highly profitable entities. So there you go on all these subsidiaries, including, of course, today, Greenfuel and IAC, which are much more profitable than all of them.

Vijay Kumar Pandey: Just sir, on the Telematics part, so do you see any increase in the business coming because Advanced Driver Assistance Systems (ADAS) will become mandatory in the commercial vehicles from next year onwards?

Vikas Marwah: So the Telematics offerings from Ituran right now are primarily in the TCU space, which is the Telematics Control Unit, which is an advanced version of track-and-trace.

We have now gone into the eCAN solutions, which are there for the EV vehicles.

The FY 27 focus for Telematics will be very strongly on the Aftermarket of Telematics.

That's a new vertical that we are opening up. And we hope to double our Telematics revenue in the next 12 to 18 months riding on these things, besides, of course, waiting for the full-blown ADAS opportunities to open up.

Moderator: Our next question comes from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Great set of performance and great to see guidance upgrade since last 2-3 quarters. So a couple of questions on the balance sheet front. So our debt seems to be as per the guidance. And so considering the capex, you'll be doing around INR220-240 crore this year. How should we think about the capex number for the next 2 years? And will we see an absolute increase in the debt on the balance sheet? Also, we have some inorganic plans also on the cards. So can you just guide us on that front?

And a related question is, does this the finance cost for this quarter of INR27 crore become a base now for the future quarters? How should we think of it? Because this has come as a bit of surprise. And also the depreciation figure is also quite high. So if Mr. Thakral can throw some light on that as well?

Ankit Thakral: So yes, so answering your last of the observation first. So as I mentioned in the opening speech, which I think you may have missed. So regarding that depreciation

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and finance cost, so it was mainly on account of amortization of the right-of-use (ROU) assets because of start of our lease on a couple of new, I would say, facilities. Of course, some part of it is because of capitalization, but majorly because as per accounting now when you capitalize as an ROU, it comes under depreciation and lease finance cost. However, considering the way forward for finance cost, you can as per the existing term loan, you can take a quarterly figure of anywhere between around INR25-26-odd crore for

way forward per quarter.

Dhaval Shah: That will be like the actual cost you are saying?

Ankit Thakral: Yes.

Dhaval Shah: The actual interest amount you're going to pay?

Ankit Thakral: Yes. Similar figure, which was there in, I would say, Q2 of the financial year. And of course, answering to your loan, basically the debt position.

Dhaval Shah: Sir, so this INR27 crore figure which we had, so there was what, INR3 crore of this Ind AS impact?

Ankit Thakral: INR1.5 - 2-odd crore of Ind -AS in finance cost and maybe closer to INR2.5 - 3 crore in depreciation. And with respect to your debt query, so considering the existing structure, whatever yearly repayment is there of the existing term loans, which are majorly on account of acquisition financing also.

So I think in the next 3 years, it is getting repaid in full. And as far as, say, any new organic, so as of now, nothing is concrete. And as and when if something materializes, we will definitely communicate in due course of time. And to your last question again with respect to capex

Dhaval Shah: Yes. The capex.

Anmol Jain: I think we continue to believe that the annual capex for organic growth should be anywhere between INR150 - 200-odd crore. And I think it would vary across subsidiaries, but I think this company is sitting on enough internal resources and free cash to reinvest into the organic growth of the business. And as Ankit mentioned, if there are any inorganic plans which become concrete in due course, then we will see how to leverage and balance the debt versus internal accruals accordingly.

Dhaval Shah: Got it. And sir, this 16% EBITDA margin aspiration is including other income or excluding other income? Generally, we gave including other income, if I'm not wrong?

Ankit Thakral: Yes. We communicate all our EBITDA numbers, including other income.

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Dhaval Shah: Yes, for FY 28.

Moderator: Our next question comes from the line of Apurva Mehta from A M Investments.

Apurva Mehta: Sir, congratulations on great set of numbers. Sir, just only one question, Aftermarket, the growth has been always aspirational to grow beyond 20%. But we are not able to basically scale up that Aftermarket. Can we see that happening in coming year?

Anmol Jain: So, thank you very much. I completely agree that the coming quarters, you will start seeing a further accelerated growth in the Aftermarket. Having said that, if you were to benchmark the other peers in the auto component industry, actually, most of them are delivering a growth anywhere between 7% to 11% for the 9 M.

So we definitely were in that bracket almost about 3-4 quarters ago, where our growth was also in single digits. But I think with the external interventions with completely redefining what and how you know looking at the secondary pull in the market, we've been able to have an accelerated growth, and we reported a number of 15% growth in the Aftermarket.

And I think we are on course to achieve a further enhanced growth. As I mentioned, I still continue to give the guidance of a 20% growth in the Aftermarket, will definitely be achieved going forward in the next year.

Apurva Mehta: That's good to hear. And on where we have set up a software center, SHIFT, where do we stand currently? And what is the role of that venture? Means what are we trying to achieve because we have set up various subsidiaries in China and everywhere. Just to get into that where are we heading towards for that?

Anmol Jain: So maybe I request Vikas to just give a quick update on the SHIFT facility. And maybe Sunil, if you want to just give a quick download on the China resource center. Thank you.

Vikas Marwah: Thank you, Apurva ji. So as far as the SHIFT center is concerned, we inaugurated it in October 2025 with a bench strength of 25 software engineers. Our first entry of Lumax

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uto Technology into such a space because of the human capital of software being based out of Southern India.

SHIFT has got two very clearly defined focuses, the results of which are beginning to be visible after two quarters, where they have already lent robustness in terms of the software resilience and in terms of the electronic content into a few of the joint ventures that we are operating in India right now, where rather than leaning on overseas support, we have managed to indigenize it on the India side, inside Lumax.

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Second, there is a substantial new business that is getting incubated inside Lumax Auto Technologies standalone entity right now, the details of which we cannot disclose, and we'll be happy to share it in Q2 of the next financial year when it gets into SOP. It is wholly being driven in terms of the software management by SHIFT.

Thirdly, SHIFT on its own has initiated OEMs for 2 POCs that would be running on new age EV-centric products. Now this is, again, an initiative which is being led by SHIFT directly, and that is something which they will be focusing upon.

So SHIFT will have 2 basic functions. Number one, to give resilience to the existing joint ventures and the standalone operations of Lumax Auto Technology in terms of the electrification and the software content; and second, drive their own revenues.

But more about SHIFT, we will be happy to share with you in terms of the next exciting news that comes. On the China office, I will request my colleague, Sunil, to please brief you about it.

Sunil Koparkar: Thank you, Vikas. Thank you. I just wanted to update on the China office. The purpose of China office remains the same. We have put in the staff primarily to look at the new tooling and development as well as manufacturing, automation, etc. So that is the primary focus which will remain.

And as a group company, we'll be looking at, we also have signed Technology Arrangements (TAs) with a few companies, and that has already turned into businesses. Actually, we have won ambient lighting business for Maruti Suzuki as well as some of the premium cupholders and mechanism parts, which we are developing with China assistance. They have already turned into business and will continue to grow as we bring in more premier segmentation into cars. So that's a brief about China.

Apurva Mehta: We need to hear all these things. Only last thing on the Greenfuel side, the content per vehicle, which going forward was going to expand. Can you throw some light on that also?

Ankit Thakral: I would request Mr. Akshay Kashyap to come in and maybe speak about increase in the content per vehicle.

Akshay Kashyap: Yes. Thank you very much for that question. As you know, the CNG car market continues to grow. Today, our content per vehicle is about INR3,200 per vehicle out of INR11,500 as an opportunity.

As Mr. Anmol had mentioned that on 18th December, we inaugurated a facility of a localized ferrule-less technology of fittings, which every car uses and is an approximate content of INR3,500 more per vehicle. We believe and we are the only first company in India to localize this kind of technology.

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And therefore, we've already got the order for the Celerio. And as we move forward, we are looking to get more of the schedules and visibility on the other vehicles. So that will significantly ramp up our content per vehicle from INR3,200 to almost INR6,700 per vehicle with the caveat on the models we are in.

Moderator: Our next question comes from the line of Mihir Vora from Equirus Capital.

Mihir Vora: So sir, my question was basically on the IAC part, where we have seen the new launch of XEV 9S and the 7XO. Just trying to understand whether what kind of content value increase will we see in the

se new models?

Ankit Thakral: So I would request Mr. Sunil to come in and maybe explain you about the content per vehicle of these particular two models.

Sunil Koparkar: I think the content increase, if you look at between 700 and 7XO, the content has not really increased because some of the products which are changed is more like bringing the bigger screen, it has not affected our portfolio. But we have added some additional premium components to both of these models.

So content per vehicle may not increase more than, say, INR1,500 in terms of that.

Because even on the 9S, we were already producing these parts for 9e, but we have got

some additional content, as I said. But overall, the volume of EV because of 9S introduction will go up. Also, there is an upward-looking statement from Mahindra to boost the capacity of 7XO.

Mihir Vora: Okay. But I think previously, we had mentioned about 700 content is higher than the EVs. Is it something like that or EVs content is higher than the 700?

Ankit Thakral: So Mihir, with respect to the overall manufacturing and thereby integration of all the other parts. So I think XUV700 content was slightly maybe on the higher side. But however, with respect to as and when the more and more the premiumization vehicles are being manufactured by Mahindra, this content per vehicle surely but slowly will definitely increase over a period of maybe 18 to 24 months. But yes, for a single particular quarter, that impact may be too low to be visible.

Mihir Vora: Okay. And second one on this, in terms of IAC, are we able to tap into other clientele like for selling out more products to Maruti or entering into Tata Motors? Anything, any development there?

Ankit Thakral: So again, I would request Sunil ji to come in.

Sunil Koparkar: Yes. So we have secured some future business for some of the upcoming programs for Maruti Suzuki. We are also looking at expanding our presence in the CV space besides Lumax Auto Technologies Limited

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the Volvo Eicher portfolio we have today. So we are in discussion with some other CV manufacturers to grow the content there as well.

Tata, we had received the order. That program is right now on hold and hopefully, it gets kicked off again. But we continue to increase our market share in Maruti and other non-Mahindra customers as well.

Mihir Vora: Okay. Just lastly, if I can squeeze in one more. So my last question is on the Greenfuel part, where if we see the balance sheet of Greenfuel, the asset turn seems to be very high for the business. So just wanted to understand whether -- is it something where we are buying out parts and just assembling it? Is it an assembly kind of a business? Some colour on that?

Ankit Thakral: So yes, as we explained at the beginning of the financial year also, so this particular business is an extremely asset-light business because most of the parts, I would say, are being procured from outside, some of it as an imported content also and are getting assembled internally only.

However, with respect to this new product line addition, which we have just recently done with respect to this ferrule-less tubes and fittings. So we have made certain capital investment maybe closer to around INR8-10 crore for this particular financial year that has enabled this particular SOP.

But with respect to going forward, apart, if you compare with maybe the other business divisions, this particular entity, Greenfuel, continue to be asset-light and much better than the Company's overall average Asset Turnover Ratio (ATR).

Mihir Vora: Okay. But do we look at backward integrating some components here ahead in the existing product portfolio also or we'll continue as it is, how it is going on right now?

Ankit Thakral: Maybe I would request Akshay ji to come in and maybe elaborate something about the backward integration of whatever the product

S.

Akshay Kashyap: Yes. So once again, thank you for that question. So in our case, if you look at a few years ago, the import content was almost as high as 65%. We have already brought it down to 35% to 40%. And as we move forward, we are looking at localizing more products.

Having said that, because our products are very safety critical. There are certain parts that are not produced in India at the moment and suppliers are not available. So those will continue to be imported. But as Mr. Thakral explained, with the localization of this new technology, we would be investing more into expanding that. And therefore,

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when we look at our overall revenues, the import content will become much lower as we go forward.

Moderator: Our next question comes from the line of Sahil Sharma from Dalmus Capital Management.

Sahil Sharma: So, can you provide some more details on the others revenue segment? This seems to have grown quite a bit this quarter?

Ankit Thakral: So maybe with respect to the customer-wise, you may be asking about it.

Sahil Sharma: Customer -wise also and product -wise also, it's about INR110-111 crores this quarter versus INR65 crore in Q3 FY 25?

Ankit Thakral: So it was nothing but maybe around INR45 - 50 crore of tooling and design revenue, which was done by the IAC entity in this particular quarter, which was not there in Q1 and Q2.

Normally, the tooling sales and whatever they happen in the H2 of the financial year.

So that is why you are seeing in Q3. But however, if you compare with 9 M with respect to the overall last financial year. So I think the percentage is more or less in the similar range.

Sahil Sharma: Understood. And like what would be the profits from this tooling revenue this quarter?

Ankit Thakral: So almost more or less in the similar region of the overall company's profitability.

Sahil Sharma: Okay. Understood, sir. And on IAC, so M&M has announced a new greenfield capacity in Nagpur. So are we engaging with them on this? And are we looking to invest in Nagpur for the same?

Ankit Thakral: So I would request Sunil ji to come in and maybe elaborate about it.

Sunil Koparkar: Yes. So again, thank you, Ankit. So obviously, we have been closely working with Mahindra . At this point, I think the decisions are very preliminary stage, I would say.

But we are in discussion with Mahindra in terms of what kind of acreage or square footage of building we need in case we have to set up supplier part kind of situation in Nagpur. So I would say it's a little too early, but maybe we'll shed some light maybe next quarter on this. But definitely, we are in talks with Mahindra in terms of setting up new plant in Nagpur.

Sahil Sharma: Sure. And if you could just provide some more details on the ambient lighting business with Maruti, I think you mentioned before?

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Sunil Koparkar: So this particular ambient light business, we got because of our collaboration with the China partner, and it is for an upcoming program codename Y2V. And that has really given us a good in way to get into ambient lighting with Maruti.

Moderator: Our next question comes from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: So my question is again, on the finance cost. So last year, our debt was around INR770 crore, excluding the lease liability part of the borrowings. And today, we are at the same number almost. So while our finance cost should be around, say, INR90 -95 crore for the year. So what is the interest rate on the debt for us?

Ankit Thakral: So I think I explained at the beginning of the call, so finance cost for this particular quarter, we are seeing an upwards of around INR2 crore, which is basically on account of the lease financing, which is done on the basis of the right-of-use

se accounting.

Because nowadays, when you are taking a new facility on lease for a longer period of time, you have to account for that lease or liability and the part of it comes under finance cost and the remaining portion comes under the depreciation cost.

So that may be certain retrospective impact has come for this particular quarter.

However, going forward, this finance cost is considering the existing debt structure and whatever the repayments are being done. So this finance cost is expected to settle anywhere between around INR25-25.5 crore.

Dhaval Shah: Sir, what should be the average interest rate on the borrowings then?

Ankit Thakral: So again, on the long -term borrowings, it varies because most of the debt has been taken on the acquisition financing. And whenever any debt is on acquisition financing on the purchase of shares, that normally comes at a bit, I would say, higher basis points with respect to the traditional borrowing.

So on account of traditional borrowing, the average debt may be closer to around 7% to 7.5%. However, with respect to the acquisition financing, it is closer to 9%. And on the short -term working capital, and again, it varies from bank to bank. However, average cost of debt is again closer to maybe 7% to 7.25%.

Dhaval Shah: 7% to 7.25%, okay. And in terms of taxation, should we be back to the 26% tax from next year?

Ankit Thakral: Yes. So there was a one -off again in this particular quarter. And if we even exclude that one -off, the ETR comes out as 26 %-odd only and which will continue way forward, too.

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Dhaval Shah: And also the minority part was higher than what was discussed. So previous last

quarter, there was 14% of PAT was minority. This quarter, it is a 24% minority percentage of PAT. And I think for the full year, you had guidance somewhere between 15%, 16%. So a little confused how to understand this minority figure because it takes out a substantial part of the PAT. So any guidance would you like to share with us?

Ankit Thakral: So again, this thing I explained in my opening speech. So whatever the gain in the deferred tax that has come because part of it is by reducing the overall minority, I would say, increasing the overall minority percentage because this reversal is on account of the merger of Greenfuel and SPV and Greenfuel being a 60% subsidiary. So that is why the 40% impact does come in the minority interest. However, excluding that one -off, the share of minority even for this particular quarter is at 16% only. And we have given the similar guidance going forward also which will continue between 15% to 17%.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference over to the management for closing comments.

Ankit Thakral: Thank you once again for joining us for the Q3 and 9 M earnings call and for your continued interest in Lumax Auto Technologies. We truly appreciate your time and engagement today. Should you have any further questions or require additional information, please feel free to reach out to us or our Investor Relations Advisors at Adfactors PR.

We remain committed to keeping the investor community regularly updated on our progress. Thank you, and we wish you all a great day ahead.

Moderator: Thank you. On behalf of Lumax Auto Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Dear Sir/ Ma'am,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable Regulations, please find enclosed herewith the Transcript of Analysts / Investor Earnings Conference Call for all Investor/General Public which was held on Monday , June 01 , 2026 at 03:00 P.M. (IST) to discuss the Operational and Financial performance of the Company for the 4th Quarter and Financial Year ended March 31, 2026.

The transcript will also be made available on the website of the Company at

<https://www.lumaxworld.in/lumaxautotech/transcript.html>

This is for your information and records.

Thanking You,

Yours Faithfully,

For Lumax Auto Technologies Limited

Pankaj Mahendru

Company Secretary & Compliance Officer

ICSI Membership No. A28161

Encl: As stated above

Page 1 of 14 "Lumax Auto Technologies Limited Q4 & FY 26 Earnings Conference Call" June 01, 2026 MANAGEMENT: • Mr. Deepak Jain – Vice Chairman • Mr. Anmol Jain – Managing Director • Mr. Sanjay Mehta – Director and Group Chief Financial Officer • Mr. Vikas Marwah – Chief Executive Officer • Mr. Ankit Thakral – Chief Financial Officer • Mr. Sanjay Bhagat – Head of Aftermarket Business • Mr. Naval Khanna – Head of Corporate Taxation • Ms. Surabhi Chandna – Group Head of Investor Relations and Value Creation Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY 26 Earnings Conference Call of Lumax Auto Technologies Limited. This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinions and expectation of the Company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anmol Jain, Managing Director. Thank you, and over to you.

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Anmol Jain: Thank you. A very good afternoon, everyone, and thank you for joining us for Lumax Auto Technologies Limited Q4 and FY 26 Earnings Conference call. It's always a pleasure to welcome you all. I'm joined by our leadership team today, including Mr. Deepak Jain, Vice Chairman; Mr. Sanjay Mehta, Director and Group CFO; Mr. Vikas Marwah, CEO of the Company; Mr. Ankit Thakral, the CFO of the Company; Mr. Sanjay Bhagat, Head of Aftermarket Business; Mr. Naval Khanna, Head of Corporate Taxation; and Ms. Surabhi Chandna, Group Head of Investor Relations and Value Creation, along with our Investor Relations Advisor, SGA. We have uploaded our earnings presentation on stock exchanges and company's website. I hope everybody had an opportunity to go through the same. I'm pleased to share that the Company delivered its best ever financial and operational performance in FY 26, with revenue reaching an all-time high of INR 4,870 crore. The Company also crossed the INR 700 crore mark for EBITDA to reach record EBITDA of INR 705 crore with a healthy margin of 14.5% along with a record PAT of INR 337 crore. This performance was driven by strong industry demand, robust execution across businesses, sustained customer momentum and disciplined operational focus. The Company delivered faster than industry

growth and improved profitability during the year, supported by continued scale-up across core product segments, increasing contribution from value-added and technology-led offerings and a strong momentum in the Aftermarket business. Overall, the Indian automotive industry delivered a resilient performance during FY 26, despite witnessing some moderation in demand during the first half of the year. The recovery in the second half was supported by improving consumer sentiment, easing interest rates, GST related reforms, infrastructure spending and a very strong festive demand. Rural demand also showed gradual improvement aided by better agricultural output and government spending which positively impacted entry level vehicle demand and 2-wheeler volumes. On the back of this improving environment, vehicle production across segments remained healthy during the year. According to SIAM data for Q4 FY 26, passenger vehicle production grew by 11% to 15.7 lakh units. 2-Wheeler production witnessed a strong growth of 21% to 70.5 lakh units. 3-wheeler production also increased sharply by 32% through 3.4 lakh units. And commercial vehicle production grew by 20% to 3.6 lakh units. The continued growth in production across segments reflects the strong underlying fundamentals of the Indian automotive market and reinforces India's position as one of the fastest-growing automotive economies globally. Increasing localization, improving supply chain resilience and continued investments by OEMs towards capacity expansion of new product development are expected to support the long-term industry growth. Coming to a few updates for the Company. During the year, we continued to optimize our portfolio through a calibrated approach to partnerships, strategic investments and business realignment. These actions are aimed at supporting a sharper execution, improving scalability,

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enhancing operational synergies and ensuring that our structure remains aligned with our long-term growth objectives. To highlight a few of these, the merger of IAC India Private Limited and Lumax Auto Technologies Limited, the merger of Lumax Ancillary Limited and Lumax Auto Technologies Limited, the financial results of both of these are now reflected in the standalone financial results of the Company. The Board has also approved the sale of entire 50% equity stake in Lumax JOPP Allied Technologies Private Limited to JOPP Holding Germany, the Joint Venture partner, subject to completion of customary conditions in terms of the share purchase agreement

. Consequent to the completion of the said transaction, Lumax JOPP will cease to be a subsidiary of the Company. The Board has also approved proposal to acquire the remaining stake of 15.97% in Lumax FAE Technologies Private Limited, from its existing shareholders. Post this acquisition, Lumax FAE will become a wholly owned subsidiary of the Company. Our performance was further validated through multiple customer recognitions at supplier conferences, highlighting the ability to consistently meet and exceed customer expectations. The subsidiary company, Lumax Alps Alpine received the localization of design and development capability for the year 2025-26 at the recently held Maruti Suzuki Vendor Conference. IAC division received the part development for the year 2025-26 at the same Maruti Suzuki Vendor Conference. IAC division also received Mahindra Supplier Excellence Award for execution excellence at the Mahindra Supplier Excellence Forum and the Bengaluru plant was honoured with the Excellence in Quality Management Award at the Honda Motorcycle and Scooter India (HMSI) Supplier Convention of 2026. Coming to the order book, we are pleased to report a robust order book of INR 1,450 crore, which provides healthy visibility for the business going forward. Of this order book, approximately 25% is expected to be executed in this financial year FY 27, 54% in FY 28 and the remaining 21% in FY 29. The order book continues to reflect a healthy traction across all our product verticals with advanced plastics contributing the largest share, followed by Mechatronics, alternate fuels and Structures & Control Systems. In closing, while we remain watchful of the macroeconomic uncertainties, commodity inflation and the energy price volatility, the overall demand environment and industry outlook continues to be favourable, giving us confidence as we enter FY 27. At Lumax Auto Technologies, we remain firmly committed to the execution of our mid-term strategy backed by a robust order pipeline, a diversified customer base and a very well-defined road map to evolve from a traditional Tier 1 supplier to a Tier 0.5 system integrator, we believe the Company is well positioned to deliver sustainable growth and strengthen its competitive position in the years ahead. With this, I would like to now hand over the call to Mr. Ankit Thakral, the CFO of the Company.

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Ankit Thakral: Thank you very much, sir. Good afternoon, everyone, and thank you for joining us today. FY 26 marked the year of strong operational and financial performance, reflecting disciplined execution of our strategic priorities. The Company delivered healthy revenue growth, improved margins and robust EBITDA expansion supported by a continued focus on operational excellence, portfolio diversification and prudent financial management. The year's performance reinforces the strength of our business model and provides a solid foundation for sustainable growth in the years ahead. Let me walk you through the consolidated financial and operational highlights for the Q4 and full year ended March 31, 2026. The consolidated revenue reached INR 1,417 crore for Q4 FY 26, which is historic high for the Company and INR 4,870 crore for FY 26, registering a growth of 25% and 34% for Q4 and full year, respectively. It reflects consistent scale up across core product lines, steady traction with OEMs and continued strong momentum of the Aftermarket portfolio. On the profitability front, EBITDA for Q4 FY 26 stood at INR 208 crore, while for 12 months FY 26, it stood at INR 705 crore. This translates into margins of 14.7% for Q4 and 14.5% for FY 26. PBT before exceptional items for Q4 FY 26 stood at INR 126 crore, while for FY 26, the same stood at INR 420 crore. There is a slight increase in depreciation cost in Q4 of FY 26, part of it is due to capitalization, but majorly on account of reclassification in the life of intangi

ble assets, which was acquired as a part of Greenfuel energy business. Profit after tax but before minority interest for Q4 FY 26 and FY 26 stood at INR 98 crore and INR 337 crore, respectively, registering an impressive y-o-y growth of 22% and 47%. In tax expense, in Q3 of FY 26, there was a one-time impact on account of reversal of deferred tax as a result of merger of Greenfuel with its SPV company. Excluding the same, the effective tax rate for FY 26 comes out as 26%, and we expect it to hold at similar levels way forward. The share of minority for Q4 FY 26 stood at 10%, which is again due to the same reclassification of intangible assets as it has been adjusted against minority interest in the quarter. The minority share for FY 26, however, is at 17%, and which is expected to be in a similar range going forward. With respect to the division-wise break

up, beginning with the Advanced Plastics division, this segment recorded a y-o-y growth of 25% in FY 26, with revenues increasing from INR 2,045 crore to INR 2,566 crore. This performance reflects our strategic alignment with OEM programs that prioritize design, durability and light-weighting. The order book remains strong at INR 700 crore, providing solid future visibility. The Mechatronics segment sustained upward momentum, delivering a y-o-y growth of almost 150% in FY 26 from INR 115 crore to INR 281 crore with a healthy order book of INR 400 crore. This remains a highly technical business due to its high engineering intensity and relevance in the shift towards intelligent mobility systems.

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Turning to the Structures & Control Systems vertical. It reported a y-o-y growth of 17% in FY 26, increasing from INR 693 crore to INR 816 crore. With an order book of INR 170 crore, this strengthens our position as a trusted technology partner in the evolving mobility ecosystem. The Aftermarket segment showed a strong growth of 15% from last year, reflecting strong customer traction and product acceptance. We are very much hopeful of building upon this growth traction for FY 27 and way forward. The Greenfuel energy business acquired in November of last financial year contributed INR 383 crore in FY 26, backed by an order book of INR 180 crore with margins expected to be accretive to the Group average over the medium term. The segment is positioned to grow in alignment with the national shift towards alternate fuel platforms and rising OEM adoption. Over the years, there has been a notable shift in our revenue composition, leading to a well-diversified and balanced mix across mobility platforms. In FY 26, the Passenger Vehicle (PV) segment accounted for 53% of total revenues with 2-wheeler and 3-wheeler segment contributing 24%, followed by Aftermarket at 10% and Commercial Vehicle (CV) at 9%. The capex during the year was INR 233 crore, which included strategic investment in land in Gujarat and Kharkhoda Region of INR 45 crore and also almost INR 100 crore on capacity expansions in IAC and Lumax Alps Alpine. These investments are aimed at unlocking medium-term revenue growth and supporting localization efforts across key platforms. As of March 2026, we continue to maintain a strong balance sheet and a healthy liquidity position. Free cash reserves stood at INR 396 crore, providing us with the financial flexibility to support ongoing investments and navigate market cycles confidently. The long-term debt stood at INR 553 crore, resulting in a conservative debt-to-equity ratio of 0.46, which is within our internal comfort thresholds. In my closing, I would also like to highlight that during the year, CRISIL upgraded the Company's credit rating from AA- to AA, reflecting strong financial strength, prudent capital management and sustained business performance. With this, we conclude the operational and financial overview. We'll now open the floor for question and answers. Moderator: Thank you so much, si

r. Ladies and gentlemen. We will now begin the question-and-answer session. Our first question comes from the line of Amit Hiranandani from PhillipCapital. Amit Hiranandani: First of all, congratulations to the entire team for one more outperformance results, best wishes for the year ahead. Sir, my question is related to the revenue growth. So almost all our key customers have reported good double-digit year-on-year growth in Q4, especially Maruti, Bajaj and even Aftermarket in Q4 has reported some exceptional numbers. So what has led to this growth? And on the other side, Tata Motors, we have seen some kind of a 56% drop on a y-o-y basis in the Q4. So anything to read into this, please?

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Anmol Jain: So thank you, Amit, first, for your kind words. I think the growth momentum in Q4 was, as you rightly said, extremely positive across all the OEMs. And I'm happy that our Q4 year-on-year growth, in fact, was even better than some of the OEM performances. I think there has inherently been a very strong pull at the retail level, and that is what has driven this Q4 growth. Right after the GST rationalization, we saw that there is a significant offtake of demand which went into Q4. Q4 historically, also has been a quarter where the industry does probably the highest volume. I think the momentum of demand continues to be there for the current Q1 as well. However, of course, there are certain input costs and margin pressures. But the demand from a retail point of view, still seems to be intact. Amit Hiranandani: Sir, anything on the Tata Motors, we have seen some drop basically in Q4? Ankit Thakral: So I think Amit, there could be some maybe misreading of the information because with respect to the Q4 of last year, the growth for Tata had increased by almost 33- 34% and which is in, I would say, exact line with the OEM growth because OEM is also grew by 34% in current Q4 with respect to the last Q4. Amit Hiranandani: Okay. And noted, sir. Sir, can you give a broad growth outlook for the next fiscal for the consolidated entity and if possible, for separately for IAC, Mannoh, Cornaglia and other entities place? Anmol Jain: I think the overall volatility in the industry continues, and I think we're going to be waiting and watching. As I mentioned, quarter 1, we do not see any significant disruptions or pull back on demand across our OEMs. Hence, my direction and guidance for the year would be that the Company is pretty confident that we will continue to outperform the industry growth. I think a few of the businesses we are looking at perhaps doubling that of industry growth, growing by 2x. And in certain business cases, we might as well also grow by 3x of the industry growth on account of various initiatives like value content going up or wallet share expansion. So overall, I think we continue to be on par with the mid-term strategy of our 20% CAGR over the next 3 to 5 years. Amit Hiranandani: Okay. Sir, secondly, looking at the cost inflation, especially for your key raw materials, polypropylene, so are you maintaining the consolidated margin guidance of continuous improvement or are you witnessing speed breakers for a year or so? Anmol Jain: So Amit, most of the inflationary costs, be it on account of raw material commodities or also the manpower cost, which has significantly risen up due to certain minimum wage hikes, also the energy price is going up, all of it has, of course, put some short-term pressure on the margins. But more or less, all of it, we actually have a back-to-back understanding with the OEMs. It is just a lag of about 3 to 6 months depending on the OEM by when we get these realizations. But having said that, we are quite confident that we should be able to get most of the inflationary cost increases back to the Company. So for the full year, I do not foresee any reason that the margins would get negatively impacted. On the contrary, I would say, on

account of the top line growth, the margin should just sustain or at least further go up by at least 30 bps or so.

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Moderator: Thank you, our next question comes from the line of Sahil Sharma with Dalmas Capital Management. Sahil

Sharma: So just wanted to understand on Lumax JOPP. So the business seems to have been growing well. So just wanted to understand the rationale behind giving up the stake and like were you seeing some challenges in scaling up the business? Anmol Jain: So Lumax JOPP again, was a very small base and a very small contributor from a top line perspective, but it also continued to have a negative impact on the bottom line. I think, as I mentioned, we wanted to make sure that we stay laser sharp focused on our mid-term strategy and have our resources be dedicated in growing and, let's say, unlocking the absolute potential of the businesses where we do see scalability and margin expansion. And hence, for those reasons, Lumax JOPP was something which strategically was not something which we were extremely confident or extremely bullish about. And hence, we took that decision to exit that joint venture. Sahil Sharma: Okay. Understood. And of the INR 500 crore IAC order book, how much of it would be from M&M and how much of it would be non-M&M? Anmol Jain: More than 90% of IAC's order book would be from M&M. There would be some orders from other clients like Maruti Suzuki as well, but largely, it would be driven by M&M. Sahil Sharma: Understood. So like have we been able to make any inroads on getting new OEMs for IAC? Any progress on that on different... Anmol Jain: Yes, absolutely, the discussions and dialogues with other OEMs are progressing extremely well. However, please do appreciate that these dialogues take minimum 2 to 3 years to fructify from an engagement to an RFQ to a business win to get into SOP. So I still remain pretty optimistic that over our mid-term plan of 2030, IAC would definitely see an expansion on its OEM customer base. Sahil Sharma: Okay. And just last question, did we see any disruptions in production in April or May because of labour shortage or the other reason? Vikas Marwah: So yes, it is very much a fact and there is no point saying that there are no labour shortages that we have experienced either due to elections or due to the war-related scenario or other conditions. But the good news is that our servicing to the OEM has not been disrupted to that extent. Of course, there has been a marginal impact is also at the OEM level itself of the production lines not being able to operate to the desired demand level. But the good news is that the situation is easing up quite fast, and we are coming back to near normalcy right now. Sahil Sharma: So if you could quantify how much the disruption would have impacted our production, like any numbers of that sort? Anmol Jain: That's been negligible in terms of the impact. Moderator: Our next question comes from the line of Vijay Pandey with Axis Capital.

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Vijay Pandey: Congratulations for an excellent quarter. Sir, I have a couple of questions... Moderator: Vijay, I'm really sorry, but if you can just be a little louder, please, your voice is very low. Vijay Pandey: Is it okay now? Anmol Jain: Yes. Please go ahead. Vijay Pandey: Sir, I wanted to understand how the dynamics looking for the CNG business for the Greenfuel energy because of the fuel prices and the rising like shortage on the CNG side, is there any disruption coming? Are you seeing any disruption in the CNG side? From feedback from the OEM was that at least from some of the dealers that CNG sales have been sort of like the CNG supply chain issue has impacted the sale. I just want to understand how are you looking at the products -- is there any products disruption also? And is there any change in the order book for the Greenfuel en

ergy? Deepak Jain: So sorry, your line was not clear. This is Deepak Jain, but what I can understand the question is that you would like to understand from CNG perspective, is there any disruption from the demand point of view. Is my understanding correct? Vijay Pandey: Yes, sir. Yes. Deepak Jain: Okay. So CNG continues to have a very strong pull in the market. Obviously, there has been price escalation, but you also have to understand that on the petrol and the gasoline as well, there has been more price escalations. As far as customers who have a large portfolio of CNG, they will continue to basically not just strengthen it but grow the CNG portfolio. So I think the Company, particularly Greenfuel is having some good growth plans after the current demand. We don't see that to be slowed down for this sector. Vijay Pandey: Okay. Secondly, sir, because we have grown so fast over the last 4 to 6 quarters, I want to understand if there is any capacity constraints in the Company or you may be looking to expand any capacity side, anything on the capacity side? Anmol Jain: So well, Mr. Pandey, I think the capacities vary across the different business verticals. Certain of them are still operating at maybe 20% to 30% spare capacity. And in certain cases, because we are enjoying a significant order book, we have to ramp up capacity. To give you just one example, Mechatronics, which has significantly grown, is also putting up investments towards the new facility, which is part of the new capacity expansions. Similarly, the other verticals also are putting in new lines and new machinery equipment to cater to the new models. So again, capacity, I would say, is pretty much in line with the OEM growth plan, and it is reflected in our capex plans for the year, which Ankit had mentioned, it would be anywhere between INR 275 crore to INR 300 crore. Vijay Pandey: Okay. Okay. That's good to hear. Sir, also, just taking from the previous question. So I wanted to understand about the IAC business. We have grown very strongly with Mahindra & Mahindra. So I understand that it takes around 2 to 3 years to cut the RFQs.

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But if you can just help us understand how the conversation with OEMs going? Is there any project pipeline from when can we expect new revenue to come up probably not next -- not this year but in FY 28 or 29 also? So can you just help us understand that, that will be pretty helpful. Anmol Jain: Sure. So I think Mahindra continues to dominate the IAC's overall pie, and I do not see any reason why that is going to change even for the next 3 to 5 years. Mahindra will continue to dominate the lion's share of IAC's pie. However, as a part of our derisking, we are in advanced stages of discussions with other OEMs. There have been numerous discussions, visits and face-to-face conversations where because of the technology on offer and the modular supply, sequential supply system, which IAC offers, more and more OEMs are actually keen on getting a module supply just in time versus them doing all of this. So I see a very positive and a good traction but I believe it will be at least before FY 28 or FY 29 where we could see a significant new order from, let's say, an alternative OEM to come into IAC. Till then, yes, there will be some small business wins as well. Vijay Pandey: And sir, for the IAC business, this year also, we expect more than 25-30% growth? Or should it normalize this year? Anmol Jain: It will be in line with the industry growth. As I mentioned, since Mahindra & Mahindra is the largest customer for IAC. It would really depend on Mahindra's own growth forecast for the year. And as I mentioned right now, we do not see any disruptions, but again, I would not be able to give you a specific number because of high volatility, but we continue to enjoy a very strong position in Mahindra, and our growth will be aligned with Mahindra's own growth. Vijay Pand

ey: Okay, sir, and congratulations all the best for the coming quarters. Anmol Jain: Thank you. Moderator: The next question comes from the line of Devesh Kayal with Boring AMC. Devesh Kayal: Yes. So I just want to understand on this debt piece. So if you see, we are now almost INR1,000 crore And specifically, as the standalone side, debt has kind of increased significantly. So almost a long-term borrowings to INR 43 crore. So can you give some colour on the overall debt, please? Ankit Thakral: So as you rightly said, the total debt at the consolidated level is at INR 1,000 crore. And out of this INR 1,000 crore, almost long-term debt is contributing around from INR 550 crore to INR 570-odd crore, and balance is of short-term debt. And long-term debt of INR 550-odd crore. And I think more than 90% of it has been taken by the Company on account of the 2 and 3 inorganic acquisitions, which the Company has done in the last 2 to 3 years. And accordingly, their repayment or I would say, the full repayment is starting from this year onwards. And considering the balance payment, I think in next 3 to 4 years, I think the current levels of debt or the loan which is there will automatically die down.

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And on account of your second question related to the standalone, so as you must have read also and as a part of our opening speech also, now the standalone financial statements is including both the IAC and, of course, Lumax Ancillary. So as that debt was a major that was taken on account of IAC only, that is why you see a change in numbers of the standalone entity in that. Devesh Kayal: Understood. And so we are setting up this R&D unit in Bangalore, so what would be the spend there for this FY 27? And if you can give some colour on the R&D side also what exactly are we planning? So you mentioned like we are focusing on software-defined vehicles, SDVs and all, if you can give some colour there also? Vikas Marwah: Sure. So the R&D centre that we have named in Bangalore is called SHIFT. It stands for Smart Hub for Innovation and Future Trends. As you rightly noticed, it is going to focus very strongly on the software innovation, which is at the heart of electronics. It is already supporting our upcoming new product, Body Control Modules (BCM) that are getting into SOP in 45 to 60 days from now, it is driving the software integration for that. It is also in advanced stages of doing Proof Of Concepts (POCs) with a couple of customers for new product entries that will fall under the Lumax Auto Technology portfolio. We already have a bench strength of about 20 engineers now there. So we are taking very sure footed steps there. The total expense, I mean, if we were to just put a number, would be in the region of about INR 5 crore to INR 7 crore per year, and that is a very negligible spend for this kind of a return on investment. Also, this centre would be helping the joint ventures in India, trying to localize their offerings with the India solutions, largely focusing around the electronics and software content. So still I would say, the first 6 months of the opening of the centre, and we are very happy with the way it is on traction now. Moderator: Our next question comes from the line of Shashank Kanodia with ICICI Securities. Shashank Kanodia: Sir, just wanted to check on the order book side that we mentioned is at INR1,450-odd crore. So last quarter also mentioned a similar amount. So is there anything like to highlight in terms of are there any orders which have gone to mass production because of which looks optically flat? Or no new orders during this quarter period, so your comments on this end? Anmol Jain: Yes, you're right. So there were a lot of orders, which have actually gone into the revenue stream during the quarter, and there have been some new significant wins across the different business verticals. It just so happens that the numbers are p

retty similar, but there is always, every quarter, this evolves where there are new wins and there are existing wins which go into the revenue stream. Shashank Kanodia: Right. And secondly, sir, the execution of the order book, the time lines that you have mentioned. So the revenues will be over and above the organic growth that we'll undertake at the customer end, right? So let's say, if the industry grows 10%, so 10% volume growth that will have in the top line plus over and above this is the execution of order book, right? Is it correct in understanding?

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Anmol Jain: So there will be some overlap because, again, some of this would be on a replacement business where we would already be having a position, so that could be something which replaces the existing revenue, although with a new model launch, there is usually also an incremental volume, which again, kind of ties down to your organic piece. But I would say that a majority of the order book is new business. And hence, this should definitely help us outperform the industry's organic growth. And that's the reason why we remain pretty optimistic of beating the industry growth by at least 2x going forward. Shashank Kanodia: Right. And sir, lastly, on the dividend side. So our profit has broadly more than doubled over the last 2 years, where is absolute dividend in terms of rupees per share kind of payment flat -- so any thought process you have at the Board level as to what should the payout ratios going forward? Anmol Jain: So the payout ratio, we have a very fair internal policy of maintaining a minimum 35% payout ratio and the Company continues to maintain that for the year. Shashank Kanodia: Sir, payout ratio essentially is the dividend paid about the profit earned, not at the face value. Ankit Thakral: So Shashank, just to add, so it might be you were seeing the current year financial statements because these statements include profitability of the merged entities, which has taken place, I would say, subsequent to the year-end, and it is only because of the accounting that we needed to merge those entities. So that is why the dividend has been paid for FY 25-26, considering the standalone profit which we budgeted. However, for FY 27, we will internally review our this payout policy and will come back next year. Shashank Kanodia: Right. And sir, capex spend for this year, if I heard it right, it's closer to about INR 300-odd crore, right? Ankit Thakral: Yes, correct. Shashank Kanodia: Okay. And sir, one last thing. There is increase in your noncurrent investments with INR150-160 crore of consol balance sheet. Can you help us identify what would that be on account of? From INR162-odd crore, it goes to INR312.6-odd crore. So there is some increase, a substantial increase in other investments, long-term investments. Ankit Thakral: So it is nothing but which the Company has invested its 5% stake in Lumax Industries Limited. And because the overall, I would say the share price of that company has increased. And that is why you're seeing. Shashank Kanodia: It's largely mark-to-market, right? Ankit Thakral: Yes, yes, correct.

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Shashank Kanodia: Right. And sir, lastly, on the debt side, with absolute INR 1,000-odd crore and we comfortably generating INR 500-plus crore of cash flow from operations. Do we see the absolute debt retiring from now onwards, FY 27 onwards? Ankit Thakral: So as I said in the beginning, so most of the debt is towards acquisition financing and full year repayment starts

from FY 27. And we do have internal cash flows available in all the divisions. And in next the 3-odd years, the current debt, which is there will automatically die down. Moderator: Next question comes from the line of Jaiprakash Kumhar with Korman Capital Investment Advisers. Jaiprakash Kumhar: Yes, sir, this growth guidance of 20% revenue growth.

So is that including inorganic growth? And if it is inorganic, from which year you will start having 20% growth that is inorganic. That's the first question? Anmol Jain: So Mr. Kumhar, the mid-term strategy of the Company is to maintain and deliver a 20% CAGR while there may be a few years where we are able to achieve beyond 20% and in some cases, less than 20%. But I think overall, we have remained pretty positive and optimistic of doing a 20% CAGR growth despite the pace continuously increasing every year. The 20% would be a mix of inorganic as well as organic. I do not have an exact number or an exact clarity in terms of when the next inorganic would be done, but the Company continues to evaluate possible opportunities for future inorganic growth. Jaiprakash Kumhar: Got it, sir. And sir, can you just give a little bit of colour on this minority interest? Because I think you acquired additional stake in IAC last year, and this quarter, minority interest was lower than whatever last quarter was. So if you can just give some colour on how it will move, sir, going forward just to model it. Ankit Thakral: So Mr. Kumhar, as I said in my opening remarks also, the minority share for this particular quarter, I mean Q4 was exceptionally low because due to certain reclassification that happened in the life of intangible assets, which we acquired as a part of Greenfuel business because the other part of that adjustment that takes place in minority interest. So that is why you were seeing a 10% minority share. So however, for the full 12 months, this minority share will continue to range anywhere between 15% to 17% which was there in the 12 months last year also because it IAC 100%, it was done in the May month. It is only the merger that had taken place in the March month, but it became the wholly owned subsidiary in the beginning of the financial year only. Moderator: Our next question comes from the line of Shrenik Mehta with IndoAlps Wealth. Shrenik Mehta: Sorry, my question is already answered, so I can skip. Moderator: Our next question comes from the line of follow-up question with Amit Hiranandani from PhillipCapital.

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Amit Hiranandani: Yes. Sir, in FY 26, 2 entities, Lumax Ituran and Lumax Mannoh, so comparatively, they have reported some lower growth versus other subsidiaries. And we have also observed that Lumax Mannoh in FY 25 as well as reported some lower growth as well. So any comments on this? And also Ituran's margins have dropped in FY 26 marginally? Anmol Jain: So I'll just comment on the Lumax Mannoh, and then maybe I'll have Vikas talk about Lumax Ituran. See, Lumax Mannoh is already the market leader in passenger vehicles where we command a sizable part of the market leadership and the pie. So hence, our growth largely is driven by some technological value add, but largely, it is driven from the organic growth in the passenger vehicle segment. So if I look at Lumax Mannoh's growth across its OEM customers, largely we have grown in line with what the OEM's organic growth has been, and that's the reason you see a disparity in the growth numbers of Lumax Mannoh, which is close to, I believe, 9% to 10% on a full year basis vis-a-vis some of the other businesses, which have grown upwards of 20 - 25%. So that's on Mannoh. I'll let Vikas come in on the Lumax Ituran. Vikas Marwah: So coming to Lumax Ituran, your observation is right, there is a small drop down on the EBITDA level that FY 26 level. However, the FY 27 guidance remains in place for up to 150 basis points improvement as is being projected internally right now. There were some year-on-year cost downs that were committed to the customer. It was a part of the business acquisition when it happened, 3 years post SOP, we had to give a cost down. Also happy to confirm to you that in another 3 months from now, we will be getting into the SOP of a brand-new product at Lumax Ituran, which is at a

significantly higher margin, which will be the second product in the telematics category to be included. It's an OEM product, details of which will be shared with you in the next quarter earnings call. Amit Hiranandani: Right. And sir, just a follow-up on Mannoh. So can you help us understand what is the penetration of automatic gear shifters in India for FY 25 and 26? Vikas Marwah: So AT gear shifters right now, along with AMT and manual gear shifters continue to hold a large part of the market, I would say, about 95% to 97%. The migration of AT shifters towards the e-shifters, which we call a shift by buyer is currently in progress at the transmission level gear shifter system. However, the total transition would take another about 36 months when it would become 50-50. 50% could remain AT shifters out of the current pie. So let's say, we are selling about 100 AT shifters volume-wise right now. It will turn to 50 shifters of AT 3 years down and 50 would move to shift-by-wire. On shift-by-wire, your company has already made significant progress by now getting into the SOPs of 3 major platforms with customers on both whole sensor-based shift-by-wire and CAN-based shift-by-wire. So we are future ready and you can rest assured that we will get to the next level with the same market share. Amit Hiranandani: Understood. And just a follow-up on Ituran, sir, you said you're going to introduce a second telematics product, so is it with the Daimler only?

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Vikas Marwah: I'm sorry, we cannot name the customer right now due to the NDA being in place. The product is not in SOP right now, but I can very well share with you, it's a regulation-driven product and therefore, you can safely assume that there is a very high potential for this. It's a regulation compliance given product that we are getting into with another OEM besides Daimler, so this will be a new OEM entry. Amit Hiranandani: And it's good to hear, sir. Sir, we were also reading on the media reports, especially for Ituran that we are trying to get some orders from for the Daimler for the export of opportunities. So any comments on this, please? Vikas Marwah: I am not very sure. We have not come across any media that the Company have on this kind of a statement, maybe might be some old archives. Amit Hiranandani: Sure. Okay. One more thing in December 2025, we have opened office in China. So I just wanted to understand what the progress are we like looking for partnership with the Chinese auto ancillary deal over there? Anmol Jain: I think China is on progress, on its journey. I think we already have about 8 individuals who occupy in the China office. This will get expanded slowly to about 15-odd people. The Company continues to be absolutely bullish about engaging with local Chinese companies through a technology agreement trying to bring certain new cutting-edge technologies towards the Indian market. So again, as I said earlier, the strategy for China remains intact, and we are progressing very, very fast manner to try and deliver that. Moderator: Thank you, sir. Participant has left the queue. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the

management for the closing remarks. Thank you, and over to you. Anmol Jain: Well, thank you once again for joining us for the Q4 and FY 26 earnings call and for your continued interest in Lumax Auto Technologies. We truly appreciate your time and engagement today. Should you have any further questions or require any additional information, please feel free to reach out to the Lumax Group Investor Relations team or SGA, our Investor Relations advisors. We're committed to keeping the investor community regularly updated on our progress. Thank you, and we wish you all a great day ahead. Thank you. Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Lumax Auto Technologies Limited, that concludes this con

ference. Thank you for joining us, and you may now disconnect your lines. Disclaimer: This transcript is the output of transcribing from an audio recording and has been edited for clarity, consistency with published information. Although efforts have been made to ensure a high level of accuracy, in some cases it may be incomplete or inaccurate due to inaudible passages or transcription errors. The Company takes no responsibility for such inaccuracies or errors. It is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record. In case of discrepancy, the audio recordings uploaded on the stock exchanges will prevail.